

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. Bond Counsel observes that, for tax years beginning after December 31, 2022, interest on the Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. See “TAX MATTERS” herein.



\$36,035,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
INSURED REVENUE BONDS
(CARMEL VALLEY MANOR PROJECT), SERIES 2022
FINAL CUSIP*: 13048VF29

Dated: Date of Delivery**Due:** May 15, as shown on inside cover

The \$36,035,000 California Municipal Finance Authority Insured Revenue Bonds (Carmel Valley Manor Project), Series 2022 (the “Bonds”) will be issued as fully registered bonds in denominations of \$5,000 or any integral multiple thereof and, when delivered, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York (“DTC”). Beneficial owners of Bonds will not receive physical certificates representing the Bonds purchased but will receive a credit balance on the books of the nominees of such purchasers. So long as Cede & Co. is the registered owner of the Bonds, principal of and premium, if any, and interest on the Bonds will be paid by U.S. Bank Trust Company, National Association, as Trustee, to DTC, which, in turn, will remit such principal, premium, if any, and interest to its participants for subsequent disbursement to the beneficial owners of the Bonds, as described herein. See APPENDIX H—“BOOK-ENTRY SYSTEM” hereto. Interest on the Bonds is payable on May 15 and November 15 of each year, commencing November 15, 2022.

The Bonds are subject to optional, mandatory and special redemption prior to their maturity, as described herein.

The Bonds are limited obligations of the California Municipal Finance Authority (the “Authority”), secured under the provisions of the Indenture and the Loan Agreement (each as described herein), and will be payable solely from Revenues consisting primarily of Loan Repayments (as defined herein) made by Northern California Congregational Retirement Homes, Inc. dba Carmel Valley Manor (the “Manor”) and Carmel Valley Manor Foundation (the “Foundation” and, together with the Manor, the “Borrowers”) under the Loan Agreement and from certain funds held under the Indenture. Pursuant to the Regulatory Agreement (as defined herein), the Borrowers may incur additional indebtedness secured on a parity basis with the Bonds provided certain conditions are met. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Parity Debt” herein.

Pursuant to the California Constitution Article XVI, Section 4, and California Health and Safety Code, Division 107, Part 6, Chapter 1, the Borrowers’ payment of the principal of and interest on the Bonds to the Trustee will be insured by the Department of Health Care Access and Information of the State of California, and all debentures issued in payment of any claims under such insurance will be fully and unconditionally guaranteed by the State of California, all as more fully described herein. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” herein.

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

This cover page contains certain information for general reference only. It is not intended to be a summary of the security or terms of the Bonds. Investors should read the entire Official Statement to obtain information essential to the making of an informed investment decision.

SEE MATURITY SCHEDULE ON INSIDE FRONT COVER.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale, to withdrawal or modification of the offer without notice, and to the approval of the validity of the Bonds and certain other legal matters by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, the approval of certain matters for the Authority by its counsel, Jones Hall, a Professional Law Corporation, and the approval of certain matters for the Borrowers by their counsel, Hanson Bridgett LLP, San Francisco, California. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. It is expected that the Bonds in book-entry form will be available for delivery through the facilities of DTC on or about September 8, 2022.



Date: August 24, 2022

† For an explanation of the rating, see “Rating” herein.

** A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services (“CGS”) managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Borrowers or the Underwriter take responsibility for the accuracy of such data.

\$36,035,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
INSURED REVENUE BONDS
(CARMEL VALLEY MANOR PROJECT), SERIES 2022

MATURITY DATE (MAY 15)	PRINCIPAL AMOUNT	INTEREST RATE (%)	PRICE	YIELD (%)	CUSIP [†]
2024	\$565,000	5.000	104.115	2.490	13048VD88
2025	595,000	5.000	106.398	2.520	13048VD96
2026	625,000	5.000	108.563	2.550	13048VE20
2027	660,000	5.000	110.567	2.590	13048VE38
2028	690,000	5.000	112.493	2.620	13048VE46
2029	725,000	5.000	113.783	2.730	13048VE53
2030	765,000	5.000	114.965	2.820	13048VE61
2031	805,000	5.000	115.018 ^c	2.920	13048VE79
2032	845,000	5.000	114.489 ^c	3.000	13048VE87

\$11,235,000 5.000% Term Bonds due May 15, 2042 - Priced at 109.603^c to Yield 3.760% CUSIP[†]: 13048VE95
\$18,525,000 5.000% Term Bonds due May 15, 2052 - Priced at 108.855^c to Yield 3.880% CUSIP[†]: 13048VF29

[†] A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services ("CGS") managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Borrowers or the Underwriter take responsibility for the accuracy of such data.

^c Priced to the first optional redemption date of May 15, 2029.

This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon.

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority” has been furnished by the Authority. The Authority does not warrant the accuracy of the statements contained herein relating to the Borrowers nor does it directly or indirectly guarantee, endorse or warrant (1) the creditworthiness or credit standing of the Borrowers, (2) the sufficiency of the security for the Bonds or (3) the value or investment quality of the Bonds. The Authority makes no representations or warranties whatsoever with respect to any information contained herein except for the information under the sections entitled “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority.” The information set forth herein under the caption “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” has been furnished by the Department of Health Care Access and Information of the State of California (the “*Department*”), and the information relating to DTC and the book-entry system set forth herein under the captions “THE BONDS—General,” and “—Book-Entry System” and in APPENDIX H hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Borrowers. All other information set forth herein has been obtained from the Borrowers and other sources that are believed to be reliable, but the information herein, other than that described as being provided by the Authority in the first sentence of this paragraph, is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Authority. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall create under any circumstances any indication that there has been no change in the affairs of the Authority, the Department, the Borrowers or DTC since the date hereof.

The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. This Official Statement is submitted in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose.

THE BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, AND THE INDENTURE HAS NOT BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS. THE REGISTRATION OR QUALIFICATION OF THE BONDS IN ACCORDANCE WITH APPLICABLE PROVISIONS OF LAWS OF THE STATES IN WHICH BONDS HAVE BEEN REGISTERED OR QUALIFIED AND THE EXEMPTION FROM REGISTRATION OR QUALIFICATION IN OTHER STATES CANNOT BE REGARDED AS A RECOMMENDATION THEREOF. NEITHER THE AUTHORITY, THE STATE OF CALIFORNIA, NOR ANY POLITICAL SUBDIVISION THEREOF, PASSED UPON THE MERITS OF THE BONDS OR THE ACCURACY OR COMPLETENESS OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THAT WHICH OTHERWISE MIGHT PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CAUTIONARY STATEMENTS REGARDING
FORWARD-LOOKING STATEMENTS IN
THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF FINANCING” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and the statements contained under the caption “FINANCIAL OPERATIONS—MANAGEMENT’S DISCUSSION AND ANALYSIS OF OPERATIONS” in APPENDIX A—“INFORMATION CONCERNING NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. DOING BUSINESS AS CARMEL VALLEY MANOR” and APPENDIX H—“BOOK-ENTRY SYSTEM” to this Official Statement.

The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Borrowers do not plan to issue any updates or revisions to those forward-looking statements if or when their expectations or events, conditions or circumstances on which such statements are based occur or do not occur.

THIS OFFICIAL STATEMENT IS BEING PROVIDED TO PROSPECTIVE PURCHASERS IN EITHER BOUND OR PRINTED FORMAT (*"ORIGINAL BOUND FORMAT"*), OR IN ELECTRONIC FORMAT ON THE FOLLOWING WEBSITE: WWW.MUNIOS.COM. THIS OFFICIAL STATEMENT MAY BE RELIED ON ONLY IF IT IS IN ITS ORIGINAL BOUND FORMAT, OR IF IT IS PRINTED OR SAVED IN FULL DIRECTLY FROM THE AFOREMENTIONED WEBSITE OR WWW.EMMA.MSRB.ORG.

CARMEL VALLEY MANOR



CARMEL VALLEY MANOR

Existing Campus



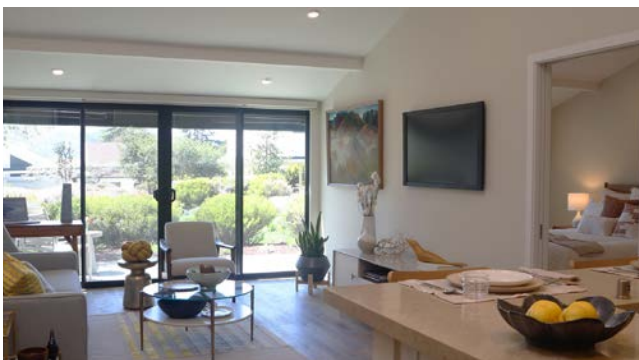
Independent Living Exterior



Health Center



Independent Living, Hillcrest Assisted Living, Main Pavilion



Model Independent Living Interior



Model Independent Living Interior

CARMEL VALLEY MANOR

Renderings of Projects



Bistro



Dining Room



Lounge



Patio

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OFFICIAL STATEMENT

\$36,035,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
INSURED REVENUE BONDS
(CARMEL VALLEY MANOR PROJECT), SERIES 2022**

INTRODUCTORY STATEMENT

The following introductory statement is subject in all respects to the more complete information set forth in this Official Statement. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive and are qualified in their entirety by reference to each document. All capitalized terms used in this Official Statement and not otherwise defined herein have the same meaning as in the Indenture or the Regulatory Agreement (each as defined herein), as applicable. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.” This Official Statement speaks only as of its date, and the information contained herein is subject to change.

PURPOSE OF THIS OFFICIAL STATEMENT

This Official Statement, including the cover page and the appendices hereto, is provided to furnish information in connection with the sale and delivery of \$36,035,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue Bonds (Carmel Valley Manor Project), Series 2022 (the “*Bonds*”). The Bonds will be issued under the JPA Act (as defined herein), and pursuant to and secured by an Indenture, dated as of August 1, 2022 (the “*Indenture*”), between the California Municipal Finance Authority (the “*Authority*”) and U.S. Bank Trust Company, National Association, as trustee (the “*Trustee*”). The Authority will loan the proceeds of the Bonds to Northern California Congregational Retirement Homes, Inc. dba Carmel Valley Manor (the “*Manor*”) and Carmel Valley Manor Foundation (the “*Foundation*”) and, together with the Manor, the “*Borrowers*”), which loan will be evidenced by a Loan Agreement, dated as of August 1, 2022 (the “*Loan Agreement*”), between the Authority and the Borrowers.

PURPOSE OF THE BONDS

The Borrowers will use the proceeds of the Bonds, together with other available funds, to (i) finance the costs of the renovation, improvement, furnishing and equipping of facilities in connection with the provision of senior residential and care services (the “*Project*”) at the life care retirement community owned and operated by the Manor; (ii) pay a portion of the interest on the Bonds during the construction of the Project; (iii) refinance a taxable loan; (iv) fund a Bond Reserve Account for the benefit of the Bonds; (v) pay the insurance premium to the Department (as defined herein); and (vi) pay certain of the costs of issuance of the Bonds. See “PLAN OF FINANCING” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

THE AUTHORITY

For a description of the Authority, see “THE AUTHORITY” herein.

THE BORROWERS

The Manor is a California nonprofit public benefit corporation that owns and operates a life care retirement community known as Carmel Valley Manor, located in Carmel, California (the “*Community*”). The Community currently consists of 146 residential living units, 24 assisted living units/beds, and a 36-bed licensed skilled nursing facility. The Manor is exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “*Code*”), as an organization described in Section 501(c)(3) of the Code. The Foundation is a California nonprofit public benefit corporation that provides fundraising and other financial support for the charitable activities of the Manor. The Foundation is exempt from federal income taxation under Section 501(a) of the Code, as an organization described in Section 501(c)(3) of the Code. For additional information on the Community and the operation, governance and financial condition of the Borrowers, see APPENDIX A—“INFORMATION CONCERNING NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. DOING BUSINESS AS CARMEL VALLEY MANOR” and APPENDIX B—“AUDITED FINANCIAL STATEMENTS OF NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2019, 2020 AND 2021.” See also APPENDIX C—“FINANCIAL FEASIBILITY REPORT.”

INSURANCE OF THE BONDS BY THE DEPARTMENT

In accordance with the California Health Facility Construction Loan Insurance Law, Chapter 1 of Part 6 of Division 107 of the California Health and Safety Code, as amended (the “*Insurance Law*”), the Authority and the Department of Health Care Access and Information of the State of California (the “*Department*”) will enter into a Contract of Insurance, dated as of August 1, 2022 (the “*Contract of Insurance*”), with the Borrowers, pursuant to which the Department will insure the Borrowers’ payment of principal of and interest on the Bonds to the Trustee in the event that amounts received by the Trustee pursuant to the Indenture are not sufficient to pay in full, when due, principal of and interest on the Bonds. If monies are not available to pay principal of and interest on the Bonds when due, the Department will be obligated to continue to make payments on such Bonds or will instruct the Trustee to declare the principal of all such Bonds then outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest and, upon the occurrence of certain events, shall notify the Treasurer (“*Treasurer*”) of the State of California (hereinafter referred to as the “*State*” or “*California*”) and the Treasurer will issue debentures to the holders of the Bonds, fully and unconditionally guaranteed by the State, in an amount equal to the principal of and the accrued interest on the Bonds. In connection with the Contract of Insurance, the Borrowers will enter into a Regulatory Agreement, dated as of August 1, 2022 (the “*Regulatory Agreement*”), with the Authority and the Department.

For a more detailed description of the obligation of the Department to insure the Borrowers’ payment of the principal of and interest on the Bonds to the Trustee when due, the procedures with respect to an insurance default, the obligations of the Borrowers pursuant to the Regulatory Agreement and the financial condition of the California Health Facility Construction

Loan Insurance Program (the “*Insurance Program*”) and the State, see “SECURITY FOR THE BONDS—INSURANCE OF THE BONDS BY THE DEPARTMENT,” “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM,” “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE,” “BONDHOLDERS’ RISKS—State Bond Insurance” and “RATING” herein and APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT” and APPENDIX E—“FORM OF CONTRACT OF INSURANCE” hereto.

SECURITY FOR THE BONDS

General. The Bonds are limited obligations of the Authority, secured under the provisions of the Indenture and the Loan Agreement and will be payable from Revenues consisting primarily of payments made by the Borrowers under the Loan Agreement (the “*Loan Repayments*,” and each a “*Loan Repayment*”) and from certain funds held under the Indenture. Pursuant to the Loan Agreement, the Borrowers are required to make aggregate payments in an amount sufficient to enable the Authority to pay in full, when due, the principal of and premium, if any, and interest on the Bonds when due.

As security for the payment of the Bonds, the Authority will pledge and assign to the Trustee all right, title and interest of the Authority (but none of its obligations) in the Loan Agreement (other than certain rights of the Authority that are unassigned as described in the Indenture), including the right to receive payments under the Loan Agreement, and will direct the Borrowers to make such payments directly to the Trustee. Under the Indenture, all of the Revenues and any other amounts (including the proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture (excluding the Rebate Fund) are pledged to secure the full payment of the principal of and interest on the Bonds in accordance with their terms and the provisions of the Indenture.

Deed of Trust. Under a Deed of Trust with Fixture Filing, Security Agreement and Assignment Agreement, dated as of August 1, 2022 (the “*Deed of Trust*”), the Manor will grant to the trustee under the Deed of Trust, for the benefit of the Department and the Trustee (as assignee of the Authority), as trustee for the holders of the Bonds and any other Parity Debt, and in order to secure the obligations of the Borrowers under the Loan Agreement, the Regulatory Agreement and the Contract of Insurance (as defined herein) and with respect to any other Parity Debt, a lien on and security interest in the Community, subject to Permitted Encumbrances. **With the consent of the Department, the Deed of Trust may be amended, subordinated or terminated at any time without the necessity of obtaining the consent of the Trustee, the Authority, or the holders of the Bonds or any other Parity Debt.** See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Deed of Trust” herein.

Gross Revenues. Pursuant to the Loan Agreement, the Borrowers have pledged their Gross Revenues and the Gross Revenue Fund to the Trustee and the Department, as security for their obligations, on a parity basis, with respect to the Bonds and any other Parity Debt. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Pledge of Gross Revenues” herein.

Bond Reserve Account. Payment of the principal of, and interest on, the Bonds will be additionally secured by moneys deposited to the credit of the Bond Reserve Account established under the Indenture. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Bond Reserve Account” herein.

For a further description of the security of the Bonds, see “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” herein.

FINANCIAL COVENANTS

The Regulatory Agreement requires the Borrowers to meet certain financial covenants, including a Debt Service Coverage Ratio covenant, a Current Ratio covenant and a Days Cash on Hand covenant, on an annual basis. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Rate Covenant, Current Ratio Covenant and Days Cash on Hand Covenant in Regulatory Agreement” herein.

ADDITIONAL INDEBTEDNESS; PARITY DEBT

In addition to their obligations with respect to the Bonds, the Borrowers may incur additional indebtedness, including indebtedness that may be secured equally and ratably with the Borrowers’ obligation to make Loan Repayments (as defined herein) and Additional Payments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement (collectively together with the obligations of the Borrowers with respect to the Bonds, “*Parity Debt*”). Parity Debt may not be incurred unless it is insured by the Department or issued with the consent of the Department. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Parity Debt; Other Indebtedness” and APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Limitation on Indebtedness” hereto.

FEASIBILITY STUDY

Hendrickson Consulting has prepared a Financial Feasibility Report, dated June 1, 2022 (the “*Feasibility Study*”), which is attached hereto as APPENDIX C—“FINANCIAL FEASIBILITY REPORT.” The Feasibility Study includes management’s financial forecast of the Borrowers for the fiscal years ending December 31, 2022 through 2026. As stated in the Feasibility Study, there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. THE FEASIBILITY STUDY SHOULD BE READ IN ITS ENTIRETY, INCLUDING THE FINANCIAL STATEMENT ASSUMPTIONS SET FORTH THEREIN.

CONTINUING DISCLOSURE

The Borrowers will enter into an undertaking (the “*Continuing Disclosure Agreement*”) for the benefit of the Bondholders to provide certain information and to provide notice of certain events to the Municipal Securities Rulemaking Board (the “*MSRB*”) on its Electronic Municipal Market Access System (“*EMMA*”). For further information, see “CONTINUING DISCLOSURE” herein. The Authority has not made and will not make any provision to provide any annual financial statements or other credit information of the Authority or the Borrowers to investors on a periodic basis.

BONDHOLDERS' RISKS

There are risks associated with the purchase of the Bonds. For a discussion of certain of these risks, see "BONDHOLDERS' RISKS" herein. A prospective owner is advised to read this Official Statement for a discussion of certain Bondholders' Risks which should be considered in connection with an investment in the Bonds. Among other things, careful evaluation should be made of the assumptions described in the Feasibility Study and certain factors that may adversely affect the ability of the Borrowers to generate sufficient revenues to pay expenses of operation, including the principal of, premium, if any, and interest on the Bonds. Careful consideration should be given to these risks and other risks described elsewhere in this Official Statement.

THE AUTHORITY

Under Title 1, Division 7, Chapter 5 of the California Government Code (the "*JPA Act*"), certain California cities, counties and special districts have entered into a joint exercise of powers agreement (the "*JPA Agreement*") forming the Authority for the purpose of exercising powers common to the members and exercising the additional powers granted to the Authority by the JPA Act and any other applicable provisions of California law. Under the JPA Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness, for any purpose or activity permitted under the JPA Act or any other applicable law.

The Authority may sell and deliver obligations other than the Bonds. These obligations will be secured by instruments separate and apart from the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust, and the holders of such other obligations of the Authority will have no claim on the security for the Bonds. Likewise, the Holders of the Bonds will have no claim on the security for such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors has furnished, reviewed, investigated or verified the information contained in this Official Statement other than the information contained in this section and the section entitled "ABSENCE OF MATERIAL LITIGATION—The Authority." The Authority does not and will not in the future monitor the financial condition of the Borrowers or otherwise monitor payment of the Bonds or compliance with the documents relating thereto. Any commitment or obligation for continuing disclosure with respect to the Bonds or the Borrowers has been undertaken solely by the Borrowers. See "CONTINUING DISCLOSURE" herein.

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof and to the Indenture for all of the provisions relating to the Bonds. The discussion herein is qualified by such reference. Certain capitalized terms used herein which are taken from the Indenture have the meanings set forth in APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS."

GENERAL

The Bonds are being issued pursuant to the Indenture in the aggregate principal amount set forth on the cover of this Official Statement. The Bonds shall be issued as fully registered Bonds in denominations of \$5,000 or any integral multiple thereof. The Bonds will bear interest from their date of delivery at the rates per annum set forth on the inside cover page hereof (based on a 360-day year comprised of 12 thirty-day months). Interest will be payable semiannually on May 15 and November 15 in each year (each, an “*Interest Payment Date*”), commencing November 15, 2022.

The Bonds will be transferable and exchangeable as set forth in the Indenture and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“*DTC*”). So long as Cede & Co. is the registered owner of the Bonds, the principal and Redemption Price of and interest on the Bonds are payable by wire transfer by the Trustee to Cede & Co., as nominee for DTC, which, in turn, will remit such amounts to DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. See APPENDIX H—“BOOK-ENTRY SYSTEM.”

If the book-entry only system for the Bonds is discontinued, payment of interest on the Bonds will be made to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date (which will be the 1st day of the calendar month in which the Interest Payment Date occurs, whether or not such day is a Business Day) for each Interest Payment Date (except with respect to interest in default for which a Special Record Date will be established by the Trustee), such interest to be paid by check mailed by first class mail on each Interest Payment Date to the registered owner at such owner’s address as it appears on such registration books or at such address as such owner may have filed with the Trustee for that purpose prior to the Record Date; *provided* that at the written request of any Holder of Bonds in the aggregate principal amount of \$1,000,000 or more received by the Trustee prior to the Record Date, interest shall be paid to such Holder by wire transfer to an account within the United States. If the book-entry only system for the Bonds is discontinued, payment of the principal or Redemption Price of the Bonds will be payable by check upon surrender or presentation thereof at the Corporate Trust Office of the Trustee.

REDEMPTION

Optional Redemption. The Bonds maturing on or before May 15, 2029 are not subject to optional redemption prior to their respective stated maturities. The Bonds maturing on or after May 15, 2030 are subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Borrowers), in whole or in part (in such amounts and of such maturities as are designated by the Borrowers, or if the Borrowers fail to so designate, in inverse order of maturity, and by lot within a maturity) on any date on or after May 15, 2029, from any available funds, at the redemption prices (expressed as percentages of principal amount being redeemed) set forth in the following table, plus accrued interest to the date fixed for redemption.

REDEMPTION DATES	REDEMPTION PRICES
May 15, 2029 through May 14, 2030	103%
May 15, 2030 through May 14, 2031	102%
May 15, 2031 through May 14, 2032	101%
May 15, 2032 and thereafter	100%

Extraordinary Redemption from Unspent Project Proceeds. The Bonds are also subject to redemption, prior to their stated maturity, at the option of the Authority (which option shall be exercised upon Request of the Borrowers), in whole or in part, on any date, from unspent proceeds of the Bonds transferred to the Redemption Fund from the Project Fund in accordance with the Indenture, at a redemption price equal to 100% of the principal of the Bonds called for redemption plus unamortized original issue premium, if any, thereon plus interest accrued thereon to the date fixed for redemption.

Mandatory Sinking Account Redemption. The Bonds maturing on any May 15 on or after May 15, 2042 are also subject to redemption prior to their stated maturity in part, by lot (or paid at maturity, as the case may be) by application of Mandatory Sinking Account Payments in the amounts and on the dates set forth below, at the principal amount thereof together with interest accrued thereon to the date fixed for redemption, without premium, as follows:

MANDATORY SINKING ACCOUNT PAYMENT DATES (MAY 15)	MANDATORY SINKING ACCOUNT PAYMENTS
2033	\$890,000
2034	935,000
2035	980,000
2036	1,030,000
2037	1,085,000
2038	1,140,000
2039	1,200,000
2040	1,260,000
2041	1,325,000
2042 [†]	1,390,000

[†] Maturity

The Bonds maturing on any May 15 on or after May 15, 2052 are also subject to redemption prior to their stated maturity in part, by lot (or paid at maturity, as the case may be) by application of Mandatory Sinking Account Payments in the amounts and on the dates set forth below, at the principal amount thereof together with interest accrued thereon to the date fixed for redemption, without premium, as follows:

REDEMPTION DATE (MAY 15)	SINKING ACCOUNT PAYMENT
2043	\$1,465,000
2044	1,540,000
2045	1,620,000
2046	1,700,000
2047	1,790,000
2048	1,880,000
2049	1,975,000
2050	2,075,000
2051	2,185,000
2052 [†]	2,295,000

[†] Maturity

Special Redemption. The Bonds are also subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Borrowers), in whole or in part (in such amounts and of such maturities as are designated by the Borrowers, or if the Borrowers fail to designate such maturities, in inverse order of maturity, and by lot within a maturity) on any date from certain insurance or condemnation proceeds received with respect to the Facilities, in each case, under the circumstances prescribed and as provided in the Regulatory Agreement, at a Redemption Price equal to the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Disposition of Insurance and Condemnation Proceeds.”

Selection of Bonds for Redemption. If less than all of the Bonds or any portion thereof are to be called for redemption, the Trustee shall select the Bonds to be redeemed, from all Bonds subject to redemption or such given portion thereof not previously called for redemption, by lot, in any manner which the Trustee in its sole discretion shall deem appropriate, but from the maturities selected by the Borrowers (provided such selection by the Borrowers shall not apply to mandatory sinking account payments).

Notice of Redemption. Notice of redemption shall be given by first class mail, or if the Bonds are then book-entry Bonds, then by Electronic Means, by the Trustee, not less than 20 days and not more than 60 days prior to the redemption date to the respective Holders of any Bonds designated for redemption at the addresses appearing on the bond registration books of the Trustee. Each notice of redemption will state the redemption date, the place or places of redemption, the maturities, the date of issue of the Bonds, the CUSIP number (if any) of the maturity or maturities and, in case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each such notice shall also state that, subject to

the conditions or prior rescission as provided below, on said date there will become due and payable on each of said Bonds the Redemption Price thereof or of said specified portion of the principal amount thereof in the case of a fully registered Bond to be redeemed in part only, together with interest accrued thereon to the redemption date, and that from and after such redemption date interest thereon shall cease to accrue, and shall require that such Bonds be then surrendered. Neither the Authority nor the Trustee shall have any responsibility for any defect in the CUSIP number that appears on any Bond or in any redemption notice with respect thereto.

Failure of the Trustee to give notice to a Bondholder or any defect in such notice shall not affect the sufficiency of the proceedings for redemption with respect to the Bondholders to whom such notice was mailed.

With respect to any notice of optional redemption of Bonds, unless upon the giving of such notice such Bonds shall be deemed to have been paid pursuant to the provisions of the Indenture, such notice shall state that such redemption shall be conditioned upon the receipt by the Trustee on or prior to the date fixed for such redemption of amounts sufficient to pay the Redemption Price of the Bonds to be redeemed and that, if such amounts shall not have been so received, said notice shall be of no force and effect and the Authority shall not be required to redeem such Bonds. In the event that such notice of redemption contains such a condition and such amounts are not so received, the redemption shall not be made and the Trustee shall within a reasonable time thereafter give notice to the Persons and in the manner in which the notice of redemption was given that such amounts were not so received. Such failure to redeem Bonds shall not constitute an Event of Default or a Loan Default Event. Such notice may also state other conditions to the optional redemption and if any other conditions are so stated, shall state that if such conditions shall not have been satisfied on or prior to the date fixed for redemption, said notice shall be of no force and effect and the Authority shall not be required to redeem such Bonds and such failure to redeem such Bonds shall not constitute an Event of Default or Loan Default Event. In the event that such notice of optional redemption contains any such additional condition or conditions and such condition or conditions shall not have been satisfied on or prior to the date fixed for redemption, the redemption shall not be made and the Trustee shall within a reasonable time thereafter give notice to the Holders to the effect that such condition or conditions were not met and such redemption was not made, such notice to be given by the Trustee in the same manner and to the same parties, as notice of such redemption was given pursuant to the provisions of the Indenture.

Any notice of optional redemption given pursuant to the provisions of the Indenture, as described herein, may also be rescinded by written notice given to the Trustee by the Borrowers no later than two Business Days prior to the date specified for redemption. The Trustee shall give notice of such rescission as soon thereafter as practicable in the same manner and to the same Persons as notice of such redemption was given pursuant to the provisions of the Indenture.

Partial Redemption of Bonds. Upon surrender of any Bond for redemption in part only, the Authority shall execute and the Trustee shall authenticate and make available for delivery to the registered owner thereof, at the expense of the Borrowers, a new Bond or Bonds of Authorized Denominations, and of the same maturity, equal in aggregate principal amount to the unredeemed portion of the Bond surrendered.

Effect of Redemption. Notice of redemption having been given in accordance with the Indenture and moneys for payment of the Redemption Price of, together with interest accrued to the redemption date on, the Bonds (or portions thereof) so called for redemption being held by the Trustee, on the redemption date designated in such notice, the Bonds (or portions thereof) so called for redemption shall become due and payable at the Redemption Price specified in such notice and interest accrued thereon to the redemption date, interest on the Bonds so called for redemption shall cease to accrue, said Bonds (or portions thereof) shall cease to be entitled to any benefit or security under the Indenture, and the Holders of said Bonds shall have no rights in respect thereof except to receive payment of said Redemption Price and accrued interest to the date fixed for redemption.

Mandatory Tender for Purchase in Lieu of Redemption. Each Holder or Beneficial Owner, by purchase and acceptance of any Bond, irrevocably grants to the Borrowers the option to purchase such Bond, at any time such Bond is subject to optional redemption as provided in the Indenture and summarized above at a purchase price equal to 100% of the then applicable Redemption Price of such Bond. In order to exercise such option, the Borrowers shall secure the written consent of the Department and shall deliver to the Trustee and the Authority such written consent of the Department and a Favorable Opinion of Bond Counsel to the effect that such purchase, will not, in and of itself, adversely affect any exclusion of interest on the Bonds from gross income for purposes of federal income taxation, and the Borrowers shall direct the Trustee to provide notice of mandatory tender for purchase, such notice to be provided, as and to the extent applicable, in accordance with the provisions for notice of redemption set forth in the Indenture and described herein. On the date fixed for mandatory purchase of any Bond in lieu of redemption pursuant to the provisions of the Indenture described herein, the Borrowers shall pay the purchase price of such Bond to the Trustee in immediately available funds and the Trustee shall pay the same to the Holders of Bonds being purchased against delivery thereof. Following such purchase, the Trustee shall register such Bonds in accordance with the written instructions of the Borrowers. No purchase of any Bond pursuant to the provisions of the Indenture described in this paragraph shall operate to extinguish the indebtedness evidenced by such Bond. No Holder or Beneficial Owner may elect to retain a Bond subject to mandatory tender for purchase pursuant to the provisions of the Indenture described in this paragraph. The Borrowers may exercise their option to purchase the Bonds, in whole or in part, in accordance with the provisions of the Indenture, and may rescind any notice of mandatory tender for purchase at any time on or prior to the date specified for mandatory tender for purchase.

Defeasance. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), *provided* that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as described above or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond will cease, terminate and be completely discharged, except only that thereafter the Owner thereof will be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority will remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment.

BOOK-ENTRY SYSTEM

The Bonds will be issued in book-entry form. DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee). One fully-registered Bond will be issued for each maturity in the total aggregate principal amount due on such maturity date and will be deposited with or held at the direction of DTC. See APPENDIX H—"BOOK-ENTRY SYSTEM."

The Authority, the Trustee and the Borrowers cannot and do not give any assurances that DTC will distribute to DTC Participants or that DTC Participants or others will distribute to the Beneficial Owners payments of principal and Redemption Price of and interest on the Bonds or any redemption or other notices or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. None of the Authority, the Trustee and the Borrowers is responsible or liable for the failure of DTC or any DTC Participant or DTC Indirect Participant (as defined herein) to make any payments or give any notice to a Beneficial Owner with respect to the Bonds or any error or delay relating thereto.

ESTIMATED ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each Bond Year ending May 15, the estimated amounts required to be made available for the payment of principal due on the Bonds at maturity or by mandatory sinking fund redemption and for the payment of interest on the Bonds. All amounts shown below have been rounded to the nearest whole dollar.

BOND YEAR ENDING MAY 15,	PRINCIPAL	INTEREST	TOTAL DEBT SERVICE
2023	-	\$1,236,201	\$1,236,201
2024	\$565,000	1,801,750	2,366,750
2025	595,000	1,773,500	2,368,500
2026	625,000	1,743,750	2,368,750
2027	660,000	1,712,500	2,372,500
2028	690,000	1,679,500	2,369,500
2029	725,000	1,645,000	2,370,000
2030	765,000	1,608,750	2,373,750
2031	805,000	1,570,500	2,375,500
2032	845,000	1,530,250	2,375,250
2033	890,000	1,488,000	2,378,000
2034	935,000	1,443,500	2,378,500
2035	980,000	1,396,750	2,376,750
2036	1,030,000	1,347,750	2,377,750
2037	1,085,000	1,296,250	2,381,250
2038	1,140,000	1,242,000	2,382,000
2039	1,200,000	1,185,000	2,385,000
2040	1,260,000	1,125,000	2,385,000
2041	1,325,000	1,062,000	2,387,000
2042	1,390,000	995,750	2,385,750
2043	1,465,000	926,250	2,391,250
2044	1,540,000	853,000	2,393,000
2045	1,620,000	776,000	2,396,000
2046	1,700,000	695,000	2,395,000
2047	1,790,000	610,000	2,400,000
2048	1,880,000	520,500	2,400,500
2049	1,975,000	426,500	2,401,500
2050	2,075,000	327,750	2,402,750
2051	2,185,000	224,000	2,409,000
2052	2,295,000	114,750	2,409,750
	<u>\$36,035,000</u>	<u>\$34,357,451</u>	<u>\$70,392,451</u>

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

GENERAL

Except to the extent payable from Bond proceeds, investment earnings or proceeds of insurance or condemnation awards, the Bonds are limited obligations of the Authority, payable solely from Revenues consisting primarily of Loan Repayments made by the Manor and the Foundation under the Loan Agreement and from certain funds held under the Indenture. The Loan Repayments in the aggregate are required to be in an amount sufficient for the payment in full of the Bonds, including interest, principal and any redemption premium, less any amounts available for such payment as provided in the Indenture. The Borrowers will agree in the Loan Agreement to make payments to the Trustee at such times and in such amounts to provide for the payment of the principal of and interest on the Bonds outstanding when due, whether upon a scheduled Interest Payment Date, at maturity or by redemption, acceleration or otherwise, and to make payments for certain fees and expenses (“*Additional Payments*”).

As security for the payment of the Bonds, the Authority will pledge and assign to the Trustee all of the Revenues and any other amounts (including proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture (other than the Rebate Fund) and all of the right, title and interest of the Authority in and to the Loan Agreement, including the right to receive payments under the Loan Agreement (except certain enumerated retained rights such as the right of the Authority to receive payment of its fees and expenses and to indemnification in certain circumstances), the Deed of Trust, the Contract of Insurance and the Regulatory Agreement, as further described herein.

The Bonds will be secured by the pledge of the Gross Revenue Fund and all of the Gross Revenues of the Borrowers and the lien of the Deed of Trust. The Borrowers may incur additional indebtedness secured on a parity basis with the Bonds, provided certain conditions are met.

PLEDGE OF REVENUES

Subject to and for the purposes and on the terms and conditions set forth in the Indenture, all of the Revenues and any other amounts (including the proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture (except the Rebate Fund) will be pledged under the Indenture to secure the payment of the principal of, Redemption Price and interest on the Bonds. “Revenues” are all amounts received by the Authority or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source), prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture (except the Rebate Fund), but not including (1) any Additional Payments or Administrative Fees and Expenses, (2) any amounts paid to the Authority or the Trustee pursuant to rights of indemnification, or (3) any moneys required to be deposited in the Rebate Fund. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE.”

INSURANCE

The Borrowers' payment of the principal of and interest on the Bonds to the Trustee will be insured by the Department. If moneys are not available for the Trustee to pay the principal of or interest on the Bonds, the Department will be obligated to continue to make payments on the Bonds or shall instruct the Trustee to declare the principal of all Bonds then Outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest. However, payments from the Trustee to the holders of the Bonds are not insured. Upon the occurrence of certain events, the Department shall notify the Treasurer and the Treasurer shall issue debentures to the holders of the Bonds fully and unconditionally guaranteed by the State in an amount equal to the principal of and accrued interest on the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM" herein.

DEPARTMENT DEEMED HOLDER OF BONDS AND DEPARTMENT'S CONTROL OF REMEDIES

For as long as the Contract of Insurance is in effect and the Department is not in default thereunder, the Department is deemed to be the holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default under the Indenture, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interests of the holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and during the continuance of an Event of Default, the Department shall be entitled to control and direct the enforcement of all rights and remedies granted to the holders or the Trustee for the benefit of the holders of the Bonds. See APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default under the Indenture and Remedies—Control Rights of the Department."

SECURITY INTEREST IN GROSS REVENUES AND GROSS REVENUE FUND

The Borrowers will pledge and assign to the Trustee and the Department, and grant to the Trustee and the Department a security interest in, all their right, title and interest, owned at that time or thereafter acquired, in and to the Gross Revenues, including, but not limited to, future interest on any and all revenues or income of any nature or kind which accrue to the Borrowers or the Facilities, and the Gross Revenue Fund and the proceeds thereof to secure the payment of the Loan Repayments and Additional Payments with respect to the Bonds and the performance by the Borrowers of their other obligations under the Loan Agreement and the Regulatory Agreement and with respect to Parity Debt.

"Gross Revenues" is defined in the Regulatory Agreement as all revenues, income, receipts and money received in any period by the Borrowers (other than donor-restricted gifts, grants, bequests, donations or contributions, endowment funds and tax revenues), including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from their operation and possession of and pertaining to their properties, (b) proceeds with respect to, arising from, or relating to their properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are

required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Borrowers are permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Borrowers, and (c) rentals received from the lease of the Borrowers' properties or space in facilities.

Pursuant to the Loan Agreement, the Borrowers agree that, so long as any of the Loan Repayments or any Additional Payments remain unpaid, all Gross Revenues shall be deposited as soon as practicable upon receipt with a depository bank or banks (the "*Depository Bank(s)*") in a deposit account or accounts designated as the "Gross Revenue Fund." The Borrowers pledge and assign and grant a security interest (to the extent permitted by law) to the Trustee and to the Department in all their right, title and interest, whether owned at the time the Loan Agreement is executed or thereafter acquired, in and to the Gross Revenues, the Gross Revenue Fund and the proceeds thereof (collectively, the "*Collateral*") of the Borrowers to secure the payment of the Loan Repayments, Additional Payments (consisting generally of fees and charges of the Trustee, taxes, accountants' fees and any fees and expenses of the Authority associated with the Bonds) and the performance by the Borrowers of the other obligations under the Loan Agreement, the Contract of Insurance and the Regulatory Agreement and with respect to any Parity Debt.

Gross Revenues and amounts in the Gross Revenue Fund may be used and withdrawn by the Borrowers at any time for any lawful purpose, except as provided in the Loan Agreement. If the Borrowers are delinquent for more than one Business Day in the payment of any Loan Repayment, Additional Payment or payment with respect to any Parity Debt, the Authority or the Trustee shall notify the Borrowers, the Department and the Depository Bank(s) of such delinquency in writing, and, unless such Loan Repayment, Additional Payment or any payment required with respect to any Parity Debt is paid within 10 days after receipt of such notice, exclusive control over the Gross Revenue Fund shall be exercised by the Department (provided the Contract of Insurance is in effect and the Department is not in default thereunder), for itself and as collateral agent for the Trustee, as provided in a deposit account control agreement to be entered into among the Depository Bank(s), the Borrowers, the Department and the Trustee. All Gross Revenues of the Borrowers shall continue to be deposited in the Gross Revenue Fund and the Department or the Trustee, as applicable, shall continue to exercise exclusive control over the Gross Revenue Fund until the amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Loan Repayments, Additional Payments and payments with respect to any Parity Debt then in default and all other then-existing Loan Default Events and events of default with respect to any Parity Debt actually known to the Department or the Trustee, as applicable, shall have been made good or cured to the satisfaction of the Department or the Trustee, as applicable, or provision deemed by the Department or the Trustee, as applicable, to be adequate shall have been made therefor, pursuant to the terms of the Indenture and the Loan Agreement.

During any period that the Gross Revenue Fund is subject to the exclusive control of the Department or the Trustee, as applicable, the Trustee will use the withdrawn amounts in such

fund from time to time to make Loan Repayments, Additional Payments, and other payments required of the Borrowers by the Loan Agreement or with respect to any Parity Debt when due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments when due, then to the payment of Loan Repayments, Additional Payments and debt service on any Parity Debt ratably, without any discrimination or preference, and to such other payments in the order that the Department or the Trustee, as applicable, in its discretion, determines to be in the best interests of the holders of the Bonds and any Parity Debt, without discrimination or preference. During any period that the Gross Revenue Fund is subject to the exclusive control of the Department or the Trustee, as applicable, the Borrowers shall not be entitled to use or withdraw any of the Gross Revenues unless and to the extent that the Department or the Trustee, as applicable, in its sole discretion so directs for the payment of current or past due operating expenses of the Borrowers; *provided, however*, that the Borrowers may submit requests to the Department or the Trustee, as applicable, as to which expenses to pay and in which order. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—LOAN AGREEMENT” and “—REGULATORY AGREEMENT.”

The Borrowers will execute a Deposit Account Control Agreement and cause to be executed and delivered such other documents as may be necessary or reasonably requested by the Authority, the Trustee or the Department to perfect or maintain the perfection of such security interest to the extent permitted by law. The Borrowers hereby irrevocably authorize the Trustee and the Department to execute any documents as may be required to perfect or to continue the perfection of the security interest in the Collateral to the extent permitted by law, including, without limitation, financing statements that describe the collateral as being of an equal, greater or lesser scope, or with greater or lesser detail, than as set forth in the definition of Collateral. See “BONDHOLDERS’ RISKS—Certain Matters Relating to Enforceability.”

DEED OF TRUST

Pursuant to the Deed of Trust, the Manor will grant to the trustee thereunder, for the benefit of the Department and the Trustee, as trustee for the Holders of the Bonds and other Parity Debt, a lien on and security interest in the real property, rents and leases, personal property and fixtures relating to the Community (collectively, the “*Collateral Property*”), subject to Permitted Encumbrances and subject to the right of the Manor (with the prior consent of the Department) to remove property from the lien of the Deed of Trust, as security for the performance of the Borrowers’ obligations under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance. The total book value of the Collateral Property constituted approximately 100% of the book value of all property, plant and equipment of the Borrowers as of December 31, 2021.

However, as long as the Contract of Insurance is in effect, all rights and remedies under the Deed of Trust shall be exercised solely by the Department. Furthermore, with the consent of the Department and the Manor, the Deed of Trust may be amended, subordinated or terminated at any time without the necessity of obtaining the consent of the Trustee, the Bondholders, holders of Parity Debt or the Authority. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEED OF TRUST.”

For a further description of the provisions of the Deed of Trust, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS” hereto.

TITLE INSURANCE

An ALTA insurance policy on the real property subject to the Deed of Trust, in an aggregate amount not less than the aggregate principal amount of the Bonds, will be delivered at the time of the issuance of the Bonds.

BOND RESERVE ACCOUNT

A Bond Reserve Account for the Bonds (the “*Bond Reserve Account*”) will be established and funded under the terms of the Indenture. Amounts on deposit in the Bond Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up a deficiency in the Interest Account or Principal Account for the Bonds (but, in each case, only with the consent of the Department, provided the Department is not in default of its obligations under the Contract of Insurance) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding. The Bond Reserve Account shall be valued semi-annually (or more frequently if requested in writing by the Borrowers, but not more frequently than quarterly) by the Trustee. In the event the balance in the Bond Reserve Account shall be less than the Bond Reserve Account Requirement, the Borrowers shall replenish such account, within 30 days of receiving notice of such deficiency, with the amount necessary to increase the balance in the Bond Reserve Account to an amount at least equal to the Bond Reserve Account Requirement. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Investment of Moneys in Funds and Accounts” and “—Allocation of Revenues.”

On the date of delivery of the Bonds, an amount equal to the Bond Reserve Account Requirement will be deposited in the Bond Reserve Account. The “Bond Reserve Account Requirement” is defined in the Indenture to be, as of any date of calculation, an amount equal to the lesser of (i) 50% of Maximum Annual Bond Service on all Bonds then Outstanding, (ii) 125% of average annual debt service on the Bonds then Outstanding, and (iii) 10% of the Outstanding principal amount of the Bonds. On the date of issuance of the Bonds, the Bond Reserve Account Requirement shall be \$1,178,000.

See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Allocation of Revenues” and “—Establishment of Funds and Accounts—Bond Reserve Account.”

NO FINANCIAL COVENANTS IN LOAN AGREEMENT

Due to the Contract of Insurance entered into by the Authority and the Department, the Loan Agreement does not contain financial or operational covenants relating to the operations of the Borrowers, such as limitations on the ability of the Borrowers to incur indebtedness, to dispose of property, or to create liens on property. Additionally, the Loan Agreement does not require the Borrowers to maintain revenues at levels sufficient to provide coverage of debt service on the Bonds or any other indebtedness. The Regulatory Agreement contains such covenants, but such covenants may be waived or amended by the Department without the necessity of obtaining the consent of the Holders of the Bonds, the Authority or any other party. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—LOAN AGREEMENT” and “—REGULATORY AGREEMENT.”

RATE COVENANT, CURRENT RATIO COVENANT AND DAYS CASH ON HAND COVENANT
IN REGULATORY AGREEMENT

Under the Regulatory Agreement, the Borrowers are required to fix, charge and collect, or cause to be fixed, charged and collected, rates, fees and charges that, together with all other receipts and revenues of the Borrowers and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, to produce a Debt Service Coverage Ratio equal to at least 1.25 for each Fiscal Year. For purposes of this requirement, "*Debt Service Coverage Ratio*" means, for any period of time, the ratio determined by dividing Net Income Available for Debt Service by Maximum Aggregate Annual Debt Service. "*Maximum Aggregate Annual Debt Service*" means, as of any date of calculation, the Aggregate Debt Service as computed for the then current or any future Fiscal Year in which such sum shall be largest.

The Regulatory Agreement also requires the Borrowers to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2022, a Current Ratio of at least 1.50:1.0 for such fiscal year. For purposes of this requirement, "*Current Ratio*" shall mean a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Borrowers' audited financial statements.

In addition, the Regulatory Agreement requires the Borrowers to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2022, not less than 150 Days Cash on Hand, as shown on the Borrowers' audited financial statements for such Fiscal Year. For purposes of this requirement, "*Days Cash on Hand*" shall mean, for any Fiscal Year, the quotient obtained by dividing (1) the Borrowers' cash and cash equivalents, including board designated funds and funded depreciation, but excluding donor-restricted funds and proceeds of short-term indebtedness and the Borrowers' beneficial interest in unrestricted cash and cash equivalents held by the Borrowers for the purpose of investment management, as of the end of such Fiscal Year by (2) the quotient of dividing (a) the Borrowers' operating expenses including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (b) the number of days in such Fiscal Year.

The Borrowers covenant and agree under the Regulatory Agreement that within one hundred twenty (120) days after the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2022, the Borrowers shall compute the Debt Service Coverage Ratio, the Current Ratio and the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the Trustee and the Department a Statement setting forth the results of such computation.

The Borrowers further covenant and agree under the Regulatory Agreement that if, at the end of such Fiscal Year, (i) the Debt Service Coverage Ratio shall have been less than as required by the provisions of the Regulatory Agreement described above in the first paragraph under this sub-heading, (ii) the Current Ratio shall have been less than as required by the provisions of the Regulatory Agreement described above in the second paragraph under this sub-heading, or (iii) the Days Cash on Hand shall have been less than as required by the provisions of the Regulatory Agreement described in the third paragraph under this sub-heading, they will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Borrowers or the methods of operation of the Borrowers

which will result in producing (x) a Debt Service Coverage Ratio as required by the provisions of the Regulatory Agreement described above in the first paragraph under this sub-heading, (y) a Current Ratio as required by the provisions of the Regulatory Agreement described above in the second paragraph under this sub-heading in the current Fiscal Year and (z) Days Cash on Hand as required by the provisions of the Regulatory Agreement described in the third paragraph under this sub-heading in the current Fiscal Year; *provided, however*, the Borrowers need not so employ a Management Consultant if the Department consents, in writing, to a waiver of said covenant to employ a Management Consultant. The Borrowers shall, to the extent feasible, promptly upon their receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise their rates, fees and charges or their methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; *provided, however*, the Borrowers need not make such revisions or take such actions in conformity with such recommendations if (1) the Board of Directors of the Borrowers makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Borrowers, and (2) the Department gives its written consent to the effect that the Borrowers need not comply, in whole or in part, with such recommendations. In the event that the Borrowers fail to comply with the recommendations of the Management Consultant, the Department may replace existing management with new management, which shall be chosen unilaterally by the Department.

If the Borrowers comply in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Borrowers will be deemed to have complied with the foregoing covenants for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required by the provisions of the Regulatory Agreement described in the foregoing paragraphs; *provided*, that (1) this sentence shall not be construed as in any way excusing the Borrowers from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) the Debt Service Coverage Ratio shall be at least equal to 1.0 for such Fiscal Year.

The above-described covenants contained in the Regulatory Agreement may be waived or amended by the Department without the necessity of obtaining the consent of the owners of the Bonds, the Authority or any other party. For a further description of the Debt Service Coverage Ratio covenant, the Current Ratio covenant and the Days Cash on Hand covenant, *see* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.”

PARITY DEBT; OTHER INDEBTEDNESS

In addition to their obligations with respect to the Bonds, the Borrowers may incur Parity Debt, which is other indebtedness secured by a security interest in the Gross Revenues and the Gross Revenue Fund (and the proceeds thereof) and the lien of the Deed of Trust equally and ratably with the Borrowers' obligations to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Department or unless it is issued with the consent of the Department. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Limitation on Indebtedness” hereto.

LIMITED LIABILITY OF THE AUTHORITY

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM

DESCRIPTION OF THE INSURANCE POLICY

General. The Borrowers have received a conditional commitment from the Department for insurance of the Borrowers' payment of the principal and interest with respect to the Bonds. Insurance of the full amount of the principal and interest with respect to the Bonds (but not any premium) is evidenced by the Contract of Insurance and the Regulatory Agreement, both of which will be entered into by the Department, the Authority and the Borrowers, concurrently with the execution and delivery of the Bonds. However, payments from the Trustee to the holders of the Bonds are not insured. *See* APPENDIX E—"FORM OF CONTRACT OF INSURANCE" for the form and terms of the insurance provided by the Department. The insurance will reinstate in the event that any payment by the Borrowers to the Trustee is recaptured as a result of the Borrowers' bankruptcy or insolvency. The Regulatory Agreement sets out many of the financial covenants of the Borrowers relating to, among other things, the maintenance of specified debt service coverage levels and the limitations on incurrence of additional indebtedness or disposition of assets by the Borrowers. Prospective holders of the Bonds should note that the provisions of the Regulatory Agreement may be amended with the consent of the Department without the necessity of obtaining the consent of the owners of the Bonds or the holders of any Parity Debt. *See* "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—Description of the Insurance Policy—Rights of the Department under the Regulatory Agreement" herein and APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT."

Insurance Law Section 129050, subsection (a) requires that a loan must be secured by a first mortgage, first deed of trust or first priority lien on an interest of the borrower in real property and any other security agreement as the Department may require. For this purpose, the Borrowers will grant a security interest in the Gross Revenue Fund and all of the Gross Revenues under the Loan Agreement, and the Manor will enter into the Deed of Trust. Prospective holders of the Bonds should note that the provisions of the Deed of Trust may be amended, subordinated

or terminated at any time with the consent of the Department without the necessity of obtaining the consent of the holders of the Bonds or the holders of Parity Debt.

Incontestability and Non-Cancellability. Under Insurance Law Section 129110, the Contract of Insurance is incontestable from the date of execution thereof, except in case of fraud or misrepresentation on the part of the lender. The Insurance Law and the Contract of Insurance impose certain continuing obligations on the Borrowers as a condition of insuring the Bonds but specify that the remedies for breach of these obligations shall not include withdrawal or cancellation of the insurance. The insurance provided by the Contract of Insurance will terminate under certain circumstances, including payment in full by the Department of the insurance with respect to the Bonds or defeasance of the Bonds pursuant to the Indenture, as more fully described in APPENDIX E—“FORM OF CONTRACT OF INSURANCE.”

Procedures upon Default. If there is an event of default as specified under the Indenture (an “*Event of Default*”), the Trustee must notify the Department. The Trustee also must notify the Department if 30 days prior to an Interest Payment Date or Principal Payment Date there are not sufficient available moneys held by the Trustee in the Revenue Fund (other than in the Bond Reserve Account) to make the next payment of principal or interest with respect to the Bonds.

Pursuant to the Regulatory Agreement, if there is an Event of Default under the Indenture and the Trustee has notified the Department that available moneys in the Principal and Interest Accounts will be insufficient to pay in full the next succeeding payment of interest and/or principal on the Bonds when due, the Department shall cause a sufficient amount to be deposited in the Principal Account and/or Interest Account at least three Business Days prior to the date on which such payment is due. The money will come from the Bond Reserve Account held under the Indenture or from the Health Facility Construction Loan Insurance Fund (the “*HFCLIF*”) that is established by the Insurance Law (Sections 129010, subsection (g) and 129200). The obligation of the Borrowers to repay any money advanced from the HFCLIF is secured by the Deed of Trust.

Following an Event of Default, the Department may (i) continue to approve such transfers or make such payments described in the preceding paragraph as are necessary to provide for the timely payment of the principal of and interest with respect to the Bonds, (ii) accept title to the Community from the Trustee upon foreclosure pursuant to the Deed of Trust or otherwise, (iii) accept an assignment of the security interest created under the Deed of Trust and of all claims under the Indenture, or (iv) instruct the Trustee to declare the principal of the Bonds then Outstanding and the interest with respect thereto to be immediately due and payable and make such payment from the HFCLIF. If funds in the HFCLIF are not sufficient to make the required payments described above, the Department shall notify the Treasurer who is required to issue debentures in place of such Bonds. See “THE DEPARTMENT, THE INSURANCE PROGRAM AND THE INSURANCE FUND—State Debentures” below.

Rights of the Department under the Regulatory Agreement. The Regulatory Agreement grants the Department extensive rights, including the right to attend and participate in all meetings of the Borrowers’ Board of Directors. Additionally, the Regulatory Agreement prohibits the Borrowers from taking certain actions without first obtaining the consent of the Department or meeting certain requirements in the Regulatory Agreement, including affiliating with, merging into, or consolidating with any entity; transferring cash or cash equivalents to any

entity, including but not limited to a subsidiary or an affiliate of the Borrowers; disposing of or acquiring property; and incurring indebtedness. Additionally, upon the occurrence of an event of default under the Regulatory Agreement, the Deed of Trust or the Indenture, the Department shall have the remedies provided in Insurance Law Section 129173. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Rate Covenant and Other Financial Covenants. Under the Regulatory Agreement, the Borrowers are required to fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Borrowers and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, to produce a Debt Service Coverage Ratio equal to at least 1.25 for each Fiscal Year. The Regulatory Agreement also requires the Borrowers to maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, a Current Ratio of at least 1.50:1.0 for such Fiscal Year and at least 150 Days Cash on Hand. The measurement of Days Cash on Hand is taken at the end of each particular fiscal year. For more specific information relating to these covenants, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Covenants contained in the Regulatory Agreement may be waived or amended by the Department without the necessity of obtaining the consent of the holders of the Bonds, the Authority or any other party. For a further description of the rate covenant, the current ratio covenant and the Days Cash on Hand covenant, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.” The Bonds will continue to be insured by the Department in the manner described above even if an Event of Default were to occur under financial or other covenants made by the Borrowers.

THE DEPARTMENT, THE INSURANCE PROGRAM AND THE INSURANCE FUND

General. The California Health Facility Construction Loan Insurance Program (the “Insurance Program”) is authorized by Article XVI, Section 4 of the California Constitution and is provided for in the Insurance Law. The Insurance Program is operated by the Department, which has adopted regulations implementing the Insurance Program. Under the Insurance Law, the Department is currently authorized to insure health facility construction, improvement and expansion loans, as specified in the Insurance Law. Entities which may obtain insurance for their facilities include both public agencies and nonprofit corporations, and authorized health facilities include a wide range from acute care facilities to local clinics, dependency centers and community mental health centers. The Insurance Law authorizes the Insurance Program to insure not more than \$3,000,000,000 principal amount of loans at any time. As of May 31, 2022 the principal amount of loans insured under the Insurance Program was approximately \$1,553,766,623 comprised of 63 loans.

Finances of the Insurance Program; Financial Reports. The Insurance Program is financed by an application fee of 0.5% of the loan applied for, but not to exceed \$500 (Insurance Law section 129090), an inspection fee not in excess of 0.4% of the loan that is insured (Insurance Law section 129035), and an insurance premium due in full at closing not in excess of 3.0% of the total amount of principal and interest payable over the term of the loan (Insurance

Law section 129040). The fees and premiums charged are deposited in the HFCLIF and are used to defray administrative expenses of the Insurance Program, to cure defaults on loans and to pay principal of and interest on insured bonds and certificates of participation prior to issuance of debentures by the Treasurer.

Under the Insurance Law, payments of principal and interest with respect to the Bonds or payments on the debentures would be made by the Department from the HFCLIF. As of May 31, 2022, the cash balance of the HFCLIF was approximately \$148,456,404. The monies in the HFCLIF are continuously appropriated to pay obligations insured by the Department under the Insurance Law. Insurance Law section 129215 states: “The Health Facility Construction Loan Insurance Fund, established pursuant to Section 129200, shall be a trust fund and neither the fund nor the interest or other earnings generated by the fund shall be used for any purpose other than those purposes authorized by this chapter.” The moneys in the HFCLIF are invested in the State’s Pooled Money Investment Account.

The Department is required by law to submit certain reports to the Legislature, consisting of two Annual Reports, and a State Plan. The State Plan is prepared every two years, as of January 1 of each odd-numbered year. The 2017, 2019 and 2021 State Plans are being consolidated into one report that is expected to be released in calendar year 2022. The 2015 State Plan is available at the website of the Department at <https://hcai.ca.gov/construction-finance/construction-financing/>. The Consolidated Annual Reports to the Legislature, consisting of the Annual Reports to the Legislature for the fiscal years ended June 30, 2015 through June 30, 2020 (the “2015-2020 Annual Reports”) are available at the website of the Department. The Annual Reports to the Legislature for the fiscal year ended June 30, 2021 are available at the website of the Department.

The Department also prepares monthly reports containing the insured loans balance, the HFCLIF balance, total debt service reserves of all loans, and anticipated recoveries. The most recent monthly report available from the Department is available at the website of the Department.

The following table provides certain statistics for the Insurance Program as of the end of the last five fiscal years ended June 30 for which reports are available from the Department:

	FISCAL YEAR ENDED JUNE 30				
	2017	2018	2019	2020	2021
Number of Loans Insured	84	80	83	78	66
Principal Amount of Loans Insured	\$1,590,800,080	\$1,679,591,385	\$1,816,496,274	\$1,780,317,746	\$1,661,201,598
Cash Balance of HFCLIF	\$168,979,760	\$169,757,738	\$168,625,786	\$163,825,305	\$153,567,319

Insurance Program Loans; Status of Borrowers. The future financial status of the Insurance Program is directly affected by the financial performance of the borrowers in the Insurance Program and their current and projected ability to repay their loans. The Department has established a rating system to implement objective criteria and continues to monitor each borrower for compliance with loan covenants assigning a risk rating (A to F) to that borrower and all its loans.

The risk ratings have a corresponding relationship to the financial status of the borrower and risk to the HFCLIF:

A Rating—no material problems;

B Rating—minor problems such as one or more of the following: for more than one fiscal year, some of the borrower's covenant requirements have not been met; the borrower's financial trends indicate potential problems; the borrower is more than 6 months late in providing its financial and other reports as required by its Regulatory Agreement;

C Rating—serious problems, such as one or more of the following: the borrower's last insured loan payment was not paid within 30 days of the delinquency date defined in the borrower's Regulatory Agreement; the borrower's days cash on hand is low; the last calculation of the insured debt service coverage ratio was below 1.0 and the project does not have a substantial cash cushion either in days cash on hand or in relation to amount of insured debt; payables and receivables indicate inappropriate lag time; economic indicators locally, regionally or statewide are impacting the borrower; management turnover and/or board oversight is in question; the borrower has filed for bankruptcy protection but is making full payments on insured debt;

D Rating—very serious problems such as one or more of the following: the debt service reserve fund has been invaded and the borrower is not making substantial progress in fully replenishing its debt service reserve fund, pursuant to the loan documents; financial trends have been escalating downward with no action plan in place to correct the problem; the borrower's days cash on hand is exceedingly low, such that it does not appear that the borrower will be able to make its next payroll; payment(s) are not being made and HFCLIF may be used within the next 12 months;

E Rating— payments have been or are being made from the HFCLIF, but full recovery is expected. The Department has a work out plan with the borrower; and

F Rating—payments have been or are being made from the HFCLIF and loss of some magnitude is expected.

As of May 31, 2022, there were no borrowers with loans in the portfolio with D or E Ratings and one borrower with an F Rating. The F-rated borrower, California-Nevada Methodist Homes, filed a voluntary petition for Chapter 11 bankruptcy on March 16, 2021. Publicly available information about the bankruptcy can be found online at <https://cases.stretto.com/CNMH>. See California-Nevada Methodist Homes below for more information. Since the start of the Insurance Program in 1972, through May 31, 2022, 21 borrowers (with 30 loans) have defaulted with all required payments coming from the HFCLIF (without cost to the State General Fund).

The largest defaulted loan in the Insurance Program was a loan to Triad Healthcare Corporation in the original amount of \$182.3 million. The Triad loan was fully paid as of July 23, 2021 and there are no further obligations.

California-Nevada Methodist Homes (“CNMH”) discontinued making bond payments in April 2020 at the onset of the COVID-19 pandemic. On July 1, 2020, an amount of \$615,532.61 from the Debt Service Reserve Fund was drawn to supplement the principal and interest payment due on July 1, 2020. On March 16, 2021, CNMH filed a voluntary petition for Chapter 11 bankruptcy and at the time, the Department had insured a bond issue with a principal balance of \$30,225,000 and a bank line of credit with a principal balance of \$2,999,120 at the time of the bankruptcy. When CNMH entered bankruptcy, the bank declared the line of credit in default and the Department paid on its insurance on May 14, 2021. In 2021 and 2022, the Department made additional advances from the HFCLIF to cover the debt service on the insured bond issue. CNMH continued in possession of its property and operation of its businesses as debtor-in-possession. On February 8, 2022, the court approved the motion of sale of CNMH to Pacifica Companies LLC (“Pacifica”). On May 6, 2022, Pacifica submitted their request for approval to the Attorney General. Closing of the transaction is expected in the fourth quarter of 2022. As of July 1, 2022, the remaining insured bond principal balance was \$28,930,000, and total payments made from the HFCLIF was \$5,860,056.

State Debentures. In the event the obligations of the HFCLIF to pay on an issue of defaulted bonds or certificates of participation exceeds the available balances in the HFCLIF, and upon receipt by the Department of title to the subject facilities or assignment of the security interest in a deed of trust and upon surrender of the defaulted bonds or certificates of participation to the Department, the Department shall notify the Treasurer and request the Treasurer to issue debentures to the holders of the defaulted bonds or certificates of participation, as applicable, so surrendered. Pursuant to Insurance Law section 129160, subsection (a), (1) the debentures shall bear interest at a rate equal to the stated interest rate(s) on the insured loan or bonds, and shall be payable on a payment schedule identical to payments on the insured loan or bond; (2) the debentures are fully and unconditionally guaranteed as to principal and interest by the State; and (3) the amounts to be paid on the debentures will be continuously appropriated from the General Fund of the State Treasury. Insurance Law section 129160, subsection (b) provides, “Any debenture issued under this article shall be paid on par with general obligation bonds issued by the state.” See “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATING” herein.

While the Department has not requested the issuance of and the Treasurer has not issued any such debentures since the inception of the Insurance Program, the Department, the Treasurer and the State Department of Finance have entered into a memorandum of understanding in December 2016 establishing procedures for the issuance of debentures (the “*Memorandum of Understanding*”). A copy of the Memorandum of Understanding is available upon request to: Department of Health Care Access and Information, Cal-Mortgage Loan Insurance Division, 2020 West El Camino Avenue, Suite 1231, Sacramento, CA 95833, Telephone: (916) 319-8800; e-mail: cminsured@hcai.ca.gov. It is expected that, to the same extent as interest on the Bonds is not includable in the gross income of the holders thereof for purposes of federal income taxation, interest on the debentures would not be includable in the gross income of the holders, and that interest on debentures would be exempt under the law as in effect on the date hereof from State personal income taxes. Upon the occurrence of certain Events of Default under the Indenture, there is the possibility that the interest on the Bonds could become subject to federal income taxation. The Indenture provides that there shall be no acceleration of the principal of and interest on the Bonds upon the occurrence of an Event of Default under the Indenture without the consent of the Department. If the Bonds were declared taxable by the Internal Revenue Service

(“IRS”) or another appropriate authority, thereby resulting in an Event of Default under the Indenture, and if the Department did not consent to an acceleration, the holders of the Bonds (and holders of any debentures exchanged for such Bonds) would continue to receive interest payments, but those interest payments would not be excludable from gross income for federal income tax purposes. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default under the Indenture and Remedies—Events of Default” and “—Acceleration of Maturities.”

Actuarial Study. The Department obtains an independent actuarial review of the HFCLIF every two years. At the request of the Department, Oliver Wyman Actuarial Consulting, Inc. (“*Oliver Wyman*”) completed a study in March 2022 (the “*2020 Actuarial Study*”) to evaluate, among other matters, (1) the reserve sufficiency of the HFCLIF as of June 30, 2020; and (2) the risk to the State’s General Fund from the Insurance Program. Oliver Wyman compared the HFCLIF cash balance as of June 30, 2020 of \$163.83 million against the reserve and capital requirements standards set by the California Department of Insurance for private financial guaranty insurers; the 2020 Actuarial Study indicated that the Insurance Program’s assets were at least \$15.27 million below the level which would be required by the California Department of Insurance standards for private insurers (including reserves for projects which were anticipated to default in fiscal year 2020/21). As to the second subject, the 2020 Actuarial Study indicated that the HFCLIF as of June 30, 2020 under the “expected scenario” (which scenario assumed, among other things, a 6.30% default rate) would maintain a positive balance until at least the forecast period of 2049/50. Even under the “most pessimistic scenario” in which a 10% probability of catastrophic loss was used, the 2020 Actuarial Study indicated that there was a 70% likelihood that HFCLIF reserves as of June 30, 2020 would protect against any General Fund losses until at least 2031/32, and a 90% likelihood that HFCLIF reserves as of June 30, 2020 would protect against any General Fund losses until at least 2025/26.

The 2020 Actuarial Study is based on stated assumptions and estimates including, but not limited to, default rates, investment yields, termination rates, claim severities, catastrophic losses and payment patterns. Variation from such estimates or assumptions may cause actual results to vary from the analysis in the 2020 Actuarial Study and such variations could be material. The 2020 Actuarial Study is available on the Department’s website.

See “BONDHOLDERS’ RISKS—State Bond Insurance” for a discussion of the risks related to the Insurance. See “RATING” in this Official Statement for a discussion of the rating the Bonds are expected to receive due to the insurance by the Department of the Bonds.

FOR A FURTHER DESCRIPTION OF THE REGULATORY AGREEMENT AND THE CONTRACT OF INSURANCE, SEE APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS” AND APPENDIX E—“FORM OF CONTRACT OF INSURANCE.”

CERTAIN FINANCIAL INFORMATION REGARDING THE STATE

Information about the financial condition of the State, including the State budget and State spending, is available at various State-maintained websites. Information concerning the current fiscal year State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” Analyses of the current year budget and future budget proposals are posted from time to time by the independent Office of the

Legislative Analyst at www.lao.ca.gov. Reference is made to the most recent preliminary official statement or official statement issued by the State in connection with general obligation bonds or lease revenue obligations, which can be accessed from the State Treasurer's investor relations website at www.buycaliforniabonds.com (for preliminary official statements) or through EMMA, a facility of the MSRB, at <http://emma.msrb.org> (for final official statements). All of such websites and other sources are provided for general informational purposes only and the material on such sites and from such resources is in no way incorporated into this Official Statement. Readers are cautioned that such information is not necessarily fully current and that the reported financial condition of the State may have changed since the date such information was published or posted. It will be available on the Department of Finance website at www.dof.ca.gov.

PLAN OF FINANCING

The Borrowers will use the proceeds of the Bonds, together with other available funds, to (i) finance the construction, improvement, furnishing and equipping of the Project; (ii) pay a portion of the interest on the Bonds during the construction of the Project; (iii) refinance a taxable loan; (iv) fund a Bond Reserve Account for the benefit of the Bonds; (v) pay the premium to the Department in connection with the Contract of Insurance; and (vi) pay certain of the costs of issuance of the Bonds. See "ESTIMATED SOURCES AND USES OF FUNDS" herein.

The Project includes updating the residences and the amenities of the Community. The Project will also include certain infrastructure upgrades and a sewer project for the existing campus facilities to accommodate an anticipated future expansion of the Community. See "THE PROJECT" in APPENDIX A hereto for additional information. See also APPENDIX C—"FINANCIAL FEASIBILITY REPORT."

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds related to the Bonds (with all amounts rounded to the nearest dollar).

ESTIMATED SOURCES OF FUNDS

Par Amount of Bonds	\$36,035,000
Original Issue Premium	3,447,802
Borrowers' Equity	4,386,978
Total	\$43,869,780

ESTIMATED USES OF FUNDS

Project Costs	\$34,691,914
Capitalized Interest ⁽¹⁾	1,864,455
Refinancing of Bank Loan	3,098,539
Bond Reserve Account	1,178,000
Costs of Issuance ⁽²⁾	3,036,872
Total	\$43,869,780

⁽¹⁾ A portion of the proceeds of the Bonds will be used to pay capitalized interest on the Bonds for approximately 18 months from the date of issuance thereof.

⁽²⁾ Includes legal, printing, rating agency and Authority's fees and expenses, Underwriter's discount, the premium paid to the Department for insurance under the Insurance Program and other miscellaneous issuance costs.

CONTINUING DISCLOSURE

THE AUTHORITY

Because the Bonds are limited obligations of the Authority, payable solely from amounts received from the Borrowers, financial or operating data concerning the Authority is not material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell the Bonds. Accordingly, the Authority is not providing any such information. The Borrowers have undertaken all responsibilities for any continuing disclosure to holders of the Bonds, as described below, and the Authority shall have no liability to the holders of the Bonds or any other person with respect to Rule 15c2-12 promulgated by the Securities and Exchange Commission (the "Rule").

THE BORROWERS

In connection with the issuance of the Bonds, the Borrowers will enter into a continuing disclosure agreement (the "*Continuing Disclosure Agreement*"), in which they will covenant for the benefit of the Holders and Beneficial Owners of the Bonds, to disseminate each of the following: (i) certain financial information and operating data relating to the Borrowers (each, an "*Annual Report*") by not later than 120 days following the end of the Borrowers' fiscal year (which currently is December 31), commencing with the report for the Borrowers' fiscal year ending December 31, 2022, (ii) certain unaudited financial information and operating data relating to the Borrowers by not later than 45 days following the end of each fiscal quarter (each, a "*Quarterly Report*"), commencing with the Quarterly Report for the quarter ending September 30, 2022, (iii) the Borrowers' annual budget by not later than 30 days following the end of each

fiscal year, and (iv) notices of the occurrence of certain enumerated events. The Annual Report, the Quarterly Report, the annual budget and notices of certain enumerated events will be filed by the Dissemination Agent on behalf of the Borrowers with the MSRB through EMMA. These covenants have been made in order to assist the Underwriter in complying with the Rule. See APPENDIX F—“FORM OF CONTINUING DISCLOSURE AGREEMENT.”

BONDHOLDERS’ RISKS

Set forth below are certain risk factors that should be considered before any investment in the Bonds is made. Certain risks are inherent in the successful operation of the Borrowers’ facilities. **This section discusses some of these risks but is not intended to be, and should not be considered, a comprehensive listing of all risks associated with the operation of the Community or the payment of the Bonds. These risks should be read together with the rest of the Official Statement.** All or any of the following risks could be exacerbated by the COVID-19 pandemic.

GENERAL

As described herein under the caption “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS,” the principal of and interest on the Bonds, except to the extent that the Bonds will be payable, under certain circumstances, from proceeds of insurance, sale or condemnation awards or net amounts by recourse to the Deed of Trust, are payable solely from amounts payable by the Borrowers under the Loan Agreement and from certain funds held under the Indenture. No representation or assurance is given or can be made that revenues will be realized by the Borrowers in amounts sufficient to pay debt service on the Bonds when due and other payments necessary to meet the obligations of the Borrowers. The risk factors discussed below should be considered in evaluating the ability of the Borrowers to make payments in amounts sufficient to provide for the payment of the principal of, the premium, if any, and interest on the Bonds.

The receipt of future revenues by the Borrowers will be subject to, among other factors, (a) maintaining high occupancy levels by residents who are able to pay the residency costs and fees; (b) the capabilities of management of the Borrowers (“*Management*”); (c) the effects of future government regulation of senior living, assisted living, and health care facilities; (d) the policies of third-party payors, including government payors (*e.g.*, Medicare); (e) the duration, scope, and aftereffects of the COVID-19 pandemic and governmental and private responses to such pandemic; (f) future economic and other conditions; and (g) increased competition from other senior living providers; all of which are unpredictable. The extent of the ability of the Borrowers to generate future revenues has a direct effect upon the payment of principal of, premium and purchase price, if any, and interest on the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Borrowers.

Payment of the principal of and interest on the Bonds will be insured by the Department. The Authority has no control, financial or otherwise, over the Department. If the Borrowers default in making Loan Repayments and the Department defaults on its insurance obligations under the Contract of Insurance, there could be delay in payment to the Holders of the Bonds.

LIMITED OBLIGATIONS

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

MANAGEMENT'S FORECAST

Management's financial forecast contained in the Financial Feasibility Study included in APPENDIX C hereto is based upon assumptions made by the management of the Borrowers. As stated in such financial forecast, there will usually be differences between the forecasted and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. In addition, the financial forecast is only for the five years ending December 31, 2026, and consequently does not cover the whole period during which the Bonds may be outstanding. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX C hereto.

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTEE CAN BE MADE THAT MANAGEMENT'S FINANCIAL FORECAST IN THE FINANCIAL FEASIBILITY STUDY WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY UNCONTROLLABLE FACTORS, INCLUDING BUT NOT LIMITED TO INCREASED COSTS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE RELATIONS, TAXES, GOVERNMENTAL CONTROLS, CHANGES IN APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE SENIOR CARE AND HOUSING AND HEALTH CARE INDUSTRIES, AND GENERAL ECONOMIC CONDITIONS.

STATE BOND INSURANCE

Because the principal and interest payments on the Bonds to the Trustee (but not payments from the Trustee to the holders of the Bonds) will be insured by the Department, if the principal and interest payments on the Bonds are not made when due by the Borrowers, such payments would be made by the Department from the HFCLIF. The last actuarial study of HFCLIF obtained by the Department was as of June 30, 2020, and indicated that the HFCLIF could be depleted prior to the final maturity date of the Bonds in the event a 10% probability of catastrophic loss was assumed. The 2020 Actuarial Study is available at the website of the

Department. *See* “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Department, the Insurance Program and the Insurance Fund.”

To the extent the HFCLIF reserves are depleted and subject to the requirements of the Insurance Law, the Department shall request the Treasurer to issue debentures which are fully and unconditionally guaranteed as to principal and interest by the State in an amount equal to the then outstanding principal amount of the Bonds. Accordingly, any decline in the State’s fiscal condition could adversely affect the State’s ability to make payment on debentures in the event of a claim on such insurance. *See* “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE.”

In addition, over certain time periods, deterioration in the State’s budget and cash situation may cause the nationally recognized rating services to reduce the State’s credit ratings. S&P Global Ratings, the rating agency for the Bonds, has indicated that it rates the Department’s insured bonds on par with the rating of the State’s general obligation bonds and that any rating action affecting the State will directly affect the rating on the Insurance Program. Therefore, any decline in the State’s fiscal condition could adversely affect the rating on the Bonds. *See* “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Department, the Insurance Program and the Insurance Fund.” *See also* “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATING.”

COVID-19 PANDEMIC

General. The COVID-19 outbreak was declared a global pandemic by the World Health Organization, and a national emergency by the United States federal government, in March 2020. The COVID-19 pandemic has had, and continues to have, numerous and varied medical, economic, and social impacts, any and all of which may adversely affect the Borrowers’ business and financial condition. It is generally expected that the overall impact of the COVID-19 pandemic on the U.S. economy will continue to be broad based and materially adverse.

National, state, and local authorities have taken, and may continue to take, various actions, including the passage of laws and regulations, on a wide array of topics, in an attempt to curtail the spread of the virus, to avoid overwhelming the health care system, and to address the health and economic consequences of the pandemic. These governmental actions have caused substantial changes to the way health care is provided and how society in general functions and may have long-term consequences for the way health care services are provided. Although COVID-19 vaccines are being administered in the U.S., it is impossible to predict what percentage of the population will ultimately be vaccinated, the duration of vaccine protection, and whether current vaccines will protect against new COVID-19 variants, which continue to emerge. Accordingly, it is not clear how long public health safety measures, temporary or permanent, will remain in place or whether any new measures will be required. The continued spread of COVID-19 and containment and mitigation efforts could have a material adverse effect on the operations of the Borrowers and on state, national, and global economies.

Intermittent surges in COVID-19 cases and hospitalizations have been occurring throughout the United States. In response to the continued spread of COVID-19, President Biden announced a COVID-19 Action Plan that, among other things, requires vaccination for health care workers in hospitals, skilled nursing facilities, home health agencies, and other institutions that receive Medicare or Medicaid reimbursement. Failure to comply with applicable

vaccination mandates may result in various penalties, including civil monetary penalties, denial of payment for new admissions, or termination from the Medicare or Medicaid programs. Compliance with vaccination or testing mandates may increase operating costs or affect the Borrowers' ability to recruit and retain employees. See "ENVIRONMENTAL, OCCUPATIONAL, AND OTHER HEALTH AND SAFETY MATTERS" below for more information regarding the current status of federal vaccination mandates.

Senior living has been among the hardest hit industries during the COVID-19 pandemic because the disease has particularly affected adults 65 years old and older according to the Centers for Disease Control and Prevention. The COVID-19 pandemic or another highly infectious disease outbreak may affect the operations and revenues of senior living facility operations in various ways, including but not limited to: (1) reputational damage, (2) a quarantine, (3) a temporary shutdown or restriction on admitting new residents, (4) supply shortages, (5) professional or non-professional staff shortages or illness, or (6) failure to achieve and maintain occupancy or turnover due to potential residents choosing to defer or avoid senior care residential settings and existing residents opting to leave their senior care community. Governmental and private responses to the COVID-19 pandemic and resulting economic conditions may also directly or indirectly affect a senior living facility's operations and revenues. For example, domestic or foreign governmental responses or commercial business responses to the COVID-19 pandemic or another highly infectious disease outbreak, such as shelter-in-place orders, sick-leave mandates or remote work policies, could (1) disrupt the production or supply of medical supplies or increase the costs of such products, (2) result in third-party payor reimbursement delays, (3) increase employee sick-leave expenses or other employee costs, or (4) otherwise materially adversely impact a senior living facility's business in ways that are difficult to predict at this time. The extent to which business interruption insurance would be available in connection with any events resulting from the COVID-19 pandemic is dependent upon the specific facts of the events, and there can be no assurance that adequate business interruption insurance would be available to cover such losses.

The full impact of the COVID-19 pandemic on the operations and financial condition of the Borrowers cannot be fully determined at this time due to the evolving nature of the COVID-19 pandemic, including uncertainties relating to its duration and severity, new variants, and the future actions of governmental authorities to contain or mitigate its impact, though such effect could be material and adverse. Accordingly, there can be no assurances that COVID-19 (or a future pandemic or other public health crisis) will not result in material adverse consequences to the operations or financial condition of the Borrowers. See APPENDIX A—"INFORMATION CONCERNING NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. DOING BUSINESS AS CARMEL VALLEY MANOR—RESPONSE TO COVID-19."

COVID-19 Relief Funds. A variety of federal efforts have been initiated in response to the economic disruption caused by the COVID-19 pandemic, including a series of federal relief packages to address the COVID-19 crisis, including (1) the Coronavirus Preparedness and Response Supplemental Appropriations Act of 2020, (2) the Families First Coronavirus Response Act, (3) the Coronavirus Aid, Relief, and Economic Security Act, (4) the Paycheck Protection Program and Health Care Enhancement Act, (5) the coronavirus response and relief portions of the Consolidated Appropriations Act, 2021, and (6) the American Rescue Plan Act (collectively, the "*COVID-19 Relief Acts*"). The COVID-19 Relief Acts were largely designed to help fund COVID-19 testing, tracing, and treatment and to provide economic relief and other

support for individuals and businesses, including health care facilities and providers. COVID-19 Relief Act measures that may alleviate some of the financial strain caused by the COVID-19 pandemic include, among others: (1) a \$178 billion “Public Health and Social Services Emergency Fund” to reimburse eligible health care providers for “health care related expenses or lost revenues that are attributable to coronavirus” (“*Provider Relief Fund*”), (2) various policy changes that temporarily boost Medicare and Medicaid reimbursement or provide for additional flexibility in patient care during the COVID-19 emergency period, (3) increased funding for COVID-19 testing, tracing and treatment, (4) direct cash payments to most Americans, (5) increased and extended unemployment benefits, and (6) aid to state and local governments. The timing, adequacy, and other ultimate effects of any current or future federal or state stimulus or relief programs on the Borrowers, or on the economy generally, cannot be predicted at this time. Although the federal government may consider future COVID-19 emergency response and relief legislation, the content and passage of any such legislation is uncertain.

The acceptance of funds from certain COVID-19 Relief Act programs, such as Provider Relief Funds, is conditioned on eligibility and the acceptance of terms and conditions and may be subject to other guidelines or requirements that may change from time to time. Additional guidance or clarification concerning COVID-19 Relief Act programs, including reporting, recordkeeping, and repayment requirements, may be announced from time to time and is subject to change. Failure to comply with COVID-19 Relief Act program guidelines or requirements could result in recoupment, liability under the federal False Claims Act, or other penalty or sanction. See APPENDIX A—“INFORMATION CONCERNING NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. DOING BUSINESS AS CARMEL VALLEY MANOR—FINANCIAL INFORMATION—Management’s Discussion and Analysis of Operations” for a discussion of COVID-19 Relief Act funds obtained by the Borrowers to date.

GENERAL ECONOMIC CONDITIONS AND FINANCIAL MARKET DISRUPTION

The U.S. economy is unpredictable. Economic downturns and other unfavorable economic conditions have previously impacted the health care and senior care industries and health care and senior care providers’ business and financial condition. Also, as described above, the COVID-19 pandemic has, and continues to, adversely impact the U.S. economy. If general economic conditions worsen, the Borrowers may not be able to sustain future revenue levels, and its liquidity and ability to repay outstanding debt, including debt service on the Bonds, may be adversely affected. Broad economic factors—such as inflation, unemployment, instabilities in consumer spending, or instabilities in the housing market—could adversely affect the Borrowers’ business and their ability to collect outstanding receivables. Other economic conditions that from time to time may adversely affect the Borrowers’ revenues and expenses, and, consequently, their ability to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), include but are not limited to: (1) an inability to access financial markets on acceptable terms at a desired time or increased borrowing costs, (2) significant investment portfolio losses, (3) increased business failures and consumer and business bankruptcies, (4) federal and state budget challenges resulting in reduced or delayed federal health care program (*e.g.*, Medicare) reimbursement or pension benefit cuts, (5) a reduction in the demand for health care or senior living services, (6) increases in lawsuits or increased insurance expenses, (7) a shortage of professional and non-professional personnel or medical supplies, (8) inflation and increased operating costs, (9) a reduction in the receipt of grants and charitable contributions, or (10) increased competition from other senior care communities.

Future financial market disruptions cannot be predicted and there can be no assurance that future financial disruptions will not materially or adversely affect the operations and financial condition of the Borrowers. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX C hereto.

Like the rest of the country, the senior living industry has recently experienced significant increases in costs of food and energy, in addition to associated wage and salary pressures. Many of these costs increases do not appear to be COVID-19 related. The Borrowers anticipate that inflation, particularly in wages, food, and energy prices, will continue for the foreseeable future. The Manor is permitted under its residency agreements to increase monthly service fees, but its ability to do so to cover these inflationary costs may be limited by competition and other factors. The inability of the Manor to increase fees and charges to keep pace with inflation could adversely affect the financial condition and results of operations of the Borrowers.

UNCERTAINTY OF REVENUES

Although the Borrowers expect that revenues will be adequate to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), a number of factors could decrease revenues. Future economic and other conditions, including those summarized above under "GENERAL ECONOMIC CONDITIONS AND FINANCIAL MARKET DISRUPTION", may adversely affect revenues and, consequently, the Borrowers' ability to make payments under the Loan Agreement.

The principal and interest payments on the Bonds will be insured by the Department. The Authority has no control, financial or otherwise, over the Department. If the Borrowers were to default in making Loan Repayments under the Loan Agreement and the Department were to default on its insurance obligations under the Contract of Insurance, there could be insufficient funds available to pay the Holders of the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM," "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE," and "BONDHOLDERS' RISKS—State Bond Insurance."

FAILURE TO ACHIEVE AND MAINTAIN OCCUPANCY AND TURNOVER

The ability of the Borrowers to generate sufficient revenues depends in large part on the Borrowers' ability to attract sufficient numbers of residents to the Community in order to maintain substantial occupancy and turnover of occupancy throughout the term of the Bonds. Because occupancy and turnover at the Community depends upon factors outside the Borrowers' control, such as residents' rights to terminate their contracts with the Borrowers or residents' financial condition, the Borrowers must rely on various assumptions about the Borrowers' residents and the market for their services. Where such assumptions prove to be wrong, the Borrowers' revenue will be affected. For example, the Borrowers' receipt of additional entrance fees or monthly fees could be impaired by the survival of a substantial number of residents beyond assumed life expectancies, fewer permanent transfers to the Borrowers' assisted living or skilled nursing facility than anticipated, or a market-induced reduction in the amount of or deferral of the entrance fees or monthly fees payable by new residents. Revenues would also be impaired if the Borrowers is unable to remarket units as they become available. If the Borrowers' operations fail to maintain occupancy levels and remarket residential living units and assisted living units as they become available, or if there is a reduction in the amount of entrance

fees or monthly fees received, the Borrowers may lack sufficient funds to pay debt service on the Bonds. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX C hereto.

COMPETITION

Increased competition from a wide variety of potential sources, including but not limited to other multi-level retirement communities, assisted living communities, retirement communities, memory care communities, residential living communities, continuing care retirement communities, life care communities, life plan communities, skilled nursing facilities, nursing homes, inpatient and outpatient health care facilities, independent living communities, home health agencies and others could adversely affect the utilization and/or revenue of the Borrowers. Existing and potential competitors may not be subject to various restrictions applicable to the Borrowers, and competition may, in the future, arise from new sources not currently anticipated or prevalent. Such competition could inhibit the extent to which the Borrowers will be able to raise charges and maintain or increase admissions. There can be no assurance that additional competing facilities will not be constructed in the future or that medical and technological advances will not reduce demand for the Borrowers' programs and services. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX C hereto.

CHANGES IN CAPABILITIES OF HOME HEALTH CARE TECHNOLOGY

New and changing methods of care delivery, such as web-based home monitoring, telemedicine, mobile health, and smartphone technology will continue to rapidly change the way in which providers of health services to seniors deliver home health, home care, hospice and other community-based services. These developments will further the ability of the home health, personal care, and hospice industry to care for patients in their homes. Proliferation and the availability of technological changes are expected to increase the ability of seniors to remain in their homes longer into their lives than has historically been feasible, which could result in significantly reduced demand for senior living and care facilities. Efforts to reduce hospital readmissions and costs in the overall care continuum will further the use of these new and changing technologies. These changes may allow other companies, including hospitals and other health care organizations that are not currently providing home health, personal care, and hospice care, to expand their services to include home health care, home care, personal care, hospice care, telehealth, or similar services.

REAL ESTATE MARKETS/SALE OF PERSONAL RESIDENCES

During the term of the Bonds, prospective residents of the Community may have difficulty selling their current homes due to national and local economic conditions impairing the sale of residential real estate and, as a consequence, may not have sufficient assets to pay entrance fees and monthly service fees. This could cause a delay in scheduled occupancy of the Community or the remarketing of vacated units, or a reduction in the amount or deferral of the entrance fees or monthly service fees payable, all of which would have an adverse effect on the revenue of the Borrowers.

FIXED INCOME OF THE ELDERLY

A large percentage of the monthly income of residents and prospective residents of the Community is fixed income derived from pensions and Social Security. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, many residents may have difficulty paying or may be unable to pay such increased fees. Alternatively, any decrease in the amounts paid by a resident's fixed income sources could affect such resident's ability to meet financial obligations. The Borrowers' inability to collect the full amount of residents' payment obligations may adversely affect the ability of the Borrowers to make payments with respect to the Bonds.

REDUCED DEMAND

Several factors could, if present, affect demand for services of the Borrowers, including: (i) efforts by insurers and governmental agencies to reduce utilization of assisted living, skilled nursing and long-term care facilities by means such as preventative medicine and home health programs; (ii) increased consumer demand for services at home; (iii) advances in scientific and medical technology; (iv) a decline in the population or a change in the age composition of the population; (v) a decline in the economic conditions of the service area of the Community; (vi) an increase in premiums or other disruption in the long-term care insurance market, causing fewer prospective residents to consider the Community as a retirement option; (vii) governmental, commercial and individual responses to the COVID-19 pandemic or other infectious disease outbreak; and (viii) general disruptions in the health care, long-term care or insurance markets resulting from health care reform efforts or otherwise. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein. See APPENDIX C hereto.**

FINANCIAL ASSISTANCE AND OBLIGATION TO RESIDENTS

The Manor only enters into residency agreements with residents whom it judges to be creditworthy. The Manor may provide, but does not guarantee, financial assistance to residents unable to pay the monthly service fees by reasons of circumstances beyond their control and through no fault of their own. Additionally, the Manor may elect, in its sole discretion, to provide the resident with a credit against all or a portion of the monthly service fees due. Established criteria will determine an individual's eligibility for the subsidy or credit, and the application and review process will be administered by the Manor. The Manor is required by applicable law relating to its status as an organization described under Section 501(c)(3) of the Code to maintain a policy of generally not requiring residents to leave its facilities because of the inability to pay, provided they did not transfer their assets for less than fair market value or otherwise compromise their own financial condition, and to the extent that the Manor can subsidize residents without jeopardizing its own financially sound operations. The Manor has stated that it expects to maintain such a policy. Such requirement and policy may require the Manor in the future to provide increased financial assistance or absorb greater operating losses. There may be circumstances, however, under which the requirements for greater financial assistance may have a material adverse effect on the financial condition of the Borrowers.

DISCOUNTING OR REFUNDING OF ENTRANCE FEES

The Borrowers may feel compelled to offer discounts to entrance fees in the future to achieve desired levels of occupancy of the Community. Certain assumptions regarding the operations of the Community will be directly affected by the discounting of initial entrance fees. Discounting of entrance fees could significantly affect the cash flow of the Borrowers and the Borrowers' ability to redeem the Bonds. Additionally, under certain circumstances, the Manor is obligated to refund a resident's entrance fee. The payment of such refunds could adversely affect the Borrowers' ability to make payments required by the Loan Agreement.

LONG TERM CARE INSURANCE

Some Community residents may use long-term care insurance to help cover their costs of care. If long-term care insurance premiums rise, or residents otherwise lose their long-term care insurance coverage due to insurance market disruptions or reforms, such residents may have difficulty meeting their financial obligations. The Borrowers' inability to collect the full amount of residents' payment obligations may adversely affect the ability of the Borrowers to make payments with respect to the Bonds. The potential for reduced reimbursement rates from government payors (e.g., Medicare) is discussed in detail below under the heading "FEDERAL AND STATE REGULATIONS—*Federal Health Care Program Reimbursement Cuts and Delays.*"

CONSTRUCTION RISKS

There can be no assurances given that the Project will be completed or that it can be completed for the cost and within the time as set forth in this Official Statement. Failure to complete the Project or to complete it in a timely fashion at the estimated cost could adversely affect the ability of the Borrowers to generate sufficient revenues to continue their planned operations and to make payments with respect to the Bonds.

Whether or not the Project will be completed on schedule depends upon a large number of factors, many of which may be beyond the control of the Borrowers. These include, but are not limited to, adverse weather, strikes, delays in the delivery of or shortages of materials, tariffs on materials, supply chain disruptions, delays in the issuance of required building permits, environmental restrictions or similar unknown or unforeseeable contingencies. Further, there can be no assurance that the Project will conform to construction specifications or state or local regulations. The occurrence of any of the foregoing could result in increases in construction costs or considerable delays in, or complete impossibility of, completion of the Project, resulting in a failure to achieve anticipated operating results. Construction costs could exceed the amounts originally forecast due to a number of factors, including inflation.

LICENSING DELAY

The timeline to achieve any required licensure for the Project may be longer than expected and negatively impact occupancy levels and revenues of the Borrowers. Any delay in the licensing and full operation of the Project could result in losses in excess of those projected in the Financial Feasibility Report in APPENDIX C to this Official Statement. **The Financial**

Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein. See APPENDIX C hereto.

UNCERTAINTY OF INVESTMENT INCOME

The investment earnings of, and accumulations in, certain funds established pursuant to the Indenture have been estimated and are based on assumed interest rates. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Trustee is permitted to invest under the Indenture, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated earnings will actually be realized.

The Borrowers have significant holdings in a diversified portfolio of investments. Market fluctuations have affected and will continue to affect the value of those investments and those fluctuations may be material.

PHILANTHROPY

The Borrowers derive income from unrestricted gifts and donations to supplement operating revenues to finance operations and capital needs. See APPENDIX B—"AUDITED FINANCIAL STATEMENTS OF NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2019, 2020 AND 2021." Although Management expects gifts and donations to remain at least at current levels and to increase at a moderate rate, there can be no assurance that this revenue will not decrease, adversely affecting the financial condition of the Borrowers.

INCREASES IN COSTS OF CARE AND SERVICES

Because the Manor is obligated to provide its life care contract residents with the right to move to a higher level of care, and because the monthly fee under a life care contract does not increase based on the level of care, a deviation from the anticipated mortality rate or medical care requirements of the resident population or substantial unanticipated increases in the cost of such care could have a negative impact on the operations of the Community. The undertaking to provide such care is a contractual obligation of the Manor, and no assurance can be given that the Manor will have sufficient funds to meet its anticipated obligations. Residents are required to enroll in Medicare (Parts A, B and D) or obtain an insurance policy that the Manor considers an acceptable substitute; however, Medicare does not cover the cost of nursing home care except under certain limited circumstances (including up to 100 days of skilled nursing care following a 3-day qualifying hospital stay). In addition, the cost of providing personal care and health care services, as well as activities and programs, may increase due to increases in salaries paid to nurses and other personnel and due to shortages in personnel which may require use of registries or employment agencies. Increases in third party therapy services and other ancillary costs such as drugs and medical supplies may also increase costs.

ADDITIONAL CAPITAL REQUIREMENTS

The Borrowers' operations are capital intensive. Economic conditions such as credit market dysfunction and increased regulation of the financial industry could make it more difficult for the Borrowers to access the capital markets or to otherwise fund capital expenses through borrowings on favorable terms and conditions. Any such limitation could result in delayed or deferred capital expenditures that could be integral to the operations of the Borrowers.

LABOR COSTS AND RELATIONS

The Borrowers cannot control the prevailing or required minimum wage rates in their service area and any increase in such rates will directly affect the costs of its operations. Effective January 1, 2022, California's minimum wage is \$15 per hour for employers with 26 or more employees, among the highest in the country. Management has examined the effect of California's minimum wage law and does not anticipate that such minimum wage increases will have a material adverse effect on the financial condition of the Borrowers.

The Borrowers' workforce includes professional, quasi-professional, technical, clerical, housekeeping, maintenance, dietary and other types of workers. As with all employers, the Borrowers bear a wide variety of risks in connection with these employees. These risks include strikes and other related work actions, contract disputes, difficulties in recruitment or retention, discrimination claims, personal tort actions, work-related injuries, exposure to hazardous materials, interpersonal torts, risks related to benefit plans, and other risks that may flow from the relationships between employer and employee or between residents and employees. Certain of these risks are not covered by insurance, and certain of them cannot be anticipated or prevented in advance. Such risks, alone or in combination, could have material adverse consequences to the financial condition or operations of the Borrowers.

Employees subject to collective bargaining agreements may include essential nursing and technical personnel, as well as food service, maintenance, and other personnel. Renegotiation of collective bargaining agreements upon expiration may result in significant cost increases. Employee strikes or other adverse labor actions may have an adverse impact on operations, revenue, and facility reputation. Presently, none of the Borrowers' employees are represented by labor unions, and Management is not aware of any efforts to organize employees into any collective bargaining groups.

NATIONWIDE STAFFING SHORTAGE IN SENIOR LIVING FACILITIES

The health care and senior care industries have historically experienced regular turnover in certain health care and dietary personnel, particularly, nurses, nurses' aides, dietary staff and certain housekeeping positions. Ongoing nationwide staffing shortages in senior living facilities at both the professional and non-professional levels predate the COVID-19 pandemic, forcing many such facilities to reduce admissions, rely on overtime shifts and hire staff through outside staffing agencies. A poll by the American Health Care Association and the National Center for Assisted Living (AHCA/NCAL) found that 99% of skilled nursing facilities and 96% of assisted living communities are facing some degree of staff shortages. These shortages are tied to limited numbers of interested and qualified candidates. Such shortages may result in increased costs and lost revenues from time to time due to the need to hire temporary nursing or other personnel at

higher rates and increased compensation levels, and the inability to use otherwise available beds as a result of staffing shortages. Such increased costs and lost revenues could adversely affect the operations or financial condition of the Borrowers. There can be no assurance that the Borrowers will be able to attract enough full- and part-time employees to meet its staffing needs. The ability to maintain adequate staffing may be complicated by COVID-19 vaccination mandates imposed by private employees or governmental agencies. See also, “ENVIRONMENTAL, OCCUPATIONAL, AND OTHER HEALTH AND SAFETY MATTERS” below.

GENERAL RISKS OF SENIOR LIVING FACILITIES

There are many diverse factors not within the Borrowers’ control that have a substantial bearing on the risks generally incident to the operation of the Facilities. These factors include generally imposed fiscal policies, adverse use of adjacent or neighboring real estate, the ability to maintain the Facilities, community acceptance of the Facilities, changes in demand for long-term care services, changes in the number of competing facilities, changes in the costs of operation of the Facilities, changes in the laws of the State affecting long term care programs, the limited income of the elderly, changes in the long term care and health care industries, difficulties in or restrictions on the Borrowers’ ability to raise rates charged, general economic conditions and the availability of working capital. In recent years, a significant number of long term care facilities throughout the United States have defaulted on various financing obligations or otherwise have failed to perform as originally expected. There can be no assurance that the Facilities will not experience one or more of the adverse factors that caused other facilities to fail. Many other factors may adversely affect the operation of facilities like the Facilities and cannot be determined at this time.

PROFESSIONAL LIABILITY CLAIMS AND LIABILITY INSURANCE

In recent years, the number of professional and general liability suits and the dollar amounts of damage recoveries has increased nationwide in the health care and senior care industries, resulting in substantial increases in malpractice insurance premiums, higher deductibles and generally less coverage. Professional liability and other actions alleging wrongful conduct and seeking punitive damages are often filed against health care providers. Insurance does not provide coverage for judgments for punitive damages. Insurers are mandating lower amounts of coverage, requiring greater deductibles, and charging more in premiums. Policies issued may not be renewed or renewable. It is not possible at this time to determine either the extent to which malpractice coverage will continue to be available to the Borrowers or the premiums at which such coverage can be obtained. Although the Borrowers currently carry excess professional liability and general liability insurance, as well as an umbrella policy, that Management considers adequate, the Borrowers are unable to predict the availability, cost or adequacy of such insurance in the future.

FEDERAL AND STATE REGULATIONS

Changes in Law and Policies. Health care providers are subject to federal, state and local laws and regulations, and sanctions imposed under or changes to such laws or regulations could adversely affect the operations or financial results of the Borrowers. Further reductions in federal and state funding of health care below levels authorized by present law can be expected. Licensing and certification requirements are subject to change, and there can be no assurance

that the Borrowers will be able to maintain all necessary licenses or certifications, or that they will not incur substantial costs in doing so. Both federal and state regulation relating to nursing care and the payment thereof have been subject to change in the past, and future change can be expected. The effect of such changes may materially adversely affect the operations and financial condition of the Borrowers. In attempts to limit federal and state expenditures, there have been, and Management expects that there will continue to be, a number of proposals to limit federal health care program payments, including those for care provided by nursing facilities. Previous federal changes included limitations on payments to nursing facilities under the Medicare and Medicaid programs and an increased emphasis on cost control. The methods of determining the amount and availability of payments under the Medicaid programs have been subject to a variety of significant changes in the past, and future changes can be expected to occur.

Federal Health Care Program Reimbursement Cuts and Delays. Medicare and Medicaid are the commonly used names for reimbursement or payment programs governed by certain provisions of the federal Social Security Act. Medicare is an exclusively federal program and Medicaid is a combined federal and state program. Medicare provides certain health care benefits to beneficiaries who are 65 years of age or older, are disabled, or qualify for the End Stage Renal Disease Program. Medicare Part A covers inpatient hospital services, up to 100 days of certain post-hospital skilled nursing and rehabilitative services, and certain other services, and Medicare Part B covers outpatient services, physician services, medical supplies and durable medical equipment. Medicare Part D provides a prescription drug benefit. Medicaid is designed to pay providers for care given to the medically indigent and others who receive federal aid. Medicaid is funded by federal and state appropriations and administered by the applicable state. The Centers for Medicare & Medicaid Services (“CMS”), an agency of the United States Department of Health & Human Services, administers the Medicare program and works with the states to administer the Medicaid program, as well as other health care programs. Under such programs, participating providers are subject to various regulatory requirements relating thereto, including without limitation limits on reimbursement, anti-fraud and abuse provisions, restrictions on referrals, and various reporting requirements. The participation in any such programs could affect the Borrowers’ operations.

Although the Community is certified to accept Medicare reimbursement, the Borrowers are minimally dependent upon Medicare reimbursement. For the fiscal years ended December 31, 2020 and 2021, Medicare payments represented approximately 0.37% and 0.3%, respectively, of the Borrowers’ net revenues. The Community is not certified to accept reimbursement from Medi-Cal, California’s Medicaid program.

Due to health care reform as well as continuing political and financial pressures, the legal and regulatory environment surrounding the federal health care programs has been changing and is expected to continue to change. Future changes to the federal health care programs may alter program features including: (1) services eligible for payment; (2) rates of payment; (3) eligibility requirements to participate or qualify for different levels of payment/reimbursement; (4) consequences of violations; (5) rates and requirements relating to additional payments unrelated to services offered to patients; (6) guidelines relating to interactions between the participating health care providers, third party payors and the federal and state governments; and (7) payment methodologies.

The federal and state governments have in the past, and may in the future, make changes to their respective budgets, which budget reductions may include reductions to the federal health care programs. Federal or state budget authorization delays or other challenges may cause federal health care program reimbursements to be paid late. While it is uncertain whether future federal budgets will result in a decrease in such revenue, any reduction thereof could have an adverse impact on the revenues of the Borrowers and the ability to pay the debt service of the Bonds.

Medicare. Unless a specific waiver or pilot program applies, skilled nursing facility (“SNF”) services are covered by the Medicare program only if the patient spends at least three consecutive days as a hospital inpatient for a related condition prior to admission to the SNF and if the patient was admitted to the SNF within 30 days of discharge from a qualifying hospital stay. Medicare Part A reimburses for such post hospital inpatient nursing services provided by the SNF for up to 100 days for each spell of illness, subject to coinsurance and deductible payments from the patient.

Medicare reimburses SNFs pursuant to a prospective payment system (“PPS”). Historically, Medicare PPS payments to SNFs were based upon certain resource utilization group (“RUG”) per diem payment rates developed by CMS that provided various levels of reimbursement based upon a patient case-mix classification system. Pursuant to the FY 2019 Skilled Nursing Facility PPS final payment rules (“2019 SNF PPS Rules”), effective October 1, 2019 the RUG payment methodology was replaced with a revised payment methodology called the “SNF Patient-Driven Payment Model” (“PDPM”). Reimbursement under the PDPM is now determined based on ICD-10 diagnosis codes and patient characteristics and adjusted based on the services rendered in order to account for varying costs throughout the stay. Per CMS, the goals of the PDPM are to tie payment to patient conditions and needs rather than the volume of services and to reduce provider paperwork burdens. There is no assurance that Medicare PPS payments will be sufficient to cover a SNF’s costs. Additionally, Management cannot predict with any reasonable degree of certainty or reliability the nature of any changes to the PDPM payment model or the ultimate effects of any such revised PDPM payment model on the Borrowers’ operations or financial condition, though revenues may be negatively affected.

The 2019 SNF PPS Rules also finalized updates to the SNF Value-Based Purchasing Program (“SNF VBP Program”) and SNF Quality Reporting Program (“SNF QRP”). The SNF VBP Program either positively or negatively adjusts a SNF’s reimbursement payments based on its performance on the program’s hospital readmission measure. Under the SNF QRP, SNFs that fail to submit the required quality data to CMS will be subject to a 2% reduction in the otherwise applicable annual market basket percentage update with respect to that fiscal year. Management cannot predict the Borrowers’ performance under these programs or the corresponding effects on the Borrowers’ operations or financial condition. See also “*Industry Trend Toward Alternative Payment Models*” below.

Health Care Reform. The Patient Protection and Affordable Care Act of 2010 and the Health Care and Education Affordability Reconciliation Act of 2010 (collectively referred to as the “ACA”) have significantly changed the United States health care delivery system, addressing almost all aspects of health facility and provider operations, including the delivery of health care services, the financing of health care costs, health care provider reimbursement and the legal obligations of health care providers, insurers, employers and consumers. Key changes include

cost containment measures, including new payment models which may result in lower health care provider reimbursement and utilization changes; quality improvement and clinical integration initiatives; fraud and abuse enforcement enhancements; health insurance market reforms; and Medicaid expansion. Additionally, the ACA includes a number of initiatives that impact skilled nursing facility reimbursement. Each of these ACA initiatives has required health care providers to assess, and potentially alter, their business strategy and practices. While the ACA may result in many providers receiving reduced payments for care, millions of previously uninsured Americans have obtained health insurance coverage as a result of the ACA. There is no assurance that federal payments made as a result of reimbursement reform measures will be sufficient to cover the Borrowers' skilled nursing facility costs.

Due to the controversial nature of health care reform generally, implementation of the ACA has been, and remains, politically controversial. Since its enactment, the ACA has faced a stream of opposition from Republican lawmakers calling for its repeal and/or replacement, along with a string of lawsuits challenging various aspects of the law. To date, the ACA has survived several major Supreme Court challenges and no bills wholly repealing the ACA have passed both chambers of Congress. However, the Tax Cuts and Jobs Act of 2017 effectively eliminated a key provision of the ACA – a tax penalty associated with failing to maintain health coverage by reducing the penalty to zero dollars effective 2019. New legal or legislative challenges to the ACA may occur in the future. In addition to actual and possible legislative changes or legal challenges, executive branch actions and policies could impact the viability of the ACA. President Biden has taken, and is expected to continue to undertake, executive actions that will strengthen and build on the ACA and may reverse certain policies of the prior administration that are seen as undermining the ACA.

Management cannot predict the likelihood or subsequent effect of any future health care reform bills, or the likelihood or subsequent effect of any future legal, legislative or executive challenge to the ACA, though such effects could materially impact the Borrowers' business or financial condition. In particular, a repeal or replacement of the ACA could directly affect the Borrowers in various ways, including affecting (1) the health insurance coverage and costs provided by the Borrowers to its employees, (2) federal health care program reimbursement, (3) the costs to residents of services provided by the Borrowers, and (4) the willingness of prospective residents to consider the Community as a retirement option. Additionally, any legal, legislative or executive action that significantly changes or disrupts the health care, senior care, or health insurance industries, generally, could have a material adverse effect on the Borrowers' business or financial condition.

Industry Trend Toward Alternative Payment Models. It is generally expected that alternative payment models that condition reimbursement on patient outcome measures (such as the SNF VBP Program discussed above) will become more common and involve a higher percentage of reimbursement amounts. As discussed above, the ACA contains a number of health care delivery reform measures intended to promote value-based purchasing in the federal health care programs and commercial third-party payors are increasingly implementing value-based purchasing and other alternative payment models. This rapid volume-to-value reimbursement shift within the health care industry could present financial challenges for the Borrowers and the employed or contracted clinicians with whom the Borrowers partner to deliver care, particularly to the extent they are unable to meet targeted measures.

Federal and State Fraud and Abuse Laws. Certain federal laws, including the laws commonly known as the Anti-Kickback Statute, the Stark Law and the False Claims Act, seek to protect the federal health care programs from fraud and abuse (collectively, the “*Federal Healthcare Fraud Laws*”). The Federal Healthcare Fraud Laws are complex, heavily enforced and subject to frequent amendment. Violation of the Federal Healthcare Fraud Laws may result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability. In addition, *qui tam* or “whistleblower” provisions of the False Claims Act allow private individuals to bring actions on behalf of the government.

Additionally, a number of states, including California, have passed healthcare fraud and abuse laws similar to or broader in scope than the Federal Healthcare Fraud Laws. For example, the California Insurance Code provides that a person who submits a fraudulent claim to an insurance company (including private insurers) is subject to significant civil fines and penalties. Similar to the federal False Claims Act, actions under this California Insurance Code section may be initiated by private parties. Violation of state fraud and abuse laws may also result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability.

Although the Borrowers have a compliance program designed to help ensure material compliance with laws, rules and regulations affecting the health care industry, including the Federal Healthcare Fraud Laws and similar state laws, these policies and procedures may not be wholly effective. If the Borrowers are alleged or found to have violated such laws, rules or regulations or if government health care program payments are suspended due to an allegation of fraud, the Borrowers’ operations and financial condition could be materially adversely affected. At the present time, Management is not aware of any pending or threatened claims, investigations or enforcement actions regarding any applicable federal or state statutes which, if determined adversely to the Borrowers, would have a material adverse effect on the financial condition of the Borrowers.

Billing Practices. Medicare requires that extensive financial information be reported on a periodic basis and in a specific format or content. These requirements are numerous, technical and complex and may not be fully understood or implemented by billing or reporting personnel. With respect to certain types of required information, the False Claims Act may be violated by mere negligence or recklessness in the submission of information to the government even without any specific intent to defraud. New billing systems, new medical procedures and procedures for which there is not clear guidance may all result in liability. Medicare providers are subject to various government reviews, audits and investigations to verify compliance with applicable payment laws and regulations. Government audit contractors conduct extensive reviews of claims data to evaluate appropriateness of claims submitted for payment and may identify overpayments based on coverage requirements, billing and coding rules or other risk areas. Typically, such contractors can also refer suspected violations of law to government authorities. Adverse determinations from such audits, review and investigations can result in criminal or civil liability and may include, for serious or repeated violations, exclusion from participation in the Medicare program. While Management believes that the Borrowers’ billing practices are consistent with Medicare criteria, those criteria are often vague and subject to interpretation and there can be no assurance that the Borrowers will not be audited or that they will not be required to reimburse the Medicare program for alleged overpayments. The

Borrowers cannot predict whether any such recoupment would adversely affect the business of the Borrowers.

Federal and State Privacy Laws. Specific state and federal laws govern the use and disclosure of confidential patient health information, as well as patients' rights to access and amend their own health information. The Administrative Simplification Requirements of the Health Insurance Portability and Accountability Act of 1996 ("*HIPAA*") established national standards to facilitate the electronic exchange of Protected Health Information ("*PHI*") and to maintain the privacy and security of the PHI. These standards have a major effect on health care providers which transmit PHI in electronic form in connection with HIPAA standard transactions (e.g., health care claims). In particular, HIPAA established standards governing: (1) electronic transactions and code sets; (2) privacy; (3) security; and (4) national identifiers.

In 2009, HIPAA was amended by the Health Information Technology for Economic and Clinical Health ("*HITECH*") Act to impose certain of the HIPAA privacy and security requirements directly upon business associates of covered entities and significantly increase the monetary penalties for violations of HIPAA. Regulations that took effect in late 2009 also require business associates to notify covered entities, who in turn must notify affected individuals and government authorities, of data security breaches involving unsecured PHI. Since the passage of the HITECH Act, enforcement of HIPAA violations has increased.

Two state medical information privacy laws expand California's health care privacy standards and provided new oversight mechanisms and enforcement penalties. These state privacy laws, among other things, penalize unlawful access, use or disclosure of a patient's health care information. State consumer privacy laws may also provide the basis for legal action for privacy and security breaches and, unlike HIPAA, authorize a private right of action. The state privacy laws provide additional sources of potential legal liability for the Borrowers and compliance with such laws may require the Borrowers to incur additional costs.

The Borrowers have developed policies, procedures and practices that Management believes address federal and state privacy and security laws and regulations, but if it was determined that the Borrowers were not in compliance with such law and regulations, criminal and civil penalties could be imposed.

STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS

The operations of the Borrowers are subject to numerous licensing, certification, accreditation and other governmental requirements that are administered by a variety of federal and state governmental agencies as well as by self-regulatory associations and commercial medical insurance reimbursement programs. These include, but are not limited to, requirements relating to Medicare participation and payment and requirements relating to state licensing agencies, private payors and accreditation organizations. Renewal and continuance of certain of these licenses, certifications, accreditations, and approvals are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Borrowers. An adverse determination could result in a loss, fine or reduction in the Borrowers' scope of licensure, certification or accreditation, could adversely affect the Borrowers' ability to undertake certain expenditures, or could reduce the payment received or require the repayment of the amounts previously remitted. The Borrowers currently anticipate

no difficulty in renewing or continuing currently-held licenses, certifications, and accreditations. It is impossible, however, to predict the effect of future regulation on the operations or financial condition of the Borrowers.

Senior living providers may be subject to increased state inspection and survey activity due to the COVID-19 pandemic. In response to the COVID-19 pandemic, CMS has initiated a performance-based funding requirement tied to CARES Act funding for state surveying agencies. Accordingly, skilled nursing providers will likely be subject to increased state inspection and survey activity. CMS has also increased civil monetary penalties relating to SNF infection control deficiencies.

State Regulation of the Community. The Manor operates the Community as a life care retirement community (“CCRC”) consisting of a residential care facility licensed as a Residential Care Facility for the Elderly (“RCFE”) by the California Department of Social Services (“DSS”) and a health facility licensed as a SNF by the California Department of Public Health (“DPH”). If the Manor fails to meet any of the below described state statutory or regulatory requirements with respect to CCRCs, RCFEs or SNFs, the Community could become unable to operate as described herein and, consequently, the Borrowers could be unable to meet debt service requirements on the Bonds.

An agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the payment of periodic charges is regarded as a “continuing care contract” subject to rules and regulations under the California Health and Safety Code (“*Health and Safety Code*”). Any facility entering into such continuing care contracts in the state of California are considered CCRCs which must obtain: (i) a license to operate a RCFE from the DSS, (ii) where there is a SNF on the premises, a license to operate a SNF from the DPH, and (iii) a certificate of authority (“*Certificate of Authority*”) from DSS to enter into continuing care contracts with residents.

A “life care contract” is a continuing care contract that also includes a promise, expressed or implied, to provide or pay for routine services at all levels of care, including acute care and the services of physicians and surgeons, to the extent not covered by other public or private insurance benefits, to a resident for the duration of his or her life. Under a life care contract, care must be provided in a continuing care retirement community having a comprehensive continuum of care, including a skilled nursing facility, under the ownership and supervision of the provider on or adjacent to the premises. A change cannot be made in the monthly fee based on the level of care. A life care contract must also include provisions to subsidize residents who become financially unable to pay their monthly care fees.

RCFE and SNF Licensure. RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to suspension or revocation on any ground specified in Health and Safety Code Section 1569.50 (violation by the licensee of the RCFE law; aiding, abetting, or permitting violation of the RCFE law; conduct inimical to the health, morals, welfare, or safety of either an individual in or receiving services from the facility or the people of the State of California; the conviction of a licensee, or other person for whom criminal record clearance is required, any time before or during licensure, of a crime as defined in the RCFE law; and engaging in acts of financial malfeasance concerning operation of a facility, including, but not limited to, improper use or embezzlement of client monies and property or fraudulent

appropriation for personal gain of facility monies and property, or willful or negligent failure to provide services for the care of clients). DPH inspects SNFs approximately once a year, and facilities failing to meet the state or federal standards are subject to fines or other enforcement actions.

DPH and DSS have the ability to deny licensing if either agency is not satisfied with the Borrowers' compliance with requirements to operate as a SNF or RCFE, respectively, in the state. In addition, DPH and DSS both have broad remedial powers to intervene in the operation of a provider who fails to comply with applicable regulatory requirements once the provider is licensed and in operation.

CCRC Certificate of Authority. In addition to the licenses described above, continuing care providers are required to obtain a Certificate of Authority from DSS prior to entering into continuing care contracts with residents. A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the continuing care provider has done any of the following: (i) violated the statutes, or the rules and regulations of the Health and Safety Code governing continuing care contracts (Health and Safety Code Sections 1770 et. seq) (the "*Continuing Care Law*"); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining its licenses, permits or Certificate of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or Certificate of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or is using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law.

The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of the Certificate of Authority by a continuing care provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed. In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the continuing care provider is located. If at any time DSS determines that further efforts to rehabilitate the continuing care provider would not be in the best interest of the CCRC residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of

liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS shall revoke the continuing care provider's Certificate of Authority.

As a provider offering a continuing care contract, the Manor is required by the Continuing Care Law to maintain at all times qualifying assets ("*Qualifying Assets*") as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code (the "*Debt Service Reserve Amount*") and (b) the amount the continuing care provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code (the "*Operating Expense Reserve Amount*"). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the Manor during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the Manor; (ii) facility rental or leasehold payments, and any related payments, paid by the Manor during the immediately preceding fiscal year; and (iii) all payments paid by the Manor during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days' net operating expenses, which includes all expenses of the Manor except (1) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (2) depreciation or amortization expenses, (3) an amount equal to the reimbursement paid to the Manor during the past 12 months for services to residents other than residents holding continuing care contracts, and (4) extraordinary expenses that DSS determines may be excluded by the Manor. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. The Manor is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Manor is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts. As of December 31, 2021, the Manor was in compliance with the financial reserve requirements described above.

The Continuing Care Contracts Branch of DSS reviews each CCRC in the state at least once every three years to augment the branch's assessment of the CCRC's financial soundness. The branch considers the condition of the CCRC, whether the CCRC is operating in compliance with applicable state law, and whether the CCRC is performing the services specified in its continuing care contracts. Failure to maintain any required financial reserves or to comply with regulatory requirements may result in civil penalties or the suspension or revocation of a CCRC's Certificate of Authority. Additionally, upon certain failures to comply with regulatory requirements, including the CCRC becoming insolvent or unable to perform its contractual obligations, DSS is authorized to petition for the appointment of a court-appointed administrator to rehabilitate the CCRC. In this capacity, the administrator's powers include taking possession of the CCRC's assets and property, dealing with the property in the administrator's name, depositing and investing any of the CCRC's funds, and paying all expenses of the rehabilitation.

In the event of a permanent relocation of residents from the Community is required due to termination or forfeiture of the Manor's Certificate of Authority or licenses, certain procedures are required to be followed. These procedures include the establishment of a reserve, trust fund or performance bond in an amount sufficient to cover the cost and ensure the fulfillment the Manor's statutory obligations, which include the cost of moving residents to other communities and may include additional monetary compensation to the affected residents in certain circumstances.

The Community is subject to a statutory limitation on transfer. Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership of a CCRC without the approval of DSS, including the granting of any interest in the facility, such as a mortgage or deed of trust. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a Certificate of Authority to operate as a CCRC, a provider must also record a "Notice of Statutory Limitation of Transfer" with respect to the real property on which the facility is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the CCRC property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and certificate of authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts.

On July 25, 2016, then Governor Brown signed a bill (the "*Monning Bill*") which aims to protect CCRC residents and their estates against significant delays in the repayment of residents' entrance fees when contracts condition the repayment on the resale of CCRC units ("*Repayable Contracts*"). The Monning Bill amended the Continuing Care Law to require that unpaid entrance fee repayment amounts that remain outstanding after certain periods of time will accrue interest as provided in Section 1788.4 of the Continuing Care Law. Specifically, (i) any entrance fee repayment balance that has not been paid to the resident or the resident's estate within 180-239 days after termination of the Repayable Contract will accrue simple interest at an annual rate of 4%, (ii) any entrance fee repayment balance still outstanding at 240 days after termination of the Repayable Contract will accrue simple interest at an annual rate of 6% until repayment is made, and (iii) any entrance fee repayment not made within one year after the 240-day period will accrue interest at an annual rate of 6%, compounded annually. The Monning Bill also requires CCRCs to disclose the average and longest length of time for entrance fee repayment over the preceding 5 years. Any future state action to further regulate the conditions and timing of entrance fee refunds could negatively affect the operations and financial condition of the Borrowers. See also APPENDIX A—"INFORMATION CONCERNING NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. DOING BUSINESS AS CARMEL VALLEY MANOR—THE COMMUNITY—Residency Agreement."

The Manor has obtained the necessary RCFE and SNF licenses and CCRC Certificate of Authority from DSS and DPH in order to operate the licensed portions of the Community and, in

the opinion of Management, operates the licensed portions of the Community in a manner consistent with the Health and Safety Code. To Management's knowledge, to date the Manor's existing SNF license, RCFE license and CCRC Certificate of Authority have never been suspended, conditioned, or revoked. There is no guarantee that the Manor's licenses to operate the licensed portions of the Community will not be suspended, conditioned or revoked in the future. State laws and regulations governing CCRCs, RCFEs and SNFs are occasionally amended or reformed by the California legislature, DPH, or DSS, as applicable. There is no assurance that future legislation or regulation in California will not have an adverse impact on the ability of the Borrowers to operate the Community as now operated.

For more information regarding the types of services offered by the Borrowers at the Community, *see* APPENDIX A—"INFORMATION CONCERNING NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. DOING BUSINESS AS CARMEL VALLEY MANOR—THE COMMUNITY."

State Penalties for Significant Patient Care Events. In California, DPH is authorized to issue citations to and impose administrative remedies on SNFs that experience certain significant patient care events that violate State or federal law. In accordance with Sections 1424 and 1424.5 of the Health and Safety Code, a violation is assigned one of several citation classes based on the scope and impact of the incident on patient health and safety. Depending on the citation class, the administrative penalty for such incidents ranges from \$100 to \$100,000.

SNF Quality Assurance Fees. Certain SNFs in California are subject to "quality assurance fees" on skilled nursing services. State law, however, includes a waiver which exempts certain types of SNFs, such as SNFs that are components of CCRCs and SNFs operated by the state or another public entity, from the obligation to pay such quality assurance fees. There can be no assurance that such exemption (which, as presently in effect exempts the Community) will continue in whole or in part, and legislative proposals that contemplate modifying or terminating the scope of the quality assurance fee exemption have been discussed from time to time.

CYBERSECURITY RISKS

Cybersecurity refers to the combination of technologies, processes and procedures established to protect information technology systems and data from unauthorized access, attack, or damage. The Borrowers rely on their information systems for their business operations and to provide security for processing, transmission and storage of confidential resident and other information, including information relating to health protected by HIPAA. Although the Borrowers have taken steps to protect the security of their information systems and the data maintained in those systems, it is possible that these security measures will not prevent improper access or disclosure of personally identifiable information. Security breaches, including electronic break-ins, computer viruses, attacks by hackers and similar breaches can create system disruptions or shutdowns or the unauthorized disclosure of confidential information. Cyber-attacks (such as ransomware or malware attacks) targeting health care providers have been occurring more frequently, and in some cases, have resulted in the interruption or temporary cessation of services. If protected personal or health information of residents or others is improperly accessed, tampered with or distributed, the Borrowers may incur significant costs to remediate possible injury to the affected residents or other persons, and the Borrowers

may be subject to sanctions and civil penalties if it is found to be in violation of the privacy or security rules under HIPAA or other similar federal or state laws protecting confidential patient health information. Any failure to maintain proper functionality and security of information systems could interrupt the Borrowers' operations, damage their reputation, subject them to liability claims or regulatory penalties and could have a material adverse effect on their operations, financial condition and results of operations. Although the Borrowers have insurance against some cyber risks and attacks, it may not be sufficient to offset the impact of a material loss event.

AMENDMENTS TO THE DOCUMENTS

Certain amendments to the Indenture and the Loan Agreement may be made without the consent of the owners of the outstanding Bonds under the Indenture and certain amendments may be made with the consent of the owners of a majority of the outstanding Bonds. Certain amendments to the Deed of Trust may be made with the consent of the Department and the Manor, but without the consent of the Trustee, the Bondholders, holders of Parity Debt or the Authority. Such amendments may adversely affect the security of the Bondholders. *See* APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Amendment of Indenture."

ADDITIONAL INDEBTEDNESS

In addition to their obligations with respect to the Bonds, the Borrowers may incur other indebtedness that may be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Borrowers' obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Department or, if the Parity Debt can be issued as such without being insured under the Insurance Law, it is issued with the consent of the Department. *See* APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt."

BANKRUPTCY

In the event of bankruptcy of the Borrowers, the rights and remedies of the holders of the Bonds are subject to various provisions of the federal Bankruptcy Code. If the Borrowers were to file a petition in bankruptcy, payments made by the Borrowers during the 90-day (or perhaps one-year) period immediately preceding the filing of such petition may be voidable as preferential transfers to the extent such payments allow the recipients thereof to receive more than they would have received in the event of the Borrowers' liquidation. Security interests and other liens granted to the Trustee and perfected during such preference period also may be voided as preferential transfers to the extent such security interest or other lien secures obligations that arose prior to the date of such perfection. Such a bankruptcy filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against the Borrowers and their property and as an automatic stay of any act or proceeding to enforce a lien upon or to otherwise exercise control over its property as well as various other actions to enforce, maintain or enhance the rights of the Trustee. If the bankruptcy court so ordered, the property of the Borrowers, including accounts receivable and proceeds thereof, could be used for the financial rehabilitation of the Borrowers despite any security

interest of the Trustee therein. The rights of the Trustee to enforce its security interests and other liens it may have could be delayed during the pendency of the rehabilitation proceeding.

The Borrowers could file a plan for the adjustment of its debts in any such proceeding, which plan could include provisions modifying or altering the rights of creditors generally or any class of creditors, secured or unsecured. The plan, when confirmed by a court, binds all creditors who had notice or knowledge of the plan and, with certain exceptions, discharges all claims against the debtor to the extent provided for in the plan. No plan may be confirmed unless certain conditions are met, among which conditions are that the plan be feasible and that it shall have been accepted by each class of claims impaired thereunder. Each class of claims has accepted the plan if at least two thirds in dollar amount and more than one-half in number of the class cast votes in its favor. Even if the plan is not so accepted, it may be confirmed if the court finds that the plan is fair and equitable with respect to each class of non-accepting creditors impaired thereunder and does not discriminate unfairly.

Pursuant to the Indenture, the Department will have the right to vote in the place and stead of all owners of Bonds with respect to any plan of reorganization on any agreement for composition of creditors and on any assignment for the benefit of creditors.

RISKS RELATED TO TAX-EXEMPT STATUS

Tax-Exempt Status of the Bonds. The Code imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Bonds, to be excludable from gross income for federal income tax purposes. These requirements include, among other things, limitations on the use of bond proceeds and facilities financed with bond proceeds, limitations on the investment earnings of bond proceeds prior to expenditure, a requirement that certain investment earnings on bond proceeds be paid periodically to the United States, and a requirement that the Authority file an information report with the IRS. The Authority, the Borrowers and the Trustee have covenanted to comply with these requirements to the extent applicable. Failure to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of the interest on the Bonds as taxable. Such adverse treatment may be retroactive to the date of issuance. See also, “TAX MATTERS.”

IRS officials have recently indicated that more resources will be invested in audits of tax-exempt bonds in the charitable organization sector. The Bonds may be, from time to time, subject to audits by the IRS. Bond Counsel will render an opinion with respect to the tax-exempt status of the Bonds, as described under the caption “TAX MATTERS” below. The opinion of Bond Counsel is not binding on the IRS. There is no assurance that an IRS examination on the Bonds will not adversely affect the market value of the Bonds. See “TAX MATTERS” below.

Proposed Legislation Regarding Limitations or Elimination of Tax-exempt Status of Bonds. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of interest on the Bonds under Federal or state law or otherwise prevent beneficial owners of the Bonds from realizing the full current benefit of the tax status of such interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the Bonds.

Prospective investors should consult with their tax advisors on the foregoing matters as they consider an investment in the Bonds.

Tax-Exempt Status of the Borrowers. The tax-exempt status of the Bonds depends, among other things, upon maintenance by the Borrowers of their status as an organizations described in Section 501(c)(3) of the Code. The maintenance of such status is contingent on compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including their operation for charitable and other permissible purposes and their avoidance of transactions that may cause their earnings or assets to inure to the benefit of private individuals. As these general principles were developed primarily for public charities that do not conduct large-scale technical operations and business activities, they often do not adequately address the myriad operations and transactions entered into by a modern senior living organization. Although traditional activities of senior living providers have been the subject of interpretations by the IRS in the form of Private Letter Rulings, many activities or categories of activities have not been fully addressed in any official opinion, interpretation or policy of the IRS.

The IRS has issued Revenue Rulings dealing specifically with the manner in which a facility providing residential services to the elderly must operate in order to maintain its exemption under Section 501(c)(3) of the Code. Revenue Ruling 72-124 states that an otherwise qualified organization will qualify for charitable status for purposes of the Code if it operates in a manner designed to satisfy the needs of elderly persons for housing, health care and financial security. The need for housing is generally met if the organization provides residential facilities specifically designed to meet some combination of the physical, emotional, recreational, social, religious and similar needs of elderly persons. The need for health care is generally met if the organization directly provides some form of health care or, in the alternative, makes such care available through continuing arrangements with other organizations, facilities or health personnel. The need for financial security is generally met if two conditions are satisfied: (1) the organization must be committed to an established policy of maintaining in residence any persons who become unable to pay their regular charges, and (2) the organization operates so as to provide its services to the elderly at the lowest feasible cost, taking into account such expenses as the payment of indebtedness, maintenance of adequate reserves, and reserves for physical expansion. Revenue Ruling 79-18 states that a charitable organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, *provided* that those charges are set at a level that is within the financial reach of a significant segment of the community's elderly persons and that the organization maintains in residence those tenants who become unable to pay monthly charges. Later rulings clarify that the need to subsidize residents is limited to the extent the provider can provide such subsidies without jeopardizing its own sound financial operations.

If the IRS were to find that a Borrower has participated in activities in violation of certain regulations or rulings, such Borrower's tax-exempt status could be in jeopardy. Although the IRS has not frequently revoked the Section 501(c)(3) tax-exempt status of nonprofit senior living corporations, it could do so in the future. Loss of tax-exempt status by a Borrower potentially could result in loss of tax exemption of all or a portion of the Bonds, and defaults in covenants regarding the Bonds and other outstanding tax-exempt debt and obligations likely would be triggered. Loss of a Borrower's tax-exempt status also could result in substantial tax liabilities on the income of such Borrower.

In lieu of revocation of exempt status, the IRS may impose penalty excise taxes on certain “excess benefit transactions” involving Section 501(c)(3) organizations and “disqualified persons.” An excess benefit transaction is one in which a disqualified person receives more than fair market value from the exempt organization or pays the exempt organization less than fair market value for property or services, or shares the net revenues of the tax-exempt entity. A disqualified person is a person (or a certain kind of entity) who is in a position to exercise substantial influence over the affairs of the exempt organization during the five years preceding an excess benefit transaction. The statute imposes excise taxes on the disqualified person and any “organization manager” who knowingly participates in an excess benefit transaction. These rules do not penalize the exempt organization itself, so there would be no direct impact on the Borrowers or the tax status of the Bonds if an excess benefit transaction were subject to IRS enforcement.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit corporations. There can be, however, no assurance that future changes in the laws and regulations of the federal, state or local governments, or the interpretation of existing or future laws and regulations will not materially and adversely affect the operations and revenues of the Borrowers by requiring them to pay income taxes.

Property Taxes. The Community is exempt from property taxation except for minor assessments and payments in lieu of taxes (PILOTs). However, budgetary pressures on state and local government may lead to increasing pressures for state legislation to amend the property tax statutes to subject to taxation various properties owned by nonprofit organizations or to condition exemption from taxation upon the performance of specific types or level of charitable activity.

In recent years, state, county, and local taxing authorities have been undertaking audits and reviews of the operations of tax-exempt organizations with respect to their property tax exemption for both real and personal property. In some states, including California, these authorities have interpreted the criteria for exemption more narrowly than in the past, resulting in revocation, denial, or limitation of exemption. The Borrowers expect the majority of their real and personal property to be exempt from property taxes. Investigations or audits could lead to challenges of the property tax exemption that, if successful, could adversely and materially affect the property tax exemption of the Community.

Intermediate Sanctions. On July 31, 1996, the Taxpayers Bill of Rights 2 (the “*Taxpayers Act*”) was signed into law. The Taxpayers Act provides the IRS with an “intermediate” tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Prior to the “intermediate sanctions law,” the IRS could punish such violations only through revocation of an entity’s tax-exempt status.

Intermediate sanctions may be imposed where there is an “Excess Benefit Transaction,” defined to include a disqualified person (*i.e.*, an insider) (1) engaging in a non-fair market value transaction with the tax-exempt organization; (2) receiving unreasonable compensation from the tax-exempt organization; or (3) receiving payment in an arrangement that violates the private inurement proscription.

A disqualified person who benefits from an excess benefit transaction will be subject to a “*first tier*” penalty excise tax equal to 25% of the amount of the excess benefit. Organizational

managers who participate in an excess benefit transaction knowing it to be improper are subject to a first-tier penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$20,000. A “*second tier*” penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organizational manager) if the excess benefit transaction is not corrected in a specified time period.

CERTAIN MATTERS RELATING TO ENFORCEABILITY

The effectiveness of the security interests in the Borrowers’ Gross Revenues granted in the Loan Agreement and the Regulatory Agreement may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of receivables owed to the Borrowers under their contracts, and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) commingling of the proceeds of Gross Revenues with other moneys not subject to the security interest in the Gross Revenues; (iii) statutory liens; (iv) rights arising in favor of the United States of America or any agency thereof; (v) constructive trusts, equitable or other rights impressed or conferred by a federal or state court in the exercise of its equitable jurisdiction; (vi) federal bankruptcy laws or state insolvency laws which may affect the enforceability of the Deed of Trust or the security interest in the Gross Revenues of the Borrowers which are earned by the Borrowers within 90 days preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against the Borrowers; (vii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Trustee; and (viii) claims that might arise if appropriate financing or continuation statements are not filed or other documents are not executed in accordance with the California Uniform Commercial Code as from time to time in effect. The security interests described above will be perfected, to the extent such interests can be perfected, by the filing of financing statements and the delivery by the Borrowers of deposit account control agreements governing bank depository accounts of the Borrowers. Under the Uniform Commercial Code, such security interest ceases to attach to proceeds of Gross Revenues, *e.g.*, collections of accounts receivable which cannot be traced to a specific account of the Borrowers other than the Gross Revenue Fund created under the Loan Agreement and the Regulatory Agreement or otherwise have ceased to be “identifiable cash proceeds.”

There exists, in addition to the foregoing, common law authority and authority under California statutes pursuant to which the California courts may terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated charitable purposes or has taken some action which renders it unable to carry out such purposes. Such court action may arise on the court’s own motion pursuant to a petition of the California Attorney General or such other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses.

CERTAIN RISKS ASSOCIATED WITH THE DEED OF TRUST

Valuation. The Community is located in a region that has experienced real property market volatility throughout the past few years. There can be no assurance that, if the Borrowers were to default in making the payments under the Loan Agreement, (i) any part or all of the

Community could be foreclosed upon and sold for an amount sufficient to fully pay the outstanding principal of and interest on the Bonds or (ii) any bid would be received for the Community and, if received, that such bid would be sufficient to fully pay the outstanding principal of and interest on the Bonds.

Priority of the Liens. The lien created under the Deed of Trust delivered by the Manor constitutes a first lien on and security interest in the Collateral Property. The liens are subordinate to and independent of liens for general property taxes, special taxes and assessments. Additional special taxes or assessments may be imposed on the Community by other public agencies that have jurisdiction over the Collateral Property. Such future special taxes or assessments would have priority over the liens created under the Deed of Trust. Additionally, the Borrowers may create Permitted Encumbrances which have priority over the liens created under the Deed of Trust.

Hazardous Substances. While governmental taxes, assessments and charges are common claims against the value of property, other less common claims may be relevant. One of the most serious in terms of the potential reduction in the value that may be realized is a claim with regard to hazardous substances. In general, the Borrowers may be required by law to remedy conditions of the Community relating to release of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as "CERCLA" or the "Superfund Act," is the most well-known and widely applicable of these laws. California laws with regard to hazardous substances are stringent and similar to the federal acts. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition on property, whether or not the owner (or operator) had or has anything to do with the creation or handling of the hazardous substance. Consequently, if any part of the Community is affected by a hazardous substance, the marketability and value of the parcel may be reduced by the cost of remedying the condition. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling the hazardous substance. Any of these circumstances could significantly affect the value of the Collateral Property that would be realized upon a delinquency and foreclosure.

Foreclosure. There are two methods of foreclosing on a deed of trust under California law: by nonjudicial sale and by judicial sale. Foreclosure under a deed of trust may be accomplished by a nonjudicial trustee's sale under the power of sale provision in the deed of trust. Prior to such sale, the trustee must record a notice of default and election to sell and must send a copy to the trustor, any person who has recorded a request for a copy of the notice of default and notice of sale, any successor in interest of the trustor and the beneficiary of any junior deed of trust. Following the lapse of three months after recording the notice of default and election to sell, the trustee may give notice of sale. The notice of sale must be posted in a public place and published once each week throughout a 20-day period prior to the trustee's sale. Such notice of sale must be posted on the property and must be sent to the trustor, to each person who has requested a copy, to any successor in interest of the trustor and to the beneficiary of any junior deed of trust at least 20 days prior to the sale. The trustor, any successor in interest of the trustor, or any person having a junior lien or encumbrance of record may cure the default during the statutory reinstatement period by paying the entire amount of the debt then due under the terms of the deed of trust and the obligations secured thereby (exclusive of principal due by virtue of acceleration upon default) plus costs and expenses actually incurred in enforcing the obligation and certain statutorily limited attorneys' and trustee's fees. In addition, the notice of

sale must be recorded with the county recorder at least 14 days prior to the date of sale. Following the sale, neither the trustor nor any junior lien holder has any right of redemption, and the beneficiary may not ordinarily obtain a deficiency judgment against the trustor.

If foreclosure under a deed of trust is sought in the form of a judicial foreclosure, it generally is subject to most of the delays and expenses that occur with other lawsuits. Judicial foreclosure sometimes requires up to several years to complete. The primary advantage of a judicial foreclosure is that the beneficiary is entitled, subject to other limitations, to obtain a deficiency judgment against the trustor to the extent that the amount of the debt is in excess of the fair market value of the property. Following a judicial foreclosure sale, the trustor or its successors in interest may redeem the property for a period of one year (or a period of three months if the entire amount of the debt is bid at the foreclosure sale).

Antideficiency Legislation and Other Limitations on Lenders. The State of California has four principal statutory prohibitions limiting the remedies of a beneficiary under a deed of trust. Two of these prohibitions limit the beneficiary's right to obtain a deficiency judgment, one being based on the method of foreclosure and the other on the type of debt secured. Under the former, a deficiency judgment ordinarily is barred when the foreclosure is accomplished by means of a nonjudicial trustee's sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporations. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations.

Another California statute, commonly known as the "one form of action" rule, requires the beneficiary to exhaust the security under a deed of trust by foreclosure before bringing a personal action against the trustor on the indebtedness. If a court were to hold that this rule was applicable to the Deed of Trust and the Authority or the Trustee were to file suit to collect the debt under the Loan Agreement without seeking first to enforce their remedies under the Deed of Trust, they might be precluded from thereafter proceeding under the Deed of Trust to foreclose on the Collateral Property.

Another statutory provision limits any deficiency judgment obtained by a beneficiary following a judicial sale to the excess of the outstanding debt above the fair market value of the property at the time of sale. This prevents a beneficiary from obtaining a large deficiency judgment against the debtor as the result of low bids at a judicial sale.

Other statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien of the Deed of Trust in the event of a default by the Borrowers.

RIGHTS OF RESIDENTS

The Manor enters into residency agreement with Community residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Community, in the event that either the Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Indenture upon the occurrence of a default, Management is unable to predict the resolution that a court might make of competing claims between the Trustee, the Authority or the holders of the Bonds, on the one hand, and the

residents of the Community who have fully complied with all the terms and conditions of their residency agreements, on the other.

The Manor may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of facility service fees or other charges without increase. Moreover, the Manor may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the Manor will be able to satisfy such resident groups.

ENVIRONMENTAL, OCCUPATIONAL, AND OTHER HEALTH AND SAFETY MATTERS

Senior care and housing communities are subject to a wide variety of federal, state and local environmental, occupational, and other health and safety laws and regulations. Among the types of environmental and occupational safety regulatory requirements faced by such facilities, and by their owners and operators, are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos, medical waste and polychlorinated biphenyls; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at such facilities; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. Owners and operators of such facilities may be subject to liability for investigating and remediating any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Practical, financial, and legal risks associated with compliance with environmental and occupational health and safety laws and regulations may result in (1) damage to individuals, property or the environment, (2) the interruption of operations, (3) increased operating costs, (4) legal liability, damages, injunctions, citations or fines, and (5) investigations, administrative proceedings, civil litigation, criminal prosecution, penalties or other governmental agency actions. Such actions may not be covered by insurance. There is no assurance that the Borrowers will not encounter such problems in the future and such problems may result in material adverse consequences to the Borrowers' business or financial condition.

In addition to the environmental, health and safety laws and regulations that typically apply to the Borrowers, the Occupational Health and Safety Administration (“*OSHA*”) announced that it will issue a final rule to protect health care workers from COVID-19 hazards and that the agency will be focusing its inspection and enforcement efforts on industries with higher COVID-19 risk, such as health care facilities and assisted living facilities. In addition, President Biden has implemented a COVID-19 Action Plan in an effort to increase the number of workers in both the general and health care industries who receive vaccinations against COVID-19. In November 2021, the U.S. Department of Health and Human Services issued a rule requiring that to receive Medicare and Medicaid funding, participating facilities must ensure that their non-exempt staff be vaccinated against COVID-19 (the “*Healthcare Sector Mandate*”). Around the same time, OSHA issued an Emergency Temporary Standard requiring that private employers with one hundred or more employees require that their employees get the COVID-19 vaccine or undergo weekly testing (the “*OSHA ETS*”). States and private parties filed legal challenges to both the Healthcare Sector Mandate and the OSHA ETS. On January 13, 2022, the United States Supreme Court upheld the Healthcare Sector Mandate but stayed the OSHA ETS on the grounds that OSHA lacked the authority to issue the broad mandate in its

current form. Compliance with the Healthcare Sector Mandate and any future COVID-19-related occupational health and safety laws may increase operating costs or affect the Borrowers' ability to recruit and retain employees.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act and under comparable California State law, a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on the property. Such remedial action costs could subject the Collateral Property to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred.

NATURAL DISASTERS

The Community is situated in a region that has experienced significant wildfires in recent years. The occurrence of a significant wildfire in the area, or the occurrence of other natural disasters in the area such as droughts, floods, and earthquakes, may damage part or all of the Community, interrupt utility service to part or all of the Community or otherwise impair the operation of part or all of the Community or the generation of revenues from part or all of the Community beyond existing insurance coverage. No assurance is given as to the continuation of such insurance coverage, which, among other things, may not be available at a reasonable cost in the future. Climate change may increase the frequency or severity of wildfires, significant weather events, or other natural disasters. See also, "SEISMIC RISK" below.

SEISMIC RISK

The Community is situated in an active earthquake zone. A significant earthquake in the region could have a material adverse effect on the Borrowers and could result in material damage and temporary or permanent cessation of operations at the Community. Under the Regulatory Agreement, the Borrowers will agree to keep the Community and all of its operations adequately insured at all times including through earthquake insurance (unless waived by the Department).

POSSIBLE FUTURE CHANGES TO ACCOUNTING POLICIES AND PROCEDURES

From time to time, accounting policies and procedures change as accounting principles that are generally accepted in the United States change. Such changes may cause a variation in the presentation of the financial information of the Borrowers. There can be no assurance that any such changes would not have a material adverse impact on the Borrowers' compliance with certain covenants contained in the Regulatory Agreement.

THE DEPARTMENT'S CONTROL OF REMEDIES

For as long as the Contract of Insurance is in effect and the Department is not in default thereunder, the Department is deemed to be the Holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be,

to be granted or taken by the Holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interest of the Holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Department shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS.”

MARKETABILITY OF THE BONDS

Although the Underwriter intends, but is not obligated, to make a market for the Bonds, there can be no assurance that there will be a secondary market for the Bonds, and the absence of such a market for the Bonds could result in investors not being able to resell the Bonds should they need to or wish to do so.

OTHER POSSIBLE RISK FACTORS

Potential purchasers should also consider the following factors prior to purchasing the Bonds. This list is not, and is not intended to be, all inclusive.

Energy. Changes to the cost and availability of energy could, among other things, affect the cost of utilities of the Borrowers’ facilities and thereby adversely affect the operations of the Borrowers.

Changes to Federal, State or Local Laws or Regulations. Changes to the laws and regulations affecting the Borrowers’ operations such as reinstatement or establishment of mandatory governmental wage, rent or price controls, or changes in tax, pension, social security or other laws and regulations affecting the provisions of health care, retirement benefits and other services to seniors, could have an adverse effect on the future operating or financial performance of the Borrowers.

Early Redemption. Purchasers of Bonds, including those who purchase Bonds at prices in excess of their principal amount or who hold Bonds trading at prices in excess of their principal amount, should consider that the Bonds are subject to redemption prior to maturity at a redemption price that may be less than the prices at which such Bonds were purchased or are trading. See “THE BONDS—Redemption.”

Forward-Looking Statements. Certain statements contained in this Official Statement do not reflect historical facts but instead are forecasts and “Forward-Looking Statements.” No assurance can be given that the future results discussed herein will be achieved, and actual results may differ materially from the forecasts described herein. In this respect, the words “estimate,” “forecast,” “project,” “anticipate,” “expect,” “intend,” “believe” and other similar expressions are intended to identify forward-looking statements. All projections, forecasts, assumptions and other forward-looking statements are expressly qualified in their entirety by the cautionary statements set forth in this Official Statement.

The information and expressions of opinions herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any

circumstances, create any implication that there has been no change in the affairs of the Borrowers or any other person described herein since the date thereof.

ABSENCE OF MATERIAL LITIGATION

THE BORROWERS

There is no controversy or litigation of any nature now pending against the Borrowers or, to the knowledge of their officers, threatened, restraining or enjoining the issuance of the Bonds or in any way contesting or affecting (i) the validity of the Bonds, or (ii) any proceedings of the Borrowers taken concerning the issuance or sale thereof or the collection of Revenues pledged under the Indenture.

As with most senior care providers, the Borrowers are subject to certain legal actions that, in whole or in part, are not or may not be covered by insurance because of the type of action or amount or types of damages requested (*e.g.*, punitive damages), because of a reservation of rights by an insurance carrier, or because the action has not proceeded to a stage that permits full evaluation.

There is no litigation of any nature now pending against the Borrowers or, to the knowledge of the Borrowers' officers, threatened, which, if successful, would materially adversely affect the operations or financial condition of the Borrowers.

THE AUTHORITY

To the knowledge of the Authority, there is no material litigation pending or threatened against the Authority concerning the validity of the Bonds or any proceedings of the Authority taken with respect to the issuance thereof.

TAX MATTERS

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel ("*Bond Counsel*"), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Bond Counsel is of the further opinion that interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. Bond Counsel observes that, for tax years beginning after December 31, 2022, interest on the Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. A complete copy of the proposed form of opinion of Bond Counsel is set forth in APPENDIX G hereto.

To the extent the issue price of any maturity of the Bonds is less than the amount to be paid at maturity of such Bonds (excluding amounts stated to be interest and payable at least

annually over the term of such Bonds), the difference constitutes “original issue discount,” the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Bonds which is excluded from gross income for federal income tax purposes. For this purpose, the issue price of a particular maturity of the Bonds is the first price at which a substantial amount of such maturity of the Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Bonds accrues daily over the term to maturity of such Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Bonds. Beneficial Owners of the Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Bonds in the original offering to the public at the first price at which a substantial amount of such Bonds is sold to the public.

Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (“*Premium Bonds*”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner’s basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The Authority and the Borrowers have made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel’s attention after the date of issuance of the Bonds may adversely affect the value of, or the tax status of interest on, the Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

In addition, Bond Counsel has relied, among other things, on the opinion of Hanson Bridgett LLP, counsel to the Borrowers, regarding the current qualification of the Borrowers as organizations described in Section 501(c)(3) of the Code. Such opinion is subject to a number of qualifications and limitations. Bond Counsel has also relied upon representations of the Borrowers concerning the Borrowers’ “unrelated trade or business” activities as defined in Section 513(a) of the Code. Neither Bond Counsel nor Counsel to the Borrowers has given any opinion or assurance concerning Section 513(a) of the Code and neither Bond Counsel nor

Counsel to the Borrowers can give or has given any opinion or assurance about the future activities of the Borrowers, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the resulting changes in enforcement thereof by the IRS. Failure of the Borrowers to be organized and operated in accordance with the IRS's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or to operate the facilities financed by the Bonds in a manner that is substantially related to the Borrowers' charitable purpose under Section 513(a) of the Code, may result in interest payable with respect to the Bonds being included in federal gross income, possibly from the date of the original issuance of the Bonds.

Although Bond Counsel is of the opinion that interest on the Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of amounts treated as interest on, the Bonds may otherwise affect a Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel expresses no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Bonds for federal income tax purposes. It is not binding on the IRS or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the Authority or the Borrowers or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The Authority and the Borrowers have covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Bonds ends with the issuance of the Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Authority, the Borrowers or the Beneficial Owners regarding the tax-exempt status of the Bonds in the event of an audit examination by the IRS. Under current procedures, Beneficial Owners would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the Authority or the Borrowers legitimately disagree, may not be practicable. Any action of the IRS, including but not limited to selection of the Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the

Bonds, and may cause the Authority, the Borrowers or the Beneficial Owners to incur significant expense.

Payments on the Bonds generally will be subject to U.S. information reporting and possibly to “backup withholding.” Under Section 3406 of the Code and applicable U.S. Treasury Regulations issued thereunder, a non-corporate Beneficial Owner of Bonds may be subject to backup withholding with respect to “reportable payments,” which include interest paid on the Bonds and the gross proceeds of a sale, exchange, redemption, retirement or other disposition of the Bonds. The payor will be required to deduct and withhold the prescribed amounts if (i) the payee fails to furnish a U.S. taxpayer identification number (“*TIN*”) to the payor in the manner required, (ii) the IRS notifies the payor that the *TIN* furnished by the payee is incorrect, (iii) there has been a “notified payee underreporting” described in Section 3406(c) of the Code or (iv) the payee fails to certify under penalty of perjury that the payee is not subject to withholding under Section 3406(a)(1)(C) of the Code. Amounts withheld under the backup withholding rules may be refunded or credited against a Beneficial Owner’s federal income tax liability, if any, provided that the required information is timely furnished to the IRS. Certain Beneficial Owners (including among others, corporations and certain tax-exempt organizations) are not subject to backup withholding. The failure to comply with the backup withholding rules may result in the imposition of penalties by the IRS.

APPROVAL OF LEGALITY

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, substantially in the form set forth as APPENDIX G. Certain legal matters will be passed upon for the Borrowers by their counsel, Hanson Bridgett LLP, San Francisco, California, and for the Authority by its counsel, Jones Hall, a Professional Law Corporation. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. None of the counsel mentioned above undertakes any responsibility for the accuracy, completeness or fairness of this Official Statement.

FEASIBILITY STUDY

As part of the Borrowers’ application to the Department for insurance, the Feasibility Study dated June 1, 2022 was prepared for the Borrowers by Hendrickson Consulting. The conclusions of the Feasibility Study were based on certain assumptions, as outlined in the Feasibility Study.

The Authority has not reviewed the Feasibility Study or financial information provided by the Borrowers. There can be no assurance that as a result of the Feasibility Study or issuance of insurance by the Department that the Borrowers will be able to meet their obligation to make Loan Repayments.

A copy of the Feasibility Study is included herein as APPENDIX C—“FINANCIAL FEASIBILITY REPORT.” PROSPECTIVE INVESTORS SHOULD REVIEW THE FEASIBILITY STUDY IN ITS ENTIRETY FOR A FULL UNDERSTANDING OF THE ASSUMPTIONS AND RATIONALE UNDERLYING THE FORECASTS AND CONCLUSIONS CONTAINED THEREIN PRIOR TO PURCHASING THE BONDS.

UNDERWRITING

Pursuant to a Bond Purchase Contract among the Underwriter, the Authority and the Borrowers (the "*Purchase Contract*"), the Underwriter has agreed to purchase the Bonds at an aggregate purchase price of \$39,140,469.75 (representing the aggregate principal amount of the Bonds, plus original issue premium of \$3,447,802.25 and less an Underwriter's discount of \$342,332.50). Pursuant to the Purchase Contract, the Borrowers have agreed to indemnify the Underwriter and the Authority against certain liabilities. The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The obligation of the Underwriter to accept delivery of the Bonds is subject to the various conditions of the Purchase Contract.

FINANCIAL STATEMENTS

The financial statements of the Borrowers as of and for the fiscal years ended December 31, 2019, 2020 and 2021 included in APPENDIX B to this Official Statement have been audited by McGilloway, Ray, Brown & Kaufman, independent auditors, as stated in their reports appearing herein. McGilloway, Ray, Brown & Kaufman has not been engaged to perform, and has not performed, since the date of its most recent report included in APPENDIX B, any procedures on the financial statements addressed in that report.

Certain unaudited summarized financial information of the Borrowers as of and for the six-month periods ended June 30, 2021 and 2022 is included in APPENDIX A hereto. Such unaudited summarized financial information for the six-month period ended June 30, 2022 is not necessarily indicative of the financial results of the Borrowers for the fiscal year ending December 31, 2022.

RATING

Standard & Poor's Ratings Services, a division of The McGraw-Hill Companies, Inc., has assigned its municipal bond rating of "AA-" to the Bonds with the understanding that, upon delivery of the Bonds, payment of the principal of and interest on the Bonds will be insured by the Department. The rating reflects the rating agency's current assessment of the creditworthiness of the Department and its ability to pay claims under the Insurance Program.

The rating and an explanation of its significance may be obtained from the rating agency furnishing such rating. Such rating reflects only the view of the rating agency. The Borrowers have furnished the rating agency with certain information and materials relating to the Bonds that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies, and assumptions by the rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. Any such change in or withdrawal of such rating could have an adverse effect on the market price of the Bonds.

MISCELLANEOUS

The foregoing and subsequent summaries or descriptions of provisions of the Bonds, the Contract of Insurance, the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust and all references to other materials not purporting to be quoted in full are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to said documents for full and complete statements of the provisions of such documents. The appendices attached hereto are a part of this Official Statement. Copies, in reasonable quantity, of the Indenture, the Loan Agreement, the Contract of Insurance, the Regulatory Agreement and the Deed of Trust may be obtained during the offering period upon request to the Underwriter and thereafter upon request to the principal corporate trust office of the Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized. Neither this Official Statement nor any statement which may have been made orally or in writing is to be construed as a contract with the owners of the Bonds.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices are integral parts of this Official Statement and must be read together with all of the foregoing statements.

The Borrowers have reviewed the information contained herein which relates to them and their property and operations and have approved all such information for use within this Official Statement.

The Authority furnished only the information in this Official Statement contained under the captions "THE AUTHORITY" and "ABSENCE OF MATERIAL LITIGATION—The Authority" and, except for such information, makes no representation or warranty as to the adequacy, completeness or accuracy of this Official Statement.

This Official Statement has been delivered by the Borrowers. This Official Statement is not to be construed as a contract or agreement among any of the Authority, the Borrowers or the purchasers or holders of any of the Bonds.

NORTHERN CALIFORNIA CONGREGATIONAL
RETIREMENT HOMES, INC., a California
nonprofit public benefit corporation

By: /s/ Jay Zimmer
President and Chief Executive Officer

CARMEL VALLEY MANOR FOUNDATION, a
California nonprofit public benefit
corporation

By: /s/ Jay Zimmer
President and Chief Executive Officer

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APPENDIX A

INFORMATION CONCERNING
NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
DOING BUSINESS AS CARMEL VALLEY MANOR

The information contained herein has been prepared by
Northern California Congregational Retirement Homes, Inc.,
doing business as Carmel Valley Manor,
and by Carmel Valley Manor Foundation.

The information contained in this APPENDIX A was provided by the Corporation and the Foundation (described herein) and other identified sources of information believed to be reliable.

Certain of the discussions included in this APPENDIX A may include forward-looking statements. Such statements are generally identifiable by the terminology used, such as “believes,” “anticipates,” “intends,” “scheduled,” “plans,” “expects,” “estimates,” “budget” or other similar words. These statements reflect the current views of management with respect to future events based on certain assumptions and are subject to risks and uncertainties. The Corporation has no obligation to publicly update or review any forward-looking statement as a result of new information or future events.

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Capitalized terms used in this APPENDIX A and not otherwise defined shall have the meanings given in the forepart of this Official Statement

INTRODUCTION

BACKGROUND

Northern California Congregational Retirement Homes, Inc., doing business as Carmel Valley Manor (the “*Corporation*”), is a California nonprofit public benefit corporation. The Corporation owns and operates a life plan retirement community, located in Carmel, California known as Carmel Valley Manor (the “*Manor*” or the “*Community*”). The Corporation is the sole corporate member of Carmel Valley Manor Foundation, a California nonprofit public benefit corporation (the “*Foundation*”).

As of the date of this Official Statement, the Community consists of the following:

Residential Living Cottages	27
Residential Living Apartments	119
Assisted Living Units	24
Skilled Nursing Beds	<u>36</u>
Total	206

The Corporation and the Foundation are each exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “*Code*”), as an organization described in Section 501(c)(3) of the Code.

For a description of the Community, see “THE COMMUNITY” below.

A portion of the proceeds of the Bonds will be used to fund a project consisting of the renovation of certain common areas known as the Pavilion, remodeling of the health care center, renovation of residential living units and certain sewer and other building infrastructure projects (collectively, the “*Project*”). For a description of the Project, see “THE PROJECT” herein.

This APPENDIX A provides information about the Corporation and the Foundation that is not presented elsewhere in this Official Statement. For additional information about the Corporation and the Foundation, potential investors should refer to the audited financial statements for the fiscal years ended December 31, 2019, 2020 and 2021, which are included in this Official Statement as APPENDIX B. Other information is set forth in the Financial Feasibility Study included in this Official Statement as APPENDIX C. The materials included in this APPENDIX A and the other appendices to this Official Statement should be read in their entirety.

COMMUNITY BACKGROUND, HISTORY AND MISSION

In 1960, the conference board of the Northern California Congregational Churches purchased land on the Monterey Peninsula and formed the Corporation to construct, own, administer and operate a home for the aged. In 1960, the conference board purchased the Manor site in Carmel Valley and local authorities granted a use permit. Also in 1960, Northern

California Congregational Retirement Homes, Inc. was incorporated and the Corporation Board engaged the architectural firm of Skidmore, Owings and Merrill of San Francisco to design what would become an award-winning campus. The first residents moved into the Community in 1963.

Today, the campus sits on 25 acres, providing residential living, assisted living and skilled nursing care.

The mission of the Corporation is to balance active and vibrant independent living with the security of a life plan community by maintaining an adaptable and flexible organization that addresses the needs and interests of the current and future residents through its facilities and services. The Corporation's values include principled leadership, engagement, respect, transparency, integrity, compassion, wellness and social accountability.

While the Corporation no longer has a formal relationship with the Congregational Church, the Corporation continues to pay membership dues to the Council for Health and Human Service Ministries (CHHSM), United Church of Christ, and participates in its group purchasing program, staff training and other sponsored programs. Today's Community is diverse in its religious and ethnic make-up.

GOVERNANCE AND MANAGEMENT

GOVERNANCE

The Corporation is governed by the Board of Directors (the "*Corporation Board*"). The bylaws of the Corporation provide that the Corporation Board must consist of no fewer than seven and no more than thirteen directors. One of the directors is required to be a voting resident director elected by the Corporation Board from a list of persons nominated by the residents' council. The Corporation's bylaws also provide for one non-voting resident representative to the Corporation Board that is designated by the residents' council. In addition, the bylaws provide that the Corporation shall endeavor to have at least one director who is a member of a church affiliated with the Northern California Nevada Conference of the United Church of Christ, its successor, or its sister conferences. The Corporation has no corporate members. Directors are elected by a majority vote of the then-sitting directors. Each director holds office for a three-year term. No director may serve more than three consecutive terms. A director who has served three consecutive terms may be reelected to the Corporation Board one year after his or her third term has ended.

The sole corporate member of the Foundation is the Corporation. The bylaws of the Foundation grant certain reserved powers to the Corporation including but not limited to the power to designate and remove trustees, approve the appointment officers of the Foundation, remove the investment manager, select auditors, approve debt and approve amendments to the articles or bylaws of the Foundation or any merger dissolution or transfer of substantially all of the assets of the Foundation. The Foundation is governed by a board of trustees (the "*Foundation Board*") of not fewer than five or more than 13 trustees. The Chief Executive Officer of the Foundation is an ex-officio trustee. At least three of the trustees (including the

Chief Executive Officer) must also serve as directors of the Corporation. Trustees serve staggered three-year terms, and no trustee may serve more than three consecutive terms. A trustee who has served three consecutive terms may be reelected after being off the Foundation Board for one year.

The directors of the Corporation and the trustees of the Foundation as of the date of this Official Statement are set forth below.

NAME	OCCUPATION	TERM ON BOARD	TERM EXPIRES
Directors of the Corporation			
Trey Busch, Chair	Insurance Sales - Executive Vice President	3rd	2023
Susan Freeland, Vice Chair	Realtor Broker Associate	2nd	2022
Chris Steinbruner, Treasurer	Certified Public Accountant	3rd	2023
Gretchen Flesher, Secretary	Architect	1st	2022
Jim Gilbert	Physician	1st	2022
Marilynn Dunn Gustafson	Retired Teacher	1st	2023
Steve Johnson	Director of Home Care	3rd	2023
Nolan Kennedy	Attorney	1st	2022
Dan Limesand	Director, Business Development & Contracting	1st	2024
Bob Lindsey	Author, Journalist & Biographer (Resident Director)	2nd	2023
Steve Merrell	Certified Financial Planner	1st	2022
Trustees of the Foundation			
Susan Freeland, Chair	Realtor Broker Associate	2nd	2022
Harry Hanson, Vice Chair	Retired Attorney	2nd	2023
Iathan Annand, Secretary	Retired Attorney	2nd	2023
Chris Steinbruner, Treasurer	Certified Public Accountant	3rd	2023
Jerry Kitchen	Attorney	2nd	2023
Trey Busch	Insurance Sales – Executive Vice President	2nd	2023
John Mahoney	Real Estate Broker	1st	2022
John Staples	Attorney	1st	2022
Alexander Crosby	Retired Naval Officer/Attorney	1st	2024

EXECUTIVE MANAGEMENT

Jay Zimmer, President and Chief Executive Officer (70). Mr. Zimmer has been the President and Chief Executive Officer of the Corporation since October, 2020. He has worked in healthcare and senior living for over 30 years. Prior to joining the Corporation, Mr. Zimmer was the President and CEO of The Reutlinger Community, a life plan community in Danville, California. He also served as Executive Director for a Sequoias Living (formerly, Northern California Presbyterian Homes) life plan community in Portola Valley, California. In addition, he served as Executive Director of Meadow Lakes, a subsidiary of SpringPoint Senior Living (formerly, a subsidiary of Presbyterian Homes and Services of New Jersey), and as the Chief Operating Officer of a major teaching hospital in the University of Medicine and Dentistry of New Jersey system (formerly, Rutgers Medical School). Mr. Zimmer has a bachelor's degree from Ramapo College of New Jersey, a master's degree in Psychology from The New School for Social Research, and MBA from The City University of New York, Zicklin School of Business,

MBA. In 2022, Mr. Zimmer was named The Advocate of the Year by Leading Age California and was previously named the Professional of the Year by Leading Age New Jersey.

Isaiah Heath, Interim Director of Finance (22). Mr. Heath began at the Manor in 2019 as the Accounts Payable and Payroll Specialist and was named Interim Director of Finance in February 2022. He has a bachelor's degree in business administration with an accounting concentration from California State University Monterey Bay and is expected to receive his MBA from the same university in 2023.

Chris Regan, Health Services Administrator (59). Ms. Regan has been employed at the Manor for 20 years starting in 2002 as a charge nurse. She has 32 years of experience in the medical profession working as a registered nurse in a variety of settings. Ms. Regan has a bachelor of science in nursing (BSN) degree from Biola University in La Mirada, California and is a licensed nursing home administrator.

John Haupt, Capital Planning Director (68). Mr. Haupt has served as the Capital Planning Director since 2019. During that time, he has managed the Manor's residential unit renovations (averaging 20 units/year), two major fire alarm projects and preconstruction for a sewer project, a renovation of the Pavilion Building and the renovation of the Health Center. Mr. Haupt joined the Manor after retiring from a forty-year career in the construction industry. His experience ranges from custom home construction to management of major construction projects. He is a California Licensed Professional Engineer and Licensed General Contractor.

The Corporation is conducting a search for a permanent Chief Financial Officer to replace the previous Chief Financial Officer who resigned in March 2022.

CONFLICTS OF INTEREST

The Corporation and the Foundation have a conflict of interest policy and a code of ethics that requires Corporation Board and Foundation Board members to disclose actual and potential conflicts of interest. Susan Freeland, the Chair of the Foundation Board and Vice-Chair of the Corporation Board, is a director of First Capital Bank, which provides banking services to the Corporation. Trey Busch, the Chair of the Corporation Board and a trustee of the Foundation, is the insurance broker for the Corporation and the Foundation.

RESPONSE TO COVID-19

The COVID-19 pandemic has impacted the Corporation and the Manor operationally and financially through additional costs for infection control and containment, financial efforts to mitigate potential staffing shortages, loss of revenues due to decreased skilled nursing admissions, and supply chain issues, among others. Throughout the pandemic, the health and safety of residents and employees has been the highest priority for the organization. Vigilant monitoring of regulatory guidance, and communication with federal, state and county public health agencies, continues to be an ongoing focus. In accordance with this guidance, the

mitigation efforts through 2020, 2021 and into 2022 have varied, based on the changing situation. Examples of these mitigation efforts include:

- Restricting access to the campus to employees, essential visitors and vendors
- Screening of employees and essential visitors daily for symptoms
- Placement of signage throughout the community with reminders about infection control practices
- Discontinuation of group dining, activities and events
- Initiation of meal delivery services
- Education of staff and residents about COVID-19
- Increased sanitation frequency of high-touch surfaces
- Implementation of a campus-wide mask mandate, and enforced physician distancing
- Created an extensive onsite testing program for both residents and employees (in accordance with local health department guidance)
- Held multiple vaccination clinics and booster clinics for residents, employees, private-duty workers and board members
- Maintained supplies of personal protective equipment onsite
- Establishment of identified isolation areas with designated staff
- Initiation of weekly (more recently bi-weekly) televised informational meetings for residents and staff, including COVID updates, education and precautionary behavior reminders, plus normalized morale-building topics

Through these efforts, plus high vaccination rates, the Corporation has been able to limit the impact to resident and employee health and well-being.

Below is a summary of COVID-19 cases among employees and residents through July 31, 2022.

	Active	Recovered	Deaths	Total
Residential Living Residents	0	22	0	22
Assisted Living Residents	0	8	0	8
Skilled Nursing Residents	0	11	1	12
Employees	5	55	0	60
Total	5	96	1	102

The Corporation continues to follow all local, state and federal guidance.

For additional information with the respect to the financial impact of COVID-19 on the Corporation, see “MANAGEMENT’S DISCUSSION AND ANALYSIS OF OPERATIONS” in this APPENDIX A.

THE COMMUNITY

The Community is situated on an approximately 25-acre campus in Carmel, California with gently sloping landscapes above the Carmel Valley floor near the Monterey Peninsula communities of Carmel-by the Sea and Monterey.

The Community was named a 2022-23 Best Senior Living campus by *U.S. News and World Report*. Within the top-rated categories, the Community was rated as “Best” in the independent living and assisted living categories.

The Community is a life plan retirement community that provides residential living, assisted living and skilled nursing care to its residents. The Corporation offers life care contracts and a limited number of residential living agreements that do not include a promise of life care. Life care is a model of retirement living which allows residents to age in place as their needs evolve, generally from residential living to assisted living and ultimately skilled nursing care. When a residential living resident is unable to meet his or her care needs without assistance, the Corporation will provide assisted living or nursing care, as appropriate, to the resident at a cost not to exceed the rate the resident pays for residential living, except certain charges for additional meals and services provided to assisted living and skilled nursing residents.

Upon executing a life care agreement for a residential living unit, residents pay an entrance fee in addition to a monthly fee. The Corporation also offers (on a limited basis) a residential living agreement to reside and receive services in residential living. This agreement does not include a promise of life care. The Corporation plans to accept direct admissions to the skilled nursing facility once it is certified to provide Medicare Part A rehabilitation services, likely in 2023. See “THE COMMUNITY – FEE SCHEDULE” in this APPENDIX A for information regarding entrance fees and other rates and “– RESIDENCY AGREEMENT” for a description of the residency agreements.

LEVELS OF CARE

Residential Living (The Manor) – 146 Units. The Manor includes studio, one-bedroom and two-bedroom apartments plus cottage homes. Residents receive accommodations that include a fully equipped kitchen or kitchenette, private patios or lanais, lighted parking, building and grounds maintenance and security, utilities, a dining program, weekly housekeeping, linen services, and recreation, fitness, cultural and social programs. Residential living residents have full access to all Community amenities as well as a full program of social and recreational events and limousine transportation to Carmel and Monterey. Assistance with medications, dietary consulting, observation of health status, 24-hour emergency response and wellness clinical services are also provided to residents.

Assisted Living – 24 Units. The assisted living residences of the Community are located in the Hillcrest building. Residents receive all of the residential living services plus assistance with general activities of daily living (such as bathing, grooming, dressing, feeding, ambulation and assistance with administration of medications). Residents receive three meals per day, seven days per week, and the opportunity to participate in other daily activities. Certified nursing

assistants and licensed vocational nurses are available on a 24-hour basis to monitor and assist residents.

Skilled Nursing (Health Center) – 36 Beds. The skilled nursing beds are located in the Health Center. Residents receive 24-hour licensed nursing care that includes routine nursing care, skin and wound care, incontinence care, and arranging for diagnostic and therapeutic services, all of which are performed under the supervision of the resident's physician. Residents receive all meals and daily activities in the Health Center. Social services and specialized dietary care are provided on an ongoing basis. Rehabilitation services are available upon doctor's orders and usually involve an additional charge. Speech, occupational and physical therapy are also available upon doctor's orders. Ten of the skilled nursing beds are designated for residents with dementia-related care needs.

Campus Amenities. The campus provides a wide-range of amenities for its residents and staff including a pool, a fitness center, exercise programs, a putting green, lawn-bowling, a game room, weaving and sewing rooms and provides access to hiking, cycling and trail-biking. Other campus amenities include the dog parks, an on-site salon, an on-site clinic with family practice and podiatry services plus transportation service to the Monterey, San Francisco and San Jose airports.

The Pavilion, which will be renovated as part of the Project, houses many of the Community's amenities including the main entranceway, the reception area, a lounge, the main dining room, the mail room, THE ROSE retail outlet (the "Rose"), a game room, multi-purpose and meeting rooms, a resident business office and the administrative offices. The Rose is a resident-run thrift-store, which raises funds to support activities and budgets approximately \$80,000 every year to various resident committee members and clubs, e.g., mah jong, bridge, dominos, etc.

FEE SCHEDULE

The range of fees for the Community as of January 1, 2022, is summarized below. Fee structures are based on single occupancy of residential living units. Apartments that accommodate double occupancy have higher entrance fees for double occupancy than for single occupancy and monthly fees for double occupancy are approximately \$2,300-\$2,900 higher than for single occupancy. Two bedroom/two bath apartments, cottages and homes are priced for double occupancy.

SCHEDULE OF FEES FOR RESIDENTIAL LIVING

UNIT DESCRIPTION	NUMBER OF UNITS	SQUARE FOOTAGE	ENTRANCE FEES ⁽¹⁾	MONTHLY FEES
Apartments:				
Studio	6	405 - 472	\$179,358 - \$215,224	\$4,377 - \$4,508
Double Studio	21	813 - 948	\$416,919 – \$573,520	\$5,752 – \$8,508
One Bedroom	48	588 - 756	\$339,437 - \$503,827	\$5,346 - \$8,104
Two Bedroom	44	848 - 1,398	\$495,861 – \$900,870	\$5,999 - \$9,802
Cottages	22	1052 - 1746	\$792,288 - \$979,755	\$9,381 - \$10,093
Homes	5	2,283 - 2,968	\$848,880 - \$1,120,408	\$10,007
Total/Weighted Average	146	819-1,190	\$476,829-\$714,479	\$6,329-\$8,891

The Corporation does not admit residents directly to assisted living or skilled nursing care. Under a life care contract, the Corporation cannot increase monthly fees based on the level of care provided. The rate paid in residential living must also apply to higher levels of care.

FINANCIAL ASSISTANCE

Residents that are unable to pay their monthly fees may apply for alternative payment arrangements or subsidies from the Corporation. To qualify for an alternative fee or subsidy, residents must meet the criteria set forth in the Residency Agreement with respect to the use and preservation of assets and must apply for any public assistance programs for which the resident might qualify. The Corporation may transfer residents seeking alternative payment arrangements or subsidies to residences with lower monthly fees and may discontinue subsidization at the sole discretion of the Corporation if the Corporation determines that it cannot afford to continue such subsidization.

LICENSES, CERTIFICATES AND MEMBERSHIPS

The residential living and assisted living units are licensed by the California Department of Social Services (“CDSS”) as a residential care facility for the elderly (an “RCFE”). The RCFE license permits the Corporation to house 24 non-ambulatory residents and up to 12 residents with dementia. The skilled nursing beds are licensed by the State Department of Public Health (“CDPH”). The Corporation has applied to be certified by the Centers for Medicare and Medicaid Services (“CMS”) to provide rehabilitation services under Medicare Part A. Management of the Corporation expects to receive CMS approval in 2023.

The Corporation has a certificate of authority (“COA”) issued by CDSS. A COA permits the Corporation to enter into life care or continuing care contracts promising access to all levels of care, as needed, for the duration a person’s life or more than one year. A continuing care contract is defined by the State as an express or implied agreement between a person 60 years of age or older and the provider where, in exchange for payment of an entrance fee and/or periodic

charges, a promise is made to provide one or more elements of care at a facility for the duration of the resident's life or a period longer than one year.

A life care contract is a specific type of continuing care contract that includes a promise, expressed or implied, by a provider to provide or pay for routine services at all levels of care, including acute care and the services of physicians and surgeons, to the extent not covered by other public or private insurance benefits, to a resident for the duration of his or her life. Care must be provided under a life care contract in a continuing care retirement community having a comprehensive continuum of care, including a skilled nursing facility, under the ownership and supervision of the provider on or adjacent to the premises. A change cannot be made in the monthly fee based on the level of care. A life care contract must also include provisions to subsidize residents who become financially unable to pay their monthly care fees.

The Corporation must submit audited financial statements, reserve reports, and key indicator reports to the State.

The Community received a five-year accreditation from the Commission on Accreditation of Rehabilitation Facilities ("CARF") in 2017. CARF awards public recognition to a community that, while carrying out its stated mission and purposes, meets industry-generated standards of excellence. CARF is the sole accrediting body for continuing care retirement communities. The Community's next CARF survey is currently scheduled for September 2022.

The Corporation is a member of LeadingAge, a national trade association that represents more than 4,000 nonprofit providers of aging services. The Corporation is also a member of LeadingAge California, the state trade association affiliated with LeadingAge.

ADMISSION CRITERIA

Prospective residents must meet specific criteria to reside at the residential living portion of the Community. Eligibility for occupancy is based on the Corporation's requirements, which include (i) being at least 62 years old at the time of occupancy; (ii) having sufficient resources to meet one's fee obligations, including those arising under the residency agreement; and (iii) having care needs that are consistent with the laws pertaining to RCFEs and that do not present an unacceptable risk of early, frequent, or chronic long-term care.

Exceptions to the admission policy are reviewed by the Corporation on a case-by-case basis.

RESIDENCY AGREEMENT

Entrance Fee. Under the terms of the Corporation's Life Care Agreement ("*Residency Agreement*"), a resident pays an entrance fee according to the type of residence selected and the number of residents who occupy the unit. The resident also pays a monthly fee according to the type of unit and the number of residents who occupy the unit.

The resident has the right to cancel his or her Residency Agreement with or without cause within 90 days of occupancy of the residence (the “*Cancellation Period*”). In case of any such cancellation, or in the event the resident dies within the Cancellation Period, the Corporation is obligated to refund the Entrance Fee, less the reasonable value of services rendered to the resident pursuant to the canceled Residency Agreement and certain other costs and fees. Refunds are paid within 14 days after the resident vacates his or her unit.

Following the Cancellation Period, upon termination of the Residency Agreement by the resident, the Entrance Fee will be refunded, less certain costs and fees and less 1.5% of the Entrance Fee per month or partial month of residency. After the Entrance Fee has been fully amortized the resident will no longer be entitled to a refund for any reason.

Monthly Fee. In addition to the Entrance Fee, all residents pay a monthly fee. The monthly fee varies according to the type of unit selected, the services provided, and the number of residents who occupy the unit. Upon permanent transfer to the Hillcrest assisted living or the Health Center, there is no automatic change to a resident’s monthly fee. There are, however, fees for additional meals and services. In addition, all monthly fees are updated annually based on the cost of living, economic indicators, and other factors.

Residential Living Agreements. A plan that does not include higher levels of care (assisted living or skilled nursing) or any promise of continuing care is available for a limited number designated residential units. The monthly fee is up to approximately \$2,500 higher than monthly fees charged to residents with Residency Agreements, which include a promise of life care. As of June 30, 2022, the Corporation did not have any such agreement and has not had any in the last three years.

STATISTICAL INFORMATION

HISTORICAL UTILIZATION

The following table sets forth the average percentage of occupancy and average number of units occupied during the periods specified for the residential living units, the assisted living units and the skilled nursing beds for the Community.

FISCAL YEAR ENDED DECEMBER 31	RESIDENTIAL LIVING		ASSISTED LIVING		SKILLED NURSING		TOTAL	
Number of Units	148 ⁽¹⁾		24		36		208 ⁽¹⁾	
Average Percentage and Number of Units Occupied								
2019	87.8%	130	83.3%	20	88.9%	32	87.0%	181
2020	85.1	126	87.5	21	83.3	30	85.1	177
2021	83.8	124	79.2	19	77.8	28	82.2	171
2022 (6/30)	88.4	129	95.8	23	58.3	21	84.0	173

⁽¹⁾ For the six-month period ended June 30, 2022, the number of residential living units available was 146 and the total number of units was 206. Two units were taken out of service in March, 2022.

The Corporation maintains a waiting list for residential living units for individuals or couples who make a \$1,000 deposit with the Corporation. As of June 30, 2022, there were 103 prospective residents on the waiting list.

RESIDENTIAL LIVING TURNOVER

The following table summarizes new resident move-ins, turnover rates, and Entrance Fees for the Corporation's fiscal years ending December 31, 2019, 2020 and 2021, and for the six months ended June 30, 2022.

	FISCAL YEAR ENDED DECEMBER 31,			SIX-MONTHS ENDED
	2019	2020	2021	JUNE 30,
				2022
Total Move-ins	12	9	13	11
Total Vacated Units	10	13	10	6
Entrance Fees Received	\$5,665,325	\$4,542,045	\$7,422,077	\$5,817,199
Entrance Fees Refunded	-	(188,042)	(158,594)	(136,647)
Net Entrance Fees	\$5,665,325	\$4,354,003	\$7,263,483	\$5,680,552

THE PROJECT

PROJECT DESCRIPTION

The Corporation is undertaking the Project to update the residences and the amenities of the Community. The Project will also include certain infrastructure upgrades and a sewer project for the existing campus facilities that will also accommodate an anticipated future expansion of the Community in the Phase 2 Project described below.

The Corporation has estimated the total Project costs to be \$34.61 million. An amount equal to \$30.55 million of the Project costs will be paid from the proceeds of the Series 2022 Bonds and \$4.06 million will be paid from funds of the Corporation. The Corporation has executed guaranteed maximum price ("GMP") construction contracts for the Pavilion Renovation, Health Care Refresh and sewer components of the Project. The project budget includes approximately 10% contingency (including owner's, contractors' and design contingencies) on all construction and soft costs.

The Project which is being financed with the proceeds of the Series 2022 Bonds will consist of the following:

Pavilion Renovation – The Pavilion renovation is a complete remodel of the lounge, reception, formal dining room, casual dining, private dining, the Rose, and restrooms. The renovated Pavilion will include a new bistro dining venue, a new main dining room, a lounge and an outdoor patio with a grill and fire pit. The work also includes the creation of a new marketing office and an addition to the human resources office, and other cosmetic improvements in the administration wing of the building. As

part of a legacy program to renovate buildings that the firm originally designed, Skidmore Owings & Merrill of San Francisco is serving as the architect for the Pavilion renovation.

Sewer Project – The sewer project includes approximately three miles of new sewer line from the campus which connects to the existing Carmel Area Wastewater District’s sewer system. In addition, the project includes a new sewage pump station.

Health Center Refresh – The Health Center refresh is a cosmetic remodel of the existing Health Center, including paint, carpet, lighting and other design elements. It includes new casework at the nurses’ station, installation of new curb-less showers in twelve assisted living rooms, and other improvements.

Residential Living Renovations – The Residential Living Renovations are an ongoing project. Each year, 18-22 units are renovated as residents move to assisted living. The renovations can be as simple as paint, flooring, and other cosmetic upgrades, or as comprehensive as a complete remodel of the unit. In the last two years, the Corporation has converted ten one-bedroom units to a new one-bedroom design using standardized features.

Infrastructure Projects – The Infrastructure Projects include replacement of the existing boiler systems for heating and domestic water with new piping for domestic water and a new HVAC system for heating and air conditioning; new sewer laterals to replace the aging lines; drainage improvements at the main entry to the Manor; upgrades to electrical; and plumbing and mechanical systems to the main buildings. The project also includes installation of solar panels and related roof replacements throughout the campus.

The estimated costs and the timing of the components of the Project are summarized in the chart below:

	<u>Estimated Cost</u>	<u>Amount of Estimated Cost Covered by GMP</u>	<u>Expected Construction Commencement</u>	<u>Expected Construction Completion</u>
Pavilion Renovation	\$7,397,813	\$5,196,266	May, 2022	Jan, 2023
Sewer Project	\$8,605,093	\$6,115,110	August, 2022	Feb, 2023
Health Care Refresh	\$4,728,271	\$3,704,523	August, 2022	Dec, 2023
Residential Living Renovation	\$4,960,000	N/A	ongoing	ongoing
Infrastructure Projects	\$9,000,000	N/A	Nov, 2022	June 2023
Totals	\$34,691,177	\$15,015,899		

PROPOSED PHASE 2 PROJECT

Phase 2 of the campus repositioning plan consists of between 20 and 30 new residential living units, a 12-unit assisted living and memory care building and a wellness center which will

constructed on the southeast corner of the campus. Construction at that location cannot be commenced until the new sewer system is connected and the existing septic system is removed as part of the Project. The new residential living units will be slightly larger than existing units and housed in several two-story buildings. Management of the Corporation expects that the cost of the Phase 2 Project will be paid from a combination of Corporation equity and additional indebtedness. Due to the uncertain timing of the Phase 2 Project and fluctuating labor and material costs, management of the Corporation is unable to accurately estimate the cost of the Phase 2 Project as of the date hereof.

Any decision to undertake or any portion of the Phase 2 Project will depend on factors such as the ability of the Corporation to meet the additional indebtedness tests in the Regulatory Agreement and other financial covenants, interest rates, construction costs, market demand for residential living, assisted living or memory care units, other market conditions and the overall financial feasibility of any such project.

GENERAL CONTRACTORS

The general contractor for the Pavilion Renovation and the Health Care Refresh portions of the Project is John F. Otto, Inc, d/b/a Otto Construction (*"Otto Construction"*). Founded in 1947, Otto Construction has an established history in Northern and Coastal California and operates from offices in Sacramento and Monterey. Otto Construction has experience with new construction and renovations for corporate complexes, educational buildings, healthcare facilities, apartment complexes, municipal and civic buildings and sustainable projects. The firm's senior living experience includes projects for Atterdag Village in Solvang, California (assisted living) and Eskaton Village in Roseville and Placerville, California (assisted living and memory care).

The contractor for the Sewer Project is Monterey Peninsula Engineering Inc. (*"MPE"*) of Marina, California. MPE was founded in 1980 and has worked on thousands of projects for customers including federal, state and local governments, utility districts and private developers. The firm provides engineering contracting services including mechanical work, underground pipelines, mass excavation, grading, asphalt and concrete paving along with steel buildings.

Each of construction contracts include or are expected to include payment and performance bonds covering the entire cost of the contracted work. The construction contracts also include or are expected to include liquidated damages provisions which provide for monetary penalties if the respective contractors fail to complete the Project components by the completion dates set forth in the construction contracts.

REQUIRED REGULATORY APPROVALS AND PERMITS

As with all major construction projects, the Corporation must obtain various licenses, permits or approvals from governmental agencies both for construction work and to operate the Project after construction is completed. Applications for certain approvals may not be made until certain work has been completed. In some cases, approvals may only involve an administrative review to ensure compliance with existing permits and approvals. In other cases,

approvals may involve the exercise of discretion by government officials. See “BONDHOLDERS’ RISKS – Project Delays or Cost Increases” in the forepart of this Official Statement.

The primary approvals and permits required for construction of the Project and their status are summarized below:

PERMIT/APPROVAL ACTION	STATUS	COMMENTS
Pavilion Renovation		
Planning permit	Issued	
Demolition permit	Issued	
Building permit	Issued	
Sewer Project		
County encroachment permit	Applied for	Expected in September 2022
Environmental review	Complete	
Construction permit-pump station	Applied for	Expected in September 2022
Health Care Refresh		
Construction permit	Not applicable	
Independent Living Renovation		
Building permits	Ongoing	To be applied for as needed
Infrastructure Projects		
Building permits	Ongoing	To be applied for as needed

Environmental Assessment. A Phase I environmental assessment of the entire campus was conducted in April 2021. The assessment revealed no evidence of recognized environmental conditions (RECs) on the campus.

MARKET AND COMPETITION

For a description of competition for the Corporation, see “FINANCIAL FEASIBILITY REPORT – H. Market Summary” in APPENDIX C.

THE FOUNDATION

Consistent with its status as a tax-exempt organization, the Foundation was formed to support the Corporation and the Foundation has created an endowment fund administered by the Foundation Board. The principal of the endowment fund may be used to support the Corporation by, among other activities, meeting unforeseen emergency expenses, funding improvements, reducing debt. Income from the endowment fund is used to support operating expenses of the Corporation.

Substantially all of assets of the Foundation are held by the Community Foundation for Monterey County (“CFMC”) in a stewardship fund for the benefit of the Foundation. The assets

held by the CFMC are administered, invested and reinvested in accordance with the policies of the CFMC. Upon request the Foundation may receive annual distributions or regular timed distributions from CFMC. The Foundation may terminate the stewardship fund and receive payment equal to the fund's total value by submitting a resolution approved by three-fourths of the members of the Foundation Board. Additional information relating to the CFMC is included in Note 4 of the consolidated financial statements set forth in APPENDIX B to this Official Statement.

FINANCIAL INFORMATION

SUMMARY FINANCIAL INFORMATION

The following summary financial information for the Corporation as of and for the fiscal years ended December 31, 2019, 2020 and 2021 has been derived by Corporation management from the audited financial statements of the Corporation. The financial data should be read in conjunction with the audited financial statements of the Corporation as of and for the fiscal years ended December 31, 2019, 2020 and 2021, together with the related notes, appearing in APPENDIX B to this Official Statement.

The following summary financial information for the Corporation as of and for the six month periods ended June 30, 2021 and 2022 was derived from unaudited financial statements of the Corporation for the same periods and was prepared by management of the Corporation. The unaudited financial information set forth in this APPENDIX A that was derived from such unaudited financial statements is not necessarily indicative of the results of the Corporation for the fiscal years ending December 31, 2021 or December 31, 2022.

See "MANAGEMENT'S DISCUSSION OF FINANCIAL PERFORMANCE" below for management's discussion and analysis of the Corporation's finances and results of operations.

SUMMARY STATEMENT OF HISTORICAL REVENUES AND EXPENSES

The following summary statement of unrestricted historical revenues and expenses sets forth the Corporation's and Foundation's consolidated financial position for the fiscal years ended December 31, 2019, 2020 and 2021 and for the six-month periods ended June 30, 2021 and 2022.

Summary Statement of Revenues and Expenses

	(AUDITED)			(UNAUDITED)	
	FISCAL YEAR ENDED DECEMBER 31,			SIX MONTHS ENDED JUNE 30,	
	2019	2020	2021	2021	2022
Revenues and Support:					
<u>Income from Operations</u>					
Resident care fees	\$12,090,619	\$12,386,289	\$12,781,115	\$6,332,897	\$6,871,039
Amortization of entrance fees	4,248,492	5,266,585	4,084,740	2,038,166	2,254,747
Other resident services and operating income	478,887	272,664	328,331	97,192	310,593
Total income from operations	16,817,998	17,925,538	17,194,186	8,468,255	9,436,379
<u>Other Income (expenses)</u>					
Investment return, net	3,013,846	2,444,040	2,444,113	1,937,483	(4,011,630)
Contributions	364,273	481,639	425,484	21,444	6,139
Contributed investments	-	-	325,288	-	-
Other income (expense)	7,950	(7,968)	11,488	4,278	17,536
Grant revenue	-	-	566,452	-	-
Payroll Protection Program conditional grant	-	1,652,900	-	-	-
Total other income	3,386,069	4,570,611	3,772,825	1,963,205	(3,987,955)
<u>Net Assets Released From Restrictions</u>					
Endowment income distribution	308,124	305,880	329,930	141,076	163,918
Remainder of terminated annuity trusts	26,018	76,027	-	-	-
Healthcare education	-	-	10,032	3,485	6,422
Resident entertainment	-	6,000	6,000	-	-
Total released from Restrictions	334,142	387,907	345,962	144,561	170,340
Total revenue and other support	\$20,538,209	\$22,884,056	\$21,312,973	\$10,576,021	\$5,618,764
Expenses					
<u>Program</u>					
Nursing, assisted living, and medical services	\$4,393,869	\$4,986,636	\$5,547,147	\$2,626,158	\$2,644,583
Resident services	2,627,590	2,876,605	3,094,095	1,477,087	1,533,592
Dining services	4,309,031	4,826,789	4,789,972	2,298,022	2,190,672
Facility operations, maintenance, and utilities	2,420,196	2,745,204	3,040,572	1,486,861	1,541,020
Environmental services	1,140,485	1,207,575	1,110,498	542,597	643,061
Total Program	14,891,171	16,642,809	17,582,284	8,430,725	8,552,928
<u>Management and General</u>	3,006,774	3,511,836	3,711,200	1,763,752	1,648,291
Total expenses	\$17,897,945	\$20,154,645	\$21,293,484	\$10,194,477	\$10,201,219
Change in net assets without donor restrictions	\$2,640,264	\$2,729,411	\$19,489	\$381,544	\$(4,582,455)

SUMMARY BALANCE SHEET

The following summary balance sheet sets forth the Corporation's financial position as of December 31, 2019, 2020 and 2021 and as of June 30, 2021 and 2022.

Summary Balance Sheet

	(AUDITED) DECEMBER 31,			(UNAUDITED) JUNE 30,	
	2019	2020	2021	2021	2022
Current Assets					
Cash and cash equivalents	\$10,172,654	\$9,584,411	\$8,766,266	\$7,569,977	\$9,841,018
Accounts receivable	203,561	423,736	71,196	97,615	117,966
Current portion of contribution receivable	297,444	47,000	10,000	22,000	10,000
Dividend receivable	-	-	136,452	-	-
Grant receivable	-	-	69,700	-	-
Prepaid expenses	350,457	330,911	318,558	449,842	302,290
Total current assets	\$11,024,116	\$10,386,058	\$9,372,172	\$8,139,434	\$10,271,274
Noncurrent Assets					
Contribution receivable, less current portion	\$35,000	\$10,000	-	-	-
Investments	29,593,791	32,549,789	\$35,527,124	35,307,979	29,872,076
Property and equipment, net	34,086,033	34,592,741	35,881,241	35,325,502	37,561,901
Total Assets	\$74,738,940	\$77,538,588	\$80,780,537	\$78,772,915	\$77,705,251
Current Liabilities					
Accounts payable	\$461,082	\$533,652	\$392,378	\$478,345	\$268,326
Accrued liabilities	710,487	886,272	984,070	890,336	907,915
Advances from applicants	1,623,667	893,002	1,337,901	1,017,388	1,160,138
Deferred revenue	-	484,634	-	484,634	-
Current portion of post-retirement obligation	20,454	75,000	75,000	73,214	-
Current portion of long-term debt	135,908	145,071	168,255	162,609	169,242
Total current liabilities	\$2,951,598	\$3,017,631	\$2,957,604	\$3,106,526	\$2,505,621
Noncurrent Liabilities					
Line of credit	-	-	\$96,058	\$96,058	\$96,058
Long-term debt, less current portion	\$3,336,638	\$3,189,364	3,011,968	3,098,208	2,928,406
Deferred income from entrance fees	32088801	31,906,884	34,640,718	31,805,229	38,267,286
Annuity obligations	752,968	685,816	603,261	685,816	603,261
Post-retirement obligation, less of current portion	62,890	71,429	-	-	-
Total Liabilities	\$39,192,895	\$38,871,124	\$41,309,609	\$38,791,837	\$44,400,632
Net Assets					
Without donor restrictions, including quasi-endowment funds ⁽¹⁾	\$27,457,244	\$30,134,787	\$30,154,276	\$30,516,331	\$25,571,821
With donor restrictions	8,088,801	8,532,677	9,316,652	9,464,747	7,732,798
Total Net Assets	\$35,546,045	\$38,667,464	\$39,470,928	\$39,981,078	\$33,304,619
Total Liabilities and Net Assets	\$74,738,940	\$77,538,588	\$80,780,537	\$78,772,915	\$77,705,251

1 Quasi-endowment funds: \$7,123,948, \$7,594,487 and \$8,604,555 respectively in fiscal year 2019, 2020 and 2021 and \$8,494,664 and \$7,196,583 respectively for the six-months ended June 30, 2021 and 2022.

DEBT SERVICE COVERAGE

The following table sets forth actual historical debt service coverage and historical maximum annual debt service coverage for the Corporation's three most recent fiscal years and for the six months ended June 30, 2021 and 2022.

	FISCAL YEAR ENDED DECEMBER 31,			SIX MONTHS ENDED JUNE 30,	
	2019	2020	2021	2021	2022
Gross Revenues					
Total revenue and other support	\$20,538,209	\$22,884,056	\$21,312,973	\$10,576,021	\$5,618,764
Plus net entrance fees	5,665,325	4,354,003	7,263,473	2,053,897	5,680,552
Less unrealized (gain)/loss on investments	(1,208,345)	(2,599,470)	(1,777,005)	(1,863,937)	3,661,328
Less amortization of entrance fees	(4,248,492)	(5,266,585)	(4,084,740)	(2,038,166)	(2,254,747)
(A) Total Gross Revenues	\$20,746,696	\$19,372,004	\$22,714,701	\$8,727,815	\$12,705,897
Operating Expenses					
Total expenses	\$17,897,945	\$20,154,645	\$21,293,484	\$10,194,477	\$10,201,219
Less depreciation	(2,484,481)	(2,697,691)	(2,847,395)	(1,391,201)	(1,425,000)
Less interest expense	(168,419)	(156,820)	(155,342)	(85,356)	(64,890)
(B) Total Operating Expenses	\$15,245,045	\$17,300,134	\$18,290,747	\$8,717,920	\$8,711,329
(C) Income (Loss) Available for Debt Service (A)-(B)	\$5,501,651	\$2,071,870	\$4,423,954	\$9,865	\$3,994,568
(D) Actual Annual Debt Service	\$294,948	\$294,931	\$303,572	\$156,893	\$145,401
Actual Annual Debt Service Coverage (C)/(D)	18.65x	7.02x	14.57x	0.06x	27.47x
(E) Pro Forma Maximum Annual Debt Service	\$2,356,000	\$2,356,000	\$2,356,000	\$1,178,000	\$1,178,000
Pro Forma Maximum Annual Debt Service Coverage (C)/(E)	2.34x	0.88x	1.88x	0.01x	3.39x

DAYS CASH ON HAND

The following table presents Days Cash on Hand of the Corporation, calculated in accordance with the Regulatory Agreement, as of December 31, 2019, 2020 and 2021 and as of June 30, 2021 and 2022.

	DECEMBER 31,			JUNE 30,	
	2019	2020	2021	2021	2022
Unrestricted Cash and Investments					
Cash and cash equivalents ⁽¹⁾	\$10,172,654	\$9,584,411	\$8,766,266	\$7,569,977	\$9,841,018
Investments	29,593,791	32,549,789	35,527,124	35,307,979	29,872,076
Less amounts subject to donor restrictions	(7,647,040)	(8,082,880)	(8,897,367)	(9,067,624)	(7,503,809)
Less amounts restricted for Annuity Fund	(1,131,455)	(1,018,665)	(957,934)	(332,043)	(164,377)
Less amounts restricted for Residents' Association Fund	(84,951)	(104,504)	(120,345)	(104,504)	(120,345)
Less amounts set aside for debt service reserve	(294,948)	(294,931)	(303,572)	\$(156,893)	\$(145,401)
Less amounts not due within one year	(581,779)	(466,720)	(467,539)	(466,720)	(469,121)
(A) Total Unrestricted Cash and Investments	\$30,026,272	\$32,166,500	\$33,546,633	\$32,750,172	\$31,310,041
Cash Operating Expenses					
Total operating expenses	\$17,897,945	\$20,154,645	\$21,293,484	\$10,194,477	\$10,201,219
Less depreciation	(2,484,481)	(2,697,691)	(2,847,395)	(1,391,201)	(1,425,000)
(B) Total cash operating expenses	\$15,413,464	\$17,456,954	\$18,446,089	\$8,803,276	\$8,776,219
(C) Number of Days in Period	365	366	365	181	181
Daily Cash Expenses	\$42,229	\$47,697	\$50,537	\$48,637	\$48,487
Days Cash-on-Hand	711	674	664	673	646

¹ Includes Quasi-endowment funds and liquidity reserve.

MANAGEMENT'S DISCUSSION AND ANALYSIS OF OPERATIONS

Six Months ended June 30, 2022 compared to Six Months ended June 30, 2021.

Total revenues and other support for the six months ended June 30, 2022, were \$5,618,764 compared to \$10,576,021 for the six months ended June 30, 2021. This was a decrease of \$4,957,257 or 46.9% from the six months ended June 30, 2021. Components of the decreased revenue and other support are described below.

Income from operations increased by \$968,124 from \$8,468,255 for the six months ended June 30, 2021, to \$9,436,379 for the six months ended June 30, 2022. Resident care fees increased by \$538,142 to \$6,871,039 in six months ended June 30, 2022, compared to \$6,332,897 in six months ended June 30, 2021. The increase was due to the 5% rate increase to the monthly care fees that took effect January 1, 2022. There was also an increase of \$216,581 in amortization of entrance fees in the quarter ended June 30, 2022, compared to the amortization of entrance fees in the quarter ended June 30, 2021. Other resident services and operating income increased by \$213,401 from \$97,192 for the six months ended June 30, 2021, to \$310,593 for the six months ended June 30, 2022. This increase was attributable to loosened

COVID-19 restrictions and regulations, allowing for some additional revenue from guest services, catering, and other ancillary services.

Other income decreased by \$5,951,160 from \$1,963,205 for the six months ended June 30, 2021, to (\$3,987,955) for six months ended June 30, 2022. This decrease was largely due to the difference of \$5,949,113 in investment return between the two periods much of which was unrealized.

Total expenses increased by \$6,742 or .07% from \$10,194,477 for the six months ended June 30, 2021, to \$10,201,219 for the six months ended June 30, 2022. The components of the slightly increased expenses are described below.

Payroll expenses decreased by \$73,659 or 1.3% from \$5,541,974 for the six months ended June 30, 2021, to \$5,468,315 for the six months ended June 30, 2022. This payroll difference was due to the 10% decrease in full time equivalent employees (FTE). For the six months ended June 30, 2021, the Corporation had 149 FTEs. For the six months ended June 30, 2022, FTEs dropped to 134. Non-Payroll expenses increased by \$73,274 or 2.3% from \$3,164,551 for the six months ended June 30, 2021, to \$3,237,825 for the six months ended June 30, 2022. The increase in non-payroll expenses is due to inflationary pressures effecting the cost of food, utilities, and personal protective equipment.

Results of Operations for the Fiscal Years Ended December 31, 2021 and December 31, 2020.

Total revenues and other support for the fiscal year ending December 31, 2021 were \$21,312,973 compared to \$22,884,056 for the fiscal year ending December 31, 2020. This was a decrease of \$1,571,083 or 6.9% from the prior fiscal year. Components of the decreased revenue and other support are described below.

Income from operations decreased by \$731,352 from \$17,925,538 for the fiscal year ending December 31, 2020 to \$17,194,186 for the fiscal year ending December 31, 2021. Resident care fees increased by \$394,826 to \$12,781,115 in fiscal year ending December 31, 2021 compared to \$12,386,289 in fiscal year ending December 31, 2020. This was due to the 4.8% rate increase to the monthly care fees that took effect January 1, 2021. There was a 22.4% decrease in amortization of entrance fees in the fiscal year ending December 31, 2021, compared to the amortization of entrance fees in the fiscal year ending December 31, 2020. Other resident services and operating income increased by \$55,667 from \$272,664 for the fiscal year ending December 31, 2020, to \$328,331 for the fiscal year ending December 31, 2021. This increase was attributable to loosened COVID-19 restrictions and regulations, allowing for some additional revenue from guest services, catering, and other ancillary services.

Other income decreased by \$797,786 from \$4,570,611 for the fiscal year ending December 31, 2020, to \$3,772,825 for the fiscal year ending December 31, 2021. This decrease was largely due to the difference of \$1,086,448 in grant revenue between the two years. For the fiscal year ending December 31, 2020, the Corporation received a \$1,652,900 Paycheck Protection Program ("PPP") conditional grant. This grant was used to offset additional payroll

and personal protection equipment cost due to COVID-19. For the fiscal year ending December 31, 2021, the Corporation recognized \$566,452 in grant revenue. This consisted of a \$484,634 grant from the U.S. Department of Health and Human Services to assist with additional COVID-19 expenses as well as a \$69,700 grant as a part of the COVID-19 Telehealth Program.

There was a small decrease of \$41,945 in total revenue released from restrictions for the fiscal year ending December 31, 2021, compared to the fiscal year ending December 31, 2020. The increase is due to the fact that no annuity trusts were terminated for the fiscal year ending December 31, 2021.

Total Expenses increased \$1,138,839 or 5.7% to \$21,293,484 for the fiscal year ending December, 2021 compared to \$20,154,645 for the fiscal year ending December 31, 2020. The components of the increased expenses are described below.

Payroll expenses increased by \$842,730 or 7.7% from \$10,887,730 for the fiscal year ending December 31, 2020, to \$11,730,460 for the fiscal year ending December 31, 2021. This payroll increase is due to the minimum wage increase which took effect January 1, 2021, and the addition of infection control and security personnel. Non-Payroll expenses increased by \$145,370 or 2.3% from \$6,335,290 for the fiscal year ending December 31, 2020, to \$6,480,660 for the fiscal year ending December 31, 2021. That increase was the result of increases in the costs of insurance premiums, utilities, and personal protective equipment.

Results of Operations for the Fiscal Years Ended December 31, 2020 and December 31, 2019.

Total revenues and other support for the fiscal year ending December 31, 2020, were \$22,884,056 compared to \$20,538,209 for the fiscal year ending December 31, 2019. This was an increase of \$2,345,847 or 11.4% from the prior year. Components of the increased revenue and other support are described below.

Income from operations increased by \$1,107,540 from \$16,817,998 for the fiscal year ending December 31, 2019, to \$17,925,538 for the fiscal year ending December 31, 2020. Resident care fees increased by \$295,670 to \$12,386,289 in fiscal year ending December 31, 2020, compared to \$12,090,619 in fiscal year ending December 31, 2019. This increase was due to the 4.26% rate increase to the monthly care fees that took effect January 1, 2020. There was a 24% increase in amortization of entrance fees in the fiscal year ending December 31, 2020, compared to the amortization of entrance fees in the fiscal year ending December 31, 2019. Other resident services and operating income decreased by \$206,223 from \$478,887 for the fiscal year ending December 31, 2019, to \$272,664 for the fiscal year ending December 31, 2020. This decrease was due to the COVID-19 restrictions and regulations that did not allow guests or visitors in the Manor, and did not permit events to take place in the fiscal year ending December 31, 2020. Revenue decreased because there was no revenue from catering, guest units, guest meals or other ancillary charges.

Other Income increased by \$1,184,542 from \$3,386,069 for the fiscal year ending December 31, 2019, to \$4,570,611 for the fiscal year ending December 31, 2020. This was

largely due to the \$1,652,900 PPP conditional grant received in 2020. The grant was used to offset additional payroll and personal protection equipment costs due to COVID-19. There was a small increase of \$53,765 in total revenue released from restrictions for the fiscal year ending December 31, 2020, compared to the fiscal year ending December 31, 2019. This was due to an increase of the amount of terminated annuity trusts for the fiscal year ending December 31, 2020.

Total Expenses increased of \$2,256,700 or 12.6% to \$20,154,645 for the fiscal year ending December 31, 2020, compared to \$17,897,945 for the fiscal year ending December 31, 2019. Components of the increased expenses are described below.

Payroll expenses increased by \$1,359,398 or 14.3% from \$9,528,332 for the fiscal year ending December 31, 2019, to \$10,887,730 for the fiscal year ending December 31, 2020. This payroll increase is due to the additional \$330,564 spent on payroll due to COVID-19, the minimum wage increase which took effect January 1, 2020, along with the annual merit increases given to staff. Non-Payroll expenses increased by \$732,358 or 13.1% from \$5,602,932 for the fiscal year ending December 31, 2019, to \$6,335,290 for the fiscal year ending December 31, 2020. That increase was the result of \$319,927 spent on COVID-19 related non-payroll items such as personal protective equipment, and increases in the costs of food, paper goods and utilities.

RETIREMENT PLANS

The Corporation sponsors defined contribution retirement plans for its employees. Participants are permitted to make contributions up to certain prescribed limits. The Corporation provides a matching contribution determined annually by the Corporation Board. For the years ended December 31, 2019, 2020 and 2021, the total contribution expenses for the plans were \$102,633, \$121,276 and \$132,944, respectively.

INSURANCE MATTERS

The Corporation has insurance coverage, including corporate, general and professional liability, pursuant to insurance policies that cover the Community for a limit of \$1 million per occurrence with an annual aggregate policy limit of \$3 million. The Corporation has an excess liability policy in the amount of \$5 million. The Community is not covered by earthquake insurance. Management has determined that obtaining earthquake insurance at current rates is not economically justified. However, management will review this determination from time to time. The Corporation's insurance coverage does include wildfire coverage for the Community. In addition, the Corporation maintains directors' and officers' liability coverage of up to \$5 million in the aggregate annually and cybercrime insurance of \$1 million. The Corporation is also insured for workers' compensation in compliance with statutory requirements. The Corporation's contract with its construction company requires the construction company to carry builder's risk insurance.

APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF
NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2019, 2020 AND 2021**

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**NORTHERN CALIFORNIA CONGREGATIONAL
RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION**

**CONSOLIDATED FINANCIAL STATEMENTS
with
INDEPENDENT AUDITOR'S REPORT
and
SUPPLEMENTARY INFORMATION**

DECEMBER 31, 2021

**McGILLOWAY, RAY, BROWN & KAUFMAN
ACCOUNTANTS & CONSULTANTS**

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INDEPENDENT AUDITOR'S REPORT

Board of Directors
Northern California Congregational Retirement
Homes, Inc. and Supporting Organization
Carmel, California

Opinion

We have audited the accompanying consolidated financial statements of Northern California Congregational Retirement Homes, Inc. (a nonprofit organization) and Supporting Organization, which comprise the consolidated statement of financial position as of December 31, 2021, and the related consolidated statements of activities and changes in net assets, functional expenses, and cash flows for the year then ended, and the related notes to the consolidated financial statements.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Northern California Congregational Retirement Homes, Inc. and Supporting Organization as of December 31, 2021, and the changes in their net assets and their cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Northern California Congregational Retirement Homes, Inc. and Supporting Organization and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Northern California Congregational Retirement Homes, Inc. and Supporting Organization's ability to continue as a going concern within one year after the date that the consolidated financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material

Gerald Ray, CPA | Patricia Kaufman, CPA, CGMA | Smriti Shrestha, CPA

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misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if, there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Northern California Congregational Retirement Homes, Inc. and Supporting Organization's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Northern California Congregational Retirement Homes, Inc. and Supporting Organization's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Report on Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying consolidating schedules for the statement of financial position, consolidating schedules for the statement of activities and changes in net assets, schedule of funds and purpose, combining schedules of net assets with donor restrictions and the combining schedules of designated net assets are presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.



McGilloway, Ray, Brown & Kaufman
Salinas, California
April 29, 2022

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 2021**

Assets

Current Assets	
Cash and cash equivalents	\$ 8,766,266
Accounts receivable	71,196
Contribution receivable	10,000
Dividend receivable	136,452
Grant receivable	69,700
Prepaid expenses	318,558
Total current assets	9,372,172
Investments	35,527,124
Property and equipment, net	35,881,241
Total assets	<u><u>\$80,780,537</u></u>

Liabilities and Net Assets

Liabilities

Current Liabilities	
Accounts payable	\$ 392,378
Accrued liabilities	984,070
Advances from applicants	1,337,901
Post-retirement obligation	75,000
Current portion of long-term debt	168,255
Total current liabilities	2,957,604
Line of credit	96,058
Long-term debt, less current portion	3,011,968
Deferred income from entrance fees	34,640,718
Annuity obligations	603,261
Total liabilities	<u><u>41,309,609</u></u>

Net Assets

Without donor restrictions, including quasi-endowment funds \$8,604,555	30,154,276
With donor restrictions	9,316,652
Total net assets	<u><u>39,470,928</u></u>
Total liabilities and net assets	<u><u>\$80,780,537</u></u>

The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2021**

Changes in Net Assets Without Donor Restrictions

Revenues and support

Income from Operations

Resident care fees	\$ 12,781,115
Amortization of entrance fees	4,084,740
Other resident services and operating income	328,331
Total income from operations	<u>17,194,186</u>

Other Income

Investment return, net	2,444,113
Contributions	425,484
Contributed investments	325,288
Other income	11,488
Grant revenue	566,452
Total other income	<u>3,772,825</u>

Net Assets Released from Restrictions

Endowment income distribution	329,930
Healthcare education	10,032
Resident entertainment	6,000
Total released from restrictions	<u>345,962</u>

Total revenue and other support	<u>21,312,973</u>
---------------------------------	-------------------

Expenses

Program

Nursing, assisted living, and medical services	5,547,147
Resident services	3,094,095
Dining services	4,789,972
Facility operations, maintenance, and utilities	3,040,572
Environmental services	1,110,498
Total program	<u>17,582,284</u>

Management and general	<u>3,711,200</u>
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Total expenses	<u>21,293,484</u>
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Change in net assets without donor restrictions	<u>19,489</u>
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The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
(CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2021**

Changes in Net Assets With Donor Restrictions

Other Income

Investment return, net	1,138,851
Contributions	24,087
Contributed investments	4,880
Change in value of split interest trusts	(37,881)
Total other income	<u>1,129,937</u>

Net Assets Released from Restrictions

Endowment income distribution	(329,930)
Healthcare education	(10,032)
Resident entertainment	(6,000)
Total released from restrictions	<u>(345,962)</u>

Change in net assets with donor restrictions	<u>783,975</u>
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Change in Net Assets	<u><u>803,464</u></u>
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Net Assets, Beginning of Year

Without donor restrictions	30,134,787
With donor restrictions - as restated (Note 17)	<u>8,532,677</u>
Total net assets, beginning of year	<u>38,667,464</u>

Net Assets, End of Year

Without donor restrictions	30,154,276
With donor restrictions	<u>9,316,652</u>

Total Net Assets, End of Year	<u><u>\$ 39,470,928</u></u>
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The accompanying notes are an integral part of these consolidated financial statements.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF FUNCTIONAL EXPENSES
FOR THE YEAR ENDED DECEMBER 31, 2021

	Nursing, Assisted Living, & Medical Services	Resident Services	Dining Services	Facility Operations, Maintenance & Utilities	Environ- mental Services	Total Program	Management & General	Total Expenses
Salaries and compensation	\$ 3,452,706	\$ 559,322	\$ 2,373,382	\$ 953,235	\$ -	\$ 7,338,645	\$ 1,023,073	\$ 8,361,718
Employee benefits and taxes	1,322,644	216,917	1,182,941	426,924	18,720	3,168,146	336,037	3,504,183
Outside services	103,229	3,512	11,660	17,651	1,069,036	1,205,088	156,570	1,361,658
Professional fees	-	-	-	-	-	-	402,087	402,087
Bank and processing fees	-	-	-	-	-	-	136,847	136,847
Advertising and promotion	-	-	-	-	-	-	142,493	142,493
Office	-	-	-	-	-	-	23,375	23,375
Information technology	-	-	-	-	-	-	60,540	60,540
Occupancy	1,606	-	-	1,197,165	-	1,198,771	7,181	1,205,952
Travel	12	15,808	128	-	-	15,948	12,172	28,120
Conferences and meetings	-	-	-	-	-	-	20,610	20,610
Interest	-	-	-	-	-	-	155,342	155,342
Depreciation	459,883	2,272,846	75,393	23,441	2,080	2,833,643	13,752	2,847,395
Insurance	-	-	-	-	-	-	883,097	883,097
Uniforms	4,069	198	20,020	8,819	876	33,982	-	33,982
Supplies	127,207	5,518	142,808	18,418	19,786	313,737	26,098	339,835
Repairs and maintenance	-	14,697	-	305,916	-	320,613	-	320,613
Landscaping	-	-	-	76,184	-	76,184	-	76,184
Food	-	-	974,523	-	-	974,523	2,895	977,418
Cleaning and maintenance	-	-	1,030	-	-	1,030	-	1,030
License and permits	-	3,190	-	2,892	-	6,082	57,890	63,972
Pharmacy and medical	50,869	-	-	-	-	50,869	-	50,869
Education	16,430	-	780	814	-	18,024	12,852	30,876
Dues and subscriptions	318	-	-	-	-	318	48,886	49,204
COVID-19 Testing	-	-	-	-	-	-	63,950	63,950
Miscellaneous	6,299	2,087	933	9,113	-	18,432	10,301	28,733
Resident moving	-	-	-	-	-	-	16,343	16,343
Recruiting and fingerprinting	-	-	-	-	-	-	23,332	23,332
Party, music, and activity	1,875	-	6,374	-	-	8,249	35,973	44,222
Collateral production	-	-	-	-	-	-	39,504	39,504
Total expenses	<u>\$ 5,547,147</u>	<u>\$ 3,094,095</u>	<u>\$ 4,789,972</u>	<u>\$ 3,040,572</u>	<u>\$ 1,110,498</u>	<u>\$17,582,284</u>	<u>\$ 3,711,200</u>	<u>\$21,293,484</u>

The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2021**

Cash Flows from Operating Activities

Cash received for resident care fees	\$ 13,133,655
Cash received from entrance fees	7,263,473
Cash received for other resident services and operating income	267,858
Cash received for services to nonresidents	60,473
Unrestricted investment income received	1,291,456
Unrestricted contributions received	750,772
Cash received from operations	11,488
Cash received from government grants	12,118
Cash received from contributions (restricted)	28,967
Cash paid for suppliers, employees and others	(18,393,299)
Interest paid	(155,342)
Net cash provided by operating activities	<u>4,271,619</u>

Cash Flows from Investing Activities

Proceeds from sale of investments	3,519,372
Purchase of investments	(4,415,245)
Purchase of property and equipment	(4,135,895)
Net cash used by investing activities	<u>(5,031,768)</u>

Cash Flows from Financing Activities

Proceeds from line of credit	96,058
Repayment of long-term debt	(154,212)
Restricted contributions - perpetual endowment	47,000
Investment income restricted for reinvestment	403,524
Investment income released from restrictions	(329,930)
Payment of annuity obligations	(120,436)
Net cash used by financing activities	<u>(57,996)</u>

Net decrease in cash and cash equivalents (818,145)

Cash and cash equivalents, beginning of year 9,584,411

Cash and cash equivalents, ending of year \$ 8,766,266

The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF CASH FLOWS
(CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2021**

Reconciliation of change in net assets to net cash

provided by operating activities:

Changes in net assets	\$ 803,464
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Adjustments to reconcile change in net assets to net cash provided by operating activities:

Amortization of entrance fees	2,733,834
Change in split interest trust	37,881
Depreciation	2,847,395
Restricted investment earnings	(403,524)
Releases from restricted endowment	329,930
Net realized/unrealized gain on investments	(2,081,462)
(Increase) decrease in operating assets	
Accounts receivable	352,540
Grant receivable	(69,700)
Dividends receivable	(136,452)
Prepaid expenses	12,353
Increase (decrease) in operating liabilities	
Accounts payable	(141,274)
Accrued liabilities	97,798
Post-retirement obligation	(71,429)
Deferred income	(484,634)
Advances from applicants	444,899
Total Adjustments	3,468,155
Net cash provided by operating activities	\$ 4,271,619

The accompanying notes are an integral part of these consolidated financial statements.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
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1. Nature of Operations and Summary of Significant Accounting Policies

Nature of Operations

The Northern California Congregational Retirement Homes, Inc. (the “Manor”) and the Carmel Valley Manor Foundation (the “Foundation”) are separate nonprofit public benefit corporations located in Carmel, California.

The Northern California Congregational Retirement Homes, Inc. operates Carmel Valley Manor, a life care facility located in Carmel, California. The Manor opened in October 1963 and consists of 148 independent living units including five single-family homes adjacent to the original Manor property, 24 assisted living units and 36 medical center beds. The Manor provides meals, lodging, most medical care and miscellaneous services to approximately 210 residents.

The Carmel Valley Manor Foundation is a Type I supporting organization of the Manor. The Foundation was incorporated in August of 2017 by a Board resolution of the Manor, to provide fundraising and other financial support for the charitable activities of the Manor, including (1) providing financial assistance to qualified low-income residents of retirement facilities through the Grace and Favor program and (2) engaging in additional planned giving.

Principles of Consolidation

The consolidated financial statements include the accounts of the Manor and its supporting organization, the Foundation (collectively, the “Organization”). The Manor shares a common governing board with and has an ongoing economic interest in the Foundation. As a result, these entities are financially interrelated, and consolidation is required under accounting principles generally accepted in the United States. All significant intercompany transactions and balances have been eliminated in consolidation.

Basis of Presentation

The accompanying consolidated financial statements of the Organization are presented using the accrual basis of accounting in accordance with the accounting principles generally accepted in the United States of America (GAAP). In the consolidated statement of financial position, assets and liabilities are presented in order of liquidity or conversion to cash and their maturity, resulting in the use of cash, respectively.

Fund Accounting

The accounts of the Organization have been maintained in accordance with principles of fund accounting. Under these principles, resources are classified for accounting purposes into funds established according to their nature and purpose.

Classes of Net Assets

The classification of a not-for-profit entity’s net assets and its support, revenue and expenses is based on the existence or absence of donor-imposed restrictions. Therefore, it requires that the amounts for each of the classes of net assets with donor restrictions and without donor restrictions be displayed in the consolidated statement of financial position and that the amounts of change in each of those classes of net assets be displayed in the consolidated statement of activities. The classes of net assets are defined as follows:

Net assets without donor restrictions – Net assets available for use in general operations and not subject to donor or grantor restrictions over which the Board of Trustees have discretionary control in carrying out the operations of the Organizations.

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Net assets with donor restrictions – Net assets subject to donor or grantor-imposed restrictions and for which the applicable restriction was not met as of the year end of the current reporting period. Some restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity.

Accounting Estimates

The preparation of the consolidated financial statements in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from these estimates.

Cash and Cash Equivalents

For the purposes of the consolidated statement of financial position and the consolidated statement of cash flows, cash and cash equivalents consist of cash and other highly liquid resources, such as money market funds, with an original maturity of three months or less when purchased.

Concentration of Credit Risk

Financial instruments that potentially subject the Organization to a concentration of credit risk consists principally of cash. The Organization maintains cash accounts exceeding the federally insured limit of \$250,000. The Organization also maintains cash in brokerage accounts that are not federally insured. At December 31, 2021, cash and cash equivalents exceeded the Federal Deposit Insurance Corporation maximum insured by \$1,699,230. Management believes the Organization is not exposed to significant credit risk relating to cash.

Accounts Receivable and Allowance for Doubtful Accounts

Accounts receivable consists primarily of amounts due from residents for the monthly care fees and routine medical services and are subject to credit risk. Risk associated with these receivables is mitigated by periodic review of the resident accounts.

When necessary, the Organization provides for probable uncollectible amounts through a provision for bad debt expense and an adjustment to the allowance for doubtful accounts based on its assessment of the current status of individual accounts. Balances that are still outstanding after management has used reasonable collection efforts are written off through a charge to the allowance for doubtful accounts. The Organization has determined there is no need for an allowance for doubtful accounts at December 31, 2021.

Contributions Receivable

Contributions receivable are unconditional promises to give that are recognized as contributions when the promise is received. Management has determined that all contribution receivables are collectible in full, therefore no allowance for uncollectible receivables has been provided.

Grants Receivable

Grants receivable consist of amounts received from other organizations. The amounts are recorded when the grant is awarded. Management believes that all grants receivable are fully collectible; therefore, no allowance for doubtful accounts is recorded.

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Dividend Receivable

The Organization received a dividend distribution from Prana Investments in December of 2021, which was paid after year-end. The dividend receivable reflects the receivable balance due at December 31, 2021.

Investments

Investments in common stock, bond and equity mutual funds, and alternative investments are measured at fair value, which is the price that would be received if the investment was sold in an orderly transaction between market participants at the measurement date. Prana Realty Company I (Prana) investments are valued at the amounts reported to the Organization by Prana and the Organization's investment advisors. These amounts are generally reported at carrying value, which the Organization believes is a reasonable approximation of fair value.

Increases or decreases in fair value are recognized in the period in which they occur. Investment return is presented net of investment fees.

The Organization's investments are managed by investment advisors. The fair values are subject to various risks including changes in the equity markets, the interest rate environment, and general economic conditions. Due to the level of risk associated with certain investments securities and the level of uncertainty related to changes in fair value of investment securities, it is reasonably possible that the amounts reported in the accompanying consolidated financial statements could change materially in the near term.

Property and Equipment

Property and equipment are carried at cost, if purchased, or at fair value at the date of the gift if donated, less accumulated depreciation. It is the Organization's policy to capitalize property and equipment purchases over \$5,000 and a minimum useful life of two years. Major additions, alterations and improvements are capitalized. Repairs and maintenance are charged to expense as incurred. The cost and accumulated depreciation of items disposed of are removed from the accounts, and any gain or loss is included in the consolidated statements of activities and changes in net assets.

Depreciation is provided using the straight-line method at rates based on the estimated economic useful lives of the individual classes of assets ranging from five to 40 years.

Advances from Applicants

Advances from applicants consist of deposits received from applicants who have not signed a continuing care contract as of December 31, 2021. Deposits are 100% refundable prior to establishing occupancy. When residency is established, deposited amounts are applied to the remaining entrance fee payment.

Deferred Income from Entrance Fees

Entrance fees are those paid by the resident as a condition of admission to the Manor for future services and use of the facilities, as specified in the Resident Agreement (Agreement). The entrance fees entitle the resident to the use of the residential facilities; access to amenities and social services; and the provision of, or access to, certain health care services.

Entrance fees are 100% refundable within 90 days of occupancy. Subsequent to the initial 90 days of occupancy, in which either the Organization or the resident can cancel, the Organization will refund entrance fees upon termination of contract, minus a charge of 1.5% percent of the entrance fee for each month or partial month from the date the resident signed the Agreement until the date the resident makes their unit available to the Organization. No entrance fees were refunded during the year ended December 31, 2021. As of December 31, 2021, the Organization

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had \$16,082,060 of deferred entrance fees that are contractually refundable based upon the terms of the Organization's refund policy. Based upon the Organization's history of issuing refunds, a refund reserve is not considered necessary as of December 31, 2021.

The nonrefundable portion of the entrance fees paid by a resident upon entering into a continuing care contract are recorded as deferred revenue and are amortized to income using the straight-line method over the estimated remaining life expectancy of the resident. A resident's actuarially determined life expectancy is adjusted on the resident's date of birth, permanent move to a different level of care and, if applicable, upon the death of the other resident who is a party to the continuing care contract. Entrance fees nonrefundable totaled \$18,558,658 at December 31, 2021.

Obligation to Provide Future Services

The Organization records a liability for the obligation to provide future services and the use of facilities to current residents when such costs are estimated to exceed anticipated revenues and the balance of unamortized entrance fees. Costs are comprised of per capita costs for all residents plus depreciation expense. For December 31, 2021, the per capita costs are calculated based upon a 3 percent annual increase in costs multiplied by a life expectancy factor for each resident. Anticipated revenues from the few contracts for which there are no fee increases, are calculated as current monthly fees multiplied by a life expectancy factor for each resident. At December 31, 2021, anticipated revenues for all other contracts are calculated as current monthly fees with a 3 percent annual increase multiplied by a life expectancy factor for each resident.

At December 31, 2021, the present value of future cash inflows and outflows is calculated with a discount rate of 5 percent. Amortization expense is computed based upon expense per average number of residents multiplied by a total annuity factor for all residents.

The California Health and Safety Code Section 1790 mandates a statutory reserve and a liquid asset requirement. The mandates were met for the year ended December 31, 2021. A reserve fund escrow is not required for the Organization.

As of December 31, 2021, future revenues were estimated to exceed costs to provide future services, therefore, no long-term care commitment liability is necessary.

Annuity Trusts

Annuity obligations consists of the remaining principal amounts of annuity gifts to the Organization. Under individual trust agreements, the Organization is required to pay stipulated annuities to the donor over the donor's lifetime. The contribution portion of the gift is determined in the year the trust is established and recorded on the consolidated statement of activities and changes in net assets, as the difference between the fair value of the trust assets and the present value of the estimated annuity payments to be paid over the expected life of the annuitant using a discount rate of 7.05% in 2021, which is recorded as an annuity obligation on the consolidated statement of financial position.

Subsequent to initial recognition, the liability is adjusted for discount amortization and revaluations of future payments to beneficiaries based on life expectancies, which are recognized as the change in value of split interest agreements on the consolidated statement of activities and changes in net assets. The remaining liability reverts to the Organization upon death of the donor. The annuitants have designated that, upon termination, the remaining principal of each Annuity Trust be transferred to either Part A or Part B of the Organization's endowment. Assets held in the charitable remainder trusts totaled \$957,934 at December 31, 2021 and are reported at fair value in the consolidated statement of financial position.

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Revenue Recognition

Resident Care Fees

The Organization operates primarily under the “continuing care” concept in which residents enter into a residential contract that generally provides for a specified entrance fee, with certain options for refunds, and for monthly service fees throughout the residents’ tenancy. Generally, payment of these fees entitles residents to the use and privileges of the Manor for life. Residents are also entitled to certain health care services provided in the Manor assisted living and skilled nursing facility at the same monthly fee as paid in independent living. The resident agreement does not entitle the residents to an ownership interest in the Manor. The fees charged under this contract includes periodic resident care fees and advance entrance fees.

Resident care fees revenue is the amount that reflects the consideration to which the Organization expects to be entitled to in exchange for standing ready to provide services to the residents under a continuing care contract. Revenue is recognized in the month in which the performance obligations are satisfied.

The Organization offers month-to-month continuing care contracts for all levels of care. No such contracts were entered into with residents during the year ending December 31, 2021.

Other Resident Services

Other resident services revenue is reported at the amount that reflects the consideration to which the Organization expects to be entitled to in exchange for providing these services. The transaction price charged to the resident is based on personal preference or usage of optional services provided by the Organization. Fees are based on published rates, paid monthly for services not covered by the monthly periodic resident care fees and are billed in arrears.

Performance Obligations

Performance obligations are determined based on the nature of the services provided by the Organization. Revenue for performance obligations satisfied over time is recognized based on actual charges incurred in relation to total expected charges. The Organization believes that this method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. The Organization measures performance obligation for resident care fees as a series of distinct services that are considered one performance obligation that is satisfied over time.

Transaction Price

The Organization determines the transaction price based on standard charges for goods and services provided, reduced by contractual adjustments provided to third-party. The Organization determines its estimates of contractual adjustments based on contractual agreements and historical experience.

Third-Party Payors

Agreements with third-party payors provide the payment at amounts less than established charges. A summary of the payment arrangements with third-party payors follows:

Medicare – The Organization provides care to residents under the Medicare Part B program. Revenue from Medicare accounts for approximately 0.3% of the resident care fees revenue for the year ended December 31, 2021. Certain health care services are paid at prospectively determined rates per discharge based on clinical, diagnostic or other factors. Certain services are paid based on a cost-reimbursement methodology subject to certain limits. Physical services are paid based on established fee schedules.

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Secondary Insurance - Payment agreements with certain commercial insurance carriers, health maintenance organization and preferred provider organizations provide for payment using prospectively determined rates per discharge, discounts for established charges, and prospectively determined daily rates.

Laws and regulations concerning government programs, including Medicare, are complex and subject to varying interpretation. As a result, compliance with such laws and regulations may be subject to future government review and interpretation as well as regulatory action, including fines, penalties, and potential exclusion from the related program. There can be no assurance that regulatory authorities will not challenge the Organization's compliance with these laws and regulations, and it is not possible to determine the impact (if any) such claims would have upon the Organization. The Organization believes that is in compliance with all applicable laws and regulations.

Amortization of Entrance Fees

Residents under the declining refundable contract, pay an entrance fee that provides a 100% refund upon death or withdrawal during the first three months of occupancy. Subsequent to the initial 90 days of occupancy, the refund declines by 1.5% per month of occupancy. The non-refundable portion of entrance fees paid by residents are recorded as deferred revenue from entrance fees in the consolidated statement of financial position. The basic resident agreement creates a performance obligation to be satisfied over the resident's remaining life at the Organization. The Organization recognizes the revenue associated with the entrance fee using a straight-line method over the actuarially determined life of each resident. Resident life expectancies are reevaluated annually and changes in the revenue as a result of the revaluation will be recognized in the period noted. As of December 31, 2021, the Organization had \$34,640,718 in deferred entrance fee revenue to be recognized as the performance obligations are satisfied. See Note 9 for changes in the deferred entrance fee revenue for the year ended December 31, 2021. The performance obligation is satisfied upon termination of the residency agreement.

Contract service revenue related balances as of December 31, 2021 were as follows:

	Beginning Balance	Ending Balance
Accounts receivable	\$ 423,736	\$ 71,196

Contributions

The Organization recognizes contributions when cash, securities or other assets, an unconditional promise to give, or a notification of a beneficial interest is received. Contribution revenue is recorded as an increase in net assets without donor restrictions unless their use is limited by time or donor-imposed restrictions. Gifts received with a donor stipulation that limits their use are reported as revenue and net assets with donor stipulations. When a donor-stipulated time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the consolidated statement of activities and changes in net assets as net assets released from restrictions. Gifts having donor stipulations that are satisfied in the period the gift is received are reported as revenue and net assets without donor restrictions. Gifts and investment income that are originally restricted by donor and for which the restriction is met in the same period are recorded with donor restrictions and then released from restriction. Donations of investments are reported at fair value at the time of gift.

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Grants

Support and revenue from grants are recognized as revenue when grant-imposed conditions are met. These revenues are subject to right of return if funds are not spent and have other performance and/or control barriers that must be met to be entitled to the funds. For this reason, the Organization's grant revenues are considered to be conditional, and revenue is recognized as funds are utilized for programmatic activities specified in the grant agreement. Accordingly, amounts received, but not recognized as revenue, are classified in the consolidated statement of financial position as deferred revenues. Grants received during the year include \$484,634 from the U.S. Health Resources & Services Administrator Provider Relief Fund program, and \$69,700 from the Los Angeles Jewish Home for the Aging, both recognized in the statement of activities.

Measure of Operations

The consolidated statement of activities and changes in net assets reports all changes in net assets, including changes in net assets from operating and non-operating activities. Operating activities consist of those items attributable to the Organization's ongoing activities. Non-operating activities are limited to resources that generate return from investments, endowment contributions, and other activities considered to be of a more unusual or nonrecurring nature.

Advertising

Advertising costs are expensed as incurred and amounted to \$142,493 for the year ended December 31, 2021.

Income Tax

The Manor and the Foundation are exempt from federal and California income taxes under Section 501(c)(3) of the Internal Revenue Code ("IRC") and the corresponding California provisions, except to the extent of unrelated business income ("UBIT") as defined by the IRC.

The Organization accounts for uncertainty in income taxes using a recognition threshold of more-likely-than-not to be sustained upon examination by the appropriate taxing authority. Measurement of the tax uncertainty occurs if the recognition threshold is met. Management determined there were no tax uncertainties that met the recognition threshold in 2021.

Presentation of Certain Taxes

The Organization collects sales and occupancy taxes and remits these amounts to applicable taxing authorities. The Organization's accounting policy is to exclude these taxes from revenues and expenses.

Upcoming Accounting Standards Updates (ASU)

ASU 2016-02

In February 2016, the FASB issued ASU No. 2016-02, which amends the FASB Accounting Standards Codification and creates Topic 842, *Leases*, requiring organizations to recognize lease assets and lease liabilities on the statement of financial position and requiring disclosure of key information about leasing arrangements. The guidance is effective for periods beginning after December 15, 2021. ASU No. 2016-02, as amended, mandates a modified retrospective transition approach. The Organization is currently evaluating the impact of the pending adoption of this new standard on its financial statements and expects the impact to be de minimis.

ASU 2020-07

In September 2020, the FASB issued ASU No. 2020-07 (Topic 958), *Presentation and Disclosures by Not-for-Profit Entities for Contributed Nonfinancial Assets*. The FASB ASU requires nonprofits to change their financial statement presentation and disclosure of contributed nonfinancial assets, or gifts-in-kind. The FASB issued the update in an effort to improve transparency in reporting nonprofit gifts-in-kind. The guidance is effective for periods beginning

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after June 15, 2021. The amendment in this Update is required to be applied on a retrospective basis. The Organization is currently evaluating the impact of the pending adoption of this new standard on its financial statements and expects the impact to be de minimis.

Functional Expenses

The costs of providing the various programs and other activities have been summarized on a functional basis in the consolidated statement of activities and changes in net assets and in the consolidated statement of functional expenses. An individual expense is allocated to the underlying activity through which it was incurred. The consolidated statement of activities and changes in net assets and in the consolidated statement of functional expenses includes certain expenses which must be allocated on a reasonable basis which has been consistently applied: an allocation of portions of depreciation. Depreciation expense has been allocated based on a square footage basis.

Reclassification

Certain amounts in the consolidated statement of financial position, consolidated statement of activities and changes in net assets, and consolidated statement of cash flows have been reclassified to conform to current year presentation. These reclassifications, other than those described in Note 17 did not have an effect on the net assets.

2. Financial Assets Available and Liquidity

The following reflects the Organization's financial assets as of December 31, 2021, reduced by amounts not available for general expenditure due to contractual or donor-imposed restrictions within one year. Amounts not available include amounts set aside for long-term investing in quasi-endowment funds that could be drawn only upon approval of the Board of Directors.

Cash and cash equivalents	\$ 8,766,266
Accounts receivable	71,196
Contributions receivable	10,000
Dividend receivable	136,452
Grant receivable	69,700
Investments	<u>35,527,124</u>
Financial assets as of December 31, 2021	44,580,738
Less:	
Amounts subject to donor restrictions	(8,851,431)
Quasi-endowment funds	(8,604,555)
Amounts restricted for Annuity Fund	(957,934)
Amounts restricted for Residents' Association Fund	(120,345)
Amounts set aside for liquidity reserve	(7,122,371)
Amounts set aside for debt service reserve	(303,572)
Amounts not due within one year	<u>(467,539)</u>
Financial assets available to meet cash needs for general expenditures within one year	<u><u>\$18,152,991</u></u>

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As part of the Organization's liquidity management, it has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations come due. In addition, the Organization invests cash in excess of daily requirements in short-term investments. To help manage unanticipated liquidity needs, the Organization, has designated a portion of its operating surplus to its liquidity reserve that is on average at least ninety days of operating expenses. The board designated amount as of December 31, 2021 is \$7,122,371. This reserve was established through approval of the Board of Directors to be drawn upon in the event of financial distress or an immediate liquidity need resulting from events outside the typical life cycle of converting financial assets to cash or settling financial liabilities.

3. Investments

The Organization's investment portfolio consists of the following as of December 31, 2021:

Mutual bond funds	\$ 5,346,047
Mutual equity funds	10,770,605
Beneficial interest in assets held by Community Foundation	16,471,263
Alternative investments	1,633,397
Prana Realty Company I common stock	1,305,812
	<u>\$35,527,124</u>

4. Fair Value Measurements

The Organization adopted the provisions of fair value measurements, which defines fair value, establishes a framework for measuring fair value and also expands the disclosures about fair value measurements. That framework provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurements) and the lowest priority to unobservable inputs (level 3 measurements).

The three levels of the fair value hierarchy are described as follows:

- Level 1 inputs are based on unadjusted quoted prices for identical assets in an active market the Organization has the ability to access. Examples of these are investments in common stocks and mutual funds.
- Level 2 inputs are based on quoted prices in markets that are not active and other valuation methodologies or model inputs that are observable either directly or indirectly as of the measurement date. Examples of these investments include corporate and municipal bonds that trade infrequently.
- Level 3 inputs are based on prices or valuation techniques that are unobservable for the investment and include situations where there is little, if any, market activity. These inputs reflect assumptions of management about in pricing the investments or life expectancies. Examples of these investments are certain private equity investments and annuity obligations.

There were no changes in the valuation methodologies and no transfers of investments between levels during the year ended December 31, 2021.

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Assets and liabilities measured at fair value on a recurring basis have been categorized into a hierarchy based on the observable and unobservable inputs used to determine fair value as of December 31, 2021:

	Level 1	Level 2	Level 3	Total
Investments				
Mutual bond funds	\$ 5,346,047	\$ -	\$ -	\$ 5,346,047
Mutual equity funds	10,770,605	-	-	10,770,605
Beneficial interest in assets held by Community Foundation	-	-	16,471,263	16,471,263
Alternative investments	1,633,397	-	-	1,633,397
Total recurring fair value measurements	<u>\$ 17,750,049</u>	<u>\$ -</u>	<u>\$ 16,471,263</u>	34,221,312
Prana Realty Company I measured at NAV				<u>1,305,812</u>
Total investments				<u>\$ 35,527,124</u>
Liabilities:				
Annuity obligations:				
Annuity trusts	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 603,261</u>	<u>\$ 603,261</u>

The following is a description of the Organization's valuation methodologies for assets and liabilities measured at fair value:

Mutual Bond and Equity Funds, and Alternative Investments

Valued at the closing price as reported on the active market on which individual securities or funded are traded.

Community Foundation for Monterey County – Endowment Fund

The Organization has a beneficial interest in assets at Community Foundation for Monterey County (CFMC) in the amount of \$16,471,263 at December 31, 2021, which consists of funds contributed by the Organization and includes earnings thereon, net of distributions received. CFMC may make annual distributions from the fund if requested by the Organization. The Organization may terminate the fund and receive payment equal to the fund's total value by submitting a resolution authorizing such action approved by three-fourths of the directors of the Organization's board. In the event the Organization cease operations as a qualified 501(c)(3) the CFMC board of directors, in consultation with the board of directors of the Organization, may designate other qualified charitable organization as successor beneficiaries of the fund, so long as such successor beneficiaries are qualified by the IRS as 501(c)(3) organizations.

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The following table presents a roll forward of activity for assets held by Community Foundation:

Beginning balance	\$ 14,783,552
Contributed stocks and cash	421,752
Investment income (interest and dividends)	575,360
Realized (losses)	(1,044)
Unrealized gains	1,358,811
Distributions	(607,708)
Investment fees	(59,461)
	<u>\$ 16,471,263</u>

The unobservable inputs to the valuation are the underlying assets at the CFMC; therefore, these investments are classified as Level 3 assets within the fair value hierarchy.

Annuity Obligations

On an annual basis the Organization revalues the liability to make distributions to the designated beneficiaries of the Annuity Trusts based on actuarial assumptions. The present value of the estimated future payments for Annuity Trusts is calculated using a discount rate of 7.05 percent and the remaining life expectancy of the beneficiaries based on applicable mortality tables.

The following table sets forth a summary of changes in the fair value of the Organizations level 3 Annuity Trusts at December 31, 2021:

Balance, beginning of year	\$ 685,827
Payments of annuity trusts	(120,447)
Change in value of annuity trusts	37,881
Balance, end of year	<u>\$ 603,261</u>

Prana Realty Company I Measured at NAV

The Manor purchased the Class A common stock of Prana Realty Company I (the Company) in an initial offering in 2007. The Company, through City Partners I (the Partnership), is engaged in the acquisition, operating and the eventual sale of properties.

The periodic valuation of the Company's total portfolio serves as the basis for determining the Company's net asset value, which the Company uses in determining the market value per share for purposes of issuing additional shares or buying back outstanding shares. The market value per share is determined by dividing the Company's net asset value by the number of shares outstanding. At December 31, 2021, the Company has valued each share at \$101,028. This investment is not readily marketable, in part due to regulatory transfer restrictions placed by Prana.

The Organization uses net asset value to determine fair value of the investment in the Company as follows as of December 31, 2021:

	Fair Value	Unfunded Commitments	Redemption Frequency	Redemption Notice Period
Prana Realty Company I	<u>\$1,305,812</u>	<u>\$ -</u>	Semi-annually	95 days advance notice required

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5. Property and Equipment, net

The major categories of property and equipment and accumulated depreciation thereon are as follows as of December 31, 2021:

Buildings and improvements	\$ 50,110,158
Hillcrest assisted living center	4,477,622
Medical center	4,681,580
Administrative and activity building	2,320,464
Pavement resurfacings	486,640
Sprinkler system and well	71,286
Septic drain	161,709
Furnishings and carpeting	631,981
Computer equipment	389,361
Furniture	727,449
Health center equipment	347,917
Kitchen equipment	657,300
Maintenance equipment	222,412
Artwork and collections	145,245
Miscellaneous equipment	1,412,799
Motor vehicles	435,237
Landscaping	1,265,902
Telephone equipment	446,082
Water well	1,450,385
Total depreciable property and equipment	<u>70,441,529</u>
Less accumulated depreciation	<u>(37,925,953)</u>
Net depreciable property and equipment	<u>32,515,576</u>
Land	403,575
Construction in progress	<u>2,962,090</u>
Total property and equipment, net	<u><u>\$ 35,881,241</u></u>

Depreciation expense for year ended December 31, 2021 was \$2,847,395.

6. Post-Retirement Obligation

The Organization entered into an agreement with former President and Chief Executive Officer of the Organization, Jane Ipsen, in October 2020. Under the agreement, Mrs. Ipsen will receive, as severance compensation, an annual payment of \$75,000 for two years beginning January 2021, for a total of \$150,000. The post-retirement obligation at December 31, 2021 is \$75,000.

7. Line of Credit

The Organization obtained a \$7,000,000 non-revolving line of credit arrangement with 1st Capital Bank to finance the sewer extension capital project. The line of credit term is five years and bears interest at 4.25%. The line of credit is secured by a deed of trust on the Organization's property at 8545 Carmel Valley Road in Carmel. At December 31, 2021, the line of credit has an outstanding balance of \$96,058, due May 27, 2026.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
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8. Long-Term Debt

On May 27, 2021, the Organization renegotiated a loan dated December 28, 2011. The renegotiated loan, which supersedes the loan dated 2011, is for the amount of \$3,311,126. The loan is payable in monthly installments of \$24,233, including principal and interest at a fixed rate of 3.95% from May 27, 2021 to May 27, 2026, at which time a one-time balloon payment estimated to be \$2,475,702 is due. The loan payable is secured by a Deed of Trust as defined in the loan agreement. As of December 31, 2021, the outstanding balance is \$3,180,223. The note payable requires the Organization to comply with certain financial covenants, all of which were met at December 31, 2021.

Current maturities on the long-term debt at December 31, 2021 are as follows:

<u>Years ending December 31,</u>	
2022	\$ 168,255
2023	171,877
2024	178,666
2025	185,723
2026	2,475,702
	<u>\$ 3,180,223</u>

9. Deferred Income from Entrance Fees

The changes in the deferred income from entrance fees are as follows as of December 31, 2021:

Balance, beginning of year	\$ 31,906,884
New fees received	6,977,173
Recognition of fees	(4,084,740)
Refunds	(158,599)
Balance, end of year	<u>\$ 34,640,718</u>

10. Employee Retirement Plan

The Organization has a Section 403(b)(7) retirement savings plan. All full-time and part-time employees become eligible to participate in the Plan on their hire date. On-call employees, who work less than 1,000 hours per year, are not eligible to participate in the Plan.

The Organization may match a full-time employee's contribution dollar for dollar up to a maximum of 3 percent of a participant's compensation. To qualify for the employer discretionary matching contribution, the participant must be a full-time employee and a participant in the Plan for a continuous period of two years with no breaks in service. Part-time employees are not eligible for the employer discretionary matching contribution. The amount of matched contributions made by the Organization was \$132,944 in 2021.

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11. Net Assets - With Donor Restrictions

Donor restricted net assets consist for the following purposes as of December 31, 2021:

Subject to expenditure for specified purpose:	
Resident entertainment	\$ 64,612
Healthcare education	45,936
Subject to Organization's spending policy and appropriation:	
Income earned on perpetual endowment	
General operating support	1,692,075
Subject to appropriation and expenditure when a specified event occurs:	
Terminated annuity trust funds	354,673
Not subject to appropriation or expenditure:	
Endowment funds in perpetuity (including original gift amount of \$5,625,425 as of December 31, 2021)	7,159,356
Balance, end of year	<u>\$ 9,316,652</u>

Releases from donor restricted net assets for the year ended December 31, 2021, are as follows:

Releases from restrictions:	
Subject to expenditure for specified purpose:	
Resident entertainment	\$ 6,000
Healthcare education	10,032
Subject to the Organization's spending policy and appropriation:	
General operating support	329,930
	<u>\$ 345,962</u>

12. Board Designated Net Assets

The board designated net assets are comprised of the following at December 31, 2021:

Without donor restrictions	
Designated by the Board for:	
Quasi-endowment	\$ 8,604,555
Resident welfare	120,345
Net assets	<u>\$ 8,724,900</u>

13. Endowment

The Organization's endowment includes both donor-restricted endowment funds and funds designated by the Board to function as endowments. As required by U.S. GAAP, net assets associated with endowment funds, including funds designated by the Board to function as endowments, are classified and reported based on the existence or absence of donor-imposed restrictions.

Interpretation of Relevant Law

The Board of Directors of the Organization has interpreted the Uniform Prudent Management of Institutional Funds Act (UPMIFA), as enacted by California in 2008 as SB 1329 as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment fund absent explicit donor stipulations to the contrary. As a result of this interpretation, the Organization classifies as net assets with donor restrictions (a) the original value of gifts donated to

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the permanent endowment and (b) the original value of subsequent gifts to the permanent endowment and (c) accumulations of earnings or losses to the permanent endowment. The remaining portion of the endowment fund not classified as net assets with donor restrictions is classified as net assets without donor restrictions, board designated. In accordance with UPMIFA, the Organization considers the following factors in making a determination to appropriate or accumulate donor-restricted endowment funds:

- The duration and preservation of the fund.
- The purposes of the Organization and the donor-restricted endowment fund.
- General economic conditions.
- The possible effect of inflation and deflation.
- The expected total return from income and the appreciation of investments.
- Other resources of the Organization.
- The investment policies of the Organization.

Investment Return Objectives and Risk Parameters

The Organization has adopted investment and spending policies for the endowment fund. Under this policy, the endowment assets are invested in a manner that is intended to achieve the balanced accomplishment of current income with the growth and conservation of principal with interest and dividend income to be used to help meet operating expenses. In managing risk within the endowment fund, the objective is to earn a return that allows a significant distribution of grants while striving to preserve the principal, allowing for inflation and expenses, and fulfill the Organization's philanthropic goals into the future.

Strategies Employed for Achieving Objectives

The Organization's investment strategy involves under- and over-weighting various asset classes based on an assessment of the risk and return potential specific to each asset class at any point in time.

Spending Policy and How the Investment Objectives Relate to Spending Policy

The Organization has a policy of appropriating for distribution each year four percent of the average closing market value of all Endowment Fund investments for the three preceding years to be available for general operating purposes. The four percent may be adjusted up or down in the future in order to maintain a fiscally prudent program for distribution consistent with the Organization's objective to grow and conserve principal in the endowment fund with interest and dividend income to be used to help meet the operating expenses, but not the non-operating requirements, of the Organization.

Funds with Deficiencies

From time to time, the fair value of assets associated with individual donor restricted endowment funds, may fall below the level that the donor or UPMIFA requires the Organization to retain as a fund of perpetual duration. There were no such deficiencies as of December 31, 2021.

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Endowment net assets composition by type of fund as of December 31, 2021:

Net assets without donor restrictions:	
Board designated quasi endowment funds	\$ 8,604,555
Net assets with donor restrictions:	
Perpetual endowment to provide income to the Manor and Foundation (Supporting Organization)	5,625,425
Accumulated gains on perpetual endowment	3,226,006
Total net assets with donor restrictions	<u>8,851,431</u>
Total net endowment assets	<u><u>\$17,455,986</u></u>

As of December 31, 2021, the endowment fund is comprised of:

	Without Donor Restrictions	With Donor Restrictions	Total
Assets:			
Investments	\$ 8,604,555	\$ 8,704,979	\$17,309,534
Contribution receivable	-	10,000	10,000
Dividend Receivable	-	136,452	136,452
Total assets	<u>\$ 8,604,555</u>	<u>\$ 8,851,431</u>	<u>\$17,455,986</u>

Changes in endowment net assets for the year ended December 31, 2021:

	Without Donor Restrictions	With Donor Restrictions	Total
Endowment net assets, beginning of year	\$ 7,594,478	\$ 8,082,880	\$15,677,358
Investment income, net	304,181	348,170	652,351
Net realized and unrealized gains	633,790	725,444	1,359,234
Contributions	349,885	24,867	374,752
Amount appropriated for expenditure	<u>(277,779)</u>	<u>(329,930)</u>	<u>(607,709)</u>
Endowment net assets, end of year	<u>\$ 8,604,555</u>	<u>\$ 8,851,431</u>	<u>\$17,455,986</u>

14. Health and Safety Code Section 1790 (A)(3) Disclosure (Unaudited)

Improvements made during December 31, 2021 include (a) facilities and building of \$3,871,554 which consists of unit renovations and structural improvements to the Manor buildings, walkways and landscaping; (b) carpets, furnishings, and floor coverings of \$90,751; (c) computer equipment of \$13,397; and \$161,059 on equipment. The balance in work in progress as of December 31, 2021 was \$2,262,090 which consists mainly of unit renovations in progress.

These improvements are necessary and consistent with the Organization's tax-exempt purpose to maintain and provide facilities to meet the housing, health care and other needs of their residents.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
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15. Related Parties

Board Member Transactions

A current Board member is an employee of a company that provides insurance brokerage services to the Organization. Each year competitive bids are obtained from several insurance companies. In 2021, \$213,533 was paid for premiums to insurance companies represented by the Board member.

Management Transactions

The Organization provides the current President/CEO with a residential unit, owned by the Organization, on the Organization's premises. The unit was provided rent-free during the year ended December 31, 2021. As of January 1, 2022, the President/CEO will pay a monthly rent of \$1,200 per month.

16. Concentrations

Approximately 42% of contribution revenue is from one contributor. Management believes there is minimal risk associated with the concentration.

17. Reclassification of Net Assets

After a thorough review of the Organization's net assets, it was discovered that certain contributions were not classified properly in the prior year. As a result of management's review, the Organization's beginning net assets, as of December 31, 2020, have been reclassified as follows:

	Without Donor Restriction	With Donor Restriction	Total
With donor restriction contributions classified as without donor restriction	\$ (51,868)	\$ 51,868	\$ -

18. Risks and Uncertainties

In March 2020, the World Health Organization declared the outbreak of a novel coronavirus, COVID-19, as a pandemic, which continues to spread throughout the United States. The Organization has taken measures to comply followed and implemented requirements and guidance from the CDC and CADPH and have placed an emphasis on infection protection including social distancing, limited visitation, sanitizing stations throughout the community and limited group activities.

The Organization is currently tracking the expenses incurred due to COVID-19 and has seen an increase in expenses to help manage the pandemic. Additional measures will be taken to safeguard the financial position of the Organization if necessary. The Organization cannot reasonably estimate the length or severity of this pandemic and therefore, at this point, the extent to which COVID-19 may impact the financial condition or results of operations is uncertain.

19. Subsequent Events

In March of 2022, the Organization began the process of issuing an insured revenue and refunding bond, valued at approximately \$35,000,000 through Cal-Mortgage to fund major capital projects. As of the date which the financial statements were available to be issued, the bond is not finalized.

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Management has evaluated subsequent events through April 29, 2022, the date which the financial statements were available to be issued. Except for the event disclosed in the paragraph above, there were no subsequent events which affected the amounts or disclosures in the financial statements.

SUPPLEMENTARY INFORMATION

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATING SCHEDULES FOR THE STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 2021

	Northern California Congregational Retirement Homes, Inc.					Carmel Valley		
	Manor Operating Fund	Manor Annuity Trusts Fund	Manor Alabaster Fund	Manor Residents' Assoc. Fund	Total All Funds	Manor Foundation	Eliminations	Consolidated
Assets								
Current Assets								
Cash and cash equivalents	\$ 8,699,528	\$ 8,724	\$ -	\$ 30,712	\$ 8,738,964	\$ 27,302	\$ -	\$ 8,766,266
Accounts receivable	70,013	1,183	-	-	71,196	-	-	71,196
Contribution receivable	-	-	-	-	-	10,000	-	10,000
Dividend receivable	-	-	-	-	-	136,452	-	136,452
Grant receivable	69,700	-	-	-	69,700	-	-	69,700
Due (to) from other funds	(64,612)	-	64,612	-	-	-	-	-
Prepaid expenses	318,558	-	-	-	318,558	-	-	318,558
Total current assets	9,093,187	9,907	64,612	30,712	9,198,418	173,754	-	9,372,172
Investments	17,179,930	948,027	-	89,633	18,217,590	17,309,534	-	35,527,124
Property and equipment, net	35,881,241	-	-	-	35,881,241	-	-	35,881,241
Total assets	<u>\$ 62,154,358</u>	<u>\$ 957,934</u>	<u>\$ 64,612</u>	<u>\$ 120,345</u>	<u>\$ 63,297,249</u>	<u>\$ 17,483,288</u>	<u>\$ -</u>	<u>\$ 80,780,537</u>
Liabilities and Net Assets								
Liabilities								
Current Liabilities								
Accounts payable	\$ 392,378	\$ -	\$ -	\$ -	\$ 392,378	\$ -	\$ -	\$ 392,378
Accrued liabilities	984,070	-	-	-	984,070	-	-	984,070
Advances from applicants	1,337,901	-	-	-	1,337,901	-	-	1,337,901
Post-retirement obligation	75,000	-	-	-	75,000	-	-	75,000
Current portion of long-term debt	168,255	-	-	-	168,255	-	-	168,255
Total current liabilities	2,957,604	-	-	-	2,957,604	-	-	2,957,604
Line of credit	96,058	-	-	-	96,058	-	-	96,058
Long-term debt, less current portion	3,011,968	-	-	-	3,011,968	-	-	3,011,968
Deferred income from entrance fees	34,640,718	-	-	-	34,640,718	-	-	34,640,718
Annuity obligations	-	603,261	-	-	603,261	-	-	603,261
Total liabilities	40,706,348	603,261	-	-	41,309,609	-	-	41,309,609
Net Assets								
Without donor restrictions, including quasi-endowment funds \$8,604,555	21,402,074	-	-	120,345	21,522,419	8,631,857	-	30,154,276
With donor restrictions	45,936	354,673	64,612	-	465,221	8,851,431	-	9,316,652
Total net assets	21,448,010	354,673	64,612	120,345	21,987,640	17,483,288	-	39,470,928
Total liabilities and net assets	<u>\$ 62,154,358</u>	<u>\$ 957,934</u>	<u>\$ 64,612</u>	<u>\$ 120,345</u>	<u>\$ 63,297,249</u>	<u>\$ 17,483,288</u>	<u>\$ -</u>	<u>\$ 80,780,537</u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATING SCHEDULES FOR THE STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2021

	Northern California Congregational Retirement Homes, Inc.					Carmel Valley		
	Manor Operating Fund	Manor Annuity Trusts Fund	Manor Alabaster Fund	Manor Residents' Assoc. Fund	Total All Funds	Manor Foundation	Eliminations	Consolidated
Changes in Net Assets Without Donor Restrictions								
Revenue and support								
Income from Operations								
Resident care fees	\$ 12,781,115	\$ -	\$ -	\$ -	\$ 12,781,115	\$ -	\$ -	\$ 12,781,115
Amortization of entrance fees	4,084,740	-	-	-	4,084,740	-	-	4,084,740
Other resident services and operating income	288,974	-	-	39,357	328,331	-	-	328,331
Total income from operations	17,154,829	-	-	39,357	17,194,186	-	-	17,194,186
Other Income								
Investment return, net	1,492,631	-	-	13,511	1,506,142	937,971	-	2,444,113
Contributions	972,595	-	-	-	972,595	24,597	(571,708)	425,484
Contributed investments	-	-	-	-	-	325,288	-	325,288
Other income	11,300	-	-	-	11,300	188	-	11,488
Grant revenue	566,452	-	-	-	566,452	-	-	566,452
Total other income	3,042,978	-	-	13,511	3,056,489	1,288,044	(571,708)	3,772,825
Net Assets Released from Restrictions								
Endowment income distribution	-	-	-	-	-	329,930	-	329,930
Healthcare education	10,032	-	-	-	10,032	-	-	10,032
Resident entertainment	43,027	-	-	(37,027)	6,000	-	-	6,000
Total released from restrictions	53,059	-	-	(37,027)	16,032	329,930	-	345,962
Total revenue and support and other income	20,250,866	-	-	15,841	20,266,707	1,617,974	(571,708)	21,312,973
Expenses								
Manor program								
Nursing, assisted living, and medical services	5,547,147	-	-	-	5,547,147	-	-	5,547,147
Resident services	3,094,095	-	-	-	3,094,095	-	-	3,094,095
Dining services	4,789,972	-	-	-	4,789,972	-	-	4,789,972
Facility operations, maintenance, and utilities	3,040,572	-	-	-	3,040,572	-	-	3,040,572
Environmental services	1,110,498	-	-	-	1,110,498	-	-	1,110,498
Management and general	3,677,122	-	-	-	3,677,122	605,786	(571,708)	3,711,200
Total expenses	21,259,406	-	-	-	21,259,406	605,786	(571,708)	21,293,484
Change in net assets without donor restrictions	(1,008,540)	-	-	15,841	(992,699)	1,012,188	-	19,489

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATING SCHEDULES FOR THE STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS (CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2021

	Northern California Congregational Retirement Homes, Inc.					Carmel Valley		
	Manor Operating Fund	Manor Annuity Trusts Fund	Manor Alabaster Fund	Manor Residents' Assoc. Fund	Total All Funds	Manor Foundation	Eliminations	Consolidated
Changes in Net Assets With Donor Restrictions								
Other Income								
Investment return, net	-	59,705	5,532	-	65,237	1,073,614	-	1,138,851
Contributions	4,100	-	-	-	4,100	19,987	-	24,087
Contributed investments	-	-	-	-	-	4,880	-	4,880
Change in value of split interest trusts	-	(37,881)	-	-	(37,881)	-	-	(37,881)
Total other income	4,100	21,824	5,532	-	31,456	1,098,481	-	1,129,937
Net Assets Released from Restrictions								
Endowment income distribution	-	-	-	-	-	(329,930)	-	(329,930)
Healthcare education	(10,032)	-	-	-	(10,032)	-	-	(10,032)
Resident entertainment	-	-	(6,000)	-	(6,000)	-	-	(6,000)
Total released from restrictions	(10,032)	-	(6,000)	-	(16,032)	(329,930)	-	(345,962)
Change in net assets with donor restrictions	(5,932)	21,824	(468)	-	15,424	768,551	-	783,975
Change in Net Assets	(1,014,472)	21,824	(468)	15,841	(977,275)	1,780,739	-	803,464
Net Assets, Beginning of Year								
Without donor restrictions	22,410,614	-	-	104,504	22,515,118	7,619,669	-	30,134,787
With donor restrictions - as restated (Note 17)	51,868	332,849	65,080	-	449,797	8,082,880	-	8,532,677
Total net assets, beginning of year	22,462,482	332,849	65,080	104,504	22,964,915	15,702,549	-	38,667,464
Net Assets, End of Year								
Without donor restrictions	21,402,074	-	-	120,345	21,522,419	8,631,857	-	30,154,276
With donor restrictions	45,936	354,673	64,612	-	465,221	8,851,431	-	9,316,652
Total Net Assets, End of Year	\$ 21,448,010	\$ 354,673	\$ 64,612	\$ 120,345	\$ 21,987,640	\$ 17,483,288	\$ -	\$ 39,470,928

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
SCHEDULE OF FUNDS AND PURPOSE
FOR THE YEAR ENDED DECEMBER 31, 2021

FUNDS:	PURPOSE:
Manor Operating Fund	The Manor <i>Operating Fund</i> comprises resources that are available for support of the Manor's operations.
Manor Annuity Trusts Fund	The <i>Charitable Remainder Annuity Trusts Fund</i> (Manor Annuity Trusts Fund) consists of the remaining principal amounts of annuity gifts to the Manor. Under individual trust agreements, the Manor is required to pay stipulated annuities to the donor over the donor's lifetime. The contribution portion of the gift is determined in the year the trust is established and recorded on the consolidated statement of activities and changes in net assets, as the difference between the fair value of the trust assets and the present value of the estimated annuity payments to be paid over the expected life of the annuitant using a discount rate of 7.05% in 2021 which is recorded as a liability on the consolidated statement of financial position. Subsequent to initial recognition, the liability is adjusted for discount amortization and revaluations of future payments to beneficiaries based on life expectancies, which are recognized as the change in value of split interest agreements on the consolidated statement of activities and changes in net assets. The remaining liability reverts to the Organization upon death of the donor. The annuitants have designated that, upon termination, the remaining principal of each Annuity Trust be transferred to either Part A or Part B of the Organization's endowment. Assets held in the charitable remainder trusts totaled \$957,934 at December 31, 2021, and are reported at fair value in the consolidated schedule for the statement of financial position.
Manor Alabaster Fund	The Manor <i>Alabaster Fund</i> is comprised of a contribution to be used for resident entertainment. The income earned and up to 10 percent of the principal may be used annually in the Alabaster Fund.
Manor Residents' Association Fund	The Manor <i>Residents' Association Fund</i> is comprised of income from the ROSE shop and donations designated for use by the Association. Funds are used by the Association, through the Residents' Council and its committees, primarily to advance the welfare of residents.
Carmel Valley Manor Foundation	The <i>Carmel Valley Manor Foundation Fund</i> is comprised of two parts, Part A and Part B - <i>Part A</i> consists of (1) donations, gifts, bequests made to the Foundation and without donor restricted bequests apparently intended to be enduring and in compliance with the purpose of the fund; (2) remainder interests in those Charitable Remainder Annuity Trusts terminated prior to March 1, 1994; (3) those trusts created prior to March 1, 1994 unless the trustors have specified in writing that the remainder interests shall be placed in Part B; and (4) those trusts created on or after March 1, 1994 with the written consent of the trustors. The principal of Part A shall accumulate and be retained in perpetuity to provide increasing income to the Foundation and may be used only to meet the statutory reserve requirements of the state of California or to meet unforeseen emergencies if the assets in Part B are insufficient for these purposes. The investment return on Part A assets are included in net assets with donor restrictions. <i>Part B</i> consists of (1) any funds transferred from the Foundation's reserve (operating) fund at the designation of the Board; (2) remainder interests in trusts created prior to March 1, 1994 with the written consent of the trustors; and (3) remainder interests in trusts created on or after March 1, 1994 provided the trustors have not specified in writing that such remainder interests shall be placed in Part A. The principal of Part B has no outside restrictions and can be utilized with the approval of the Board of Trustees for: unforeseen emergencies; funding improvements that are financially sound and will substantially improve the quality of life at the Manor; compliance with regulatory requirements; reducing operating expenses and debt that may have been or may be incurred to fund improvements.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF NET ASSETS WITH DONOR RESTRICTIONS
FOR THE YEAR ENDED DECEMBER 31, 2021

	Operating Fund	Endowment Part A	Annuity Trusts Fund	Alabaster Fund	Total
Assets					
Cash	\$ 45,936	\$ -	\$ 8,724	\$ -	\$ 54,660
Accounts receivable	-	-	1,183	-	1,183
Contributions receivable	-	10,000	-	-	10,000
Dividend receivable	-	136,452	-	-	136,452
Due (to) from other funds	-	-	-	64,612	64,612
Total current assets	45,936	146,452	9,907	64,612	266,907
Investments	-	8,704,979	948,027	-	9,653,006
Total assets	<u>\$ 45,936</u>	<u>\$8,851,431</u>	<u>\$ 957,934</u>	<u>\$ 64,612</u>	<u>\$9,919,913</u>
Liabilities and Net Assets					
Annuity obligations	\$ -	\$ -	\$ 603,261	\$ -	\$ 603,261
Net assets with donor restrictions	45,936	8,851,431	354,673	64,612	9,316,652
Total liabilities and net assets	<u>\$ 45,936</u>	<u>\$8,851,431</u>	<u>\$ 957,934</u>	<u>\$ 64,612</u>	<u>\$9,919,913</u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF NET ASSETS WITH DONOR RESTRICTIONS
(CONTINUED)

FOR THE YEAR ENDED DECEMBER 31, 2021

	Operating Fund	Endowment Part A	Annuity Trusts Fund	Alabaster Fund	Total
Other Income (loss)					
Investment return, net	\$ -	\$1,073,614	\$ 59,705	\$ 5,532	\$1,138,851
Contributions	4,100	24,867	-	-	28,967
Change in value of split-interest trusts:					
Revaluation of trust obligations	-	-	(37,881)	-	(37,881)
Total other income	<u>4,100</u>	<u>1,098,481</u>	<u>21,824</u>	<u>5,532</u>	<u>1,129,937</u>
Net Assets Released from Restrictions					
Endowment income distribution	-	(329,930)	-	-	(329,930)
Satisfaction of program restrictions:					
Entertainment	-	-	-	(6,000)	(6,000)
Healthcare education	<u>(10,032)</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>(10,032)</u>
Total released from restrictions	<u>(10,032)</u>	<u>(329,930)</u>	<u>-</u>	<u>(6,000)</u>	<u>(345,962)</u>
Change in Net Assets	<u>(5,932)</u>	<u>768,551</u>	<u>21,824</u>	<u>(468)</u>	<u>783,975</u>
Net Assets, Beginning of Year	<u>51,868</u>	<u>8,082,880</u>	<u>332,849</u>	<u>65,080</u>	<u>8,532,677</u>
Net Assets, End of Year	<u><u>\$ 45,936</u></u>	<u><u>\$8,851,431</u></u>	<u><u>\$ 354,673</u></u>	<u><u>\$ 64,612</u></u>	<u><u>\$9,316,652</u></u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF DESIGNATED NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2021

	Operating Fund	Endowment Part B	Residents' Association Fund	Total
Assets				
Cash	\$ -	\$ -	\$ 30,712	\$ 30,712
Total current assets	-	-	30,712	30,712
Investments	-	8,604,555	89,633	8,694,188
Total assets	<u>\$ -</u>	<u>\$8,604,555</u>	<u>\$ 120,345</u>	<u>\$8,724,900</u>
Liabilities and Net Assets				
Designated net assets	\$ -	\$8,604,555	\$ 120,345	\$8,724,900
Total liabilities and net assets	<u>\$ -</u>	<u>\$8,604,555</u>	<u>\$ 120,345</u>	<u>\$8,724,900</u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF DESIGNATED NET ASSETS (CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2021

	Operating Fund	Endowment Part B	Residents' Association Fund	Total
Income from Operations				
Other resident services and operating income	\$ -	\$ -	\$ 39,357	\$ 39,357
Other Income				
Investment return, net	-	937,971	13,511	951,482
Contributions	-	349,885	-	349,885
Total other income	-	1,287,856	13,511	1,301,367
Net Assets Released from Restrictions				
Endowment income distribution	-	(255,406)	-	(255,406)
Board-designated transfers	-	(22,373)	(37,027)	(59,400)
Total released from restrictions	-	(277,779)	(37,027)	(314,806)
Change in Net Assets	-	1,010,077	15,841	1,025,918
Net Assets, Beginning of Year	-	7,594,478	104,504	7,698,982
Net Assets, End of Year	\$ -	\$8,604,555	\$ 120,345	\$8,724,900

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**NORTHERN CALIFORNIA CONGREGATIONAL
RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED FINANCIAL STATEMENTS
with
INDEPENDENT AUDITORS' REPORT
and
SUPPLEMENTARY INFORMATION
DECEMBER 31, 2020**

**McGILLOWAY, RAY, BROWN & KAUFMAN
ACCOUNTANTS & CONSULTANTS**

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INDEPENDENT AUDITOR'S REPORT

Board of Directors
Northern California Congregational Retirement
Homes, Inc. and Supporting Organization
Carmel, California

We have audited the accompanying consolidated financial statements of Northern California Congregational Retirement Homes, Inc. (a nonprofit organization) and Supporting Organization, which comprise the consolidated statement of financial position as of December 31, 2020, and the related consolidated statements of activities and changes in net assets, functional expenses, and cash flows for the year then ended and the related notes to the consolidated financial statements.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Gerald C. Ray, CPA | Patricia M. Kaufman, CPA, CGMA | Jesus Montemayor, CPA | Smriti Shrestha, CPA

Sarita C. Shannon, CPA | Whitney Ernest, CPA | Devvyn MacBeth, CPA | Sukhdev Singh, CPA
Laura Armbruster, CPA | Rose Maxwell, CPA

Opinion

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Northern California Congregational Retirement Homes, Inc. and Supporting Organization as of December 31, 2020, and the results of its activities and changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matter

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying consolidating schedules for the statement of financial position, consolidating schedules for the statement of activities and changes in net assets, schedule of funds and purpose, combining schedules of net assets with donor restrictions and the combining schedules of designated net assets are presented for the purpose of additional analysis, and is not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the consolidated financial statements as a whole.



McGilloway, Ray, Brown & Kaufman
Salinas, California
April 30, 2021

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 2020**

Assets

Current Assets	
Cash and cash equivalents	\$ 9,584,411
Accounts receivable	423,736
Current portion of contributions receivable	47,000
Prepaid expenses	330,911
Total current assets	10,386,058
Contributions receivable, less current portion	10,000
Investments	32,549,789
Property and equipment, net	34,592,741
Total assets	<u>\$77,538,588</u>

Liabilities and Net Assets

Liabilities	
Current Liabilities	
Accounts payable	\$ 533,652
Accrued liabilities	886,272
Advances from applicants	893,002
Deferred revenue	484,634
Current portion of post-retirement obligation	75,000
Current portion of long-term debt	145,071
Total current liabilities	3,017,631
Long-term debt, less current portion	3,189,364
Deferred income from entrance fees, net	31,906,884
Annuity obligations	685,816
Post-retirement obligation, less current portion	71,429
Total liabilities	<u>38,871,124</u>
Net Assets	
Without donor restrictions, including quasi-endowment funds \$7,594,487	30,186,655
With donor restrictions	8,480,809
Total net assets	<u>38,667,464</u>
Total liabilities and net assets	<u>\$77,538,588</u>

The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2020**

Changes in Net Assets Without Donor Restrictions

Revenues and support

Income from Operations

Resident care fees	\$ 12,386,289
Amortization of entrance fees	5,266,585
Other resident services and operating income	<u>272,664</u>
Total income from operations	<u>17,925,538</u>

Other Income (expense)

Investment return, net	2,444,040
Contributions	481,639
Other income (expense)	(7,968)
Payroll Protection Program conditional grant	<u>1,652,900</u>
Total other income	<u>4,570,611</u>

Net Assets Released from Restrictions

Endowment income distribution	305,880
Remainder of terminated annuity trusts	76,027
Resident entertainment	<u>6,000</u>
Total released from restrictions	<u>387,907</u>

Total revenue and other support	<u>22,884,056</u>
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Expenses

Program

Nursing, assisted living, and medical services	4,986,636
Resident services	2,876,605
Dining services	4,826,789
Facility operations, maintenance, and utilities	2,745,204
Environmental services	<u>1,207,575</u>
Total program	16,642,809

Management and general	<u>3,511,836</u>
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Total expenses	<u>20,154,645</u>
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Change in net assets without donor restrictions	<u>2,729,411</u>
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The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
(CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2020**

Changes in Net Assets With Donor Restrictions

Other Income

Investment return, net	849,473
Change in value of split interest trusts	(69,558)
Total revenue and support	<u>779,915</u>

Net Assets Released from Restrictions

Endowment income distribution	(305,880)
Remainder of terminated annuity trusts	(76,027)
Resident entertainment	(6,000)
Total released from restrictions	<u>(387,907)</u>

Change in net assets with donor restrictions	<u>392,008</u>
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Change in Net Assets	<u><u>3,121,419</u></u>
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Net Assets, Beginning of Year

Without donor restrictions	27,457,244
With donor restrictions	<u>8,088,801</u>
Total net assets, beginning of year	<u>35,546,045</u>

Net Assets, End of Year

Without donor restrictions	30,186,655
With donor restrictions	<u>8,480,809</u>

Total Net Assets, End of Year	<u><u>\$ 38,667,464</u></u>
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The accompanying notes are an integral part of these consolidated financial statements.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF FUNCTIONAL EXPENSES
FOR THE YEAR ENDED DECEMBER 31, 2020

	Nursing, Assisted Living, & Medical Services	Resident Services	Dining Services	Facility Operations, Maintenance & Utilities	Environ- mental Services	Total Program	Management & General	Total Expenses
Salaries and compensation	\$ 3,072,587	\$ 515,175	\$ 2,411,181	\$ 863,342	\$ -	\$ 6,862,285	\$ 994,737	\$ 7,857,022
Employee benefits and taxes	1,136,325	211,640	1,108,766	353,100	18,123	2,827,954	470,461	3,298,415
Outside services	95,102	3,976	8,047	16,937	1,144,724	1,268,786	163,687	1,432,473
Professional fees	-	-	-	-	-	-	438,383	438,383
Bank and processing fees	-	-	-	-	-	-	91,306	91,306
Advertising and promotion	-	-	-	-	-	-	62,944	62,944
Office	-	-	-	-	-	-	19,408	19,408
Information technology	-	-	-	-	-	-	61,419	61,419
Occupancy	2,252	-	-	1,025,845	-	1,028,097	25,266	1,053,363
Travel	198	11,578	1,589	-	-	13,365	11,564	24,929
Conferences and meetings	-	-	-	-	-	-	3,690	3,690
Interest	-	-	-	-	-	-	156,820	156,820
Depreciation	458,301	2,122,686	79,405	21,396	2,089	2,683,877	13,814	2,697,691
Insurance	-	-	-	-	-	-	717,633	717,633
Uniforms	3,976	256	21,102	4,512	2,118	31,964	-	31,964
Supplies	127,475	2,013	165,186	19,088	38,375	352,137	26,347	378,484
Repairs and maintenance	246	3,987	-	361,229	1,186	366,648	-	366,648
Landscaping	-	-	-	59,999	-	59,999	-	59,999
Food	-	-	1,018,338	-	-	1,018,338	2,611	1,020,949
Cleaning and maintenance	42	-	2,865	-	960	3,867	-	3,867
License and permits	-	3,220	177	2,951	-	6,348	53,959	60,307
Pharmacy and medical	77,760	-	-	-	-	77,760	-	77,760
Education	10,226	125	1,172	675	-	12,198	2,184	14,382
Dues and subscriptions	282	-	120	-	-	402	37,947	38,349
COVID-19 Testing	-	-	-	-	-	-	71,600	71,600
Miscellaneous	1,864	1,949	2,458	16,130	-	22,401	4,399	26,800
Resident moving	-	-	-	-	-	-	10,832	10,832
Recruiting and fingerprinting	-	-	-	-	-	-	35,872	35,872
Party, music, and activity	-	-	6,383	-	-	6,383	-	6,383
Collateral production	-	-	-	-	-	-	34,953	34,953
Total expenses	<u>\$ 4,986,636</u>	<u>\$ 2,876,605</u>	<u>\$ 4,826,789</u>	<u>\$ 2,745,204</u>	<u>\$ 1,207,575</u>	<u>\$16,642,809</u>	<u>\$ 3,511,836</u>	<u>\$20,154,645</u>

The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2020**

Cash Flows from Operating Activities

Cash received for resident care fees	\$ 12,166,114
Cash received from entrance fees	4,354,003
Cash received for other resident services and operating income	213,325
Cash received for services to nonresidents	59,339
Unrestricted investment income received	967,756
Unrestricted contributions received	481,639
Cash received from operations	3,042
Cash received from government grants	2,137,534
Cash paid for suppliers, employees and others	(16,893,121)
Interest paid	(156,820)
Net cash provided by operating activities	<u>3,332,811</u>

Cash Flows from Investing Activities

Proceeds from sale of investments	4,234,726
Purchase of investments	(4,778,355)
Purchase of property and equipment	(3,215,409)
Net cash used by investing activities	<u>(3,759,038)</u>

Cash Flows from Financing Activities

Repayment of long-term debt	(138,111)
Restricted contributions - perpetual endowment	275,444
Investment income restricted for reinvestment	219,268
Investment income released from restrictions	(305,880)
Payment of annuity obligations	(136,710)
Payment of remainder of interest in annuity trusts	(76,027)
Net cash used by financing activities	<u>(162,016)</u>

Net decrease in cash and cash equivalents (588,243)

Cash and cash equivalents, beginning of year 10,172,654

Cash and cash equivalents, ending of year \$ 9,584,411

The accompanying notes are an integral part of these consolidated financial statements.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2020

1. Nature of Operations and Summary of Significant Accounting Policies

Nature of Operations

The Northern California Congregational Retirement Homes, Inc. (the “Manor”) and the Carmel Valley Manor Foundation (the “Foundation”) are separate nonprofit public benefit corporations located in Carmel, California.

The Northern California Congregational Retirement Homes, Inc. operates Carmel Valley Manor, a life care facility located in Carmel, California. The Manor opened in October 1963 and consists of 148 independent living units including five single-family homes adjacent to the original Manor property, 24 assisted living units and 36 medical center beds. The Manor provides meals, lodging, most medical care and miscellaneous services to approximately 207 residents.

The Carmel Valley Manor Foundation is a Type I supporting organization of the Manor. The Foundation was incorporated in August of 2017 by a Board resolution of the Manor, to provide fundraising and other financial support for the charitable activities of the Manor, including (1) providing financial assistance to qualified low income residents of retirement facilities through the Grace and Favor program and (2) engaging in additional planned giving.

Principles of Consolidation

The consolidated financial statements include the accounts of the Manor and its supporting organization, the Foundation (collectively, the “Organization”). The Manor shares a common governing board with and has an ongoing economic interest in the Foundation. As a result, these entities are financially interrelated, and consolidation is required under accounting principles generally accepted in the United States. All significant intercompany transactions and balances have been eliminated in consolidation.

Basis of Presentation

The accompanying consolidated financial statements of the Organization are presented using the accrual basis of accounting in accordance with the accounting principles generally accepted in the United States of America (GAAP). In the consolidated statement of financial position, assets and liabilities are presented in order of liquidity or conversion to cash and their maturity, resulting in the use of cash, respectively.

Fund Accounting

The accounts of the Organization have been maintained in accordance with principles of fund accounting. Under these principles, resources are classified for accounting purposes into funds established according to their nature and purpose.

Classes of Net Assets

The classification of a not-for-profit entity’s net assets and its support, revenue and expenses is based on the existence or absence of donor-imposed restrictions. Therefore, it requires that the amounts for each of the classes of net assets with donor restrictions and without donor restrictions be displayed in the consolidated statement of financial position and that the amounts of change in each of those classes of net assets be displayed in the consolidated statement of activities. The classes of net assets are defined as follows:

Net assets without donor restrictions – Net assets available for use in general operations and not subject to donor or grantor restrictions over which the Board of Trustees have discretionary control in carrying out the operations of the Organizations.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2020

Net assets with donor restrictions – Net assets subject to donor or grantor-imposed restrictions and for which the applicable restriction was not met as of the year end of the current reporting period. Some restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity.

Accounting Estimates

The preparation of the consolidated financial statements in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from these estimates.

Cash and Cash Equivalents

For the purposes of the consolidated statement of financial position and the consolidated statement of cash flows, cash and cash equivalents consist of cash and other highly liquid resources, such as money market funds, with an original maturity of three months or less when purchased.

Concentration of Credit Risk

Financial instruments that potentially subject the Organization to a concentration of credit risk consists principally of cash. The Organization maintains cash accounts exceeding the federally insured limit of \$250,000. The Organization also maintains cash in brokerage accounts that are not federally insured. At December 31, 2020, cash and cash equivalents exceeded the Federal Deposit Insurance Corporation maximum insured by \$608,173. Management believes the Organization is not exposed to significant credit risk relating to cash.

Accounts Receivable and Allowance for Doubtful Accounts

Accounts receivable consists primarily of amounts due from residents for the monthly care fees and routine medical services and are subject to credit risk. Risk associated with these receivables is mitigated by periodic review of the resident accounts.

When necessary, the Organization provides for probable uncollectible amounts through a provision for bad debt expense and an adjustment to the allowance for doubtful accounts based on its assessment of the current status of individual accounts. Balances that are still outstanding after management has used reasonable collection efforts are written off through a charge to the allowance for doubtful accounts. The Organization has determined there is no need for an allowance for doubtful accounts at December 31, 2020.

Contributions Receivable

Contributions receivable are unconditional promises to give that are recognized as contributions when the promise is received. Management has determined that all contribution receivables are collectible in full, therefore no allowance for uncollectible receivables has been provided.

At December 31, 2020, the amount contributions receivable due within one year is \$47,000 and \$10,000 is due to be received between one and two years. The fair value of the payments due in more than one year, approximate the carrying amounts and no present value discount was considered necessary.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2020

Investments

Investments in common stock, bond and equity mutual funds, and alternative investments are measured at fair value, which is the price that would be received if the investment was sold in an orderly transaction between market participants at the measurement date. Prana Realty Company I (Prana) investments are valued at the amounts reported to the Organization by Prana and the Organization's investment advisors. These amounts are generally reported at carrying value, which the Organization believes is a reasonable approximation of fair value.

Increases or decreases in fair value are recognized in the period in which they occur. Investment return is presented net of investment fees.

The Organization's investments are managed by investment advisors. The fair values are subject to various risks including changes in the equity markets, the interest rate environment, and general economic conditions. Due to the level of risk associated with certain investments securities and the level of uncertainty related to changes in fair value of investment securities, it is reasonably possible that the amounts reported in the accompanying consolidated financial statements could change materially in the near term.

Property and Equipment

Property and equipment are carried at cost, if purchased, or at fair value at the date of the gift if donated, less accumulated depreciation. It is the Organization's policy to capitalize property and equipment purchases over \$5,000 and a minimum useful life of two years. Major additions, alterations and improvements are capitalized. Repairs and maintenance are charged to expense as incurred. The cost and accumulated depreciation of items disposed of are removed from the accounts, and any gain or loss is included in the consolidated statements of activities and changes in net assets.

Depreciation is provided using the straight-line method at rates based on the estimated economic useful lives of the individual classes of assets ranging from five to 40 years.

Advances from Applicants

Advances from applicants consist of deposits received from applicants who have not signed a continuing care contract as of December 31, 2020. Deposits are 100% refundable prior to establishing occupancy. When residency is established, deposited amounts are applied to the remaining entrance fee payment.

Deferred Income from Entrance Fees

Entrance fees are those paid by the resident as a condition of admission to the Manor for future services and use of the facilities, as specified in the Resident Agreement (Agreement). The entrance fees entitle the resident to the use of the residential facilities; access to amenities and social services; and the provision of, or access to, certain health care services.

Entrance fees are 100% refundable within 90 days of occupancy. Subsequent to the initial 90 days of occupancy, in which either the Organization or the resident can cancel, the Organization will refund entrance fees upon termination of contract, minus a charge of 1.5% percent of the entrance fee for each month or partial month from the date the resident signed the Agreement until the date the resident makes their unit available to the Organization. No entrance fees were refunded during the year ended December 31, 2020. As of December 31, 2020, the Organization had \$14,721,540 of deferred entrance fees that are contractually refundable based upon the terms of the Organization's refund policy. Based upon the Organization's history of issuing refunds, a refund reserve is not considered necessary as of December 31, 2020.

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The nonrefundable portion of the entrance fees paid by a resident upon entering into a continuing care contract are recorded as deferred revenue and are amortized to income using the straight-line method over the estimated remaining life expectancy of the resident. A resident's actuarially determined life expectancy is adjusted on the resident's date of birth, permanent move to a different level of care and, if applicable, upon the death of the other resident who is a party to the continuing care contract. Entrance fees nonrefundable, net totaled \$17,185,344 at December 31, 2020.

Obligation to Provide Future Services

The Organization records a liability for the obligation to provide future services and the use of facilities to current residents when such costs are estimated to exceed anticipated revenues and the balance of unamortized entrance fees. Costs are comprised of per capita costs for all residents plus depreciation expense. For December 31, 2020, the per capita costs are calculated based upon a 3 percent annual increase in costs multiplied by a life expectancy factor for each resident. Anticipated revenues from the few contracts for which there are no fee increases, are calculated as current monthly fees multiplied by a life expectancy factor for each resident. For December 31, 2020, anticipated revenues for all other contracts are calculated as current monthly fees with a 3 percent annual increase multiplied by a life expectancy factor for each resident.

For December 31, 2020, the present value of future cash inflows and outflows is calculated with a discount rate of 5 percent. Amortization expense is computed based upon expense per average number of residents multiplied by a total annuity factor for all residents.

The California Health and Safety Code Section 1790 mandates a statutory reserve and a liquid asset requirement. The mandates were met for the year ended December 31, 2020. A reserve fund escrow is not required for the Organization.

As of December 31, 2020, future revenues were estimated to exceed costs to provide future services, therefore, no long-term care commitment liability is necessary.

Annuity Trusts

Annuity obligations consists of the remaining principal amounts of annuity gifts to the Organization. Under individual trust agreements, the Organization is required to pay stipulated annuities to the donor over the donor's lifetime. The contribution portion of the gift is determined in the year the trust is established and recorded on the consolidated statement of activities and changes in net assets, as the difference between the fair value of the trust assets and the present value of the estimated annuity payments to be paid over the expected life of the annuitant using a discount rate of 7.31% in 2020, which is recorded as a liability on the consolidated statement of financial position.

Subsequent to initial recognition, the liability is adjusted for discount amortization and revaluations of future payments to beneficiaries based on life expectancies, which are recognized as the change in value of split interest agreements on the consolidated statement of activities and changes in net assets. The remaining liability reverts to the Organization upon death of the donor. The annuitants have designated that, upon termination, the remaining principal of each Annuity Trust be transferred to either Part A or Part B of the Organization's endowment. Assets held in the charitable remainder trusts totaled \$1,018,665 at December 31, 2020 and are reported at fair value in the consolidated statement of financial position.

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Revenue Recognition

Resident Care Fees

The Organization operates primarily under the “continuing care” concept in which residents enter into a residential contract that generally provides for a specified entrance fee, with certain options for refunds, and for monthly service fees throughout the residents’ tenancy. Generally, payment of these fees entitles residents to the use and privileges of the Manor for life. Residents are also entitled to certain health care services provided in the Manor assisted living and skilled nursing facility at the same monthly fee as paid in independent living. The residency agreement does not entitle the residents to an ownership interest in the Manor. The fees charged under this contract includes periodic resident care fees and advance entrance fees.

Resident care fees revenue is the amount that reflects the consideration to which the Organization expects to be entitled to in exchange for standing ready to provide services to the residents under a continuing care contract. Revenue is recognized in the month in which the performance obligations are satisfied.

Other Resident Services

Other resident services revenue is reported at the amount that reflects the consideration to which the Organization expects to be entitled to in exchange for providing these services. The transaction price charged to the resident is based on personal preference or usage of optional services provided by the Organization. Fees are based on published rates, paid monthly for services not covered by the monthly periodic resident care fees and are billed in arrears.

Performance Obligations

Performance obligations are determined based on the nature of the services provided by the Organization. Revenue for performance obligations satisfied over time is recognized based on actual charges incurred in relation to total expected charges. The Organization believes that this method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. The Organization measures performance obligation for resident care fees as a series of distinct services that are considered one performance obligation that is satisfied over time.

Transaction Price

The Organization determines the transaction price based on standard charges for goods and services provided, reduced by contractual adjustments provided to third-party. The Organization determines its estimates of contractual adjustments based on contractual agreements and historical experience.

Third-Party Payors

Agreements with third-party payors provide the payment at amounts less than established charges. As summary of the payment arrangements with third-party payors follows:

Medicare – The Organization provides care to residents under the Medicare Part B program. Revenue from Medicare accounts for approximately 0.5% of the resident care fees revenue for the year ended December 31, 2020. Certain health care services are paid at prospectively determined rates per discharge based on clinical, diagnostic or other factors. Certain services are paid based on a cost-reimbursement methodology subject to certain limits. Physical services are paid based on established fee schedules.

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Secondary Insurance - Payment agreements with certain commercial insurance carriers, health maintenance organization and preferred provider organizations provide for payment using prospectively determined rates per discharge, discounts for established charges, and prospectively determined daily rates.

Laws and regulations concerning government programs, including Medicare, are complex and subject to varying interpretation. As a result, compliance with such laws and regulations may be subject to future government review and interpretation as well as regulatory action, including fines, penalties, and potential exclusion from the related program. There can be no assurance that regulatory authorities will not challenge the Organization's compliance with these laws and regulations, and it is not possible to determine the impact (if any) such claims would have upon the Organization. The Organization believes that is in compliance with all applicable laws and regulations.

Amortization of Entrance Fees

Residents under the declining refundable contract, pay an entrance fee that provides a 100% refund upon death or withdrawal during the first three months of occupancy. Subsequent to the initial 90 days of occupancy, the refund declines by 1.5% per month of occupancy. The non-refundable portion of entrance fees paid by residents are recorded as deferred revenue from entrance fees in the consolidated statement of financial position. The basic residency agreement creates a performance obligation to be satisfied over the resident's remaining life at the Organization. The Organization recognizes the revenue associated with the entrance fee using a straight-line method over the actuarially determined life of each resident. Resident life expectancies are reevaluated annually and changes in the revenue as a result of the revaluation will be recognized in the period noted. As of December 31, 2020, the Organization had approximately \$31,906,884 in deferred entrance fee revenue to be recognized as the performance obligations are satisfied. See Note 8 for changes in the deferred entrance fee revenue for the year ended December 31, 2020. The performance obligation is satisfied upon termination of the residency agreement.

Contract service revenue related balances as of December 31, 2020 were as follows:

	Beginning Balance	Ending Balance
Accounts receivable	\$ 201,206	\$ 423,736

Contributions

The Organization recognizes contributions when cash, securities or other assets, an unconditional promise to give, or a notification of a beneficial interest is received. Contribution revenue is recorded as an increase in net assets without donor restrictions unless their use is limited by time or donor-imposed restrictions. Gifts received with a donor stipulation that limits their use are reported as revenue and net assets with donor stipulations. When a donor-stipulated time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the consolidated statement of activities and changes in net assets as net assets released from restrictions. Gifts having donor stipulations that are satisfied in the period the gift is received are reported as revenue and net assets without donor restrictions. Gifts and investment income that are originally restricted by donor and for which the restriction is met in the same period are recorded with donor restrictions and then released from restriction. Donations of investments are reported at fair value at the time of gift.

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Government Grants

Support and revenue from governmental grants are recognized as revenue when donor-imposed conditions are met. These revenues are subject to right of return if funds are not spent and have other performance and/or control barriers that must be met to be entitled to the funds. For this reason, the Organization's grant revenues are considered to be conditional, and revenue is recognized as funds are utilized for programmatic activities specified in the grant agreement. Accordingly, amounts received, but not recognized as revenue, are classified in the consolidated statement of financial position as deferred revenues. Government grants received during the year include \$1,652,900 for the Payroll Protection Program, recognized in the Statement of Activities, and \$484,634 from Health and Human Services, which has been recorded as deferred revenue.

Measure of Operations

The consolidated statement of activities and changes in net assets reports all changes in net assets, including changes in net assets from operating and non-operating activities. Operating activities consist of those items attributable to the Organization's ongoing activities. Non-operating activities are limited to resources that generate return from investments, endowment contributions, and other activities considered to be of a more unusual or nonrecurring nature.

Advertising

Advertising costs are expensed as incurred and amounted to \$62,944 for the year ended December 31, 2020.

Income Tax

The Manor and the Foundation are exempt from federal and California income taxes under Section 501(c)(3) of the Internal Revenue Code ("IRC") and the corresponding California provisions, except to the extent of unrelated business income ("UBIT") as defined by the IRC.

The Organization accounts for uncertainty in income taxes using a recognition threshold of more-likely-than-not to be sustained upon examination by the appropriate taxing authority. Measurement of the tax uncertainty occurs if the recognition threshold is met. Management determined there were no tax uncertainties that met the recognition threshold in 2020.

Presentation of Certain Taxes

The Organization collects sales and occupancy taxes and remits these amounts to applicable taxing authorities. The Organization's accounting policy is to exclude these taxes from revenues and expenses.

Upcoming Accounting Standards Updates (ASU)

ASU 2016-02

In February 2016, the FASB issued ASU No. 2016-02, which amends the FASB Accounting Standards Codification and creates Topic 842, *Leases*, requiring organizations to recognize lease assets and lease liabilities on the statement of net position and requiring disclosure of key information about leasing arrangements. The guidance is effective for periods beginning after December 15, 2021. ASU No. 2016-02, as amended, mandates a modified retrospective transition method. The Organization is currently evaluating the impact of the pending adoption of this new standard on its financial statements and expects the impact to be de minimis.

ASU 2018-08

In June 2018, the FASB issued ASU No. 2018-08, Not-For-Profit Entities (Topic 958): *Clarifying the Scope and the Accounting Guidance for Contributions Received and Contributions Made*. The amendments in this Update provide a more robust framework to determine when a transaction should be accounted for as a contribution under Subtopic 958- 605

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or as an exchange transaction accounted for under other guidance (for example, Topic 606). The amendments also provide additional guidance about how to determine whether a contribution is conditional. The amendments provide for additional clarifying guidance resulting in greater consistency in application and make the accounting for contributions more operable. The guidance is effective for periods beginning after December 15, 2019. The amendments in this Update should be applied on a modified prospective basis. Retrospective application is permitted. The Organization is currently evaluating the impact of the pending adoption of this new standard on its financial statements and expects the impact to be de minimis.

ASU 2020-07

In September 2020, the FASB issued ASU No. 2020-07 (Topic 958), *Presentation and Disclosures by Not-for-Profit Entities for Contributed Nonfinancial Assets*. The FASB ASU requires nonprofits to change their financial statement presentation and disclosure of contributed nonfinancial assets, or gifts-in-kind. The FASB issued the update in an effort to improve transparency in reporting nonprofit gifts-in-kind. The guidance is effective for periods beginning after June 15, 2021. The amendment in this Update is required to be applied on a retrospective basis. The Organization is currently evaluating the impact of the pending adoption of this new standard on its financial statements and expects the impact to be de minimis.

Functional Expenses

The costs of providing the various programs and other activities have been summarized on a functional basis in the consolidated statement of activities and changes in net assets and in the consolidated statement of functional expenses. An individual expense is allocated to the underlying activity through which it was incurred. The consolidated statement of activities and changes in net assets and in the consolidated statement of functional expenses includes certain expenses which must be allocated on a reasonable basis which has been consistently applied: an allocation of portions of depreciation. Depreciation expense has been allocated based on a square footage basis.

Reclassification

Certain amounts in the consolidated statement of financial position, consolidated statement of activities and changes in net assets, and consolidated statement of cash flows have been reclassified to conform to current year presentation. These reclassifications did not have an effect on the net assets.

2. Financial Assets Available and Liquidity

The following reflects the Organization's financial assets as of December 31, 2020, reduced by amounts not available for general expenditure due to contractual or donor-imposed restrictions within one year. Amounts not available include amounts set aside for long-term investing in quasi-endowment funds that could be drawn only upon approval of the Board of Directors.

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Cash and cash equivalents	\$ 9,584,411
Accounts receivable	433,736
Contributions receivable	47,000
Investments	<u>32,549,789</u>
Financial assets as of December 31, 2019	42,614,936
Less:	
Amounts subject to donor restrictions	(8,082,880)
Quasi-endowment funds	(7,594,477)
Amounts restricted for Annuity Fund	(1,018,665)
Amounts restricted for Residents' Association Fund	(104,504)
Amounts set aside for liquidity reserve	(8,000,000)
Amounts set aside for debt service reserve	(294,931)
Amounts not due within one year	<u>(466,720)</u>
Financial assets available to meet cash needs for general expenditures within one year	<u><u>\$17,052,759</u></u>

As part of the Organization's liquidity management, it has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations come due. In addition, the Organization invests cash in excess of daily requirements in short-term investments. To help manage unanticipated liquidity needs, the Organization, has designated a portion of its operating surplus to its liquidity reserve that is on average six months of operating expenses, which was \$8,000,000 as of December 31, 2020. This reserve was established through approval of the Board of Directors to be drawn upon in the event of financial distress or an immediate liquidity need resulting from events outside the typical life cycle of converting financial assets to cash or settling financial liabilities.

3. Investments

The Organization's investment portfolio consists of the following as of December 31, 2020:

Mutual bond funds	\$ 4,890,807
Mutual equity funds	10,050,782
Beneficial interest in assets held by Community Foundation	14,783,552
Alternative investments	1,521,124
Prana Realty Company I common stock	<u>1,303,525</u>
	<u><u>\$32,549,790</u></u>

4. Fair Value Measurements

The Organization adopted the provisions of fair value measurements, which defines fair value, establishes a framework for measuring fair value and also expands the disclosures about fair value measurements. That framework provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurements) and the lowest priority to unobservable inputs (level 3 measurements).

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The three levels of the fair value hierarchy are described as follows:

- Level 1 inputs are based on unadjusted quoted prices for identical assets in an active market the Organization has the ability to access. Examples of these are investments in common stocks and mutual funds.
- Level 2 inputs are based on quoted prices in markets that are not active and other valuation methodologies or model inputs that are observable either directly or indirectly as of the measurement date. Examples of these investments include corporate and municipal bonds that trade infrequently.
- Level 3 inputs are based on prices or valuation techniques that are unobservable for the investment and include situations where there is little, if any, market activity. These inputs reflect assumptions of management about in pricing the investments or life expectancies. Examples of these investments are certain private equity investments and annuity obligations.

There were no changes in the valuation methodologies and no transfers of investments between levels during the year ended December 31, 2020.

Assets and liabilities measured at fair value on a recurring basis have been categorized into a hierarchy based on the observable and unobservable inputs used to determine fair value as of December 31, 2020:

	Level 1	Level 2	Level 3	Total
Investments				
Mutual bond funds	\$ 4,890,807	\$ -	\$ -	\$ 4,890,807
Mutual equity funds	10,050,782	-	-	10,050,782
Beneficial interest in assets held by Community Foundation	-	-	14,783,552	14,783,552
Alternative investments	1,521,124	-	-	1,521,124
Total recurring fair value measurements	<u>\$ 16,462,713</u>	<u>\$ -</u>	<u>\$ 14,783,552</u>	31,246,265
Prana Realty Company I measured at NAV				1,303,525
Total investments				<u>\$ 32,549,790</u>
Liabilities:				
Annuity obligations:				
Annuity trusts	\$ -	\$ -	\$ 685,816	\$ 685,816
Post-retirement obligation	-	-	146,429	146,429
Total	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 832,245</u>	<u>\$ 832,245</u>

The following is a description of the Organization's valuation methodologies for assets and liabilities measured at fair value:

Mutual Bond and Equity Funds, and Alternative Investments

Valued at the closing price as reported on the active market on which individual securities or funded are traded.

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Community Foundation for Monterey County – Endowment Fund

The Organization has a beneficial interest in assets at Community Foundation for Monterey County (CFMC) in the amount of \$14,783,552 at December 31, 2020, which consists of funds contributed by the Organization and includes earnings thereon, net of distributions received. CFMC may make annual distributions from the fund if requested by the Organization. The Organization may terminate the fund and receive payment equal to the fund's total value by submitting a resolution authorizing such action approved by three-fourths of the directors of the Organization's board. In the event the Organization cease operations as a qualified 501(c)(3) the CFMC board of directors, in consultation with the board of directors of the Organization, may designate other qualified charitable organization as successor beneficiaries of the fund, so long as such successor beneficiaries are qualified by the IRS as 501(c)(3) organizations.

The following table presents a rollforward of activity for assets held by Community Foundation:

Beginning balance	\$ -
Transfers-in (stocks only)	12,349,058
Transfers-in (cash)	155,488
Additional unrealized gains/(losses) upon transfer	321,030
Receipt of terminated CRATs	76,027
Contributed stocks and cash	156,374
Investment income (interest and dividends)	365,634
Realized gains/(losses)	(336,146)
Unrealized gains/(losses)	2,217,786
Distributions	(477,430)
Investment fees	(44,469)
	<u>\$ 14,783,352</u>

The unobservable inputs to the valuation are the underlying assets at the CFMC; therefore, these investments are classified as Level 3 assets within the fair value hierarchy.

Annuity Obligations

On an annual basis the Organization revalues the liability to make distributions to the designated beneficiaries of the Annuity Trusts based on actuarial assumptions. The present value of the estimated future payments for Annuity Trusts is calculated using a discount rate of 7.31 percent and the remaining life expectancy of the beneficiaries based on applicable mortality tables.

Post-retirement Obligations

The present value of the estimated future payments to the former Chief Executive Officer of the Organization is calculated using a discount rate of 5 percent and a retirement date in 2020.

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The following table sets forth a summary of changes in the fair value of the Organizations level 3 liabilities at December 31, 2020:

	Annuity Trusts	Post- Retirement Obligation	Total
Balance, beginning of year	\$ 752,969	\$ 83,344	\$ 836,313
Additions	-	146,429	146,429
Payments on post-retirement obligation	-	(83,344)	(83,344)
Payments of annuity trusts	(136,709)	-	(136,709)
Change in value of annuity trusts	69,557	-	69,557
Balance, end of year	<u>\$ 685,817</u>	<u>\$ 146,429</u>	<u>\$ 832,246</u>

Prana Realty Company I Measured at NAV

The Manor purchased the Class A common stock of Prana Realty Company I (the Company) in an initial offering in 2007. The Company, through City Partners I (the Partnership), is engaged in the acquisition, operating and the eventual sale of properties.

The periodic valuation of the Company's total portfolio serves as the basis for determining the Company's net asset value, which the Company uses in determining the market value per share for purposes of issuing additional shares or buying back outstanding shares. The market value per share is determined by dividing the Company's net asset value by the number of shares outstanding. At December 31, 2020, the Company has valued each share at \$100,851. This investment is not readily marketable, in part due to regulatory transfer restrictions placed by Prana.

The Organization uses net asset value to determine fair value of the investment in the Company as follows as of December 31, 2020:

	Fair Value	Unfunded Commitments	Redemption Frequency	Redemption Notice Period
Prana Realty Company I	<u>\$1,303,525</u>	<u>\$ -</u>	Semi-annually	95 days advance notice required

5. Post-Retirement Obligations

The Organization entered into a contract with the former Chief Executive Officer of the Organization, James Valentine, in which he served as a consultant to the Organization after he retired in 2012. Under the agreement, Mr. Valentine received an annual payment of \$25,000 for 11 years beginning January 2013 for a total of \$275,000. If he died or was disabled before the full \$275,000 was paid, the remaining balance was to be paid in full to his trust. Mr. Valentine passed away in March 2020 and the remaining obligation of \$83,344 was paid in full to his trust in April 2020.

The Organization entered into an agreement with former President and Chief Executive Officer of the Organization, Jane Ipsen, in October 2020. Under the agreement, Mrs. Ipsen will receive, as severance compensation, an annual payment of \$75,000 for two years beginning January 2021, for a total of \$150,000. Using a present value discount of five percent and an annual payment of \$75,000, the post-retirement obligation at December 31, 2020 is \$146,429, of which \$75,000 is a current liability.

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6. Property and Equipment, net

The major categories of property and equipment and accumulated depreciation thereon are as follows as of December 31, 2020:

Buildings and improvements	\$ 47,915,465
Hillcrest assisted living center	4,477,622
Medical center	4,681,580
Administrative and activity building	2,320,464
Pavement resurfacings	486,640
Sprinkler system and well	71,286
Septic drain	161,709
Furnishings and carpeting	559,978
Computer equipment	375,965
Furniture	705,935
Health center equipment	266,592
Kitchen equipment	635,643
Maintenance equipment	203,432
Artwork and collections	145,245
Miscellaneous equipment	1,363,724
Motor vehicles	435,237
Landscaping	1,255,236
Telephone equipment	446,082
Water well	1,450,385
Total depreciable property and equipment	<u>67,958,220</u>
Less accumulated depreciation	<u>(35,281,095)</u>
Net depreciable property and equipment	<u>32,677,125</u>
Land	403,575
Construction in progress	<u>1,512,041</u>
Total property and equipment, net	<u><u>\$ 34,592,741</u></u>

Depreciation expense for year ended December 31, 2020 was \$2,697,691.

7. Long-Term Debt

On December 28, 2011, the Organization entered into a \$4.35 million note payable with a financial institution. The note was payable in monthly installments of \$25,081, including principal and interest at a fixed rate of 4.85 percent from December 28, 2011 to September 23, 2015. On September 24, 2015, the note payable was modified to reduce the interest rate to 4.60 percent and reduce the monthly payment to \$24,616, including principal and interest. The note payable matures on January 5, 2022, at which time a one-time balloon payment estimated to be \$3,189,364 is due. The note payable is secured by a Deed of Trust as defined in the loan agreement. As of December 31, 2020, the outstanding balance is \$3,334,435. The note payable requires the Organization to comply with certain financial covenants, all of which were met at December 31, 2020.

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Current maturities on the long-term debt at December 31, 2020 are as follows:

<u>Years ending December 31,</u>	
2021	\$ 145,071
2022	3,189,364
	<u>\$ 3,334,435</u>

8. Deferred Income from Entrance Fees, net

The changes in the deferred income from entrance fees are as follows as of December 31, 2020:

Balance, beginning of year	\$ 32,088,801
New fees received	5,272,710
Recognition of fees	(5,266,585)
Refunds	(188,042)
Balance, end of year	<u>\$ 31,906,884</u>

9. Employee Retirement Plan

The Organization has a Section 403(b)(7) retirement savings plan. All full-time and part-time employees become eligible to participate in the Plan on their hire date. On-call employees, who work less than 1,000 hours per year, are not eligible to participate in the Plan.

The Organization may match a full-time employee's contribution dollar for dollar up to a maximum of 3 percent of a participant's compensation. To qualify for the employer discretionary matching contribution, the participant must be a full-time employee and a participant in the Plan for a continuous period of two years with no breaks in service. Part-time employees are not eligible for the employer discretionary matching contribution. The amount of matched contributions made by the Organization was \$121,276 in 2020.

10. Net Assets - With Donor Restrictions

Donor restricted net assets consist for the following purposes as of December 31, 2020:

Subject to expenditure for specified purpose:	
Resident entertainment	\$ 65,080
Subject to Organization's spending policy and appropriation:	
Income earned on perpetual endowment	
General operating support	1,425,986
Subject to appropriation and expenditure when a specified event occurs:	
Terminated annuity trust funds	332,849
Not subject to appropriation or expenditure:	
Endowment funds in perpetuity (including original gift amount of \$5,625,425 as of December 31, 2020)	<u>6,656,894</u>
Balance, end of year	<u>\$ 8,480,809</u>

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Releases from donor restricted net assets for the year ended December 31, 2020, are as follows:

Releases from restrictions:

Subject to expenditure for specified purpose:	
Resident entertainment	\$ 6,000
Subject to the Organization's spending policy and appropriation:	
General operating support	305,880
Subject to appropriation and expenditure when a specified event occurs:	
Remainder of terminated annuity trusts	76,027
	<u>\$ 387,907</u>

11. Board Designated Net Assets

The board designated net assets are comprised of the following at December 31, 2020:

Without donor restrictions

Designated by the Board for:

Quasi-endowment	\$ 7,594,487
Resident welfare	104,504
Net assets	<u>\$ 7,698,991</u>

12. Endowment

The Organization's endowment includes both donor-restricted endowment funds and funds designated by the Board to function as endowments. As required by U.S. GAAP, net assets associated with endowment funds, including funds designated by the Board to function as endowments, are classified and reported based on the existence or absence of donor-imposed restrictions.

Interpretation of Relevant Law

The Board of Directors of the Organization has interpreted the Uniform Prudent Management of Institutional Funds Act (UPMIFA), as enacted by California in 2008 as SB 1329 as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment fund absent explicit donor stipulations to the contrary. As a result of this interpretation, the Organization classifies as net assets with donor restrictions (a) the original value of gifts donated to the permanent endowment and (b) the original value of subsequent gifts to the permanent endowment and (c) accumulations of earnings or losses to the permanent endowment. The remaining portion of the endowment fund not classified as net assets with donor restrictions is classified as net assets without donor restrictions, board designated. In accordance with UPMIFA, the Organization considers the following factors in making a determination to appropriate or accumulate donor-restricted endowment funds:

- The duration and preservation of the fund.
- The purposes of the Organization and the donor-restricted endowment fund.
- General economic conditions.
- The possible effect of inflation and deflation.
- The expected total return from income and the appreciation of investments.
- Other resources of the Organization.
- The investment policies of the Organization.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2020

Investment Return Objectives and Risk Parameters

The Organization has adopted investment and spending policies for the endowment fund. Under this policy, the endowment assets are invested in a manner that is intended to achieve the balanced accomplishment of current income with the growth and conservation of principal with interest and dividend income to be used to help meet operating expenses. In managing risk within the endowment fund, the objective is to earn a return that allows a significant distribution of grants while striving to preserve the principal, allowing for inflation and expenses, and fulfill the Organization's philanthropic goals into the future.

Strategies Employed for Achieving Objectives

The Organization's investment strategy involves under- and over-weighting various asset classes based on an assessment of the risk and return potential specific to each asset class at any point in time.

Spending Policy and How the Investment Objectives Relate to Spending Policy

The Organization has a policy of appropriating for distribution each year four percent of the average closing market value of all Endowment Fund investments for the three preceding years to be available for general operating purposes. The four percent may be adjusted up or down in the future in order to maintain a fiscally prudent program for distribution consistent with the Organization's objective to grow and conserve principal in the endowment fund with interest and dividend income to be used to help meet the operating expenses, but not the non-operating requirements, of the Organization.

Funds with Deficiencies

From time to time, the fair value of assets associated with individual donor restricted endowment funds, may fall below the level that the donor or UPMIFA requires the Organization to retain as a fund of perpetual duration. There were no such deficiencies as of December 31, 2020.

Endowment net assets composition by type of fund as of December 31, 2020:

Net assets without donor restrictions:	
Board designated quasi endowment funds	\$ 7,594,487
Net assets with donor restrictions:	
Perpetual endowment to provide income to the	
Manor and Foundation (Supporting Organization)	5,625,425
Accumulated gains on perpetual endowment	2,457,455
Total net assets with donor restrictions	<u>8,082,880</u>
Total net endowment assets	<u><u>\$15,677,367</u></u>

As of December 31, 2020, the endowment fund is comprised of:

	Without Donor Restrictions	With Donor Restrictions	Total
Assets:			
Investments	\$ 7,594,477	\$ 8,025,880	\$15,620,357
Contribution receivable	-	57,000	57,000
Total assets	<u><u>\$ 7,594,477</u></u>	<u><u>\$ 8,082,880</u></u>	<u><u>\$15,677,357</u></u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2020

Changes in endowment net assets for the year ended December 31, 2020:

	Without Donor Restrictions	With Donor Restrictions	Total
Endowment net assets, beginning of year	\$ 7,123,948	\$ 7,647,040	\$14,770,988
Investment income, net	151,632	173,702	325,334
Net realized and unrealized losses	495,848	568,018	1,063,866
Contributions	90,086	-	90,086
Amount appropriated for expenditure	(267,027)	(305,880)	(572,907)
Endowment net assets, end of year	<u>\$ 7,594,487</u>	<u>\$ 8,082,880</u>	<u>\$15,677,367</u>

13. Health and Safety Code Section 1790 (A)(3) Disclosure (Unaudited)

Improvements made during December 31, 2020 include (a) facilities and building of \$2,892,180 which consists of unit renovations and structural improvements to the Manor buildings, walkways and landscaping; (b) carpets, furnishings, and floor coverings of \$92,747; (c) computer equipment of \$36,993; and \$138,872 on equipment. The balance in work in progress as of December 31, 2020 was \$1,512,041 which consists mainly of unit renovations in progress.

These improvements are necessary and consistent with the Organization's tax-exempt purpose to maintain and provide facilities to meet the housing, health care and other needs of their residents.

14. Related Parties

Contribution from Affiliate

Per the Board approval of the distribution of endowment earnings, the Foundation paid a distribution in the amount of \$524,916 to the Manor during the year ended December 31, 2020.

Board Member Transactions

One current Board member is an owner of a company that provides architectural services. In 2020, \$48,565 was paid to the architectural services company.

Another Board member is an employee of a company that provides insurance brokerage services to the Organization. Each year competitive bids are obtained from several insurance companies. In 2020, \$357,610 was paid for premiums to insurance companies represented by the Board member.

15. Risks and Uncertainties

In March 2020, the World Health Organization declared the outbreak of a novel coronavirus, COVID-19, as a pandemic, which continues to spread throughout the United States. The Organization has taken measures to comply followed and implemented requirements and guidance from the CDC and CADPH and have placed an emphasis on infection protection including social distancing, limited visitation, sanitizing stations throughout the community and limited group activities.

The Organization is currently tracking the expenses incurred due to COVID-19 and has seen an increase in expenses to help manage the pandemic but has not drawn on any lines of credit. Additional measures will be taken to safeguard the financial position of the Organization if necessary. The Organization cannot reasonably estimate the length or severity of this pandemic and therefore, at this point, the extent to which COVID-19 may impact the financial condition or results of operations is uncertain.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2020

16. Subsequent Events

The Organization has evaluated all subsequent events through April 30, 2021, which is the date the financial statements are available to be issued.

In March of 2021, the Organization renegotiated the real estate term loan in the amount of \$3,311,126 for five additional years and obtained a revolving line of credit for the Sewer Extension capital project in the amount of \$7,000,000. As of April 30, 2021, there have been no draws against the line of credit.

SUPPLEMENTARY INFORMATION

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATING SCHEDULES FOR THE STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 2020

	Northern California Congregational Retirement Homes, Inc.					Carmel Valley		
	Manor Operating Fund	Manor Annuity Trusts Fund	Manor Alabaster Fund	Manor Residents' Assoc. Fund	Total All Funds	Manor Foundation	Eliminations	Consolidated
Assets								
Current Assets								
Cash and cash equivalents	\$ 9,525,048	\$ 5,789	\$ -	\$ 28,382	\$ 9,559,219	\$ 25,192	\$ -	\$ 9,584,411
Accounts receivable	421,775	1,961	-	-	423,736	-	-	423,736
Current portion of contributions receivable	-	-	-	-	-	47,000	-	47,000
Due (to) from other funds	(65,080)	-	65,080	-	-	-	-	-
Prepaid expenses	330,911	-	-	-	330,911	-	-	330,911
Total current assets	10,212,654	7,750	65,080	28,382	10,313,866	72,192	-	10,386,058
Contributions receivable, less current portion	-	-	-	-	-	10,000	-	10,000
Investments	15,842,395	1,010,915	-	76,122	16,929,432	15,620,357	-	32,549,789
Property and equipment, net	34,592,741	-	-	-	34,592,741	-	-	34,592,741
Total assets	<u>\$ 60,647,790</u>	<u>\$ 1,018,665</u>	<u>\$ 65,080</u>	<u>\$ 104,504</u>	<u>\$ 61,836,039</u>	<u>\$ 15,702,549</u>	<u>\$ -</u>	<u>\$ 77,538,588</u>
Liabilities and Net Assets								
Liabilities								
Current Liabilities								
Accounts payable	\$ 533,652	\$ -	\$ -	\$ -	\$ 533,652	\$ -	\$ -	\$ 533,652
Accrued liabilities	886,272	-	-	-	886,272	-	-	886,272
Advances from applicants	893,002	-	-	-	893,002	-	-	893,002
Deferred revenue	484,634	-	-	-	484,634	-	-	484,634
Current portion of post-retirement obligation	75,000	-	-	-	75,000	-	-	75,000
Current portion of long-term debt	145,071	-	-	-	145,071	-	-	145,071
Total current liabilities	3,017,631	-	-	-	3,017,631	-	-	3,017,631
Long-term debt, less current portion	3,189,364	-	-	-	3,189,364	-	-	3,189,364
Deferred income from entrance fees, net	31,906,884	-	-	-	31,906,884	-	-	31,906,884
Annuity obligations	-	685,816	-	-	685,816	-	-	685,816
Post-retirement obligation, less current portion	71,429	-	-	-	71,429	-	-	71,429
Total liabilities	<u>38,185,308</u>	<u>685,816</u>	<u>-</u>	<u>-</u>	<u>38,871,124</u>	<u>-</u>	<u>-</u>	<u>38,871,124</u>
Net Assets								
Without donor restrictions, including quasi-endowment funds \$7,594,487	22,462,482	-	-	104,504	22,566,986	7,619,669	-	30,186,655
With donor restrictions	-	332,849	65,080	-	397,929	8,082,880	-	8,480,809
Total net assets	<u>22,462,482</u>	<u>332,849</u>	<u>65,080</u>	<u>104,504</u>	<u>22,964,915</u>	<u>15,702,549</u>	<u>-</u>	<u>38,667,464</u>
Total liabilities and net assets	<u>\$ 60,647,790</u>	<u>\$ 1,018,665</u>	<u>\$ 65,080</u>	<u>\$ 104,504</u>	<u>\$ 61,836,039</u>	<u>\$ 15,702,549</u>	<u>\$ -</u>	<u>\$ 77,538,588</u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATING SCHEDULES FOR THE STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2020

	Northern California Congregational Retirement Homes, Inc.					Carmel Valley		
	Manor Operating Fund	Manor Annuity Trusts Fund	Manor Alabaster Fund	Manor Residents' Assoc. Fund	Total All Funds	Manor Foundation	Eliminations	Consolidated
Changes in Net Assets Without Donor Restrictions								
Revenue and support								
Income from Operations								
Resident care fees	\$ 12,386,289	\$ -	\$ -	\$ -	\$ 12,386,289	\$ -	\$ -	\$ 12,386,289
Amortization of entrance fees	5,266,585	-	-	-	5,266,585	-	-	5,266,585
Other resident services and operating income	235,129	-	-	37,535	272,664	-	-	272,664
Total income from operations	17,888,003	-	-	37,535	17,925,538	-	-	17,925,538
Other Income (expense)								
Investment return, net	1,775,821	-	-	20,739	1,796,560	647,480	-	2,444,040
Contributions	989,415	-	-	3,081	992,496	90,086	(600,943)	481,639
Other income (expense)	(8,060)	-	-	-	(8,060)	92	-	(7,968)
Payroll Protection Program conditional grant	1,652,900	-	-	-	1,652,900	-	-	1,652,900
Total other income	4,410,076	-	-	23,820	4,433,896	737,658	(600,943)	4,570,611
Net Assets Released from Restrictions								
Endowment income distribution	-	-	-	-	-	305,880	-	305,880
Remainder of terminated annuity trusts	-	76,027	-	-	76,027	-	-	76,027
Resident entertainment	47,802	-	-	(41,802)	6,000	-	-	6,000
Total released from restrictions	47,802	76,027	-	(41,802)	82,027	305,880	-	387,907
Total revenue and support	22,345,881	76,027	-	19,553	22,441,461	1,043,538	(600,943)	22,884,056
Expenses								
Manor program								
Nursing, assisted living, and medical services	4,986,636	-	-	-	4,986,636	-	-	4,986,636
Resident services	2,876,605	-	-	-	2,876,605	-	-	2,876,605
Dining services	4,826,789	-	-	-	4,826,789	-	-	4,826,789
Facility operations, maintenance, and utilities	2,745,204	-	-	-	2,745,204	-	-	2,745,204
Environmental services	1,207,575	-	-	-	1,207,575	-	-	1,207,575
Management and general	3,482,528	76,027	-	-	3,558,555	554,224	(600,943)	3,511,836
Total expenses	20,125,337	76,027	-	-	20,201,364	554,224	(600,943)	20,154,645
Change in net assets without donor restrictions	2,220,544	-	-	19,553	2,240,097	489,314	-	2,729,411

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATING SCHEDULES FOR THE STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS (CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2020

	Northern California Congregational Retirement Homes, Inc.					Carmel Valley		
	Manor Operating Fund	Manor Annuity Trusts Fund	Manor Alabaster Fund	Manor Residents' Assoc. Fund	Total All Funds	Manor Foundation	Eliminations	Consolidated
Changes in Net Assets With Donor Restrictions								
Other Income								
Investment return, net	-	99,947	7,806	-	107,753	741,720	-	849,473
Change in value of split interest trusts	-	(69,558)	-	-	(69,558)	-	-	(69,558)
Total revenue and support	-	30,389	7,806	-	38,195	741,720	-	779,915
Net Assets Released from Restrictions								
Endowment income distribution	-	-	-	-	-	(305,880)	-	(305,880)
Remainder of terminated annuity trusts	-	(76,027)	-	-	(76,027)	-	-	(76,027)
Resident entertainment	-	-	(6,000)	-	(6,000)	-	-	(6,000)
Total released from restrictions	-	(76,027)	(6,000)	-	(82,027)	(305,880)	-	(387,907)
Change in net assets with donor restrictions	-	(45,638)	1,806	-	(43,832)	435,840	-	392,008
Change in Net Assets	2,220,544	(45,638)	1,806	19,553	2,196,265	925,154	-	3,121,419
Net Assets, Beginning of Year								
Without donor restrictions	20,241,938	-	-	84,951	20,326,889	7,130,355	-	27,457,244
With donor restrictions	-	378,487	63,274	-	441,761	7,647,040	-	8,088,801
Total net assets, beginning of year	20,241,938	378,487	63,274	84,951	20,768,650	14,777,395	-	35,546,045
Net Assets, End of Year								
Without donor restrictions	22,462,482	-	-	104,504	22,566,986	7,619,669	-	30,186,655
With donor restrictions	-	332,849	65,080	-	397,929	8,082,880	-	8,480,809
Total Net Assets, End of Year	\$ 22,462,482	\$ 332,849	\$ 65,080	\$ 104,504	\$ 22,964,915	\$ 15,702,549	\$ -	\$ 38,667,464

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
SCHEDULE OF FUNDS AND PURPOSE
FOR THE YEAR ENDED DECEMBER 31, 2020

FUNDS:	PURPOSE:
Manor Operating Fund	The Manor <i>Operating Fund</i> comprises resources that are available for support of the Manor's operations.
Manor Annuity Trusts Fund	The <i>Charitable Remainder Annuity Trusts Fund</i> (Manor Annuity Trusts Fund) consists of the remaining principal amounts of annuity gifts to the Manor. Under individual trust agreements, the Manor is required to pay stipulated annuities to the donor over the donor's lifetime. The contribution portion of the gift is determined in the year the trust is established and recorded on the consolidated statement of activities and changes in net assets, as the difference between the fair value of the trust assets and the present value of the estimated annuity payments to be paid over the expected life of the annuitant using a discount rate of 7.31% in 2020 which is recorded as a liability on the consolidated statement of financial position. Subsequent to initial recognition, the liability is adjusted for discount amortization and revaluations of future payments to beneficiaries based on life expectancies, which are recognized as the change in value of split interest agreements on the consolidated statement of activities and changes in net assets. The remaining liability reverts to the Organization upon death of the donor. The annuitants have designated that, upon termination, the remaining principal of each Annuity Trust be transferred to either Part A or Part B of the Organization's endowment. Assets held in the charitable remainder trusts totaled \$1,018,665 at December 31, 2020, and are reported at fair value in the consolidated schedule for the statement of financial position.
Manor Alabaster Fund	The Manor <i>Alabaster Fund</i> is comprised of a contribution to be used for resident entertainment. The income earned and up to 10 percent of the principal may be used annually in the Alabaster Fund.
Manor Residents' Association Fund	The Manor <i>Residents' Association Fund</i> is comprised of income from the ROSE shop and donations designated for use by the Association. Funds are used by the Association, through the Residents' Council and its committees, primarily to advance the welfare of residents.
Carmel Valley Manor Foundation	The <i>Carmel Valley Manor Foundation Fund</i> is comprised of two parts, Part A and Part B - <i>Part A</i> consists of (1) donations, gifts, bequests made to the Foundation and without donor restricted bequests apparently intended to be enduring and in compliance with the purpose of the fund; (2) remainder interests in those Charitable Remainder Annuity Trusts terminated prior to March 1, 1994; (3) those trusts created prior to March 1, 1994 unless the trustors have specified in writing that the remainder interests shall be placed in Part B; and (4) those trusts created on or after March 1, 1994 with the written consent of the trustors. The principal of Part A shall accumulate and be retained in perpetuity to provide increasing income to the Foundation and may be used only to meet the statutory reserve requirements of the state of California or to meet unforeseen emergencies if the assets in Part B are insufficient for these purposes. The investment return on Part A assets are included in net assets with donor restrictions. <i>Part B</i> consists of (1) any funds transferred from the Foundation's reserve (operating) fund at the designation of the Board; (2) remainder interests in trusts created prior to March 1, 1994 with the written consent of the trustors; and (3) remainder interests in trusts created on or after March 1, 1994 provided the trustors have not specified in writing that such remainder interests shall be placed in Part A. The principal of Part B has no outside restrictions and can be utilized with the approval of the Board of Trustees for: unforeseen emergencies; funding improvements that are financially sound and will substantially improve the quality of life at the Manor; compliance with regulatory requirements; reducing operating expenses and debt that may have been or may be incurred to fund improvements.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF NET ASSETS WITH DONOR RESTRICTIONS
FOR THE YEAR ENDED DECEMBER 31, 2020

	Endowment Part A	Annuity Trusts Fund	Alabaster Fund	Total
Assets				
Cash	\$ -	\$ 5,789	\$ -	\$ 5,789
Accounts receivable	-	1,961	-	1,961
Contributions receivable	57,000	-	-	57,000
Due (to) from other funds	-	-	65,080	65,080
Total current assets	57,000	7,750	65,080	129,830
Investments	8,025,880	1,010,915	-	9,036,795
Total assets	<u>\$8,082,880</u>	<u>\$1,018,665</u>	<u>\$ 65,080</u>	<u>\$9,166,625</u>
Liabilities and Net Assets				
Annuity obligations	\$ -	\$ 685,816	\$ -	\$ 685,816
Net assets with donor restrictions	8,082,880	332,849	65,080	8,480,809
Total liabilities and net assets	<u>\$8,082,880</u>	<u>\$1,018,665</u>	<u>\$ 65,080</u>	<u>\$9,166,625</u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF NET ASSETS WITH DONOR RESTRICTIONS
(CONTINUED)

FOR THE YEAR ENDED DECEMBER 31, 2020

	Endowment Part A	Annuity Trusts Fund	Alabaster Fund	Total
Other Income (loss)				
Investment return, net	\$ 741,720	\$ 99,947	\$ 7,806	\$ 849,473
Contributions	-	-	-	-
Change in value of split-interest trusts:				
Revaluation of trust obligations	-	(69,558)	-	(69,558)
Total other income	<u>741,720</u>	<u>30,389</u>	<u>7,806</u>	<u>779,915</u>
Net Assets Released from Restrictions				
Endowment income distribution	(305,880)	-	-	(305,880)
Remainder of terminated annuity trusts	-	(76,027)	-	(76,027)
Satisfaction of program restrictions:				
Entertainment	-	-	(6,000)	(6,000)
Total released from restrictions	<u>(305,880)</u>	<u>(76,027)</u>	<u>(6,000)</u>	<u>(387,907)</u>
Change in Net Assets	435,840	(45,638)	1,806	392,008
Net Assets, Beginning of Year	<u>7,647,040</u>	<u>378,487</u>	<u>63,274</u>	<u>8,088,801</u>
Net Assets, End of Year	<u><u>\$8,082,880</u></u>	<u><u>\$ 332,849</u></u>	<u><u>\$ 65,080</u></u>	<u><u>\$8,480,809</u></u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF DESIGNATED NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2020

	Operating Fund	Endowment Part B	Residents' Association Fund	Total
Assets				
Cash	\$ -	\$ -	\$ 28,382	\$ 28,382
Total current assets	-	-	28,382	28,382
Investments	-	7,594,477	76,122	7,670,599
Total assets	<u>\$ -</u>	<u>\$7,594,477</u>	<u>\$ 104,504</u>	<u>\$7,698,981</u>
Liabilities and Net Assets				
Designated net assets	\$ -	\$7,594,487	\$ 104,504	\$7,698,991
Total liabilities and net assets	<u>\$ -</u>	<u>\$7,594,487</u>	<u>\$ 104,504</u>	<u>\$7,698,991</u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF DESIGNATED NET ASSETS (CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2020

	<u>Operating Fund</u>	<u>Endowment Part B</u>	<u>Residents' Association Fund</u>	<u>Total</u>
Income from Operations				
Other resident services and operating income	\$ -	\$ -	\$ 37,535	\$ 37,535
Other Income				
Investment return, net	-	647,480	20,739	668,219
Contributions	-	90,086	3,081	93,167
Total other income	-	737,566	23,820	761,386
Net Assets Released from Restrictions				
Endowment income distribution	-	(244,654)	-	(244,654)
Board-designated transfers	-	(22,373)	(41,802)	(64,175)
Total released from restrictions	-	(267,027)	(41,802)	(308,829)
Change in Net Assets	-	470,539	19,553	490,092
Net Assets, Beginning of Year	-	7,123,948	84,951	7,208,899
Net Assets, End of Year	\$ -	\$7,594,487	\$ 104,504	\$7,698,991

**NORTHERN CALIFORNIA CONGREGATIONAL
RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED FINANCIAL STATEMENTS
with
INDEPENDENT AUDITORS' REPORT
and
SUPPLEMENTARY INFORMATION
YEAR ENDED DECEMBER 31, 2019**

**McGILLOWAY, RAY, BROWN & KAUFMAN
ACCOUNTANTS & CONSULTANTS**

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INDEPENDENT AUDITOR'S REPORT

Board of Directors
Northern California Congregational Retirement
Homes, Inc. and Supporting Organization
Carmel, California

We have audited the accompanying consolidated financial statements of Northern California Congregational Retirement Homes, Inc. (a nonprofit organization) and Supporting Organization, which comprise the consolidated statement of financial position as of December 31, 2019, and the related consolidated statements of activities and changes in net assets, functional expenses, and cash flows for the year then ended and the related notes to the consolidated financial statements.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Gerald C. Ray, CPA | Patricia M. Kaufman, CPA, CGMA | Jesus Montemayor, CPA | Smriti Shrestha, CPA

Sarita C. Shannon, CPA | Whitney Ernest, CPA | Devvyn MacBeth, CPA | Sukhdev Singh, CPA |
Laura Armbruster, CPA | Rose Maxwell, CPA

Opinion

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Northern California Congregational Retirement Homes, Inc. and Supporting Organization as of December 31, 2019, and the results of its operations and changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As discussed in Note 1 to the consolidated financial statements, on January 1, 2019, Northern California Congregational Retirement Homes, Inc. and Supporting Organization, adopted Accounting Standards Update (ASU) 2014-09, *Revenue from Contracts with Customers (Topic 606)*. The new accounting standard clarifies how revenue is to be recognized and requires expanded disclosures related to the nature, amount, timing, and uncertainty of revenue and cash flows arising from contracts with customers. Our opinion is not modified with respect to this matter.

Other Matter

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying consolidating schedules for the statement of financial position, consolidating schedules for the statement of activities and changes in net assets, schedule of funds and purpose, combining schedules of net assets with donor restrictions and the combining schedules of designated net assets, as listed on the table of contents, is presented for the purpose of additional analysis, and is not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the consolidated financial statements as a whole.



McGilloway, Ray, Brown & Kaufman
Salinas, California
April 27, 2020

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 2019**

Assets

Current Assets	
Cash and cash equivalents	\$10,172,654
Accounts receivable	203,561
Current portion of contributions receivable	297,444
Prepaid expenses	350,457
Total current assets	<u>11,024,116</u>
Contributions receivable, less current portion	35,000
Investments	29,593,791
Property and equipment, net of accumulated depreciation	<u>34,086,033</u>
Total assets	<u><u>\$74,738,940</u></u>

Liabilities and Net Assets

Liabilities	
Current Liabilities	
Accounts payable	\$ 461,082
Accrued liabilities	710,487
Advances from applicants	1,623,667
Current portion of post-retirement obligation	20,454
Current portion of long-term debt	135,908
Total current liabilities	<u>2,951,598</u>
Long-term debt, less of current portion	3,336,638
Deferred income from entrance fees, net	32,088,801
Annuity obligations	752,968
Post-retirement obligation, less of current portion	<u>62,890</u>
Total liabilities	<u><u>39,192,895</u></u>
Net Assets	
Without donor restrictions, including quasi-endowment funds \$7,123,948	27,457,244
With donor restrictions	<u>8,088,801</u>
Total net assets	<u><u>35,546,045</u></u>
Total liabilities and net assets	<u><u>\$74,738,940</u></u>

The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2019**

Changes in Net Assets Without Donor Restrictions

Revenues and support

Income from Operations

Resident care fees	\$ 12,090,619
Amortization of entrance fees	4,248,492
Other resident services and operating income	478,887
Total income from operations	<u>16,817,998</u>

Other Income

Investment return, net	3,013,846
Contributions	364,273
Other income	7,950
Total other income	<u>3,386,069</u>

Net Assets Released from Restrictions

Endowment income distribution	308,124
Remainder of terminated annuity trusts	26,018
Total released from restrictions	<u>334,142</u>

Total revenue and other support

20,538,209

Expenses

Program

Nursing, assisted living, and medical services	4,393,869
Resident services	2,627,590
Dining services	4,309,031
Facility operations, maintenance, and utilities	2,420,196
Environmental services	1,140,485
	<u>14,891,171</u>

Management and general

Total expenses	<u>3,006,774</u>
	<u>17,897,945</u>

Change in net assets without donor restrictions

2,640,264

The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
(CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2019**

Changes in Net Assets With Donor Restrictions

Revenues and support	
Investment return, net	1,041,234
Contributions	1,533,574
Contributed investments	127,055
Change in value of split interest trusts	(24,258)
Total revenue and support	<u>2,677,605</u>
Net Assets Released from Restrictions	
Endowment income distribution	(308,124)
Remainder of terminated annuity trusts	(26,018)
Resident entertainment	(3,000)
Total released from restrictions	<u>(337,142)</u>
Change in net assets with donor restrictions	<u>2,340,463</u>
Change in Net Assets	<u><u>4,980,727</u></u>
Net Assets, Beginning of Year	
Without donor restrictions	24,816,980
With donor restrictions	<u>5,748,338</u>
Total net assets, beginning of year	<u><u>30,565,318</u></u>
Net Assets, End of Year	
Without donor restrictions	27,457,244
With donor restrictions	<u>8,088,801</u>
Total Net Assets, End of Year	<u><u>\$ 35,546,045</u></u>

The accompanying notes are an integral part of these consolidated financial statements.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF FUNCTIONAL EXPENSES
FOR THE YEAR ENDED DECEMBER 31, 2019

	Nursing, Assisted Living, & Medical Services	Resident Services	Dining Services	Facility Operations, Maintenance & Utilities	Environ- mental Services	Total Program	Management & General	Total Expenses
Salaries and compensation	\$ 2,670,685	\$ 476,702	\$ 2,198,232	\$ 697,912	\$ -	\$ 6,043,531	\$ 731,114	\$ 6,774,645
Employee benefits and taxes	1,029,800	182,429	1,009,753	329,672	17,847	2,569,501	264,765	2,834,266
Outside services	87,167	5,026	6,317	32,902	1,105,084	1,236,496	233,448	1,469,944
Professional fees	1,164	-	-	-	-	1,164	326,906	328,070
Bank and processing fees	-	-	-	-	-	-	106,019	106,019
Advertising and promotion	-	-	-	-	-	-	79,696	79,696
Office	52	-	-	-	-	52	26,988	27,040
Information technology	-	-	-	-	-	-	56,544	56,544
Occupancy	1,591	-	-	951,705	-	953,296	-	953,296
Travel	1,213	17,933	1,094	-	-	20,240	17,397	37,637
Conferences and meetings	-	-	-	-	-	-	19,558	19,558
Interest	-	-	-	-	-	-	168,419	168,419
Depreciation	453,582	1,918,700	78,528	18,928	1,937	2,471,675	12,806	2,484,481
Insurance	-	-	-	-	-	-	646,111	646,111
Uniforms	3,447	-	19,015	4,864	1,574	28,900	-	28,900
Supplies	80,281	3,660	102,767	31,032	14,043	231,783	35,986	267,769
Repairs and maintenance	-	14,168	-	303,510	-	317,678	-	317,678
Landscaping	-	-	-	42,134	-	42,134	-	42,134
Food	-	-	886,220	-	-	886,220	3,074	889,294
Cleaning and maintenance	-	-	2,948	-	-	2,948	-	2,948
License and permits	-	6,158	802	4,652	-	11,612	34,397	46,009
Pharmacy and medical	51,687	-	-	-	-	51,687	-	51,687
Education	6,319	300	640	703	-	7,962	22,985	30,947
Dues and subscriptions	171	-	54	-	-	225	36,524	36,749
Miscellaneous	4,545	2,514	1,814	2,182	-	11,055	5,873	16,928
Resident moving	-	-	-	-	-	-	11,480	11,480
Recruiting and fingerprinting	-	-	-	-	-	-	123,053	123,053
Party, music, and activity	2,165	-	847	-	-	3,012	-	3,012
Collateral production	-	-	-	-	-	-	43,631	43,631
Total expenses	<u>\$ 4,393,869</u>	<u>\$ 2,627,590</u>	<u>\$ 4,309,031</u>	<u>\$ 2,420,196</u>	<u>\$ 1,140,485</u>	<u>\$14,891,171</u>	<u>\$ 3,006,774</u>	<u>\$17,897,945</u>

The accompanying notes are an integral part of these consolidated financial statements.

**NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2019**

Cash Flows from Operating Activities

Cash received for resident care fees	\$ 11,942,951
Cash received from entrance fees	5,665,324
Cash received for other resident services and operating income	225,372
Cash received for services to nonresidents	253,515
Unrestricted investment income received	569,758
Unrestricted contributions received	928,144
Other receipts from operations	5,950
Cash paid for suppliers, employees and others	(15,158,020)
Cash paid for interest	(168,419)

Net cash provided by operating activities	4,264,575
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Cash Flows from Investing Activities

Proceeds from sale of investments	4,816,145
Purchase of investments	(6,182,875)
Purchase of property and equipment	(3,151,298)

Net cash used by investing activities	(4,518,028)
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Cash Flows from Financing Activities

Repayment of long-term debt	(132,258)
Restricted contributions - perpetual endowment	1,251,500
Investment income restricted for reinvestment	236,607
Investment income released from restrictions	(308,124)
Payment of annuity obligations	(148,987)

Net cash provided by financing activities	898,738
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Net increase in cash and cash equivalents	645,285
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Cash and cash equivalents, beginning of year	9,527,369
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Cash and cash equivalents, ending of year	\$ 10,172,654
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Supplemental Cash Flow Information

Cash paid for:	
Interest	\$ 168,419

The accompanying notes are an integral part of these consolidated financial statements.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2019

1. Nature of Operations and Summary of Significant Accounting Policies

Nature of Operations

The Northern California Congregational Retirement Homes, Inc. (the “Manor”) and the Carmel Valley Manor Foundation (the “Foundation”) are separate nonprofit public benefit corporations located in Carmel, California.

The Northern California Congregational Retirement Homes, Inc. operates Carmel Valley Manor, a life care facility located in Carmel, California. The Manor opened in October 1963 and consists of 148 independent living units including five single-family homes adjacent to the original Manor property, 24 assisted living units and 36 medical center beds. The Manor provides meals, lodging, most medical care and miscellaneous services to approximately 231 residents.

The Carmel Valley Manor Foundation is a Type I supporting organization of the Manor. The Foundation was incorporated in August of 2017 by a Board resolution of the Manor, to provide fundraising and other financial support for the charitable activities of the Manor, including (1) providing financial assistance to qualified low income residents of retirement facilities through the Grace and Favor program and (2) engaging in additional planned giving.

Principles of Consolidation

The consolidated financial statements include the accounts of the Manor and its supporting organization, the Foundation (collectively, the “Organization”). The Manor shares a common governing board with and has an ongoing economic interest in the Foundation. As a result, these entities are financially interrelated, and consolidation is required under accounting principles generally accepted in the United States. All significant intercompany transactions and balances have been eliminated in consolidation.

Basis of Presentation

The accompanying consolidated financial statements of the Organization are presented using the accrual basis of accounting in accordance with the accounting principles generally accepted in the United States of America (GAAP). In the consolidated statement of financial position, assets and liabilities are presented in order of liquidity or conversion to cash and their maturity, resulting in the use of cash, respectively.

Fund Accounting

The accounts of the Organization have been maintained in accordance with principles of fund accounting. Under these principles, resources are classified for accounting purposes into funds established according to their nature and purpose.

Classes of Net Assets

The classification of a not-for-profit organization’s net assets and its support, revenue and expenses is based on the existence or absence of donor-imposed restrictions. Therefore, it requires that the amounts for each of the classes of net assets with donor restrictions and without donor restrictions be displayed in the consolidated statement of financial position and that the amounts of change in each of those classes of net assets be displayed in the consolidated statement of activities. The classes of net assets are defined as follows:

Net assets without donor restrictions – Net assets available for use in general operations and not subject to donor or grantor restrictions over which the Board of Trustees have discretionary control in carrying out the operations of the Organizations.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2019

Net assets with donor restrictions – Net assets subject to donor or grantor-imposed restrictions and for which the applicable restriction was not met as of the year end of the current reporting period. Some restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity.

Accounting Estimates

The preparation of the consolidated financial statements in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from these estimates.

Cash and Cash Equivalents

For the purposes of the consolidated statement of financial position and the consolidated statement of cash flows, cash and cash equivalents consist of cash and other highly liquid resources, such as money market funds, with an original maturity of three months or less when purchased.

Concentration of Credit Risk

Financial instruments that potentially subject the Organization to a concentration of credit risk consists principally of cash. The Organization maintains cash accounts exceeding the federally insured limit of \$250,000. The Organization also maintains cash in brokerage accounts that are not federally insured. At December 31, 2019, cash and cash equivalents exceeded the Federal Deposit Insurance Corporation maximum insured by \$1,802,826. Management believes the Organization is not exposed to significant credit risk relating to cash.

Accounts Receivable and Allowance for Doubtful Accounts

Accounts receivable consists primarily of amounts due from residents for the monthly care fees and routine medical services and are subject to credit risk. Risk associated with these receivables is mitigated by periodic review of the resident accounts.

When necessary, the Organization provides for probable uncollectible amounts through a provision for bad debt expense and an adjustment to the allowance for doubtful accounts based on its assessment of the current status of individual accounts. Balances that are still outstanding after management has used reasonable collection efforts are written off through a charge to the allowance for doubtful accounts. The Organization has determined there is no need for an allowance for doubtful accounts at December 31, 2019.

Contributions Receivable

Contributions receivable are unconditional promises to give that are recognized as contributions when the promise is received. Management has determined that all contributions receivable are collectible in full, therefore no allowance for uncollectible receivables has been provided.

At December 31, 2019, the amount contributions receivable due within one year is \$297,444, and \$35,000 is due to be received between one and two years. The fair value of the payments due in more than one year, approximate the carrying amounts and no present value discount was considered necessary.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2019

Investments

Investments in common stock, bond and equity mutual funds, and alternative investments are measured at fair value, which is the price that would be received if the investment was sold in an orderly transaction between market participants at the measurement date. Prana Realty Company I (Prana) investments are valued at the amounts reported to the Organization by Prana and the Organization's investment advisors. These amounts are generally reported at face value, which the Organization believes is a reasonable approximation of fair value.

Increases or decreases in fair value are recognized in the period in which they occur. Investment return is presented net of investment fees.

The Organization's investments are managed by investment advisors. The fair values are subject to various risks including changes in the equity markets, the interest rate environment, and general economic conditions. Due to the level of risk associated with certain investments securities and the level of uncertainty related to changes in fair value of investment securities, it is reasonably possible that the amounts reported in the accompanying consolidated financial statements could change materially in the near term.

Property and Equipment

Property and equipment are carried at cost, if purchased, or at fair value at the date of the gift if donated, less accumulated depreciation. It is the Organization's policy to capitalize property and equipment purchases over \$5,000 and a minimum useful life of two years. Major additions, alterations and improvements are capitalized. Repairs and maintenance are charged to expense as incurred. The cost and accumulated depreciation of items disposed of are removed from the accounts, and any gain or loss is included in the consolidated statements of activities and changes in net assets.

Depreciation is provided using the straight-line method at rates based on the estimated economic useful lives of the individual classes of assets ranging from five to 40 years.

Advances from Applicants

Advances from applicants consist of deposits received from applicants who have not signed a continuing care contract as of December 31, 2019. Deposits are 100% refundable prior to establishing occupancy. When residency is established, deposited amounts are applied to the remaining entrance fee payment.

Deferred Income from Entrance Fees

Entrance fees are those paid by the resident as a condition of admission to the Manor for future services and use of the facilities, as specified in the resident agreement. The entrance fees entitle the resident to the use of the residential facilities; access to amenities and social services; and the provision of, or access to, certain health care services.

Entrance fees are 100% refundable within 90 days of occupancy. Subsequent to the initial 90 days of occupancy, in which either the Organization or the resident can cancel, the Organization will refund entrance fees upon termination of contract, minus a charge of 1.5% percent of the entrance fee for each month or partial month from the date the resident signed the Agreement until the date the resident makes their unit available to the Organization. No entrance fees were refunded in December 31, 2019. As of December 31, 2019, the Organization had \$14,862,944 of deferred entrance fees that are contractually refundable based upon the terms of the Organization's refund policy. Based upon the Organization's history of issuing refunds, a refund reserve is not considered necessary as of December 31, 2019.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2019

The nonrefundable portion of the entrance fees paid by a resident upon entering into a continuing care contract are recorded as deferred revenue and are amortized to income using the straight-line method over the estimated remaining life expectancy of the resident. A resident's actuarially determined life expectancy is adjusted on the resident's date of birth, permanent move to a different level of care and, if applicable, upon the death of the other resident who is a party to the continuing care contract. Entrance fees nonrefundable, net totaled \$17,368,893 at December 31, 2019.

Obligation to Provide Future Services

The Organization records a liability for the obligation to provide future services and the use of facilities to current residents when such costs are estimated to exceed anticipated revenues and the balance of unamortized entrance fees. Costs are comprised of per capita costs for all residents plus depreciation expense. For December 31, 2019, the per capita costs are calculated based upon a 3 percent annual increase in costs multiplied by a life expectancy factor for each resident. Anticipated revenues from the few contracts for which there are no fee increases, are calculated as current monthly fees multiplied by a life expectancy factor for each resident. For December 31, 2019, anticipated revenues for all other contracts are calculated as current monthly fees with a 3 percent annual increase multiplied by a life expectancy factor for each resident.

For December 31, 2019, the present value of future cash inflows and outflows is calculated with a discount rate of 5 percent. Amortization expense is computed based upon expense per average number of residents multiplied by a total annuity factor for all residents.

The California Health and Safety Code Section 1790 mandates a statutory reserve and a liquid asset requirement. The mandates were met for the year ended December 31, 2019. A reserve fund escrow is not required for the Organization.

As of December 31, 2019, future revenues were estimated to exceed costs to provide future services, therefore, no long-term care commitment liability is necessary.

Annuity Trusts

Annuity obligations consists of the remaining principal amounts of annuity gifts to the Organization. Under individual trust agreements, the Organization is required to pay stipulated annuities to the donor over the donor's lifetime. The contribution portion of the gift is determined in the year the trust is established and recorded on the consolidated statement of activities and changes in net assets, as the difference between the fair value of the trust assets and the present value of the estimated annuity payments to be paid over the expected life of the annuitant using a discount rate of 7.35% in 2019, which is recorded as a liability on the consolidated statement of financial position.

Subsequent to initial recognition, the liability is adjusted for discount amortization and revaluations of future payments to beneficiaries based on life expectancies, which are recognized as the change in value of split interest agreements on the consolidated statement of activities and changes in net assets. The remaining liability reverts to the Organization upon death of the donor. The annuitants have designated that, upon termination, the remaining principal of each Annuity Trust be transferred to either Part A or Part B of the Organization's endowment. Assets held in the charitable remainder trusts totaled \$1,131,455 at December 31, 2019 and are reported at fair value in the consolidated schedule for the statement of financial position.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2019

Revenue Recognition

Change in Accounting Policy

On January 1, 2019, the Organization adopted Financial Accounting Standards Board (FASB) Accounting Standards Updated (ASU) No. 2014-09, *Revenue from Contracts With Customers* (Topic 606) using a full-retrospective method to all contracts with residents as of January 1, 2019. The core guidance in ASU No. 2014-09 is to recognize revenue to depict the transfer of promised goods or services to residents in an amount that reflects the consideration to which the Organization expects to be entitled in exchange for those goods or services. The amount to which the Organization expects to be entitled is calculated as the transaction price and recorded as revenue in exchange for providing resident care services to its residents. Adoption of ASU No. 2014-09 did not have a material impact on the measurement nor on the recognition of revenue.

Resident Care Fees

The Organization operates primarily under the “continuing care” concept in which residents enter into a residential contract that generally provides for a specified entrance fee, with certain options for refunds, and for monthly service fees throughout the residents’ tenancy. Generally, payment of these fees entitles residents to the use and privileges of the Manor for life. Residents are also entitled to certain health care services provided in the Manor assisted living and skilled nursing facility at the same monthly fee as paid in independent living. The residency agreement does not entitle the residents to an ownership interest in the Manor. The fees charged under this contract includes periodic resident care fees and advance entrance fees.

Resident care fees revenue is the amount that reflects the consideration to which the Organization expects to be entitled to in exchange for standing ready to provide services to the residents under a continuing care contract. Revenue is recognized in the month in which the performance obligations are satisfied.

Other Resident Services

Other resident services revenue is reported at the amount that reflects the consideration to which the Organization expects to be entitled to in exchange for providing these services. The transaction price charged to the resident is based on personal preference or usage of optional services provided by the Organization. Fees are based on published rates, paid monthly for services not covered by the monthly periodic resident care fees and are billed in arrears.

Performance Obligations

Performance obligations are determined based on the nature of the services provided by the Organization. Revenue for performance obligations satisfied over time is recognized based on actual charges incurred in relation to total expected charges. The Organization believes that this method provides a faithful depiction of the transfer of services over the term of the performance obligation based on the inputs needed to satisfy the obligation. The Organization measures performance obligation for resident care fees as a series of distinct services that are considered one performance obligation that is satisfied over time.

Transaction Price

The Organization determines the transaction price based on standard charges for goods and services provided, reduced by contractual adjustments provided to third-party. The Organization determines its estimates of contractual adjustments based on contractual agreements and historical experience.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
DECEMBER 31, 2019

Third-Party Payors

Agreements with third-party payors provide the payment at amounts less than established charges. As summary of the payment arrangements with third-party payors follows:

Medicare – The Organization provides care to residents under the Medicare Part B program. Revenue from Medicare accounts for approximately 0.2% of the resident care fees revenue for the year ended December 31, 2019. Certain health care services are paid at prospectively determined rates per discharge based on clinical, diagnostic or other factors. Certain services are paid based on a cost-reimbursement methodology subject to certain limits. Physical services are paid based on established fee schedules.

Secondary Insurance - Payment agreements with certain commercial insurance carriers, health maintenance organization and preferred provider organizations provide for payment using prospectively determined rates per discharge, discounts for established charges, and prospectively determined daily rates.

Laws and regulations concerning government programs, including Medicare, are complex and subject to varying interpretation. As a result, compliance with such laws and regulations may be subject to future government review and interpretation as well as regulatory action, including fines, penalties, and potential exclusion from the related program. There can be no assurance that regulatory authorities will not challenge the Organization's compliance with these laws and regulations, and it is not possible to determine the impact (if any) such claims would have upon the Organization. The Organization believes that is in compliance with all applicable laws and regulations.

Amortization of Entrance Fees

Residents under the declining refundable contract, pay an entrance fee that provides a 100% refund upon death or withdrawal during the first three months of occupancy. Subsequent to the initial 90 days of occupancy, the refund declines by 1.5% per month of occupancy. The non-refundable portion of entrance fees paid by residents are recorded as deferred revenue from entrance fees in the consolidated statement of financial position. The basic residency agreement creates a performance obligation to be satisfied over the resident's remaining life at the Organization. The Organization recognizes the revenue associated with the entrance fee using a straight-line method over the actuarially determined life of each resident. Resident life expectancies are reevaluated annually and changes in the revenue as a result of the revaluation will be recognized in the period noted. As of December 31, 2019, the Organization had approximately \$32,088,801 in deferred entrance fee revenue to be recognized as the performance obligations are satisfied. See Note 8 for changes in the deferred entrance fee revenue for the year ended December 31, 2019. The performance obligation is satisfied upon termination of the residency agreement.

Contract service revenue related balances as of December 31, 2019 were as follows:

	Beginning Balance	Ending Balance
Accounts receivable	\$ 53,538	\$ 203,561

Contributions

The Organization recognizes contributions when cash, securities or other assets; an unconditional promise to give; or a notification of a beneficial interest is received. Conditional promises to give - that is, those with a measurable performance or other barrier and a right of return - are not

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
AND SUPPORTING ORGANIZATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
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recognized until the conditions on which they depend have been met. At December 31, 2019, all contributions have been recognized in the accompanying consolidated statement of activities and changes in net assets because the conditions have been met.

Gifts of cash and other assets received without donor stipulations are reported as revenue and net assets without donor restrictions. Gifts received with a donor stipulation that limits their use are reported as revenue and net assets with donor stipulations. When a donor-stipulated time restriction ends or purpose restriction is accomplished, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the consolidated statement of activities and changes in net assets as net assets released from restrictions. Gifts having donor stipulations that are satisfied in the period the gift is received are reported as revenue and net assets without donor restrictions. Gifts and investment income that are originally restricted by donor and for which the restriction is met in the same period are recorded with donor restrictions and then released from restriction.

Donations of investments are reported at fair-market value at the time of gift.

Measure of Operations

The consolidated statement of activities and changes in net assets reports all changes in net assets, including changes in net assets from operating and non-operating activities. Operating activities consist of those items attributable to the Organization's ongoing activities. Non-operating activities are limited to resources that generate return from investments, endowment contributions, and other activities considered to be of a more unusual or nonrecurring nature.

Advertising

Advertising costs are expensed as incurred and amounted to \$79,696 for the year ended December 31, 2019.

Income Tax

The Manor and the Foundation are exempt from federal and California income taxes under Section 501(c)(3) of the Internal Revenue Code ("IRC") and the corresponding California provisions, except to the extent of unrelated business income ("UBIT") as defined by the IRC.

The Organization accounts for uncertainty in income taxes using a recognition threshold of more-likely-than-not to be sustained upon examination by the appropriate taxing authority. Measurement of the tax uncertainty occurs if the recognition threshold is met. Management determined there were no tax uncertainties that met the recognition threshold in 2019.

Presentation of Certain Taxes

The Organization collects sales and occupancy taxes and remits these amounts to applicable taxing authorities. The Organization's accounting policy is to exclude these taxes from revenues and expenses.

Upcoming Accounting Pronouncements

ASU 2016-02

In February 2016, the FASB issued ASU No. 2016-02, which amends the FASB Accounting Standards Codification and creates Topic 842, *Leases*, requiring organizations to recognize lease assets and lease liabilities on the consolidated statement of financial position and requiring disclosure of key information about leasing arrangements. The guidance is effective for periods beginning after December 15, 2020. ASU No. 2016-02 mandates a modified retrospective transition method. The Organization expects the impact of this new standard to be de minimis.

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Functional Expenses

The costs of providing the various programs and other activities have been summarized on a functional basis in the consolidated statement of activities and changes in net assets and in the consolidated statement of functional expenses. An individual expense is allocated to the underlying activity through which it was incurred. The consolidated statement of activities and changes in net assets and in the consolidated statement of functional expenses includes certain expenses which must be allocated on a reasonable basis which has been consistently applied: an allocation of portions of depreciation and interest expense. Depreciation expense has been allocated based on a square footage basis.

Reclassification

Certain amounts in the consolidated statement of financial position, consolidated statement of activities and changes in net assets, and consolidated statement of cash flows have been reclassified to conform to current year presentation. These reclassifications did not have an effect on the net assets.

2. Financial Assets Available and Liquidity

The following reflects the Organization's financial assets as of December 31, 2019, reduced by amounts not available for general expenditure due to contractual or donor-imposed restrictions within one year. Amounts not available include amounts set aside for long-term investing in quasi-endowment funds that could be drawn only upon approval of the Board of Directors.

Cash and cash equivalents	\$10,172,654
Accounts receivable	238,561
Contributions receivable	297,444
Investments	<u>29,593,791</u>
Financial assets as of December 31, 2019	40,302,450
Less:	
Amounts subject to donor restrictions	(7,647,040)
Quasi-endowment funds	(7,123,948)
Amounts restricted for Annuity Fund	(1,131,455)
Amounts restricted for Residents' Association Fund	(84,951)
Amounts set aside for liquidity reserve	(8,000,000)
Amounts set aside for debt service reserve	(294,948)
Amounts not due within one year	<u>(581,779)</u>
Financial assets available to meet cash needs for general expenditures within one year	<u><u>\$15,438,329</u></u>

As part of the Organization's liquidity management, it has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations come due. In addition, the Organization invests cash in excess of daily requirements in short-term investments. To help manage unanticipated liquidity needs, the Organization, has designated a portion of its operating surplus to its liquidity reserve that is on average six months of operating expenses, which was \$8,000,000 as of December 31, 2019. This reserve was established through approval of the Board of Directors to be drawn upon in the event of financial distress or an immediate liquidity need resulting from events outside the typical life cycle of converting financial assets to cash or settling financial liabilities.

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3. Investments

The Organization's investment portfolio consists of the following as of December 31, 2019:

Mutual bond funds	\$ 9,582,467
Mutual equity funds	15,933,506
Alternative investments	2,452,939
Prana Realty Company I common stock	1,624,879
	<u>\$29,593,791</u>

4. Fair Value Measurements

The Organization adopted the provisions of fair value measurements, which defines fair value, establishes a framework for measuring fair value and also expands the disclosures about fair value measurements. That framework provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurements) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy are described as follows:

- Level 1 inputs are based on unadjusted quoted prices for identical assets in an active market the Organization has the ability to access. Examples of these are investments in common stocks and mutual funds.
- Level 2 inputs are based on quoted prices in markets that are not active and other valuation methodologies or model inputs that are observable either directly or indirectly as of the measurement date. Examples of these investments include corporate and municipal bonds that trade infrequently.
- Level 3 inputs are based on prices or valuation techniques that are unobservable for the investment and include situations where there is little, if any, market activity. These inputs reflect assumptions of management about in pricing the investments or life expectancies. Examples of these investments are certain private equity investments and annuity obligations.

There were no changes in the valuation methodologies and no transfers of investments between levels during the year ended December 31, 2019.

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Assets and liabilities measured at fair value on a recurring basis have been categorized into a hierarchy based on the observable and unobservable inputs used to determine fair value as of December 31, 2019:

	Level 1	Level 2	Level 3	Total
Investments				
Mutual bond funds	\$ 9,582,467	\$ -	\$ -	\$ 9,582,467
Mutual equity funds	15,933,506	-	-	15,933,506
Alternative investments	2,452,939	-	-	2,452,939
Total recurring fair value measurements	<u>\$ 27,968,912</u>	<u>\$ -</u>	<u>\$ -</u>	27,968,912
Prana Realty Company I measured at NAV				1,624,879
Total investments				<u>\$ 29,593,791</u>
Liabilities:				
Annuity obligations:				
Annuity trusts	\$ -	\$ -	\$ 752,968	\$ 752,968
Post-retirement obligation	-	-	83,344	83,344
Total	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 836,312</u>	<u>\$ 836,312</u>

The following is a description of the Organization's valuation methodologies for assets and liabilities measured at fair value:

Mutual Bond and Equity Funds, and Alternative Investments

Valued at the closing price as reported on the active market on which individual securities or funded are traded.

Annuity Obligations

On an annual basis the Organization revalues the liability to make distributions to the designated beneficiaries of the Annuity Trusts based on actuarial assumptions. The present value of the estimated future payments for Annuity Trusts is calculated using a discount rate of 7.35 percent and the remaining life expectancy of the beneficiaries based on applicable mortality tables.

Post-retirement Obligation

The present value of the estimated future payments to the former Chief Executive Officer of the Organization is calculated using a discount rate of 6 percent and a retirement date in 2012.

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The following table sets forth a summary of changes in the fair value of the Organizations level 3 assets at December 31, 2019:

	Annuity Trusts	Post- Retirement Obligation	Total
Balance, beginning of year	\$877,698	\$102,615	\$980,313
Payments on post-retirement obligation	-	(19,271)	(19,271)
Payments of annuity trusts	(148,988)	-	(148,988)
Change in value of annuity trusts	24,258	-	24,258
Balance, end of year	<u>\$752,968</u>	<u>\$ 83,344</u>	<u>\$836,312</u>

Prana Realty Company I Measured at NAV

The Manor purchased the Class A common stock of Prana Realty Company I (the Company) in an initial offering in 2007. The Company, through City Partners I (the Partnership), is engaged in the acquisition, operating and the eventual sale of properties.

The periodic valuation of the Company's total portfolio serves as the basis for determining the Company's net asset value, which the Company uses in determining the market value per share for purposes of issuing additional shares or buying back outstanding shares. The market value per share is determined by dividing the Company's net asset value by the number of shares outstanding. At December 31, 2019, the Company has valued each share at \$125,714. This investment is not readily marketable, in part due to regulatory transfer restrictions placed by Prana.

The Organization uses net asset value to determine fair value of the investment in the Company as follows as of December 31, 2019:

	Fair Value	Unfunded Commitments	Redemption Frequency	Redemption Notice Period
Prana Realty Company I	<u>\$1,624,879</u>	<u>\$ -</u>	Semi-annually	95 days advance notice required

5. Post-Retirement Obligation

The Organization entered into a contract with the former Chief Executive Officer of the Organization in which he will serve as a consultant as may be required after he retired in 2012. He will receive an annual payment of \$25,000 for 11 years beginning in January 2013, for a total of \$275,000. If he dies or is disabled at any time before the full \$275,000 is paid, the remaining balance will be paid in full to his trust. Using a present value discount rate of 6 percent and a quarterly payment of \$6,250, the post retirement obligation at December 31, 2019 is \$83,344 of which \$20,454 is a current liability.

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6. Property and Equipment, net

The major categories of property and equipment and accumulated depreciation thereon are as follows as of December 31, 2019:

Buildings and improvements	\$ 45,423,416
Hillcrest assisted living center	4,477,622
Medical center	4,681,580
Administrative and activity building	2,320,464
Pavement resurfacings	499,602
Sprinkler system and well	475,412
Septic drain	172,207
Furnishings and carpeting	613,889
Computer equipment	338,972
Furniture	1,180,175
Health center equipment	253,890
Kitchen equipment	576,661
Maintenance equipment	108,937
Artwork and collections	145,245
Miscellaneous equipment	786,544
Motor vehicles	439,739
Landscaping	1,248,956
Telephone equipment	455,499
Water well	1,450,385
Total depreciable property and equipment	<u>65,649,195</u>
Less accumulated depreciation	(34,448,950)
Net depreciable property and equipment	<u>31,200,245</u>
Land	403,575
Construction in progress	2,482,213
Total property and equipment, net of accumulated depreciation	<u><u>\$ 34,086,033</u></u>

Depreciation expense for year ended December 31, 2019 was \$2,484,481.

7. Long-Term Debt

On December 28, 2011, the Organization entered into a \$4.35 million note payable with a financial institution: The note was payable in monthly installments of \$25,081, including principal and interest at a fixed rate of 4.85 percent from December 28, 2011 to September 23, 2015. On September 24, 2015; the note payable was modified to reduce the interest rate to 4.60 percent and reduce the monthly payment to \$24,616, including principal and interest. The note payable matures on January 5, 2022, at which time a one-time balloon payment estimated to be \$3,207,552 is due. The note payable is secured by a Deed of Trust as defined in the agreement. As of December 31, 2019, the outstanding balance is \$3,472,546. The note payable requires the Organization to comply with certain financial covenants, all of which were met at December 31, 2019.

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Current maturities on the long-term debt at December 31, 2019 are as follows:

<u>Years ending December 31,</u>	
2020	\$ 135,908
2021	128,983
2022	3,207,655
	<u>\$ 3,472,546</u>

8. Deferred Income from Entrance Fees, net

The changes in the deferred income from entrance fees are as follows as of December 31, 2019:

Balance, beginning of year	\$ 30,216,424
New fees received	6,120,869
Recognition of fees	(4,248,492)
Refunds	-
Balance, end of year	<u>\$ 32,088,801</u>

9. Employee Retirement Plan

The Organization has a Section 403(b)(7) retirement savings plan. All full-time and part-time employees become eligible to participate in the Plan on their hire date. On-call employees, who work less than 1,000 hours per year, are not eligible to participate in the Plan.

The Organization may match a full-time employee's contribution dollar for dollar up to a maximum of 3 percent of a participant's compensation. To qualify for the employer discretionary matching contribution, the participant must be a full-time employee and a participant in the Plan for a continuous period of two years with no breaks in service. Part-time employees are not eligible for the employer discretionary matching contribution. The amount of matched contributions made by the Organization was \$102,633 in 2019.

10. Net Assets - With Donor Restrictions

Donor restricted net assets consist for the following purposes as of December 31, 2019:

Subject to expenditure for specified purpose:	
Resident entertainment	\$ 63,274
Subject to Organization's spending policy and appropriation:	
Income earned on perpetual endowment	
General operating support	2,021,615
Subject to appropriation and expenditure when a specified event occurs:	
Terminated annuity trust funds	378,487
Not subject to appropriation or expenditure:	
Endowment funds in perpetuity (including original gift amount of \$3,964,796 as of December 31, 2019)	<u>5,625,425</u>
Balance, end of year	<u>\$ 8,088,801</u>

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Releases from donor restricted net assets for the year ended December 31, 2019, are as follows:

Releases from restrictions:

Subject to expenditure for specified purpose:	
Resident entertainment	\$ 3,000
Subject to the Organization's spending policy and appropriation:	
General operating support	308,124
Subject to appropriation and expenditure when a specified event occurs:	
Remainder of terminated annuity trusts	26,018
	<u>\$ 337,142</u>

11. Board Designated Net Assets

The board designated net assets are comprised of the following at December 31, 2019:

Without donor restrictions

Designated by the Board for:

Quasi-endowment	\$ 7,123,948
Resident welfare	84,951
Net assets	<u>\$ 7,208,899</u>

12. Endowment

The Organization's endowment includes both donor-restricted endowment funds and funds designated by the Board to function as endowments. As required by U.S. GAAP, net assets associated with endowment funds, including funds designated by the Board to function as endowments, are classified and reported based on the existence or absence of donor-imposed restrictions.

Interpretation of Relevant Law

The Board of Directors of the Organization has interpreted the Uniform Prudent Management of Institutional Funds Act (UPMIFA), as enacted by California in 2008 as SB 1329 as requiring the preservation of the fair value of the original gift as of the gift date of the donor-restricted endowment fund absent explicit donor stipulations to the contrary. As a result of this interpretation, the Organization classifies as net assets with donor restrictions (a) the original value of gifts donated to the permanent endowment and (b) the original value of subsequent gifts to the permanent endowment and (c) accumulations of earnings or losses to the permanent endowment. The remaining portion of the endowment fund not classified as net assets with donor restrictions is classified as net assets without donor restrictions, board designated. In accordance with UPMIFA, the Organization considers the following factors in making a determination to appropriate or accumulate donor-restricted endowment funds:

- The duration and preservation of the fund.
- The purposes of the Organization and the donor-restricted endowment fund.
- General economic conditions.
- The possible effect of inflation and deflation.
- The expected total return from income and the appreciation of investments.
- Other resources of the Organization.
- The investment policies of the Organization.

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Investment Return Objectives and Risk Parameters

The Organization has adopted investment and spending policies for the endowment fund. Under this policy, the endowment assets are invested in a manner that is intended to achieve the balanced accomplishment of current income with the growth and conservation of principal with interest and dividend income to be used to help meet operating expenses. At December 31, 2019, endowment investments are allocated as follows: 40 percent investment grade bonds, 44 percent U.S. equity funds, and 16 percent alternative investments. In managing risk within the endowment fund, the objective is to achieve total returns in excess of the average returns for an equity-tilted balance portfolio. Losses of 15 percent are tolerable.

Strategies Employed for Achieving Objectives

The Organization's investment strategy involves under- and over-weighting various asset classes based on an assessment of the risk and return potential specific to each asset class at any point in time.

Spending Policy and How the Investment Objectives Relate to Spending Policy

The Organization has a policy of appropriating for distribution each year 5 percent of the average closing market value of all Endowment Fund investments for the three preceding years to be available for general operating purposes. The 5 percent may be adjusted up or down in the future in order to maintain a fiscally prudent program for distribution consistent with the Organization's objective to grow and conserve principal in the endowment fund with interest and dividend income to be used to help meet the operating expenses, but not the non-operating requirements, of the Organization.

Funds with Deficiencies

From time to time, the fair value of assets associated with individual donor restricted endowment funds, may fall below the level that the donor or UPMIFA requires the Organization to retain as a fund of perpetual duration. There were no such deficiencies as of December 31, 2019.

Endowment net assets composition by type of fund as of December 31, 2019:

Net assets without donor restrictions:

Board designated quasi endowment funds	\$ 7,123,948
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Net assets with donor restrictions:

Perpetual endowment to provide income to the	
Manor and Foundation (Supporting Organization)	5,625,425
Accumulated gains on perpetual endowment	2,021,615
Total net endowment assets	\$14,770,988

As of December 31, 2019, the endowment fund is comprised of:

	Without Donor Restrictions	With Donor Restrictions	Total
Assets:			
Cash	\$ 46,421	\$ 47,664	\$ 94,085
Investments	7,077,527	7,266,932	14,344,459
Contribution receivable	-	332,444	332,444
Total assets	\$ 7,123,948	\$ 7,647,040	\$14,770,988

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Changes in endowment net assets for the year ended December 31, 2019:

	Without Donor Restrictions	With Donor Restrictions	Total
Endowment net assets, beginning of year	\$ 6,520,593	\$ 5,400,207	\$11,920,800
Investment income, net	189,560	192,976	382,536
Net realized and unrealized losses	688,934	701,352	1,390,286
Contributions	1,471	1,660,629	1,662,100
Amount appropriated for expenditure	(276,610)	(308,124)	(584,734)
Endowment net assets, end of year	<u>\$ 7,123,948</u>	<u>\$ 7,647,040</u>	<u>\$14,770,988</u>

13. Health and Safety Code Section 1790 (A)(3) Disclosure (Unaudited)

Improvements made during December 31, 2019 include (a) facilities and building of \$2,071,466 which consists of unit renovations and structural improvements to the Manor buildings, walkways and landscaping; (b) carpets, furnishings, and floor coverings of \$11,653; (c) computer equipment of \$121,230; and \$180,112 on equipment. The balance in work in progress as of December 31, 2019 was \$2,482,213 which consists mainly of unit renovations in progress.

These improvements are necessary and consistent with the Organization's tax-exempt purpose to maintain and provide facilities to meet the housing, health care and other needs of their residents.

14. Related Parties

Administrative Agreement

In March of 2018, the Foundation entered into an Affiliate Management and Administrative Services Agreement with the Manor to provide management and services to the Foundation. Pursuant to the agreement, the Foundation agreed to (1) pay the Manor \$80 per hour for management and administrative services and (2) reimburse the Manor direct and indirect expenses incurred. During the year ended December 31, 2019, the Foundation paid the Manor administrative service fees in the amount of \$9,040.

Contribution from Affiliate

Per the Board approval of the distribution of endowment earnings, the Foundation paid a distribution in the amount of \$558,264 to the Manor during the year ended December 31, 2019.

Board Member Transactions

One current Board member is an owner of a company that provides architectural services. In 2019, \$53,791 was paid to the architectural services company.

Another Board member is an employee of a company that provides insurance brokerage services to the Organization. Each year competitive bids are obtained from several insurance companies. In 2019, \$289,130 was paid for premiums to insurance companies represented by the Board member.

15. Subsequent Events

The Organization has evaluated all subsequent events through April 27, 2020, which is the date the financial statements are available to be issued.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
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In March 2020, the World Health Organization declared the outbreak of a novel coronavirus, COVID-19, as a pandemic, which continues to spread throughout the United States. The Organization has taken measures to comply with the Monterey County Department of Health issued Shelter in Place Order and has instructed all employees and residents to follow such orders. Effective April 7, 2020, the Organization is technically closed, residents are not to leave campus, and no visitors are allowed on campus. All staff interacting with residents are to be masked. Social distancing is a requirement and no public gatherings are allowed.

The Organization is currently tracking the expenses incurred due to COVID-19 and has seen an increase in expenses to help manage the pandemic but has not drawn on any lines of credit. Additional measures will be taken to safeguard the financial position of the Organization if necessary.

Additionally, subsequent to year end and due to the pandemic, the Organization's investments have sustained an unrealized loss of approximately 15% of the market value reported for year ended December 31, 2019. At this time, the Organization and their investment advisors do not believe any action is required at this time and will continue to monitor the market activity.

The Organization cannot reasonably estimate the length or severity of this pandemic and therefore, at this point, the extent to which COVID-19 may impact the financial condition or results of operations is uncertain.

SUPPLEMENTARY INFORMATION

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATING SCHEDULES FOR THE STATEMENT OF FINANCIAL POSITION
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	Manor Operating Fund	Manor Annuity Trusts Fund	Manor Alabaster Fund	Manor Residents' Assoc. Fund	Carmel Valley Manor Foundation	Consolidated
Assets						
Current Assets						
Cash and cash equivalents	\$ 10,014,058	\$ 7,536	\$ -	\$ 49,568	\$ 101,492	\$ 10,172,654
Accounts receivable	201,206	2,355	-	-	-	203,561
Current portion of contributions receivable	-	-	-	-	297,444	297,444
Due (to) from other funds	(63,274)	-	63,274	-	-	-
Prepaid expenses	350,457	-	-	-	-	350,457
Total current assets	10,502,447	9,891	63,274	49,568	398,936	11,024,116
Contributions receivable, less current portion	-	-	-	-	35,000	35,000
Investments	14,092,385	1,121,564	-	35,383	14,344,459	29,593,791
Property and equipment, net	34,086,033	-	-	-	-	34,086,033
Total assets	<u>\$ 58,680,865</u>	<u>\$ 1,131,455</u>	<u>\$ 63,274</u>	<u>\$ 84,951</u>	<u>\$ 14,778,395</u>	<u>\$ 74,738,940</u>
Liabilities and Net Assets						
Liabilities						
Current Liabilities						
Accounts payable	\$ 460,082	\$ -	\$ -	\$ -	1,000	\$ 461,082
Accrued liabilities	710,487	-	-	-	-	710,487
Advances from applicants	1,623,667	-	-	-	-	1,623,667
Current portion of post-retirement obligation	20,454	-	-	-	-	20,454
Current portion of long-term debt	135,908	-	-	-	-	135,908
Total current liabilities	2,950,598	-	-	-	1,000	2,951,598
Long-term debt, less current portion	3,336,638	-	-	-	-	3,336,638
Deferred income from entrance fees, net	32,088,801	-	-	-	-	32,088,801
Annuity obligations	-	752,968	-	-	-	752,968
Post-retirement obligation, less current portion	62,890	-	-	-	-	62,890
Total liabilities	<u>38,438,927</u>	<u>752,968</u>	<u>-</u>	<u>-</u>	<u>1,000</u>	<u>39,192,895</u>
Net Assets						
Without donor restrictions, including quasi-endowment funds \$7,123,948	20,241,938	-	-	84,951	7,130,355	27,457,244
With donor restrictions	-	378,487	63,274	-	7,647,040	8,088,801
Total net assets	<u>20,241,938</u>	<u>378,487</u>	<u>63,274</u>	<u>84,951</u>	<u>14,777,395</u>	<u>35,546,045</u>
Total liabilities and net assets	<u>\$ 58,680,865</u>	<u>\$ 1,131,455</u>	<u>\$ 63,274</u>	<u>\$ 84,951</u>	<u>\$ 14,778,395</u>	<u>\$ 74,738,940</u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATING SCHEDULES FOR THE STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2019

	Manor Operating Fund	Manor Annuity Trusts Fund	Manor Alabaster Fund	Manor Residents' Assoc. Fund	Carmel Valley Manor Foundation	Consolidated
Changes in Net Assets Without Donor Restrictions						
Revenue and support						
Income from Operations						
Resident care fees	\$ 12,090,619	\$ -	\$ -	\$ -	\$ -	\$ 12,090,619
Amortization of entrance fees	4,248,492	-	-	-	-	4,248,492
Other resident services and operating income	443,721	-	-	35,166	-	478,887
Total income from operations	16,782,832	-	-	35,166	-	16,817,998
Other Income						
Investment return, net	2,129,022	-	-	6,330	878,494	3,013,846
Contributions	330,976	-	-	31,826	1,471	364,273
Other income	7,950	-	-	-	-	7,950
Total other income	2,467,948	-	-	38,156	879,965	3,386,069
Net Assets Released from Restrictions						
Endowment income distribution	558,264	-	-	-	(250,140)	308,124
Remainder of terminated annuity trusts	-	-	-	-	26,018	26,018
Resident entertainment	60,052	-	-	(60,052)	-	-
Total released from restrictions	618,316	-	-	(60,052)	(224,122)	334,142
Total revenue and support	19,869,096	-	-	13,270	655,843	20,538,209
Expenses						
Manor program						
Nursing, assisted living, and medical services	4,393,869	-	-	-	-	4,393,869
Resident services	2,627,590	-	-	-	-	2,627,590
Dining services	4,309,031	-	-	-	-	4,309,031
Facility operations, maintenance, and utilities	2,420,196	-	-	-	-	2,420,196
Environmental services	1,140,485	-	-	-	-	1,140,485
Management and general	2,953,045	-	-	-	53,729	3,006,774
Total expenses	17,844,216	-	-	-	53,729	17,897,945
Change in net assets without donor restrictions	2,024,880	-	-	13,270	602,114	2,640,264

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
CONSOLIDATING SCHEDULES FOR THE STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS (CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2019

	Manor Operating Fund	Manor Annuity Trusts Fund	Manor Alabaster Fund	Manor Residents' Assoc. Fund	Carmel Valley Manor Foundation	Consolidated
Changes in Net Assets With Donor Restrictions						
Revenue and support						
Investment return, net	-	138,299	8,607	-	894,328	1,041,234
Contributions	-	-	-	-	1,533,574	1,533,574
Contributed investments	-	-	-	-	127,055	127,055
Change in value of split interest trusts	-	(24,258)	-	-	-	(24,258)
Total revenue and support	-	114,041	8,607	-	2,554,957	2,677,605
Net Assets Released from Restrictions						
Endowment income distribution	-	-	-	-	(308,124)	(308,124)
Remainder of terminated annuity trusts	-	(26,018)	-	-	-	(26,018)
Resident entertainment	-	-	(3,000)	-	-	(3,000)
Total released from restrictions	-	(26,018)	(3,000)	-	(308,124)	(337,142)
Change in net assets with donor restrictions	-	88,023	5,607	-	2,246,833	2,340,463
Change in Net Assets	2,024,880	88,023	5,607	13,270	2,848,947	4,980,727
Net Assets, Beginning of Year						
Without donor restrictions	18,217,058	-	-	71,681	6,528,241	24,816,980
With donor restrictions	-	290,464	57,667	-	5,400,207	5,748,338
Total net assets, beginning of year	18,217,058	290,464	57,667	71,681	11,928,448	30,565,318
Net Assets, End of Year						
Without donor restrictions	20,241,938	-	-	84,951	7,130,355	27,457,244
With donor restrictions	-	378,487	63,274	-	7,647,040	8,088,801
Total Net Assets, End of Year	\$ 20,241,938	\$ 378,487	\$ 63,274	\$ 84,951	\$ 14,777,395	\$ 35,546,045

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC. AND SUPPORTING ORGANIZATION
SCHEDULE OF FUNDS AND PURPOSE
FOR THE YEAR ENDED DECEMBER 31, 2019

FUNDS:	PURPOSE:
Manor Operating Fund	The Manor <i>Operating Fund</i> comprises resources that are available for support of the Manor's operations.
Manor Annuity Trusts Fund	The <i>Charitable Remainder Annuity Trusts Fund</i> (Manor Annuity Trusts Fund) consists of the remaining principal amounts of annuity gifts to the Manor. Under individual trust agreements, the Manor is required to pay stipulated annuities to the donor over the donor's lifetime. The contribution portion of the gift is determined in the year the trust is established and recorded on the consolidated statement of activities and changes in net assets, as the difference between the fair value of the trust assets and the present value of the estimated annuity payments to be paid over the expected life of the annuitant using a discount rate of 7.35% in 2019 which is recorded as a liability on the consolidated statement of financial position. Subsequent to initial recognition, the liability is adjusted for discount amortization and revaluations of future payments to beneficiaries based on life expectancies, which are recognized as the change in value of split interest agreements on the consolidated statement of activities and changes in net assets. The remaining liability reverts to the Organization upon death of the donor. The annuitants have designated that, upon termination, the remaining principal of each Annuity Trust be transferred to either Part A or Part B of the Organization's endowment. Assets held in the charitable remainder trusts totaled \$1,131,455 at December 31, 2019, and are reported at fair value in the consolidated schedule for the statement of financial position.
Manor Alabaster Fund	The Manor <i>Alabaster Fund</i> is comprised of a contribution to be used for resident entertainment. The income earned and up to 10 percent of the principal may be used annually in the Alabaster Fund.
Manor Residents' Association Fund	The Manor <i>Residents' Association Fund</i> is comprised of income from the ROSE shop and donations designated for use by the Association. Funds are used by the Association, through the Residents' Council and its committees, primarily to advance the welfare of residents.
Carmel Valley Manor Foundation	The <i>Carmel Valley Manor Foundation Fund</i> is comprised of two parts, Part A and Part B - <i>Part A</i> consists of (1) donations, gifts, bequests made to the Foundation and without donor restricted bequests apparently intended to be enduring and in compliance with the purpose of the fund; (2) remainder interests in those Charitable Remainder Annuity Trusts terminated prior to March 1, 1994; (3) those trusts created prior to March 1, 1994 unless the trustors have specified in writing that the remainder interests shall be placed in Part B; and (4) those trusts created on or after March 1, 1994 with the written consent of the trustors. The principal of Part A shall accumulate and be retained in perpetuity to provide increasing income to the Foundation and may be used only to meet the statutory reserve requirements of the state of California or to meet unforeseen emergencies if the assets in Part B are insufficient for these purposes. The investment return on Part A assets are included in net assets with donor restrictions. <i>Part B</i> consists of (1) any funds transferred from the Foundation's reserve (operating) fund at the designation of the Board; (2) remainder interests in trusts created prior to March 1, 1994 with the written consent of the trustors; and (3) remainder interests in trusts created on or after March 1, 1994 provided the trustors have not specified in writing that such remainder interests shall be placed in Part A. The principal of Part B has no outside restrictions and can be utilized with the approval of the Board of Trustees for: unforeseen emergencies; funding improvements that are financially sound and will substantially improve the quality of life at the Manor; compliance with regulatory requirements; reducing operating expenses and debt that may have been or may be incurred to fund improvements.

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF NET ASSETS WITH DONOR RESTRICTIONS
FOR THE YEAR ENDED DECEMBER 31, 2019

	Endowment Part A	Annuity Trusts Fund	Alabaster Fund	Total
Assets				
Cash	\$ 47,664	\$ 7,536	\$ -	\$ 55,200
Accounts receivable	-	2,355	-	2,355
Contributions receivable	332,444	-	-	332,444
Due (to) from other funds	-	-	63,274	63,274
Total current assets	380,108	9,891	63,274	453,273
Investments	7,266,932	1,121,564	-	8,388,496
Total assets	<u>\$7,647,040</u>	<u>\$1,131,455</u>	<u>\$ 63,274</u>	<u>\$8,841,769</u>
Liabilities and Net Assets				
Annuity obligations	\$ -	\$ 752,968	\$ -	\$ 752,968
Net assets with donor restrictions	7,647,040	378,487	63,274	8,088,801
Total liabilities and net assets	<u>\$7,647,040</u>	<u>\$1,131,455</u>	<u>\$ 63,274</u>	<u>\$8,841,769</u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF NET ASSETS WITH DONOR RESTRICTIONS
(CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2019

	Endowment Part A	Annuity Trusts Fund	Alabaster Fund	Total
Other Income (loss)				
Investment return, net	\$ 894,328	\$ 138,299	\$ 8,607	\$1,041,234
Contributions	1,660,629	-	-	1,660,629
Change in value of split-interest trusts:				
Revaluation of trust obligations	-	(24,258)	-	(24,258)
Total other income	<u>2,554,957</u>	<u>114,041</u>	<u>8,607</u>	<u>2,677,605</u>
Net Assets Released from Restrictions				
Endowment income distribution	(308,124)	-	-	(308,124)
Remainder of terminated annuity trusts	-	(26,018)	-	(26,018)
Satisfaction of program restrictions:				
Entertainment	-	-	(3,000)	(3,000)
Total released from restrictions	<u>(308,124)</u>	<u>(26,018)</u>	<u>(3,000)</u>	<u>(337,142)</u>
Change in Net Assets	<u>2,246,833</u>	<u>88,023</u>	<u>5,607</u>	<u>2,340,463</u>
Net Assets, Beginning of Year	<u>5,400,207</u>	<u>290,464</u>	<u>57,667</u>	<u>5,748,338</u>
Net Assets, End of Year	<u><u>\$7,647,040</u></u>	<u><u>\$ 378,487</u></u>	<u><u>\$ 63,274</u></u>	<u><u>\$8,088,801</u></u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF DESIGNATED NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2019

	Operating Fund	Endowment Part B	Residents' Association Fund	Total
Assets				
Cash	\$ -	\$ 46,421	\$ 49,568	\$ 95,989
Total current assets	-	46,421	49,568	95,989
Investments	-	7,077,527	35,383	7,112,910
Total assets	<u>\$ -</u>	<u>\$7,123,948</u>	<u>\$ 84,951</u>	<u>\$7,208,899</u>
Liabilities and Net Assets				
Designated net assets	\$ -	\$7,123,948	\$ 84,951	\$7,208,899
Total liabilities and net assets	<u>\$ -</u>	<u>\$7,123,948</u>	<u>\$ 84,951</u>	<u>\$7,208,899</u>

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.
COMBINING SCHEDULES OF DESIGNATED NET ASSETS (CONTINUED)
FOR THE YEAR ENDED DECEMBER 31, 2019

	Operating Fund	Endowment Part B	Residents' Association Fund	Total
Income from Operations				
Other resident services and operating income	\$ -	\$ -	\$ 35,166	\$ 35,166
Other Income				
Investment return, net	-	878,494	6,330	884,824
Contributions	-	1,471	31,826	33,297
Total other income	-	879,965	38,156	918,121
Net Assets Released from Restrictions				
Endowment income distribution	-	(250,592)	-	(250,592)
Remainder of terminated annuity trusts	-	(26,018)	-	(26,018)
Board-designated transfers	-	-	(60,052)	(60,052)
Total released from restrictions	-	(276,610)	(60,052)	(336,662)
Change in Net Assets	-	603,355	13,270	616,625
Net Assets, Beginning of Year	-	6,520,593	71,681	6,592,274
Net Assets, End of Year	\$ -	\$7,123,948	\$ 84,951	\$7,208,899

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APPENDIX C

FINANCIAL FEASIBILITY REPORT

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HENDRICKSON CONSULTING

6 Beach Road – #494, Tiburon, California 94920 - (415) 889-5035 – Bill1Hendrickson@gmail.com

FINAL REPORT

NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC.

dba CARMEL VALLEY MANOR

FINANCIAL FEASIBILITY REPORT

JUNE 1, 2022

HENDRICKSON CONSULTING

6 Beach Road, #494, Tiburon, CA 94920 – (415) 889-5035 – BillHendrickson@gmail.com

June 1, 2022

Jay Zimmer
President and Chief Executive Officer
Carmel Valley Manor
8545 Carmel Valley Road
Carmel, CA 93923

Dear Mr. Zimmer:

We are pleased to submit this feasibility study for Northern California Congregational Retirement Homes, Inc. dba Carmel Valley Manor (CVM), a 501(c)(3) corporation that owns and operates a continuing care retirement community (CCRC) in Carmel Valley, California. CVM currently consists of 146 independent living (IL) units, 24 assisted living units/beds, and a 36-bed licensed skilled nursing facility. CVM began operations in 1963. The proceeds of the \$36.3 million Series 2022 Bonds (par plus premium) will be used to upgrade key infrastructure and amenities on the campus, including a new sewer system, dining facility improvements, existing unit remodels, and mechanical and electrical systems. No new units are being added.

The 2022 Bonds are anticipated to be issued in August and are expected to have a 2052 term and maximum coupon rates of 4.50%. The 2022 Bonds will be insured through the State of California's Cal Mortgage program. Interest payments to bondholders begin on November 15, 2022. Long-term principal payments begin on May 15, 2024.

To evaluate the financial feasibility of the transaction we have reviewed critical information sources, including the following:

- the key revenue sources for CVM;
- the key expenses for CVM;
- the estimated costs and timing of the improvements, and
- the terms and structure of the proposed bond issue.

The information obtained through this process has been used to forecast CVM financial statements for the fiscal years ending December 31, 2022 to 2026. Based on our evaluation, the debt coverage ratio is expected to equal or exceed 2.10x maximum annual debt service in all forecast years. In addition, the sources of funds will be adequate to meet operating expenses, working capital, and other capital requirements.

The forecasts contained in this report are based on several assumptions. To the extent that these assumptions are not realized, the actual results may vary accordingly. Implementation of policies and procedures to attain the forecast results is the responsibility of CVM and its management. Since forecasts of future events are subject to uncertainty, we cannot guarantee these forecasts as specific results that will be achieved.

We appreciate the assistance provided by CVM management during the preparation of this study.

Sincerely,

William D. Hendrickson

William D. Hendrickson
Hendrickson Consulting

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SECTION A
CARMEL VALLEY MANOR
STATEMENTS OF OPERATIONS
(\$000s)

Fiscal Year Ending 12/31	2019	2020	2021	2022	2023	2024	2025	2026
<u>REVENUE</u>								
Monthly Fees	\$12,060	\$12,319	\$12,781	\$13,724	\$14,536	\$15,118	\$15,722	\$16,351
Medical/Service Revenue	509	340	328	343	363	378	393	409
Amortized Entrance Fees	4,249	5,267	4,085	4,477	4,639	4,810	4,989	5,177
Investment Income/Gains	3,014	2,444	2,444	1,107	1,596	1,429	1,295	1,300
Contributions	372	2,126	1,329	434	451	469	488	507
Net Released Assets - Op/Cap	334	387	334	334	334	334	334	334
Total Revenue	\$20,538	\$22,883	\$21,301	\$20,419	\$21,920	\$22,538	\$23,221	\$24,078
<u>EXPENSES</u>								
Nursing	\$3,940	\$4,529	\$5,087	\$5,000	\$5,200	\$5,408	\$5,624	\$5,849
Dining	4,231	4,747	4,715	4,600	4,784	4,975	5,174	5,381
Resident Services/Activities	709	754	821	730	759	790	821	854
Environmental Services	3,540	3,929	4,126	3,900	4,056	4,218	4,387	4,562
Administration	2,826	3,341	3,542	3,570	3,713	3,861	4,016	4,176
Depreciation/Amortization	2,484	2,698	2,847	4,045	4,969	5,497	5,375	5,259
Interest	168	157	155	100	0	1,201	1,526	1,497
Total Expenses	\$17,898	\$20,155	\$21,293	\$21,945	\$23,481	\$25,950	\$26,923	\$27,579
Increase in Unrestr. Net Assets	\$2,640	\$2,728	\$8	(\$1,526)	(\$1,562)	(\$3,412)	(\$3,702)	(\$3,501)
Change in D.Restr. Net Assets	2,341	393	796	0	0	0	0	0
Change in Net Assets	\$4,981	\$3,121	\$804	(\$1,526)	(\$1,562)	(\$3,412)	(\$3,702)	(\$3,501)

SECTION A
CARMEL VALLEY MANOR
BALANCE SHEETS
(\$000s)

Fiscal Year Ending 12/31	2019	2020	2021	2022	2023	2024	2025	2026
<u>ASSETS</u>								
Cash & Equivalents	\$10,173	\$9,584	\$8,766	\$8,766	\$8,766	\$8,766	\$8,766	\$8,766
Accounts Receivable	204	424	71	270	286	297	309	321
Other Current Assets	647	388	535	535	535	535	535	535
Total Current Assets	\$11,024	\$10,396	\$9,372	\$9,571	\$9,587	\$9,598	\$9,610	\$9,622
Net Property, Plant, Equip.	\$34,086	\$34,593	\$35,881	\$51,416	\$58,547	\$62,110	\$59,235	\$56,476
Investments - Unrestricted	21,505	24,070	26,211	27,484	30,890	31,525	31,723	32,030
Investments - Donor Restricted	8,089	8,480	9,317	9,317	9,317	9,317	9,317	9,317
Investments - Restricted 2022 Bonds	0	0	0	18,255	7,655	1,095	1,095	1,095
Other	35	0	0	0	0	0	0	0
TOTAL ASSETS	\$74,739	\$77,539	\$80,781	\$116,043	\$115,995	\$113,645	\$110,980	\$108,540
<u>LIABILITIES</u>								
Accts. Payable/Accr. Exp.	\$1,171	\$1,420	\$1,377	\$1,471	\$1,522	\$1,681	\$1,771	\$1,835
Resident Deposits	1,624	893	1,338	1,338	1,338	1,338	1,338	1,338
Other	20	560	75	75	75	75	75	75
Current Portion Long-term Debt	136	145	168	0	635	665	690	720
Total Current Liabilities	\$2,951	\$3,018	\$2,958	\$2,884	\$3,570	\$3,759	\$3,874	\$3,968
Unamortized Entrance Fees	\$32,089	\$31,907	\$34,641	\$38,167	\$39,631	\$41,168	\$42,780	\$44,468
Long-term Debt	3,337	3,189	3,012	36,290	35,655	34,990	34,300	33,580
Other	816	757	699	757	757	757	757	757
TOTAL LIABILITIES	\$39,193	\$38,871	\$41,310	\$78,098	\$79,612	\$80,674	\$81,711	\$82,773
Unrestricted	\$27,457	\$30,187	\$30,154	\$28,628	\$27,066	\$23,654	\$19,952	\$16,451
Donor Restricted	8,089	8,481	9,317	9,317	9,317	9,317	9,317	9,317
NET ASSETS	\$35,546	\$38,668	\$39,471	\$37,945	\$36,383	\$32,971	\$29,269	\$25,768
TOTAL LIAB. & NET ASSETS	\$74,739	\$77,539	\$80,781	\$116,043	\$115,995	\$113,645	\$110,980	\$108,540

SECTION A
CARMEL VALLEY MANOR
STATEMENTS OF CASH FLOWS
(\$000s)

Fiscal Year Ending 12/31	2019	2020	2021	2022	2023	2024	2025	2026
<u>OPERATING ACTIVITIES</u>								
Change in Net Assets	\$4,981	\$3,121	\$804	(\$1,526)	(\$1,562)	(\$3,412)	(\$3,702)	(\$3,501)
Depreciation and Amortization	2,484	2,698	2,847	4,045	4,969	5,497	5,375	5,259
Earned Entrance Fees	(4,249)	(5,267)	(4,085)	(4,477)	(4,639)	(4,810)	(4,989)	(5,177)
Net Entrance Fees	6,121	5,085	6,819	8,003	6,103	6,347	6,601	6,865
Changes in Assets/Liabilities	(967)	83	65	(47)	34	148	78	51
Cash From Operating Act.	\$8,370	\$5,720	\$6,450	\$5,998	\$4,906	\$3,770	\$3,363	\$3,497
<u>INVESTING ACTIVITIES</u>								
Capital Expenditures - Project	\$0	\$0	(\$860)	(\$13,400)	(\$10,600)	(\$6,560)	\$0	\$0
Capital Expenditures - Other	(3,152)	(3,215)	(3,276)	(1,500)	(1,500)	(2,500)	(2,500)	(2,500)
Cash From Investing Act.	(\$3,152)	(\$3,215)	(\$4,136)	(\$14,900)	(\$12,100)	(\$9,060)	(\$2,500)	(\$2,500)
<u>FINANCING ACTIVITIES</u>								
2022 Bonds	\$0	\$0	\$0	\$36,290	\$0	\$0	\$0	\$0
Funded Interest	0	0	0	(\$1,860)	0	0	0	0
Issuance Expense	0	0	0	(\$2,820)	0	0	0	0
Refinance	0	0	0	(\$3,135)	0	0	0	0
Debt Principal Payments	(\$132)	(\$138)	(\$154)	(\$168)	\$0	(\$635)	(\$665)	(\$690)
Other	0	0	0	123	0	0	0	0
Cash From Financing Act.	(\$132)	(\$138)	(\$154)	\$28,430	\$0	(\$635)	(\$665)	(\$690)
Net Change in Cash/Equiv.	\$5,086	\$2,367	\$2,160	\$19,528	(\$7,194)	(\$5,925)	\$198	\$307
End Of Year Cash & Invest.	\$39,767	\$42,134	\$44,294	\$63,822	\$56,628	\$50,703	\$50,901	\$51,208
Unrestricted/Board Restricted	31,678	33,654	34,977	36,250	39,656	40,291	40,489	40,796
Restricted - Donor/Annuity	8,089	8,480	9,317	9,317	9,317	9,317	9,317	9,317
Restricted - 2022 Bonds	0	0	0	18,255	7,655	1,095	1,095	1,095

B. BACKGROUND

Northern California Congregational Retirement Homes, Inc., doing business as (dba) Carmel Valley Manor (CVM), is a 501(c)(3) non-profit corporation which owns and operates a continuing care retirement community (CCRC) on a 25-acre site located in Carmel Valley, an unincorporated area in Monterey County. CVM opened in 1963, and currently consists of 146 operating independent living (IL) units, 24 assisted living (AL) units/beds, and a 36-bed skilled nursing facility (SNF). CVM also has a separately incorporated Foundation formed as a non-profit corporation in 2017. The two are inter-related and are consolidated in the attached financial forecasts.

PROJECT SUMMARY

The project consists of five components, including “Pavilion” renovation, a sewer system line/connection, Health Center (AL and SNF) upgrades, mechanical and electrical infrastructure improvements, and IL unit renovations. The first three projects are already underway and are expected to be completed within the next 12 months. The infrastructure projects and IL renovations are to be completed in 2023 and 2024. Total hard and soft project costs are estimated at \$31.4 million.

THE LEGAL STRUCTURE/PROGRAM

CVM is a “Type A” Lifecare CCRC. Entrants pay a one-time entrance fee with a 67-month declining refundability (CVM does not offer refundable fee options). The amount of the entrance fee and monthly fee vary by unit type. IL services include weekly housekeeping and three meals per day for all contract options. Medical deductibles and co-payments not covered by Medicare or a Medicare supplemental insurance policy are generally covered by CVM for Type A contracts. The core benefit is that single residents or couples never pay more than their IL unit rate when transferring to higher levels of care. For example, if a couple pays \$8,000 per month in IL, they will pay the same, even if both transfer to the SNF, effectively a 70% discount from market rates.

THE BOARD OF DIRECTORS

CVM and its Foundation are governed by a 12-member Board of Directors. Non-resident directors are eligible to serve a maximum of 3 consecutive 3-year terms, and after a one-year break, are eligible for additional terms. Current Board members have served an average of 5 years. Members also participate in a series of committees including Finance, Investment, Audit, Strategic Planning, Marketing and Health Services.

C. PROJECT AND FINANCING ASSUMPTIONS

A summary of the sources and uses of funds for the CVM projects is shown in **Table 1**. The total project cost is estimated at \$31.4 million including soft costs and contingencies. Proposed projects include:

- Renovation of the Pavilion, which houses dining and administrative offices
- Construction of a sewer extension/connection to replace the existing campus septic system
- Health Center upgrades, including new AL showers, and new painting, carpet, and lighting
- Infrastructure projects including new boiler and HVAC and upgraded mechanical, electrical, solar, and plumbing systems
- Renovation of 31 existing IL units

Project costs and schedules are based on estimates provided by CVM's Director of Capital Planning and Otto Construction. The first three projects are expected to solicit bids and award guaranteed maximum price (GMP) contracts by August 2022, with a total current estimate of \$12.0 million in GMP-covered construction costs. Similarly, required public agency permits are in various stages and are expected to be received by the August 2022 Bond closing.

PROJECT SUMMARY

Pavilion Project – The Pavilion is the main community building, which houses the kitchen, dining venues, reception areas, and some offices. The current dining and other interior spaces were last renovated over 20 years ago and are in need of upgrades. The project includes a remodel of the lounge, reception, all dining venues, and restrooms. Also included are new administrative offices. The budget is estimated at \$7.4 million, and construction is scheduled from June to December 2022. The budget includes \$5.2 million construction, \$1.7 million design, permit, furnishing and equipment (FFE), and other soft costs, and \$570,000 in owner's contingencies. The County Planning Department approved the project in late 2021 and County Building Inspection Department approval is expected by June. The GMP is also expected to be finalized by June.

Sewer Project – CVM currently uses a 60-year-old septic system. The project will include a total of three miles of new lines and a pump station to connect with the Carmel Area Wastewater District's (CAWD) system. The benefits of converting from septic to sewer system include the avoidance of the cost of maintaining/replacing the existing septic system, and the ability to increase the number of IL units in the future. The project is expected to begin by September 2022 and to be completed by May 2023. The budget is estimated at approximately \$6.5 million; \$4.2 million for construction, \$1.5 million for soft costs, and \$800,000 for owner's contingencies. Permits are expected to be issued by August by all agencies, including CAWD and the County of Monterey. The GMP is expected to be received by the end of July for all work. Upon completion the facilities will be transferred to CAWD, who will be responsible for maintenance and operation. CVM is negotiating an agreement with CAWD that will allow CVM to receive payments from parties that connect with CVM's line in the future. No connection revenues are reflected in the forecasts.

Health Center Upgrades – The SNF and AL are in need of cosmetic lighting, carpet, painting, and other moderate upgrades. These also include nursing station improvements, the installation of new showers in the AL building, and other minor improvements. Total costs are estimated at \$3.5 million, including \$2.6 million for construction, \$650,000 for all soft costs (e.g. permits, FFE, design), and \$270,000 for owner’s contingencies. Architectural plans are scheduled to be completed in May and permits and the GMP provided by August. The State’s Department of Health Care Access and Information (HCAI) will need to review and approve the proposed project but has told CVM that the improvements are considered relatively minor. Work is expected to start in September 2022 and to be completed by June 2023. CVM does not expect any impact on AL and SNF census or revenue.

Other Infrastructure Projects – CVM is currently evaluating plans to replace its existing boiler and HVAC systems and upgrade electrical, mechanical, and plumbing systems. Total costs are estimated to range from \$9.0 million, including new boilers and HVAC systems (\$3 million), solar projects (\$5 million), and water and sewer laterals (\$1 million). It is possible that none of these projects will have received permits or a GMP before the 2022 Bonds closing in August. Construction is expected during 2023 and 2024.

IL Unit Renovations – CVM estimates that approximately \$160,000 per unit will be expended on 31 IL one-bedroom units to convert them to a new design, mostly in 2023 and 2024.

FINANCING ASSUMPTIONS

The Series 2022 Bonds financing assumptions reflected in **Table 1** have been provided by Ziegler, CVM’s investment banker. The 2022 bonds are estimated to have a maximum 4.50% coupon rate, with principal payments beginning May 15, 2024 and ending in 2052. Annual debt is estimated at \$2.2 million. All interest payments through February 2024 are funded from 2022 Bond proceeds.

CVM currently has \$3.1 million outstanding on an original \$4.35 million 2011 loan from First Capital Bank used to finance SNF improvements. The current extended loan is due in May 2026 and has a 3.95% fixed interest rate. CVM is currently paying \$24,200 per month until the debt is refinanced with 2022 Bond proceeds. There is no pre-payment penalty fee. Principal payments on the refinanced debt will begin May 15, 2024.

TABLE 1
CARMEL VALLEY MANOR
SOURCES/USES OF FUNDS
(\$000s)

Fiscal Year Ending 12/31	TOTAL	Thru 2021	2022	2023	2024	2025	2026
<u>SOURCES</u>							
Bonds - Par	\$35,830	\$0	\$35,830	\$0	\$0		
Premium	\$460	0	460	0	0		
Cash Reserves	\$4,040	860	3,180	0	0		
Other	\$0	0	0	0	0		
TOTAL SOURCES	\$40,330	\$860	\$39,470	\$0	\$0		
<u>USES</u>							
Pavilion Renovation	\$7,390	\$390	\$7,000	\$0	\$0		
Sewer Project	\$6,550	350	4,000	2,200	0		
Health Center Refresh	\$3,520	120	2,400	1,000	0		
Infrastructure Projects/Other	\$9,000	0	0	5,000	4,000		
IL Unit Renovations	\$4,960	0	0	2,400	2,560		
Subtotal - Project Costs	\$31,420	\$860	\$13,400	\$10,600	\$6,560		
Funded Interest	\$1,860	\$0	\$1,860	\$0	\$0		
Debt Reserve	\$1,095	0	1,095	0	0		
Refinance	\$3,135	0	3,135	0	0		
Loan Costs/Fees	\$2,820	0	2,820	0	0		
Subtotal - Other Costs	\$8,910	\$0	\$8,910	\$0	\$0		
TOTAL USES	\$40,330	\$860	\$22,310	\$10,600	\$6,560		
BALANCE	\$0	\$0	\$17,160	\$6,560	\$0		
<u>DEBT PAYMENTS</u>							
Interest/Fees				\$0	\$1,201	\$1,526	\$1,497
Principal				<u>0</u>	<u>635</u>	<u>665</u>	<u>690</u>
Total Payments				\$0	\$1,836	\$2,191	\$2,187
Balance - Par			\$35,830	\$35,830	\$35,195	\$34,530	\$33,840

D. OPERATING ASSUMPTIONS

The following is a discussion of key utilization, revenue, and expense assumptions. These are based on audited statements from 2019 to 2021, historical occupancy and rate information, and discussions with management. Fiscal year (FY) ending December 31, 2022 forecasts are based on internal financial statements through April 30 and the 2022 budget.

KEY REVENUE ASSUMPTIONS

Cash revenues consist of entrance fee sales and turnover (resale) proceeds, ongoing monthly fees, investment earnings, and contributions. A summary of fees effective January 1, 2022 for the IL units is shown in **Table 2**.

Monthly Fees

CVM increased 2022 monthly fees from 2021 levels by 5.0%, after averaging 4.2% annual increases for the prior four years. The unit total shown in **Table 2** includes some units which are currently being used for non-IL purposes, and there are currently 146 total operating IL units. Not shown are AL and SNF rates. As mentioned earlier, CVM is a lifecare community which maintains the resident's IL fees when they transfer to higher levels of care. CVM expects to resume monthly fee increases of an estimated 4.0% per year beginning in January 2023.

Table 3 shows a summary of IL, AL, and SNF revenues. Occupancy for existing IL units is expected to increase as the impacts of Covid-19 lessen. Occupancy in April 2022 reached 126 units, up from an average of 123 in January 2022. Forecasts assume that occupancy reaches 130 units (89% of the 146 operating units) by the end of 2022 and remains at this level thereafter. CVM has recently adopted a program whereby non-contract residents can be admitted under a rental agreement to specific "hard-to-fill" IL units. For forecasting purposes no residents are included under this category. The AL and SNF census is expected to remain at 2022 levels (about 70% for SNF, 90% for AL) during the forecast period. CVM does not accept outside direct admits to its AL or SNF levels of care, so all patients have transferred as CCRC contract residents from IL. **Table 3** also shows a summary of benevolence for all levels of care, which is projected to average 2.0% of gross revenues in 2022 and thereafter.

Other Ongoing Revenues

In addition to monthly fees CVM charges for other services including clinic, extra meal, and cable/internet services. Total other revenues are estimated to average 2.5% of total monthly fee revenues.

TABLE 2
CARMEL VALLEY MANOR
KEY UNIT/FEE ASSUMPTIONS
FISCAL YEAR 2022 DOLLARS

UNIT TYPE	Total Units	Square Feet	Entrance Fee	Monthly Fee
Studio	8	420	\$190,000	\$4,400
One-Bedroom Large	50	650	\$380,000	\$5,450
Double Studio	9	750	\$417,000	\$5,750
Two-Bedroom/One Bath	16	840	\$538,000	\$6,040
Enlarged Double Studio	11	940	\$478,000	\$5,910
Two-Bedroom/Two Bath	16	1,000	\$880,000	\$9,720
Two-Bedroom/Two Bath	4	1,040	\$799,000	\$9,380
Two-Bedroom/Two Bath	26	1,290	\$915,000	\$9,790
Two-Bedroom/Two Bath	6	1,600	\$955,000	\$10,010
Two-Bedroom/Two Bath	2	1,500	\$980,000	\$10,090
TOTAL/AVERAGE	148	897	\$587,000	\$7,090
Second Person Fee (1)			\$80,000	\$2,600

- (1) Entrance and monthly fees for two-bedroom/two bath and larger are same for one and two occupants
- (2) Number of licensed units. Current 146 operating units, which can vary as units are combined or converted to/from offices.

TABLE 3
CARMEL VALLEY MANOR
REVENUE ASSUMPTIONS
(\$000s)

Fiscal Year Ending 12/31	2019	2020	2021	2022	2023	2024	2025	2026
<u>Independent Living</u>								
Available Units	148.0	148.0	148.0	146.0	146.0	146.0	146.0	146.0
Occupied Units - Contract	129.6	126.3	123.5	127.0	130.0	130.0	130.0	130.0
% Occupancy	87.6%	85.3%	83.4%	87.0%	89.0%	89.0%	89.0%	89.0%
Average Contract Rate/Mo.	\$6,182	\$6,298	\$6,834	\$7,176	\$7,463	\$7,761	\$8,072	\$8,395
Total Revenue	\$9,614	\$9,545	\$10,128	\$10,936	\$11,642	\$12,108	\$12,592	\$13,096
<u>Assisted Living</u>								
Available Units	24.0	24.0	24.0	24.0	24.0	24.0	24.0	24.0
Occupied Units - Contract	20.3	20.8	19.4	22.0	22.0	22.0	22.0	22.0
% Occupancy	84.6%	86.7%	80.8%	91.7%	91.7%	91.7%	91.7%	91.7%
Average Contract Rate/Mo.	\$4,622	\$5,028	\$5,175	\$5,382	\$5,597	\$5,821	\$6,054	\$6,296
Total Revenue	\$1,126	\$1,255	\$1,205	\$1,421	\$1,478	\$1,537	\$1,598	\$1,662
<u>Skilled Nursing</u>								
Available Beds	36.0	36.0	36.0	36.0	36.0	36.0	36.0	36.0
Occupied Beds - Contract	31.5	29.5	28.1	26.0	26.0	26.0	26.0	26.0
% Occupancy	87.5%	81.9%	78.1%	72.2%	72.2%	72.2%	72.2%	72.2%
Average Contract Rate/Mo.	\$4,259	\$5,093	\$5,077	\$5,280	\$5,491	\$5,711	\$5,939	\$6,177
Total Revenue	\$1,610	\$1,803	\$1,712	\$1,647	\$1,713	\$1,782	\$1,853	\$1,927
TOTAL GROSS REVENUE	\$12,350	\$12,603	\$13,045	\$14,004	\$14,833	\$15,426	\$16,043	\$16,685
Less: Benevolence	(\$290)	(\$284)	(\$264)	(\$280)	(\$297)	(\$309)	(\$321)	(\$334)
TOTAL NET REVENUE	\$12,060	\$12,319	\$12,781	\$13,724	\$14,536	\$15,118	\$15,722	\$16,351

Entrance Fees

Entrance fee revenues are summarized in **Table 4**. The number of move-ins in 2022 have reached six through April, an annualized rate of 18 units, well above the historical average of 10-12 units per year. For forecasting purposes total move-ins in 2022 are estimated at 15, reflecting potential slow-down in the second half of 2022. Rates were increased by an average of 4.2% in the four

years from 2017-21 and 8.0% in 2022. Fees are forecast to increase by 4.0% per year effective January 2023. Turnovers are estimated at 11 per year after 2022.

TABLE 4
CARMEL VALLEY MANOR
ENTRANCE FEE REVENUES
(000s)

Fiscal Year Ending 12/31	2019	2020	2021	2022	2023	2024	2025	2026
Unit Sales	12.0	9.0	13.0	15.0	11.0	11.0	11.0	11.0
Average Sales Price	\$510	\$586	\$537	\$550	\$572	\$595	\$619	\$643
Total Revenues	\$6,121	\$5,273	\$6,978	\$8,250	\$6,292	\$6,544	\$6,805	\$7,078
Refunds	\$0	(\$188)	(\$159)	(\$248)	(\$189)	(\$196)	(\$204)	(\$212)
NET RESALE PROCEEDS	\$6,121	\$5,085	\$6,819	\$8,003	\$6,103	\$6,347	\$6,601	\$6,865

Contributions, Grants, and Net Assets Released from Restrictions

CVM and the CVM Foundation receive unrestricted and donor-restricted contributions and grants from residents, government agencies (Covid-related), and other third parties. From 2019 to 2021 CVM received a total of \$1.3 million in non-Covid 19 revenues from these sources, and another \$2.2 million in Covid-related grants. Other than these, nearly all of the contributions are from residents to support an end of year employee appreciation program, which provides more than \$400,000 per year in employee compensation (\$417,000 in 2021). These are classified as unrestricted. Contributions are estimated to increase by 4.0% per year after 2021.

Additionally, the CVM Foundation transfers approximately \$320,000 per year of its donor-restricted assets to unrestricted (net assets released from restriction). The Foundation has a policy of releasing no more than approximately 4.0% of its average Endowment Fund balances for the three preceding years for operating purposes. The Endowment Fund balances for the three-year 2019-21 period averaged \$15.8 million, 4.0% of which averages \$630,000, \$320,000 of which were earned on donor-restricted reserves released to unrestricted. Net assets released from restriction are forecast to remain at 2021 levels.

Investment Earnings

In the last three years CVM and the Foundation have earned an average of \$2.6 million per year in interest, and dividends, realized gains (average \$800,000), and unrealized gains (average \$1.8 million). This represents an average return of approximately 6% on CVM's \$40+ million in

unrestricted and donor-restricted cash and investments. All investment earnings are classified as unrestricted. Earnings on CVM, Foundation reserves, and the 2022 Bond debt reserve are projected to average 2.5% per year in interest, dividends, and realized gains. Unrealized gains have historically comprised approximately 50% of CVM's total annual investment earnings but are excluded over the forecast period.

KEY EXPENSE ASSUMPTIONS

CVM's departmental expenses are projected to total \$17.8 million in 2022 with a total of 135 full-time equivalent (FTE) employees (**Table 5**). CVM estimates that its operating expenses will decrease by 3% in 2022 from 2021 and increase by 4.0% per year thereafter. CVM has reduced its FTE staffing by more than 10% from the 2021 averages, primarily in the dietary department. CVM has experienced less wage pressure in the last six months than other providers since their wage rates were already comparatively high. The proposed capital improvements are not expected to require any increase in FTEs or in non-salary-related expenses (e.g. utilities, food, supplies).

TABLE 5
CARMEL VALLEY MANOR
DEPARTMENTAL OPERATING EXPENSES
FISCAL YEAR 2022 DOLLARS

DEPARTMENT	Paid FTEs	Sal/Ben	Other	TOTAL
Nursing	50.0	\$4,700,000	\$300,000	\$5,000,000
Dining	48.0	\$3,500,000	\$1,100,000	\$4,600,000
Resident Services/Activities	7.0	\$700,000	\$30,000	\$730,000
Environmental Services	16.0	\$2,100,000	\$1,800,000	\$3,900,000
Administration/Mktng/Recep	14.0	\$1,400,000	\$2,170,000	\$3,570,000
TOTAL/AVERAGE	135.0	\$12,400,000	\$5,400,000	\$17,800,000

E. FINANCIAL STATEMENT FORECASTS

Section A shows financial forecast statements for CVM reflecting all current operations as well as the impact of the proposed projects.

STATEMENTS OF ACTIVITIES

In addition to the cash revenue and expense assumptions discussed above, there are two accrual categories. Depreciation estimates are based on an average useful life of 30 years for existing assets and an average useful life of 15 years for future ongoing capital improvements. Amortized entrance fees are projected by decreasing prior year totals after 2021 by 10% and amortizing new entrance fees over a 12-year period.

STATEMENTS OF FINANCIAL POSITION

Accounts receivable is estimated at 14 days of monthly fees and other income. Accounts payable and accrued expenses are projected at 45 days of annual expenses less depreciation.

STATEMENTS OF CASH FLOWS

Capital expenditures from reserves average approximately \$1.5 million in 2022 and 2023. Thereafter expenditures are estimated at \$2.5 million per year.

F. KEY FINANCIAL RATIOS

Table 6 shows a summary of key financial ratios for CVM. Debt coverage is projected to exceed 2.10x maximum annual debt service (MADS) in all years. MADS is reduced by funded interest from 2022 to 2024. CVM's unrestricted and board designated reserves are expected to continue to exceed 600 days.

TABLE 6
CARMEL VALLEY MANOR
DEBT COVERAGE AND OTHER KEY RATIOS
(\$000s)

Fiscal Year Ending 12/31	2019	2020	2021	2022	2023	2024	2025	2026
<u>CASH AVAILABLE FOR DEBT SERVICE</u>								
Change in Unrestr. Net Assets	\$2,640	\$2,728	\$8	(\$1,526)	(\$1,562)	(\$3,412)	(\$3,702)	(\$3,501)
Unrealized (Gains)	(1,208)	(2,599)	(1,777)	0	0	0	0	0
Depreciation and Amortization	2,484	2,698	2,847	4,045	4,969	5,497	5,375	5,259
Net Entrance Fees	6,121	5,085	6,819	8,003	6,103	6,347	6,601	6,865
Amortized Entrance Fees	(4,249)	(5,267)	(4,085)	(4,477)	(4,639)	(4,810)	(4,989)	(5,177)
Interest Expensed	168	157	155	100	0	1,201	1,526	1,497
Cash Available for Debt	\$5,956	\$2,802	\$3,967	\$6,145	\$4,871	\$4,823	\$4,811	\$4,943
<u>CASH AVAILABLE FOR DEBT SERVICE</u>								
Interest Paid	\$168	\$157	\$155	\$100	\$0	\$1,201	\$1,526	\$1,497
Principal	132	138	154	168	0	635	665	690
Total Debt Payments	\$300	\$295	\$309	\$268	\$0	\$1,836	\$2,191	\$2,187
Cash & Investments - Unrestr.	\$31,678	\$33,654	\$34,977	\$36,250	\$39,656	\$40,291	\$40,489	\$40,796
Operating Expenses	\$15,414	\$17,457	\$18,446	\$17,900	\$18,512	\$20,453	\$21,549	\$22,320
Annual Debt - MADS	\$310	\$310	\$310	\$1,739	\$625	\$1,855	\$2,192	\$2,192
Debt Coverage - MADS	19.21	9.04	12.80	3.53	7.79	2.60	2.19	2.26
Debt Coverage - Actual	19.85	9.50	12.84	22.93	NA	2.63	2.20	2.26
Days Cash on Hand	750	704	692	739	782	719	686	667
Cash w/DSR to Debt	949%	1055%	1161%	103%	114%	118%	121%	125%

G. SENSITIVITY FORECASTS

The base case ratio forecasts are shown in **Section A**. The following are MADS debt coverage and days cash calculations under alternative scenarios (**Table 7**).

In **Scenario 1** turnovers decrease from the projected 11 per year to 10 per year, and occupancy decreases to 116 IL units (79%) by 2026. This represents a breakeven analysis, resulting in a 1.27x coverage for the 2022 Bonds in 2026.

In **Scenario 2** project costs increase to \$36.4 million, requiring CVM to use \$5.0 million of its reserves.

In **Scenario 3** investment earnings decline from 2.5% in the base case to 1.5% per year.

In **Scenario 4**, wages and benefits increase by 6.0% per year while rates continue to increase by 4.0% per year.

In **Scenario 5** interest expense on the 2022 Bonds increases by 0.50% over the 4.50% estimate used in the base case, adding about \$180,000 per year in debt payments. The base case already includes a 0.25% cushion.

TABLE 7
CARMEL VALLEY MANOR
SENSITIVITY SCENARIOS
(\$000s)

Fiscal Year Ending 12/31	2023	2024	2025	2026
<u>Base Case</u>				
Debt Coverage Ratio - MADS	7.79	2.60	2.19	2.26
Days Cash on Hand	782	719	686	667
<u>Sensitivity 1 - Breakeven Occupancy</u>				
Debt Coverage Ratio - MADS	6.04	1.82	1.36	1.27
Days Cash on Hand	761	674	612	561
<u>Sensitivity 2 - Cost Overruns</u>				
Debt Coverage Ratio - MADS	7.80	2.60	2.12	2.19
Days Cash on Hand	783	630	599	580
<u>Sensitivity 3 - Lower Earnings</u>				
Debt Coverage Ratio - MADS	6.77	2.29	1.95	2.00
Days Cash on Hand	761	690	649	622
<u>Sensitivity 4 - High Wage Inflation</u>				
Debt Coverage Ratio - MADS	7.37	2.30	1.78	1.67
Days Cash on Hand	767	687	633	588
<u>Sensitivity 5 - Higher Interest Rates</u>				
Debt Coverage Ratio - MADS	6.08	2.38	2.03	2.10
Days Cash on Hand	783	711	675	653

H. MARKET SUMMARY

The following is a summary of key market factors impacting CVM. The proposed project does not include the addition of any units, so the focus is on the ability of CVM to continue their historical occupancy levels. CVM does not accept outside admits to AL or SNF care at this time, so the main focus is on the IL market.

CURRENT AND HISTORICAL OCCUPANCY

CVM occupancy is currently 87% for IL units (127 occupied units), 83% (20 beds) for AL, and 80% (29 beds) for SNF beds. CVM averaged approximately 90% IL occupancy (131 units) in the three years (2017-19) prior to the arrival of Covid-19 in Spring 2020. CVM began 2020 with 128 occupied units and, after dipping to 124 units, was back to 128 units by the end of 2020, with an average of 126 occupied units. In 2021 occupancy continued to decline and averaged 123 (84%) for the year, an 8 unit decrease from 2017-19. Move-ins have picked up in 2022 with the easing of the Covid-19 situation and averaged 126 occupied units in April. CVM believes that occupancy will reach the 130-unit/90% level by the end of 2022. A key reason that CVM is not likely to operate above 95% (e.g. 140 units) like other CCRCs is that many of the vacant units are small studios and/or units on the second floor of older buildings, with more difficult entry/exit. CVM is addressing these units; combining some and offering a rental option for the more difficult to fill.

PRIMARY MARKET AREA

Table 8 shows a summary of move-ins since January 2020 by location of resident. As shown, about 60% of all CVM entrants during this period previously lived in Carmel or Carmel Valley. The remaining 40% were evenly divided amongst three areas: cities within approximately 10 miles, other Northern California cities, and other California and out of state areas. CVM defines its primary market area (PMA) as including the cities of Monterey, Pacific Grove, Carmel, Seaside, and Salinas. Approximately 70% of entrants come from these cities and their surrounding areas.

Table 9 shows a summary of PMA population trends for the 65+ age group, including the key 75-84 age category (CVM's average age of entry is 79 years and over 90% of entrants are between 75 and 84). As shown, the number of 75-84 residents grew by 2.1% per year from 2010 to 2022 and is projected to increase by 2.9% per year in the five years through 2027. In contrast the same age group in California is expected to increase by 2.5% per year through 2027.

Table 10 shows a summary of median 65+ household income in the PMA. The average for the 75-84 year age group is \$66,000. The median for the 65+ population is \$80,000. A total of 2,400 75-84 year households have income levels above \$100,000, the core income category for CVM. As shown, approximately 76% of all 75-84 households own their homes. Average home sale prices in the key Carmel/Carmel Valley area currently exceed \$2.0 million.

TABLE 8
CARMEL VALLEY MANOR
ORIGIN OF 2020-22 IL MOVE-INS

Location	Move-Ins	%
Carmel Valley/Carmel	15	58%
Monterey/Other PSA	3	12%
Northern California	4	15%
Other	4	15%
Total Move-Ins	26	100%

TABLE 9
CARMEL VALLEY MANOR
DEMOGRAPHIC TRENDS- PRIMARY MARKET AREA

	2010	2022	2027	Growth/Yr 2010-22	Growth/Yr 2022-27
<u>Population</u>					
65-74	11,890	18,520	20,660	4.6%	2.3%
75-84	8,080	10,090	11,530	2.1%	2.9%
85+	4,090	4,870	4,720	1.6%	-0.6%
Total	24,060	33,480	36,910	3.3%	2.0%
<u>Households</u>					
65-74	7,430	11,470	12,750	4.5%	2.2%
75-84	5,450	6,780	7,710	2.0%	2.7%
85+	2,870	3,390	3,310	1.5%	-0.5%
Total	15,750	21,640	23,770	3.1%	2.0%

Sources: U.S. Census, Hendrickson Consulting

TABLE 10
CARMEL VALLEY MANOR
HOUSEHOLD INCOME/OWNERSHIP - 2022

	65-74	%	75-84	%	85+	%	Total	%
<u>Income</u>								
<\$50,000	2,520	22%	2,580	38%	1,760	52%	6,860	32%
\$50,000-\$74,999	1,720	15%	1,150	17%	580	17%	3,450	16%
\$75,000-\$99,999	1,380	12%	680	10%	310	9%	2,370	11%
\$100,000-\$149,999	2,060	18%	1,020	15%	340	10%	3,420	16%
\$150,000+	3,790	33%	1,360	20%	410	12%	5,560	26%
Total Households	11,470		6,780		3,390		21,640	
Median Income	\$103,800		\$66,300		\$47,600		\$79,800	
<u>Ownership</u>								
Number Households	8,170		5,170		2,240		15,580	
Percent of Households	71%		76%		66%		72%	

Sources: U.S. Census, Hendrickson Consulting

COMPETITIVE FACILITIES

CVM is the only senior community in the PMA currently operating as a CCRC and accepting entrance fees. Forest Hill (FH), formerly owned by California Nevada Methodist Homes (CNMH) no longer is accepting CCRC contract and entrance fees since its pending acquisition by a for-profit rental owner, Pacifica Senior Living (PSL). Canterbury Woods, owned by Front Porch, is licensed as a CCRC entrants but stopped taking entrance fees approximately 10 years ago. The nearest entrance fee CCRCs are located 90 miles from CVM in the Bay Area (e.g. Sequoias in Portola Valley, Vi in Palo Alto). Other PMA senior facilities include Park Lane (PL) and Merrill Gardens (MG), both in Monterey. These are both rental communities that offer IL, AL, and MC care, but no SNF care.

Based on responses from potential and actual entrants, CVM believes that the primary competitive facilities are other lifecare CCRCs, none of which are located in the PMA, and Canterbury Woods. These lifecare CCRCs include the Vi in Palo Alto, Sequoias Portola Valley (SPV), and Casa Dorinda (CD) in Santa Barbara. Secondary competitors include PL, MG, and FH. PL and MG rarely are mentioned by CVM prospects and FH has been in flux for the last several years. CVM entrants are typically looking for a community which has a SNF, but also is reportedly attracted by

the lifecare contract and its guarantee of AL and SNF care at the same levels as IL rates. CVM's core market are the residents of Carmel and Carmel Valley, many of whom moved there after retirement and prefer to remain in the area.

Table 11 shows a summary of the competitors. As shown, CVM is the highest-priced senior community in the PMA and is comparable to the Vi in Palo Alto. CVM still effectively competes with other PMA communities despite the higher rates because it offers a unique program that appeals to the market.

TABLE 11
CARMEL VALLEY MANOR
SUMMARY OF COMPETITORS

Facility	CVM	CW	PL	MG	Vi	SPV
Location	Carmel	P.Grove	Monterey	Monterey	P.Alto	Portola V.
Number of IL Units	146	133	137	110	388	199
Fee-Covered Monthly Meals	90	90	60	60	90	90
SNF On-site	Y	Y	N	N	Y	Y
Lifecare CCRC	Y	N	N	N	Y	Y
Occupancy - IL	87%	85%	90%	90%	95%	93%
Entrance Fees - 1 Bedroom (1)	\$380,000	NA	NA	NA	\$600,000	\$380,000
Entrance Fees - 2 Bedroom (1)	\$900,000	NA	NA	NA	\$990,000	\$650,000
Monthly Fees - 1 Bedroom (2)	\$4,540	\$5,550	\$5,600	\$5,500	\$6,700	\$6,000
Monthly Fees - 2 Bedroom (2)	\$7,100	\$6,850	\$7,000	\$7,500	\$7,700	\$8,000

Notes

(1) 80% Refundable entry fee at Vi converted to amortized non-refundable fee similar to CVM.

(2) Single person fee. For CVM 2-bedroom double rate reduced by \$2,600 to make comparable to others

APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

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APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

The following is a summary of certain provisions of the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust, which are not described elsewhere in this Official Statement. *These summaries do not purport to be complete or definitive and are qualified in their entirety by reference to the full terms of the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust.* All capitalized terms not defined in this Official Statement have the meaning set forth in the Indenture or in the Regulatory Agreement. The definitions set forth below are derived from the Indenture and the Regulatory Agreement. Certain terms defined for purposes of the Indenture are defined differently in the Regulatory Agreement. Reference should be made to the Regulatory Agreement for definitions of terms used therein.

DEFINITIONS OF CERTAIN TERMS

“Accountant” means any Independent certified public accountant or firm of such accountants with a national or regional reputation selected by the Corporation and acceptable to the Department and so long as such Accountant is acceptable to the Department.

“Act” means the Joint Exercise of Powers Act, comprising Articles 1, 2, 3 and 4 of Chapter 5 of Division 7 of Title 1 (commencing with Section 6500) of the Government Code of the State of California, as now in effect and as it may from time to time hereafter be amended or supplemented.

“Additional Payments” means payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Adjusted Annual Operating Revenues” means operating revenue and investment income of the Corporation, less contractual allowances, allowance for bad debts and free services for any Fiscal Year, all as determined in accordance with generally accepted accounting principles.

“Administrative Fees and Expenses” means any application, commitment, financing or similar fee charged, or reimbursement for administrative or other expenses incurred by the Authority or the Trustee.

“Affiliate” means a Person which, directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with the Corporation.

“Aggregate Debt Service” means, as of any date of calculation and with respect to any period, the sum of amounts of Debt Service for all Long-Term Indebtedness for such period.

“ALTA” means American Land Title Association.

“Authority” means the California Municipal Finance Authority, or its successors and assigns, a joint exercise of powers authority formed by the Joint Powers Agreement, pursuant to the Act.

“Authorized Denomination” means \$5,000 or any integral multiple thereof.

“Authorized Representative” means (1) with respect to the Corporation, its president or chair, vice president or vice chair, chief executive officer, chief financial officer or any other person designated as an Authorized Representative of the Corporation by a Certificate of the Corporation signed by its chair,

vice-chair, chief executive officer or chief financial officer and filed with the Trustee, and (2) with respect to the Department, the Director of the Department or the Deputy Director of the Cal-Mortgage Loan Insurance Division or any other person designated as an Authorized Representative of the Department by a Statement of the Department signed by its Director or the Deputy Director of the Cal-Mortgage Loan Insurance Division and filed with the Trustee. Such authorization shall remain in effect until the Trustee has received written notice to the contrary accompanied by a new designation.

“Authorized Signatory” means with respect to the Authority, any member of the Board of Directors of the Authority or the Executive Director of the Authority, or any other person designated as an Authorized Signatory pursuant to a resolution adopted thereby or by a certificate signed by a member of the Board or such Executive Director and filed with the Trustee.

“Beneficial Owner” means any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including Persons holding Bonds through nominees, depositories or other intermediaries).

“Board” means the Board of Trustees of the Corporation.

“Bond Counsel” means Independent counsel of recognized national standing in the field of obligations the interest on which is excluded from gross income for federal income tax purposes, selected by the Corporation and acceptable to the Authority and the Department.

“Bond Reserve Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Bond Reserve Account Requirement” means, as of any date of calculation, an amount equal to the lesser of (i) fifty percent of the Maximum Annual Bond Service on all Bonds then Outstanding, (ii) 125 percent of average annual debt service on the Bonds then Outstanding or (iii) 10 percent of the outstanding principal amount of the Bonds.

“Bondholder” or **“Holder,”** whenever used with respect to a Bond, means the Person in whose name such Bond is registered.

“Bonds” means the California Municipal Finance Authority Insured Revenue Bonds (Carmel Valley Manor Project), Series 2022, issued under the Indenture.

“Business Day” means any day other than a Saturday, Sunday, or a day on which banking institutions in the city in which the Corporate Trust Office of the Trustee is located are authorized or obligated by law or executive order to be closed or a day on which the Federal Reserve System is closed.

“Capitalized Interest Account” means the account by that name established under the Indenture.

“Certificate,” “Statement,” “Request,” “Requisition” and **“Order”** of the Authority, the Department or the Corporation mean, respectively, a written certificate, statement, request, requisition or order signed in the name of the Authority by an Authorized Signatory or such other person as may be designated and authorized to sign for the Authority, in the name of the Corporation by an Authorized Representative of the Corporation and in the name of the Department by an Authorized Representative of the Department. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument. If and to the extent required by the Indenture, each such instrument shall include the statements provided for in the Indenture.

“Code” means the Internal Revenue Code of 1986, or any successor statute thereto, and any regulations promulgated thereunder. Reference to any particular Code section shall, in the event of such a successor Code, be deemed to be a reference to the successor to such Code section.

“Continuing Disclosure Agreement” means that certain Continuing Disclosure Agreement, dated the date of issuance and delivery of the Bonds, between the Corporation and U.S. Bank Trust Company, National Association, as dissemination agent thereunder, as originally executed and as it may be amended from time to time in accordance with the terms thereof.

“Contract of Insurance” means that certain Contract of Insurance, dated as of August 1, 2022, among the Department, the Corporation and the Authority relating to the Bonds, as amended, modified and supplemented from time to time.

“Corporate Trust Office” means the corporate trust office of the Trustee, which at the date of the execution of this Indenture is located at U.S. Bank Trust Company, National Association, One California Street, Suite 1000, San Francisco, California 94111, Attention: Global Corporate Trust Services, provided that for purposes of exchange, transfer, cancellation, payment, redemption and surrender of Bonds such term means the office or agency of the Trustee in St. Paul, Minnesota.

“Corporation” means, collectively, Northern California Congregational Retirement Homes, Inc., doing business as Carmel Valley Manor (the **“Manor”**), and Carmel Valley Manor Foundation, each a California nonprofit public benefit corporation duly organized and existing under the laws of the State, its respective successors and assigns, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under the Regulatory Agreement.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the Corporation and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to advertising and printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of the Trustee (including legal fees and charges of its counsel), legal fees and charges, fees and disbursements of consultants and professionals, rating agency fees, fees and charges for preparation, execution, transportation and safekeeping of Bonds, and any other cost, charge or fee in connection with the original issuance of Bonds.

“Costs of Issuance Fund” means the fund by that name established pursuant to the Indenture.

“Current Ratio” means a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements.

“Days Cash on Hand” means, for any Fiscal Year, the quotient obtained by dividing (a) The Corporation’s cash and cash equivalents (including, as applicable, board designated funds and funded depreciation but excluding donor restricted funds and proceeds of short term debt, and The Corporation’s beneficial interest in unrestricted cash and cash equivalents held by the Corporation for the purpose of investment management) as of the end of such Fiscal Year by (b) the quotient of dividing (i) The Corporation’s operating expenses including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (ii) the number of days in such Fiscal Year.

“Debt Service,” when used with respect to any Long-Term Indebtedness, means, as of any date of calculation and with respect to any period, the sum of (a) the interest falling due on such Long-Term Indebtedness during such period (except to the extent that such interest is payable from the proceeds of

such Long-Term Indebtedness set aside for such purpose), and (b) the scheduled principal (or mandatory sinking fund or installment purchase price or lease rental or similar) payments or deposits required with respect to such Long-Term Indebtedness during such period (except to the extent such principal is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), computed on the assumption that no portion of such Long-Term Indebtedness shall cease to be outstanding during such period except by reason of the application of such scheduled payments, provided, however, that for purposes of such computation:

(1) if Long-Term Indebtedness is

(a) secured by an irrevocable letter of credit or irrevocable line of credit issued by a financial institution having a combined capital and surplus of at least fifty million dollars (\$50,000,000) and whose unsecured securities are rated in one of the two highest short-term or long-term rating categories (without regard to numerical modifier) by each rating agency then rating the Bonds, or

(b) insured by an insurance policy or surety bond issued by an insurance company rated at least A+ by Alfred M. Best Company in Best's Insurance Reports, principal payments or deposits with respect to such Long-Term Indebtedness nominally due in the last Fiscal Year in which such Long-Term Indebtedness matures may, at the option of the Corporation, be treated as if they were due as specified in any loan agreement or installment sale/purchase agreement issued in connection with such letter of credit, line of credit, insurance policy or surety bond or pursuant to the repayment provisions of such letter of credit, line of credit, insurance policy or surety bond (or, if such loan agreement or installment sale/purchase agreement or repayment provisions provide for repayment over less than 20 years and the Trustee receives a Statement of the Corporation to the effect that the Corporation intends to refinance such Long-Term Indebtedness prior to maturity, as if they were amortized over a 20-year period with substantially level debt service) and interest on such Long-Term Indebtedness after such Fiscal Year shall be assumed to be payable at an interest rate equal to a rate per annum equal to the 25-year revenue bond index most recently published preceding the date of calculation in *The Bond Buyer* (subject to any adjustment for errors therein which may be acknowledged by the publishers thereof);

(2) if interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula, the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be equal to the greater of

(a) the average rate of interest borne (or which would have been borne) by such Long-Term Indebtedness during the Fiscal Year immediately preceding the date of calculation, plus one percent (1%), or

(b) the average rate of interest borne by such Long-Term Indebtedness during the three full calendar months immediately preceding the date of calculation, plus one percent (1%);

(3) if interest is capitalized with respect to Long-Term Indebtedness, Debt Service on such Long-Term Indebtedness shall be included in computations of Maximum Aggregate Annual Debt Service under the Regulatory Agreement only in proportion to the amount of interest payable in the then-current Fiscal Year from sources other than amounts funded to pay such capitalized interest;

(4) with respect to a Guarantee, there shall be included in the Debt Service of the Corporation:

(a) twenty-five percent (25%) of the Corporation's maximum possible monetary liability under the Guarantee in any Fiscal Year unless the Guarantee is drawn upon, and

(b) one hundred percent (100%) of the Corporation's monetary liability under the Guarantee which has been drawn upon, until such time as all amounts drawn upon the Guarantee have been repaid to the Corporation, and for two Fiscal Years thereafter; and

(5) if moneys or Investment Securities described in subsections (a), (b), (e) or (f) of the definition thereof set forth below and contained in the Indenture (not callable by the issuer thereof prior to maturity) have been deposited with a trustee or escrow agent in an amount, together with earnings thereon, sufficient to pay the principal of or interest on Long-Term Indebtedness as it comes due, such principal or interest, as the case may be, shall not be included in computations of Debt Service.

"Debt Service Coverage Ratio" means, for any period of time, the ratio determined by dividing Net Income Available for Debt Service by Maximum Aggregate Annual Debt Service.

"Deed of Trust" means that certain that certain Deed of Trust, Assignment of Rents and Leases with Fixture Filing and Security Agreement, dated as of August 1, 2022, executed by the Manor, as trustor, in favor of Fidelity National Title Company, as trustee for the benefit of the Department and the Trustee (as assignee of the Authority), the holders of the Bonds and the holders of Parity Debt, as beneficiaries, as amended, modified and supplemented from time to time.

"Deed Trustee" means the Person at the time serving as such under the Deed of Trust.

"Department" means the Department of Health Care Access and Information of the Health and Human Services Agency of the State, or its successors and assigns.

"Department Documents" means the Contract of Insurance, the Deed of Trust and the Regulatory Agreement.

"Deposit Account Control Agreement" means a deposit account control agreement among the Corporation, the Department, the Trustee and a Depository Bank.

"Depository" means The Depository Trust Company and its successors and assigns, or any other Securities Depository selected as set forth in the Indenture, which agrees to follow the procedures required to be followed by such depository in connection with the Bonds.

"Depository Bank" means a financial institution which has entered into a Deposit Account Control Agreement with the Corporation, the Department and the Trustee.

"Electronic Means" shall mean the following communication methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys, or another method or system specified by the Trustee as available for use in connection with its services under the Indenture.

"Entrance Fees" means fees, other than security deposits, monthly rentals or monthly service charges, paid to the Corporation by residents of residential living units for the purpose of obtaining the right to reside in those residential living units including any refundable or nonrefundable resident deposits described in any lease or similar Residency Agreements with respect to those residential living units, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such Residency Agreement prior to the occupancy of the residential living unit covered by such Residency Agreement (which amounts shall be included if and when occupancy occurs).

“Event of Default” means any of the events specified in the Indenture.

“Facilities” means: (i) the real property described in the exhibit marked Exhibit A to the Deed of Trust and the Regulatory Agreement and all real property added, from time to time, to this definition of Facilities pursuant to the Regulatory Agreement; (ii) all buildings and structures thereon and fixtures and improvements thereto, whether now existing or hereafter constructed, installed or acquired; and (iii) all tangible personal property owned by the Corporation and used in, around or about the aforesaid real property, whether now existing or hereafter constructed, installed or acquired, including but not limited to the personal property described in an exhibit to the Regulatory Agreement.

“Favorable Opinion of Bond Counsel” means an opinion of Bond Counsel, addressed to the Trustee to the effect that the action proposed to be taken will not, in and of itself, cause interest on the Bonds to be included in gross income for purposes of federal income taxation.

“Financing Documents” means, collectively, the Loan Agreement, the Department Documents, the Tax Agreement and the Continuing Disclosure Agreement.

“Fiscal Year” means the period beginning on January 1 of each year and ending on the next succeeding December 31 or any other twelve-month period hereafter selected and designated as the official fiscal year period of the Corporation.

“501(c)(3) Organization” means an organization described in Section 501(c)(3) of the Code.

“Governmental Unit” shall have the meaning set forth in Section 150 of the Code.

“Gross Revenue Fund” means the fund by that name established pursuant to the Loan Agreement.

“Gross Revenues” means all revenues, income, receipts and money received in any period by the Corporation (other than donor-restricted gifts, grants, bequests, donations or contributions, endowment funds and tax revenues), including, but without limiting the generality of the foregoing: (a) gross revenues derived from its operation and possession of and pertaining to its properties; (b) proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt; (2) accounts, including but not limited to, accounts receivable; (3) securities and other investments; (4) inventory and intangible property; (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation; and (c) rentals received from the lease of the Corporation’s properties or space in its facilities.

“Guarantee” means any obligation of the Corporation guaranteeing in any manner, whether directly or indirectly, any obligation of any Persons which would, if such Persons were the Corporation, constitute Long-Term Indebtedness.

“Indebtedness” means (a) any Guarantee, and (b) any indebtedness or obligation of the Corporation (other than accounts payable and accruals), as determined in accordance with generally accepted accounting principles, including obligations under conditional sales contracts or other title retention contracts, and rental obligations under leases which are considered capital leases under generally accepted accounting principles. Indebtedness shall not include Non-recourse Indebtedness.

“Indenture” means that certain Indenture relating to the Bonds, between the Authority and the Trustee, dated as of August 1, 2022, as it may be amended, modified and supplemented from time to time.

“Independent,” when referring to an Accountant, counsel, Management Consultant or a Person, means an Accountant, counsel, Management Consultant or Person who is independent of and not under the control of the Corporation, does not have any substantial interest, direct or indirect, in the Corporation, and in the case of an individual, is not connected, including through a spouse, with the Corporation as a director, officer or employee of the Corporation, and in the case of a firm, is not connected with the Corporation as a partner, director, officer or employee of the Corporation, but who may be regularly retained by the Corporation.

“Information Services” means, initially, the Electronic Municipal Market Access system (EMMA), or any successor designated by the Securities and Exchange Commission.

“Insurance and Condemnation Proceeds Fund” means the fund by that name established pursuant to the Indenture.

“Insurance Law” means Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may from time to time hereafter be amended or supplemented.

“Insurance Premium” means the premium charged for insurance by the Department pursuant to Insurance Law Section 129040.

“Interest Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Interest Payment Date” means May 15 and November 15 of each year.

“Investment Securities” means any of the following:

- (a) United States Government Obligations;
- (b) Obligations of any of the following federal agencies which obligations represent the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):
 - (i) U.S. Export-Import Bank;
 - (ii) Farmers Home Administration;
 - (iii) Federal Financing Bank;
 - (iv) Federal Housing Administration;
 - (v) General Services Administration;
 - (vi) Government National Mortgage Association (“GNMA”) (including guaranteed mortgage-backed bonds and guaranteed pass-through obligations);
 - (vii) Rural Economic Community Development Administration
 - (viii) Small Business Administration

- (ix) U.S. Maritime Administration (guaranteed Title XI financing); and
- (x) U.S. Department of Housing and Urban Development (including project notes, local authority bonds, new communities debentures, U.S. government guaranteed debentures, U.S. Public Housing Notes and Bonds and U.S. government guaranteed public housing notes and bonds;

(c) Debentures, bonds, notes or other evidence of indebtedness issued or guaranteed by any of the following U.S. government agencies which obligations are not fully guaranteed by the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):

- (i) Federal Home Loan Bank System (senior debt obligations);
- (ii) Resolution Funding Corporation (REFCORP) obligations;
- (iii) Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”) senior debt obligations or participation certificates;
- (iv) Federal National Mortgage Association (FNMA or “Fannie Mae”) mortgage-backed securities and senior debt obligations;
- (v) Senior debt obligations of other government sponsored agencies approved by the Department.

(d) Investments in money market funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of AAAm-G, AAAM or better (including funds for which the Trustee, its parent holding company, if any, or any affiliates or subsidiaries of the Trustee provide investment advisory or other management services);

(e) Pre-refunded municipal obligations defined as follows: any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local Governmental Unit of any such state which are not callable at the option of the obligor prior to maturity or as to which irrevocable instructions have been given by the obligor to call on the date specified in the notice; and

(i) which are rated, based on an irrevocable escrow account or fund (the “Escrow”), in the highest rating category of Moody’s or S&P or any successors thereto; or

(ii) (A) which are fully secured as to principal, interest and redemption premium, if any, by an Escrow consisting only of cash or obligations described in paragraph (a) above, which Escrow may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate, and (B) which Escrow is sufficient, as verified by a nationally recognized independent certified public accountant, to pay principal of and interest and redemption premium, if any on the bonds or other obligations described in this paragraph on the maturity date or dates specified in the irrevocable instructions referred to above, as appropriate;

(f) Repurchase or reverse repurchase agreements (including those of the Trustee or any of its affiliates) fully secured by collateral security described in clauses (a), (b), (c), or (h) of this definition, which collateral (i) is held by the Trustee or a third party agent during the term of such repurchase agreement, (ii) is not, pursuant to the terms of such agreement, subject to liens or claims of third parties

and (iii) has a market value (determined at least once every fourteen (14) days) at least equal to the amount so invested;

(g) Demand deposits, including trust accounts, trust funds, interest bearing money market accounts, overnight bank deposits, interest bearing deposits, banker's acceptances or certificates of deposit of, or time deposits in, any bank (including the Trustee or any of its affiliates) or savings and loan association (i) which certificates of deposit or time deposits are fully insured by the Federal Deposit Insurance Corporation or (ii) which certificates of deposit (including those placed by a third party pursuant to an agreement between the Trustee and the Corporation) or time deposits are secured at all times, in the manner and to the extent provided by law, by collateral security (described in clauses (a), (b), (c), or (h) of this definition) with a market value (valued at least quarterly) of no less than the original amount of moneys so invested;

(h) Municipal obligations rated "Aaa/AAA" on the basis of insurance or credit enhancement, provided the underlying rating of the municipal obligation must be at least "Baa/BBB," uninsured, or unenhanced municipal obligations rated at least "Aa2/AA" or general obligations of states with a rating of "A2/A" by both Moody's and S&P;

(i) U.S. dollar denominated deposit accounts, federal funds or bankers acceptances with domestic commercial banks which may include the Trustee and its affiliates which have a rating on their short term certificates of deposit on the date of purchase of "P-1" by Moody's and "A-1" or "A-1+" by S&P (for purposes of rating, ratings on holding companies are not considered as the rating of the bank) and maturing not more than 360 calendar days after the date of purchase; and

(j) Other forms of investments approved in writing by the Department.

"Joint Powers Agreement" means a Joint Exercise of Powers Agreement, dated as of January 1, 2004 by and among certain California cities, counties and special districts, as may be amended from time to time.

"Loan Agreement" means that certain Loan Agreement, dated as of August 1, 2022, between the Corporation and the Authority, as amended, modified and supplemented from time to time in accordance with the terms thereof and of the Indenture.

"Loan Default Event" means any of the events specified in the Loan Agreement and described below under the subheading "LOAN AGREEMENT—Loan Default Events."

"Loan Repayments" means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

"Long-Term Indebtedness" means Indebtedness having an original maturity greater than one (1) year or renewable at the option of the Corporation for a period greater than one (1) year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is permitted to be outstanding thereunder for a period of at least thirty (30) consecutive days during each calendar year.

"Management Agent" means that Person or those Persons with whom the Corporation has entered into a contract, whether as an independent contractor or employee, for managerial services, relating to the management or operation of all or substantially all of the Facilities. In the event the Corporation does not have a separate management contract, then "Management Agent" shall mean all of those Persons serving as the Corporation's chief executive officer, chief financial officer, chief operating officer, or other similar officers. In the event the Corporation does not have such officers, then

“Management Agent” shall mean all of those Persons that manage or operate all or substantially all of the Facilities.

“**Management Consultant**” means an Independent Person of national or regional reputation qualified to report on questions relating to the financial condition and projections of health facilities, selected by the Corporation, so long as such Management Consultant is acceptable to the Department..

“**Mandatory Sinking Account Payment**” means, with respect to Term Bonds of any maturity, the amount required by the Indenture to be paid on any single date for the redemption or payment at maturity of Term Bonds of such maturity.

“**Maximum Aggregate Annual Debt Service**” means, as of any date of calculation, the Aggregate Debt Service as computed for the then current or any future Fiscal Year in which such sum shall be largest.

“**Maximum Annual Bond Service**” means, as of any date of calculation, the sum of (1) the interest falling due on then Outstanding Bonds (assuming that all then Outstanding Serial Bonds are retired on their respective maturity dates and all Outstanding Term Bonds are retired at the times and in the amounts provided by Mandatory Sinking Account Payments), and (2) the principal amount of then Outstanding Serial Bonds falling due by their terms and the aggregate amount of all Mandatory Sinking Account Payments required, all as computed for the Fiscal Year in which such sum shall be the largest.

“**Moody’s**” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“**Net Income Available for Debt Service**” means, with respect to any period, the excess of revenues (including non-operating revenues) over expenses from operations of the Corporation for such period, determined in accordance with generally accepted accounting principles, to which shall be added interest expense, amortization expense, depreciation expense and other non-cash charges, and proceeds of Entrance Fees from sales or resales net of applicable refunds, each item determined in accordance with generally accepted accounting principles, and excluding (a) any profits or losses on the sale or other disposition, not in the ordinary course of business, of investments or fixed or capital assets or resulting from the early extinguishment of debt, (b) gifts, grants, bequests, donations and contributions to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Debt Service or operating expenses, (c) the net proceeds of insurance (other than business interruption insurance) and condemnation awards, (d) changes in net unrealized gain (loss) on investments, (e) non-cash revenues, (f) amortization of Entrance Fees, and (g) amortization and other non-cash credits.

“**Non-recourse Indebtedness**” means any indebtedness of the Corporation, which is not a general obligation of the Corporation and is secured by a lien on property of the Corporation, liability for which is effectively limited to the property subject to such lien (which property is not integral to the operation of the Facilities) with no recourse, directly or indirectly, to any other property of the Corporation.

“**Opinion of Counsel**” means a written opinion of counsel (including, without limitation, counsel for the Authority, the Trustee or the Corporation) selected by the Corporation and acceptable to the Authority.

“Outstanding,” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Indenture relating to disqualified Bonds) all Bonds theretofore, or thereupon being, authenticated and delivered by the Trustee under the Indenture except: (1) Bonds theretofore cancelled by the Trustee or surrendered to the Trustee for cancellation; (2) Bonds with respect to which all liability of the Authority shall have been discharged in accordance with the Indenture including Bonds (or portions of Bonds) referred to in the Indenture; and (3) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Trustee pursuant to the Indenture.

“Parity Debt” means any Long-Term Indebtedness which is incurred by the Corporation in accordance with the provisions the Regulatory Agreement and secured equally and ratably with the obligations of the Corporation under the Loan Agreement by a lien on and security interest in the Gross Revenues and the Deed of Trust.

“Participating Underwriter” means the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Permitted Encumbrances” means and includes:

(a) undetermined liens and charges incident to construction or maintenance, and liens and charges incident to construction or maintenance now or hereafter filed of record which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Department, are adequate;

(b) notices of *lis pendens* or other notices of or liens with respect to pending actions which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Department, are adequate;

(c) the lien of taxes and assessments which are not delinquent, or, if delinquent, are being contested in good faith, provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Department, are adequate;

(d) minor defects and irregularities in title to the Facilities which in the aggregate do not materially adversely affect the value or operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(e) easements, exceptions or reservations for the purpose of ingress and egress, parking, pipelines, telephone lines, telegraph lines, power lines and substations, roads, streets, alleys, highways, railroad purposes, drainage and sewerage purposes, dikes, canals, laterals, ditches, the removal of oil, gas, coal or other minerals, and other like purposes, or for the joint or common use of real property, facilities and equipment, which in the aggregate do not materially interfere with or impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(f) rights reserved to or vested in any municipality or governmental or other public authority to control or regulate or use in any manner any portion of the Facilities which do not materially impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(g) present or future valid zoning laws and ordinances;

(h) the rights of the Authority, the Corporation, the Department, the Trustee and holders of Parity Debt under the Loan Agreement, the Indenture, the Regulatory Agreement and the Deed of Trust, and the lien and charge of the Indenture, the Regulatory Agreement and the Deed of Trust;

(i) liens securing indebtedness for the payment, redemption or satisfaction of which money (or evidences of indebtedness) in the necessary amount shall have been deposited in trust with a trustee or other holder of such indebtedness;

(j) purchase money security interests and security interests existing on any personal property prior to the time of its acquisition by the Corporation through purchase, merger, consolidation or otherwise, whether or not assumed by the Corporation, or placed upon property being acquired by the Corporation to secure a portion of the purchase price thereof, or lessor's interests in leases required to be capitalized in accordance with generally accepted accounting principles;

(k) statutory liens arising in the ordinary course of business which are not delinquent or are being contested in good faith by the Corporation;

(l) the lease or license of the use of a part of the Facilities for use in performing professional or other services necessary for the proper and economical operation of the Facilities in accordance with customary business practices in the health care industry;

(m) liens or encumbrances existing as of the date of initial execution and delivery of the Bonds as listed on an exhibit to the Regulatory Agreement;

(n) liens securing Parity Debt on a parity with the obligations of the Corporation under the Regulatory Agreement;

(o) statutory rights of the United States of America to recover against the Corporation by reason of federal funds made available under 42 U.S.C. § 291 et seq., and similar rights under other federal and state statutes;

(p) a security interest in the Corporation's accounts receivable to provide short-term borrowing as permitted under the Regulatory Agreement, subject to the prior consent of the Department

(q) any liens arising from or in connection with assistance provided by the Federal Emergency Management Agency; and

(r) other liens and encumbrances specifically approved in writing by the Department.

“Person” means a person, individual, company, firm, association, organization, partnership, trust, corporation or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

“Principal Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Project” has the meaning given in the Official Statement.

“Project Costs” means (a) the obligations of the Corporation incurred for labor and materials and to architects, engineers, project supervisors, contractors, builders and materialmen in connection with the design, demolition of existing structures, acquisition, construction, installation and equipping of the Project; (b) the cost of contract bonds and of insurance of all kinds that may be required or necessary

during the course of construction of the Project which is not paid by the contractor or contractors or otherwise provided for; (c) all costs of engineering services, including test borings, surveys, estimates, plans and specifications and preliminary investigations, and supervising construction, as well as for the performance of all other duties required by or consequent upon the proper construction of the Project; (d) Costs of Issuance; (e) all other costs which the Corporation shall be required to pay, under the terms of any contract or contracts, for the acquisition, construction and installation of the Project; (f) other costs of a nature comparable to those described in clauses (a) through (e) above which the Corporation shall be required to pay as a result of the damage, destruction, condemnation or taking of the Project or any portion thereof; (g) fees and expenses including consultants' fees and expenses incurred in connection with the Project; (h) allocable interest on the Bonds and any interim financing of the Project during the period of construction of such Project; (i) any other costs incurred by the Corporation which are properly chargeable to the capital account of the Project and which may be financed by the Bonds under the Act and the Code (including any fees for a qualified guarantee, as defined in Regulations, to the extent properly chargeable to the capital account of the Project under the Code); and (j) repayment of any loan incurred to pay any of the costs described in (a) through (i) above which may be financed by the Bonds under the Act and the Code; provided, however, that in no event shall the term "Project Costs" include any item or items of expense which may not be financed from the proceeds of the Bonds under the Act or which, if paid or reimbursed from the proceeds of the Bonds would, individually or in the aggregate, cause the interest on the Bonds to be includable for federal income tax purposes in the gross income of the registered owners thereof.

"Project Fund" means the fund by that name established pursuant to the Indenture.

"Project Plans" means the plans for the Project on file with the Corporation and made available to the Authority at or prior to the time of execution by the Authority of the Loan Agreement, as such plans may be revised from time to time prior to the completion date in accordance with the provisions of the Loan Agreement.

"Rating Category" means (i) with respect to any long term Rating Category, all ratings designated by a particular letter or combination of letters, without regard to any numerical modifier, plus or minus sign or other modifier and (ii) with respect to any short term or commercial paper Rating Category, all ratings designated by a particular letter or combination of letters and taking into account any numerical modifier, but not any plus or minus sign or other modifier.

"Rebate Fund" means the fund by that name established pursuant to the Indenture.

"Rebate Requirement" means the Rebate Requirement as defined in the Tax Agreement.

"Record Date" means, with respect to any Interest Payment Date for the Bonds, the first (1st) day of the calendar month immediately preceding such Interest Payment Date, whether or not such day is a Business Day.

"Redemption Fund" means the fund by that name established pursuant to the Indenture.

"Redemption Price" means, with respect to any Bond (or portion thereof), the principal amount of such Bond (or portion thereof), payable upon redemption thereof pursuant to the provisions of such Bond and the Indenture.

"Regulations" means the federal income tax regulations, as the same may be amended from time to time.

“Regulatory Agreement” means that certain regulatory agreement, dated as of August 1, 2022, and effective as of the date of issuance of the Bonds, among the Corporation, the Department and the Authority, as originally executed and as amended and restated from time to time in accordance with its terms.

“Residency Agreement” means any written agreement or contract, as amended from time to time, between the Corporation and a resident or potential resident of a facility giving the resident certain rights of occupancy in the facility, including without limitation, residential living units, assisted living units, memory support units, nursing beds or specialty care beds and providing for certain services to such resident including any reservation agreement or other agreement or contract reserving rights of occupancy.

“Retained Rights” means the right of the Authority to receive payment of its fees and expenses (including Additional Payments and Administrative Fees and Expenses to the extent payable to the Authority), the Authority’s right to indemnification in certain circumstances, the Authority’s right to enforce venue provisions, the Authority’s right to execute and deliver supplements and amendments to the Loan Agreement, the Authority’s right to grant consents under the Loan Agreement and the Authority’s right to receive notices.

“Revenue Fund” means the fund by that name established pursuant to the Indenture.

“Revenues” means all amounts received by the Authority or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source), prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture (except the Rebate Fund), but not including (1) any Additional Payments or Administrative Fees and Expenses, (2) any amounts paid to the Authority or the Trustee pursuant to rights of indemnification, or (3) any moneys required to be deposited in the Rebate Fund.

“Risk Management Consultant” means an Independent Person having experience and a favorable reputation in consulting on the insurance requirements of health facilities in the State of the general size and character of the Facilities, selected by the Corporation, and so long as such Risk Management Consultant is acceptable to the Department.

“Rule” means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“S&P” means S&P Global Ratings, its successors and assigns or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“Serial Bonds” means Bonds maturing by their terms in specified years, for which no Mandatory Sinking Account Payments are provided.

“Short-Term Indebtedness” means Indebtedness having an original maturity less than or equal to one year and not renewable at the option of the Corporation for a term greater than one year from the date of original incurrence or issuance unless, by the terms of such Indebtedness, no Short-Term Indebtedness

is permitted to be outstanding thereunder for a period of at least thirty (30) consecutive days during each calendar year.

“Special Record Date” means the date established by the Trustee pursuant to the provisions of the Indenture as a record date for the payment of defaulted interest on Bonds.

“State” means the State of California.

“Supplemental Indenture” means any indenture hereafter duly authorized and entered into between the Authority and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

“Tax Agreement” means the Tax Certificate and Agreement, delivered by the Authority and the Corporation at the time of issuance of the Bonds, as the same may from time to time be amended or supplemented in accordance with the terms thereof.

“Term Bonds” means, collectively, the Bonds specified as Term Bonds on the inside cover page of the Official Statement.

“Trustee” means U.S. Bank Trust Company, National Association, a national banking association duly organized and existing under and by virtue of the laws of the United States of America, or its successor, as Trustee under the Indenture as provided in the Indenture.

“United States Government Obligations” means: (i) direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America, and “CATS” and “TIGRS”) or obligations the payment of principal of and interest on which are unconditionally guaranteed by the United States of America; and (ii) senior debt obligations of other agencies of the United States of America approved in writing by the Department.

INDENTURE

General

The Indenture sets forth the terms of the Bonds, the application of the Bond proceeds, the nature and extent of the security, various rights of the Bondholders, rights, duties and immunities of the Trustee and the rights and obligations of the Authority. Certain provisions of the Indenture are summarized below. Other provisions are summarized in this Official Statement under the captions “THE BONDS” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.” These summaries do not purport to be complete or definitive and are qualified in their entirety by reference to the full terms of the Indenture.

Pledge and Assignment

Pursuant to the provisions of the Indenture, the Authority transfers in trust, grants a security interest in and assigns to the Trustee, for the benefit of the Holders from time to time of the Bonds, all of the Revenues and other assets pledged in the Indenture and all of the right, title and interest of the Authority in the Loan Agreement (except for (i) the Retained Rights and (ii) the obligation of the Corporation to make deposits pursuant to the Tax Agreement), the Deed of Trust, the Contract of Insurance and the Regulatory Agreement. The Trustee shall be entitled to and shall collect and receive all of the Revenues, and any Revenues collected or received by the Authority shall be deemed to be held, and

to have been collected or received, by the Authority as the agent of the Trustee and shall forthwith be paid by the Authority to the Trustee. The Trustee shall also be entitled to, and subject to the provisions of the Indenture, shall take all steps, actions and proceedings reasonably necessary in its judgment to enforce, either jointly with the Authority or separately, any or all rights of the Authority (other than those specifically retained by the Authority) and all of the obligations of the Corporation under the Indenture, the Loan Agreement, the Deed of Trust, the Contract of Insurance and the Regulatory Agreement.

Establishment of Funds and Accounts

The Indenture creates the Revenue Fund (including the Interest Account, the Principal Account and the Bond Reserve Account, each established within the Revenue Fund), the Insurance and Condemnation Proceeds Fund, the Costs of Issuance Fund, the Project Fund, the Redemption Fund and the Rebate Fund. All of such funds and accounts shall be established, maintained and held in trust by the Trustee and applied in accordance with the provisions set forth in the Indenture.

Costs of Issuance Fund. The Trustee shall establish, maintain and hold in trust a separate fund designated as the “Costs of Issuance Fund.” The moneys in the Costs of Issuance Fund shall be used and withdrawn by the Trustee to pay the Costs of Issuance. Amounts, if any, remaining in the Costs of Issuance Fund shall be transferred to the Revenue Fund and the Costs of Issuance Fund shall be closed.

Project Fund. The Trustee shall establish, maintain and hold in trust a separate fund designated as the “Project Fund.” The moneys in the Project Fund shall be used and withdrawn by the Trustee to pay Project Costs. No moneys in the Project Fund shall be used to pay Costs of Issuance. Before any payment from the Project Fund shall be made, the Corporation shall file or cause to be filed with the Trustee certain items described in the Indenture. When the Project has been completed, and the requirements described in the Indenture shall have been delivered to the Trustee and the Department by the Corporation, transfer any remaining balance in such Project Fund, less the amount of any retention, to the Revenue Fund and the Project Fund shall be closed.

Revenue Fund. All Revenues shall be promptly deposited by the Trustee upon receipt thereof in a special fund designated as the “Revenue Fund” which the Trustee shall establish, maintain and hold in trust, except as otherwise provided in the Indenture, except that (i) all moneys received by the Trustee and required by the Regulatory Agreement to be deposited in the Insurance and Condemnation Proceeds Fund or the Redemption Fund shall be promptly deposited in such Fund and (ii) all moneys received by the Trustee and required to be deposited in the Bond Reserve Account shall be promptly deposited in such Account. All Revenues deposited with the Trustee shall be held, disbursed, allocated and applied by the Trustee only as provided in the Indenture.

Interest Account. All amounts in the Interest Account shall be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it shall become due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity pursuant to the Indenture).

Capitalized Interest Account. The Trustee shall establish, maintain and hold in trust when deposits thereto are required a separate fund designated as the “Capitalized Interest Account” for the Bonds. While there are funds on deposit in the Capitalized Interest Account, the Trustee shall transfer from the Capitalized Interest Account to the Revenue Fund the lesser of (i) an amount equal to any such transfer required in respect of the Bonds on that date, or (ii) the amount remaining in the Capitalized Interest Account. Upon the transfer of all amounts remaining in the Capitalized Interest Account to the Revenue Fund, the Capitalized Interest Account shall be closed.

Principal Account. All amounts in the Principal Account shall be used and withdrawn by the Trustee solely for the purpose of paying the principal of the Bonds when due and payable, except that all amounts in a Sinking Account shall be used and withdrawn by the Trustee solely to purchase, redeem or pay on their stated maturity date the maturity of Term Bonds to which such Sinking Account relates, as provided in the Indenture.

Insurance and Condemnation Proceeds Fund. The Trustee shall establish, maintain and hold in trust when deposits thereto are required under the Regulatory Agreement a separate fund designated as the “Insurance and Condemnation Proceeds Fund,” and shall administer said Fund in accordance with the Regulatory Agreement.

Redemption Fund. The Trustee shall establish and maintain a fund designated as the “Redemption Fund.” The Trustee shall accept all moneys deposited for redemption (other than amounts for Sinking Account redemption) and shall deposit such moneys into the Redemption Fund. All amounts deposited in the Redemption Fund shall be accepted and used and withdrawn by the Trustee solely for the purpose of redeeming Bonds, in the manner and upon the terms and conditions specified in the Indenture, at the next succeeding date of redemption for which notice has not been given and at the Redemption Prices then applicable to redemptions from the Redemption Fund; provided that, at any time prior to selection of Bonds for redemption, the Trustee shall, upon direction of the Corporation, apply such amounts to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to such Bonds (or, if such Bonds are not then subject to redemption, the par value of such Bonds); and provided further that in the case of optional redemption of Bonds pursuant to the Indenture in lieu of optional redemption at such next succeeding date of redemption, or in combination therewith, amounts on deposit in the Redemption Fund for such optional redemption may, upon written direction of the Corporation, be transferred to the Principal Account and credited against Loan Repayments in order of their due date as set forth in a Request of the Corporation. The Term Bonds purchased or redeemed from the Redemption Fund shall be allocated to the Mandatory Sinking Account Payments for such Term Bonds specified by the Corporation (in accordance with the Tax Agreement) in writing delivered to the Trustee, provided, however, if the Corporation fails to deliver such specification, in inverse order of the Mandatory Sinking Account Payments. The Corporation shall include with the written delivery of such specification to the Trustee a revised schedule of Mandatory Sinking Account Payments.

Bond Reserve Account. All amounts in the Bond Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up any deficiency in the Interest Account or Principal Account (but, in each case, only with the consent of the Department as provided in the Regulatory Agreement) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding.

All Investment Securities in the Bond Reserve Account shall be valued by the Trustee semi-annually on March 31 and September 30 (or more frequently if requested in writing by the Corporation, but not more frequently than quarterly), and such valuation shall be reported, in the event the amount on deposit therein is less than the Bond Reserve Account Requirement and, in all other cases, shall be reported in the regular monthly statement of the Trustee sent to the Corporation. On the fifth day of the month in which a valuation is made pursuant to the Indenture, any amount in the Bond Reserve Account in excess of the Bond Reserve Account Requirement shall be transferred to the Revenue Fund. To the extent that amounts in the Bond Reserve Account are less than 100% of the Bond Reserve Account Requirement, the Corporation shall within thirty (30) days after receiving notice of such valuation pay to the Trustee an amount sufficient to increase the balance in the Bond Reserve Account to the Bond

Reserve Account Requirement. The Trustee may engage an independent consultant, at the expense of the Corporation, to make this valuation.

Rebate Fund. The Trustee shall establish and maintain a fund separate from any other fund established and maintained under the Indenture designated as the Rebate Fund. Within the Rebate Fund, the Trustee shall, upon the direction of the Authority or the Corporation, maintain such accounts as shall be necessary to comply with the terms and conditions of the Tax Agreement. Subject to the transfer provisions provided in the Indenture, all money at any time deposited in the Rebate Fund shall be held by the Trustee in trust, to the extent required to satisfy the Rebate Requirement (as defined, computed and provided to the Trustee in accordance with the Tax Agreement), for payment to the federal government of the United States of America. Neither the Authority, the Corporation, the Department nor the Holder of any Bonds shall have any rights in or claim to such money. All amounts deposited into or on deposit in the Rebate Fund shall be governed by the Indenture and by the Tax Agreement.

Allocation of Revenues

On or before the twenty-fifth (25th) day of each month, the Trustee shall transfer from the Revenue Fund and deposit into the following respective accounts (each of which the Trustee shall establish and maintain within the Revenue Fund) and then to the Rebate Fund, the following amounts, in the following order of priority, at the times set forth in the Indenture, the requirements of each such account or fund (including the making up of any deficiencies in any such account resulting from lack of Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account or fund subsequent in priority:

First: to the Interest Account, one-sixth of the aggregate amount of interest becoming due and payable during the next succeeding six months on all Bonds then Outstanding; provided that from the date of delivery of the Bonds until the first Interest Payment Date with respect to the Bonds (if less than six months), transfers to the Interest Account shall be sufficient, on a monthly pro rata basis, to pay the interest becoming due and payable on the Bonds on said Interest Payment Date;

Second: to the Principal Account, one-twelfth of the aggregate amount of principal becoming due and payable on the Outstanding Serial Bonds, plus one-twelfth of the aggregate amount of Mandatory Sinking Account Payments required to be paid into the Sinking Accounts established for Outstanding Term Bonds, in each case during the next ensuing twelve months, until the balance in said Principal Account is equal to said aggregate amount of such principal and Mandatory Sinking Account Payments; provided that from the date of delivery of the Bonds until the first principal payment date with respect to the Bonds (if less than twelve months), transfers to the Principal Account shall be sufficient on a monthly pro rata basis to pay the principal and Mandatory Sinking Account Payments becoming due and payable on such principal payment date;

Third: to the Bond Reserve Account, (i) one-twelfth of the aggregate amount of each prior withdrawal from the Bond Reserve Account for the purpose of making up a deficiency in the Interest Account or Principal Account (until deposits on account of such withdrawal are sufficient to fully restore the amount withdrawn), provided that no deposit need be made into the Bond Reserve Account if the balance in said account is at least equal to the Bond Reserve Account Requirement, and (ii) in the event the balance in said account shall be less than the Bond Reserve Account Requirement due to valuation of the Investment Securities deposited therein in accordance with the Indenture, the amount necessary to increase the balance in said account to an amount at least equal to the Bond Reserve Account Requirement (until deposits on account of

such valuation deficiency are sufficient to increase the balance in said account to said amount); and

Fourth: upon direction of the Authority or the Corporation, to the Rebate Fund, such amounts as are required to be deposited therein by the Indenture (including the Tax Agreement).

Any moneys remaining in the Revenue Fund after the foregoing transfers shall be transferred first to the Department to the extent necessary to repay insurance advances made by the Department (as directed by the Department to the Trustee in writing), including interest thereon as specified in the Regulatory Agreement, and thereafter to the Corporation.

Investment of Moneys in Funds and Accounts

All moneys in any of the funds and accounts established pursuant to this Indenture shall be invested by the Trustee, upon the written direction of the Corporation, solely in Investment Securities. The Trustee shall acquire such Investment Securities upon the written direction of the Corporation at such prices and on such terms as directed by the Corporation. In the absence of written directions from the Corporation, the Trustee shall invest solely in Investment Securities set forth in clause (D) of the definition thereof in "DEFINITIONS OF CERTAIN TERMS" above. All Investment Securities shall be acquired subject to the limitations set forth in the Indenture, the limitations as to maturities described under this caption and such additional limitations or requirements consistent with the foregoing as may be established by request of the Corporation.

All interest, profits and other income received from the investment of moneys in the Rebate Fund shall be deposited when received in the Rebate Fund. All interest, profits and other income received from the investment of moneys in the Insurance and Condemnation Proceeds Fund shall be deposited when received in such Insurance and Condemnation Proceeds Fund. All interest, profits and other income received from the investment of moneys in the Project Fund and the Bond Reserve Account shall be deposited when received in the Capitalized Interest Account, so long as the Capitalized Interest Account has not been closed, and following the closure of the Capitalized Interest Account, all interest, profits and other income received from the investment of moneys in any other fund or account established pursuant to the Indenture, shall be transferred when received (a) first, to the Bond Reserve Account to the extent necessary to increase the balance therein to the Bond Reserve Account Requirement, (b) second to the Principal Account to the extent necessary to increase the balance therein to the aggregate amount of principal of the Bonds coming due during the next ensuing twelve months, and (c) third, to the Revenue Fund. Notwithstanding anything to the contrary contained in this paragraph, an amount of interest received with respect to any Investment Security equal to the amount of accrued interest, if any, paid as part of the purchase price of such Investment Security shall be credited to the fund or account for the credit of which such Investment Security was acquired.

Certain Covenants

Against Encumbrances. The Authority shall not create, or permit the creation of, any pledge, lien, charge or other encumbrance upon the Revenues and other assets pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to this limitation, the Authority expressly reserves the right to enter into one or more other indentures for any of its corporate purposes, including other programs under the Act, and reserves the right to issue other obligations for such purposes.

Enforcement of Loan Agreement and Other Covenants. The Trustee shall collect all amounts due from the Corporation pursuant to the Loan Agreement, and subject to the provisions of the Indenture, shall exercise all rights assigned to it pursuant to the Loan Agreement and shall enforce, and take all

steps, actions and proceedings reasonably necessary for the enforcement of all of the rights of the Authority except as is otherwise provided in the Indenture and all of the obligations of the Corporation, including, without limitation, such steps, actions and proceedings as shall be directed by the Authority.

The Authority shall not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination, without the written consent of (1) the Department (provided that the Contract of Insurance is then in effect and the Department is not in default thereunder), or (2) the Holders of a majority in principal amount of the Bonds then Outstanding (if the Contract of Insurance is no longer in effect or the Department is in default thereunder). The Authority shall not amend, modify or terminate the Loan Agreement or any of the Department Documents in any manner adverse to the interests of the Trustee without the written consent of the Trustee.

The Trustee, subject to the provisions of the Indenture, shall take all actions required by the terms of the Contract of Insurance, and shall enforce the Contract of Insurance by appropriate legal action, for the benefit of the Bondholders.

If (1) a Loan Default Event has occurred and is continuing under the Loan Agreement or (2) debentures have been issued by the Treasurer of the State of California in satisfaction of the Department's obligations under the Contract of Insurance, the Trustee shall, within three Business Days of receipt of a Request of the Department, transfer to the Department all of the Trustee's right, title and interest in the Loan Agreement and the Regulatory Agreement and the Deed of Trust other than the right of the Trustee to receive payments under the Loan Agreement.

Events of Default under the Indenture and Remedies

Events of Default. The following events shall be Events of Default:

(a) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by declaration or otherwise, or default in the redemption of any Bonds from Mandatory Sinking Account Payments in the amounts and at the times provided therefor;

(b) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable;

(c) default by the Authority in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the Bonds contained, if such default shall have continued for a period of 60 days after written notice thereof, specifying such default and requiring the same to be remedied, shall have been given to the Authority and the Corporation by the Trustee, or to the Authority, the Corporation and the Trustee by the Holders of not less than 25% in aggregate principal amount of the Bonds at the time Outstanding; or

(d) a Loan Default Event.

Acceleration of Maturities. If an Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may and, upon receipt of instructions from the Holders of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding, or the Department shall, upon notice in writing to the Authority, the Department and the Corporation, declare the principal of all of the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same shall become and shall be immediately due and payable, anything in the Indenture or in the Bonds contained to the contrary

notwithstanding; provided, however, that no such declaration may be made if the Contract of Insurance is in effect and the Department is not in default thereunder unless (i) the Trustee is required to make such declaration pursuant to the provisions of the Indenture described below under the caption “—Collection Upon Insurance” or (ii) the Department consents to such acceleration and agrees to pay an amount equal to the full principal amount of Bonds then Outstanding and interest thereon at the stated interest rates on the Bonds to the date of acceleration.

Any such declaration, however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority, the Department or the Corporation shall deposit with the Trustee a sum sufficient to pay all the principal or Mandatory Sinking Account Payments or Redemption Price of and installments of interest on the Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable fees, charges and expenses of the Authority and the Trustee, including without limitation those of their respective attorneys, and any and all other defaults actually known to the Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, then, and in every such case, the Trustee may, if such declaration was made by the Trustee without instruction from the Holders, and the Trustee shall, upon receipt of written notice by the Holders of not less than a majority in aggregate principal amount of the Bonds then Outstanding, which written notice shall also be delivered to the Authority, the Department and the Corporation, on behalf of the Holders of all of the Bonds, rescind and annul such declaration and its consequences and waive such default; but no such rescission and annulment shall extend to or shall affect any subsequent default, or shall impair or exhaust any right or power consequent thereon. Notwithstanding the foregoing, the Trustee shall waive any Event of Default which is caused solely by a default under the Regulatory Agreement if the Department waives such default in writing.

Collection Upon Insurance. Upon the occurrence and continuance of an Event of Default, the Trustee shall proceed to take such steps as are necessary, in the reasonable judgment of the Trustee, to collect upon the insurance provided by the Insurance Law. If the Department and the Treasurer of the State of California have notified the Trustee in writing that they elect to pay such insurance by means of debentures of the Department’s Health Facility Construction Loan Insurance Fund, the Trustee shall as soon as practicable provide notice to each Bondholder of the exchange of such debentures for the Bonds then Outstanding in the same manner as for notice of redemption pursuant to the Indenture, and shall deliver to each Bondholder, as soon as practicable after surrender of such Bondholder’s Bonds, debentures in a principal amount equal to the principal amount of such Bonds plus accrued interest thereon and having maturities the same as such Bonds, bearing interest at such rate or rates equal to the rates on the respective Bonds.

Application of Revenues and Other Funds After Default. If an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture (other than funds held for the payment of particular Bonds pursuant to the provisions of the Indenture) shall be applied by the Trustee as follows and in the following order:

(1) To the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Indenture, as follows:

(i) Unless the principal of all of the Bonds shall have become or have been declared due and payable,

First: To the payment to the Persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference;

Second: To the payment to the Persons entitled thereto of the unpaid principal (including Mandatory Sinking Account Payments) or Redemption Price of any Bonds which shall have become due, whether at maturity or by call for redemption, in the order of their due dates, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full all the Bonds due on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date to the persons entitled thereto, without any discrimination or preference.

(ii) If the principal of all of the Bonds shall have become or have been declared due and payable, to the payment of the principal or Redemption Price and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest or Redemption Price, or of interest over principal or Redemption Price, or of Redemption Price over principal or interest, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal, Redemption Price, and interest, to the persons entitled thereto without any discrimination or preference;

(2) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel, agents and advisors) incurred, subject to the provisions described below under the caption “—Trustee to Represent Bondholders,” in and about the performance of its powers and duties under the Indenture;

(3) To the Department to the extent necessary to repay insurance advances (including interest thereon calculated in accordance with the Regulatory Agreement) made by the Department; and

(4) To the payment of the reasonable fees, charges and expenses of the Authority and the payment of any amounts owed under the expense and indemnification provisions of the Loan Agreement.

Notwithstanding the foregoing or any other provision of the Indenture to the contrary, in the event that the Department shall no longer be obligated under the Contract of Insurance for any reason while any of the Bonds remain Outstanding, if an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture (other than funds held for the payment of particular Bonds pursuant to the provisions of the Indenture) shall be applied by the Trustee first to the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred, subject to the provisions of the Indenture described below under the caption “—Trustee to Represent Bondholders,” in and about the performance of its powers and duties under the Indenture and then in accordance with the order described above under this caption.

Trustee to Represent Bondholders. Pursuant to the Indenture, the Trustee is irrevocably appointed (and the successive respective Holders of the Bonds by taking and holding the same, shall be conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney in fact of the Holders of the Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of the Bonds, the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act and applicable provisions of any other law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Trustee to represent the Bondholders, the Trustee in its discretion may, and upon the written request of the Department or the Holders of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds then Outstanding (provided, however, that if more than one such request is received by the Trustee from the Holders, the Trustee shall follow the request executed by the Holders of the greater percentage of Bonds then Outstanding in excess of twenty-five percent (25%)), and upon being indemnified to its satisfaction therefor, shall, with the written consent of the Department (so long as the Contract of Insurance is in effect and the Department is not in default thereunder,) proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power granted under the Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Holders under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other law; and upon instituting such proceeding, the Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the Revenues and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of all the Holders of such Bonds, subject to the provisions of the Indenture.

Notwithstanding anything to the contrary in the Indenture, the Authority shall have no obligation to and instead the Trustee may, without further direction from the Authority, take any and all steps, actions and proceedings, to enforce any or all rights of the Authority (other than those specifically retained by the Authority pursuant to the Indenture) under the Indenture and the Loan Agreement, including, without limitation, the rights to enforce the remedies upon the occurrence and continuation of an Event of Default and the obligations of the Corporation under the Loan Agreement.

Department and Bondholders' Direction of Proceedings. Anything in the Indenture to the contrary notwithstanding, the Department (so long as the Contract of Insurance is in effect and the Department is not in default thereunder) and/or the Holders of a majority in aggregate principal amount of the Bonds then Outstanding, in each case where the Holders seek to direct proceedings with the written consent of the Department (so long as the Contract of Insurance is in effect and the Department is not in default thereunder), shall have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, to direct the method of conducting all remedial proceedings taken by the Trustee under the Indenture, provided that such direction shall not be otherwise than in accordance with law and the provisions of the Indenture, and that, unless the Department is the Holder of all Bonds or has caused all Bonds to be paid in full, the Trustee shall have the right to decline to follow any such direction which in the opinion of the Trustee might involve the Trustee in personal liability or would be unjustly prejudicial to Bondholders not parties to such direction; provided, further, that the Trustee shall have no duty to ascertain whether or not such actions or forbearances are unduly prejudicial to such Bondholders.

Anything in the Indenture to the contrary notwithstanding, in the event that any of the following has occurred and is continuing:

(a) the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(b) a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within sixty (60) days from the date of the entry thereof; or

(c) under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within sixty (60) days from the date of assumption of such custody or control;

then, so long as the Contract of Insurance is in effect and the Department is not in default thereunder, the Department shall have the right to vote in the place and stead of all Holders with respect to any plan of reorganization or liquidation, on any agreement for composition of creditors, and on any assignment for the benefit of creditors and the Department shall represent Bondholders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of Bondholders, provided that any such action or consent shall in no way impair the rights and benefits due Bondholders under the Contract of Insurance.

Limitation on Bondholders' Right to Sue. No Holder of any Bond shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other applicable law with respect to such Bond, unless: (1) such Holder shall have given to the Trustee written notice of the occurrence of an Event of Default; (2) the Holders of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds then Outstanding (or if more than one such request is received, the written request executed by the Holders of the greatest percentage of Bonds then Outstanding in excess of twenty-five percent (25%)) shall have made written request upon the Trustee to exercise the powers granted by the Indenture or to institute such suit, action or proceeding in its own name; (3) such Holder or said Holders shall have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (4) the Trustee shall have refused or omitted to comply with such request for a period of sixty (60) days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee; and (5) the Department consents in writing to the action specified in such request (provided that such consent shall be required only so long as the Contract of Insurance is in effect and the Department is not in default thereunder).

Such notification, request, tender of indemnity and refusal or omission are declared, in every case, to be conditions precedent to the exercise by any Holder of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Holders of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Holders of Bonds, or to enforce any right under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the

manner provided in the Indenture and for the benefit and protection of all Holders of the Outstanding Bonds, subject to the provisions of the Indenture.

Additional Requirements Concerning Foreclosure. Notwithstanding anything in the Indenture, the Deed of Trust, the Loan Agreement or any document to the contrary, the Trustee shall not be required to initiate foreclosure proceedings with respect to the Facilities, and shall not otherwise be required to acquire possession of, or take other action with respect to the Facilities which could cause it to be considered an “owner” or “operator” within the meaning of the Comprehensive Environmental Response, Compensation and Liability Act of 1980, as amended from time to time, or any other law dealing with environmental matters or hazardous substances, unless the Trustee has sufficient comfort, based on previous determinations by experts on which the Trustee can rely, including an environmental report (any expense of a new report shall be paid from funds held in trust by the Trustee if such moneys are available for such purpose or shall be paid by the Holders or the Department, as applicable) that:

(i) the Facilities are in compliance with all environmental laws, rules or regulations or, if the Facilities are not in compliance, that it would nevertheless be in the best economic interest of the Trustee and the Holders to take such actions as are necessary for the Facilities to comply therewith; and

(ii) there are no circumstances present at the Project relating to the use, management or disposal of any hazardous substances, hazardous materials, hazardous wastes, or petroleum-based materials for which investigation, testing, monitoring, contaminant clean up or remedial action could be required under any environmental laws or that, if any such materials are present for which such action could be required, that it would nevertheless be in the best economic interest of the Trustee and the Holders to take such actions with respect to the Facilities; and

(iii) if the Trustee has determined that it would be in the best economic interest of the Trustee and the Holders, the Trustee must be satisfied that it will suffer no unreimbursed liabilities and will be adequately reimbursed for all liabilities, expenses and costs from available funds in the Trustee’s possession and control or from funds made available to the Trustee from the Holders or the Department, as applicable; and

(iv) if the Trustee has determined that it would be in the best economic interest of the Trustee and the Holders to take any such action and its aforementioned liabilities, expenses and costs will be adequately reimbursed and the Trustee has so notified the Holders and has not received, within thirty (30) days of such notification, direction from the Holders of a majority of the Bonds Outstanding directing it not to take such action.

If the foregoing conditions are not satisfied and the Trustee is not willing to waive such conditions and initiate foreclosure proceedings, then the Trustee shall take such actions as are reasonably necessary or appropriate in order to facilitate the appointment of a co-trustee, being a person or entity designated by (i) the Department (for so long as the Contract of Insurance is in effect and the Department is not in default thereunder) or (ii) the Holders and to assign to such person or entity (subject, however, to the trusts created pursuant to the Indenture) the beneficial interest under the Deed of Trust which secures the obligations under the Loan Agreement for the limited purpose of conducting a foreclosure of such Deed of Trust and receiving and holding any title to real estate obtained as a result of such foreclosure. Persons or entities appointed as co-trustees pursuant to this Section shall not be required to meet the criteria of Section 8.1(e) of the Indenture, or any other criteria, in order to serve as such. The Trustee shall not be responsible for the acts of a co-trustee appointed pursuant to this Section.

Notwithstanding anything in the Indenture, the Deed of Trust, the Loan Agreement or any document to the contrary, only assets held in trust by the Trustee or funds provided by the Department or the Holders, as applicable, may be used to remedy an environmental contamination and the Trustee will not have personal liability for clean-up costs, unless the environmental contamination is a result of negligent acts of the Trustee in its fiduciary capacity.

Control Rights of the Department. Notwithstanding anything in the Indenture to the contrary, so long as the Insurance is in effect and the Department is not in default under the Contract of Insurance: (a) the Department shall be deemed to be the Holder of all of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds; (b) anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Department shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders; and (c) the rights granted to the Department under the Indenture and/or the Loan Agreement to request, consent to or direct any action are rights granted to the Department in consideration of its issuance of its insurance for the Bonds. Any exercise by the Department of such rights is merely an exercise of the Department's contractual rights and shall not be construed or deemed to be taken for the benefit, or on behalf, of the Holders and such action does not evidence any position of the Department, affirmative or negative, as to whether the consent of the Holders or any other person is required in addition to the consent of the Department.

Amendment of Indenture

The Indenture and the rights and obligations of the Authority and of the Holders of the Bonds and of the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into when the written consent of (i) the Department (provided that the Contract of Insurance is then in effect and the Department is not in default thereunder) or (ii) the Holders of a majority in aggregate principal amount of the Bonds then Outstanding (if the Contract of Insurance is no longer in effect or the Department is in default thereunder) shall have been filed with the Trustee; provided that if such modification or amendment will, by its terms, not take effect so long as any Bonds of any particular maturity remain Outstanding, the consent of the Holders of such Bonds shall not be required and such Bonds shall not be deemed to be Outstanding for the purpose of any calculation of Bonds Outstanding under the Indenture. No such modification or amendment shall (1) extend the fixed maturity of any Bond, extend the time of payment for the payment of any Bond, reduce the amount of any Mandatory Sinking Account Payment or principal thereof or reduce the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Holder of each Bond so affected, or (2) reduce the aforesaid percentage of Bonds the consent of the Holders of which is required to effect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture, or deprive the Holders of the Bonds of the lien created by the Indenture on such Revenues and other assets (except as expressly provided in the Indenture and the Loan Agreement), without the consent of the Holders of all of the Bonds then Outstanding. It shall not be necessary for the consent of the Bondholders to approve the particular form of any Supplemental Indenture, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Trustee of any Supplemental Indenture pursuant to the Indenture, the Trustee shall mail a notice, setting forth in general terms the substance of such Supplemental Indenture, to the Bondholders at the addresses shown on the bond registration books maintained by the Trustee. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Indenture.

The Indenture and the rights and obligations of the Authority, of the Trustee and of the Holders of the Bonds may also be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into without the consent of any Bondholders, but only with the consent of the Corporation and the Department (provided that the Contract of Insurance is then in effect and the Department is not in default thereunder), if the Trustee has been furnished an Opinion of Counsel, that the provisions of such Supplemental Indenture shall not materially adversely affect the interests of the Holders, including, without limitation, for any one or more of the following purposes:

(1) to add to the covenants and agreements of the Authority contained in the Indenture other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power reserved to or conferred upon the Authority, provided that no such covenant, agreement, pledge, assignment or surrender shall materially and adversely affect the interests of the Holders of the Bonds;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the Authority may deem necessary or desirable and not inconsistent with the Indenture, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(3) to modify, amend or supplement the Indenture in such manner as to permit the qualification thereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(4) to make such provisions for the purpose of preserving the exclusion from gross income for federal income tax purposes of interest on the Bonds as the Authority may deem necessary or desirable and not inconsistent with the Indenture; or

(5) to modify, amend or supplement the Indenture in any other respect that does not materially adversely affect the interests of the Holders of the Bonds.

Defeasance

Discharge of Indenture. Bonds may be paid by the Authority in any of the following ways; provided that the Authority also pays or causes to be paid any other sums payable under the Indenture by the Authority and related to the Bonds: (a) by paying or causing to be paid the principal or Redemption Price of and interest on all Bonds then Outstanding, as and when the same become due and payable; (b) by depositing with the Trustee, in trust, or with an escrow agent in irrevocable escrow, at or before maturity, moneys or securities in the necessary amount (as provided in the Indenture) to pay or redeem all Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all Bonds then Outstanding.

If the Authority shall pay all Bonds then Outstanding and shall also pay or cause to be paid all other sums payable under the Indenture by the Authority, then and in that case, at the election of the Authority (evidenced by a Certificate of the Authority, filed with the Trustee, signifying the intention of the Authority to discharge all such indebtedness and the Indenture), and notwithstanding that any Bonds shall not have been surrendered for payment, the Indenture and the pledge of Revenues and other assets made under the Indenture and all covenants, agreements and other obligations of the Authority under the

Indenture shall cease, terminate, become void and be completely discharged and satisfied, except only as provided pursuant to the provisions of the Indenture described below under the caption “—Discharge of Liability on Bonds.”

Discharge of Liability on Bonds. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond shall cease, terminate and be completely discharged, except only that thereafter the Holder thereof shall be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority shall remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment, provided further, however, that the provisions of the Indenture shall apply in all events.

Deposit of Money or Securities with Trustee. Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary amount to pay or redeem any Bonds, the money or securities to be deposited or held may include money or securities held by the Trustee in the funds and accounts established pursuant to the Indenture (exclusive of the Rebate Fund) and shall be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(b) Investment Securities described in clause (a) of the definition thereof in “DEFINITIONS OF CERTAIN TERMS” above (not callable by the issuer thereof prior to maturity) the principal of and interest on which when due will provide money sufficient in the opinion of an Accountant to pay the principal or Redemption Price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Bonds to be paid or redeemed, as such principal or Redemption Price and interest become due, provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice;

provided, in each case, that the Trustee shall have been irrevocably instructed to apply such money to the payment of such principal or Redemption Price and interest with respect to such Bonds.

LOAN AGREEMENT

General

The Loan Agreement is an agreement between the Authority and the Corporation whereby the Authority agrees to lend the proceeds of the Bonds to the Corporation and the Corporation agrees to make payments to the Trustee sufficient to pay debt service on the Bonds. Certain of the provisions of the Loan Agreement are summarized below. This summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Loan Agreement.

Loan of Proceeds; Loan Repayments

The Authority loans and advances to the Corporation, and the Corporation borrows and accepts from the Authority (solely from the proceeds of the sale of the Bonds), the net proceeds received from the sale of the Bonds, such proceeds to be applied under the terms and conditions of the Loan Agreement and the Indenture. In consideration of the loan of such proceeds to the Corporation, the Corporation agrees that, on or before the first Business Day of each month and as long as any of the Bonds remain Outstanding, it shall pay to the Trustee for deposit in the Revenue Fund such amount as is required by the Trustee to make the transfers and deposits required on or before the twenty-fifth (25th) day of such month pursuant to the Indenture, summarized under the caption "INDENTURE -- Allocation of Revenues." Notwithstanding the foregoing, if five (5) days prior to any Interest Payment Date or principal payment date with respect to the Bonds, the aggregate amount in the Revenue Fund (other than the Bond Reserve Account) is for any reason insufficient or unavailable to make the required payments of principal, Mandatory Sinking Account Payments or Redemption Price of or interest on the Bonds then becoming due (whether by maturity, redemption or acceleration), the Corporation shall forthwith pay the amount of any such deficiency to the Trustee. In addition, the Corporation shall pay (or cause to be paid) to the Trustee for deposit in the Bond Reserve Account in accordance with the Indenture, summarized under the caption "Allocation of Revenues," such amount as is required to be deposited in such month to replenish any prior withdrawal from the Bond Reserve Account and shall pay (or cause to be paid) to the Trustee such amount as shall be necessary to increase the Bond Reserve Account to the Reserve Account Requirement in accordance with the Indenture in the event that a valuation of the Bond Reserve Account indicates that the amount on deposit in the Bond Reserve Account on the date of valuation is less than 100% of the Bond Reserve Account Requirement.

Except as otherwise expressly provided under the Loan Agreement, all amounts payable hereunder by the Corporation to the Authority shall be paid to the Trustee, as assignee of the Authority, and the Loan Agreement and all right, title and interest of the Authority in any such payments are hereby assigned and pledged to the Trustee so long as any Bonds remain Outstanding.

Additional Payments

In addition to the Loan Repayments, the Corporation shall also pay to the Authority or the Trustee, as the case may be, "Additional Payments," as provided in the Loan Agreement.

The Additional Payments to the Authority are (a) all taxes and assessments of any type or character charged to the Authority or to the Trustee affecting the amount available to the Authority or the Trustee from payments to be received hereunder or in any way arising due to the transactions contemplated hereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments) but excluding franchise taxes based upon the capital and/or income of the Trustee and taxes based upon or measured by the net income of the Trustee; provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Authority or the Trustee, at the Corporation's expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Authority or the Trustee; (b) all reasonable and documented fees, costs and charges of the Trustee for services rendered under and described in the Indenture, as and when the same become due and payable; (c) the reasonable and documented fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement, the Department Documents, the Tax Agreement and the Continuing Disclosure Agreement (collectively, the "Financing Documents") or the

Indenture; (d) the Authority's issuance fee, annual fee and the reasonable fees and expenses of the Authority or any agent or attorney selected by the Authority to act on its behalf in connection with the Financing Documents, the Bonds or the Indenture, including, without limitation, any and all reasonable and documented expenses incurred in connection with the authorization, issuance, sale and delivery of any such Bonds or in connection with any litigation, investigation, inquiry or other proceeding which may at any time be instituted involving the Financing Documents, the Bonds or the Indenture or any of the other documents contemplated thereby, or in connection with the reasonable supervision or inspection of the Corporation, its properties, assets or operations or otherwise in connection with the administration of the Financing Documents; (e) any amounts due and payable by the Corporation as arbitrage rebate under Section 148 of the Code, pursuant to the Corporation's covenants and agreements with respect thereto in the Financing Documents; and (f) all other reasonable, documented and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

The Additional Payments to the Trustee are (a) all taxes and assessments of any type or character charged to the Trustee affecting the amount available to the Trustee from payments to be received hereunder or in any way arising due to the transactions contemplated hereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments); provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Trustee, at the Corporation's expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Trustee and the Corporation has provided the Trustee with security and indemnification reasonably deemed adequate by the Trustee in respect of such affected rights or interests; (b) all reasonable and documented fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under this Agreement or the Indenture; (c) all amounts payable to the Trustee as described under the caption "INDENTURE – Events of Default under the Indenture and Remedies – Collection Upon Insurance; and (d) all other reasonable, documented and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

Security For Corporation's Obligations

In consideration of the issuance of the Bonds by the Authority and the loan of the proceeds thereof to the Corporation and to secure the payment of Loan Repayments and Additional Payments and the performance of the other obligations of the Corporation under the Loan Agreement, the Corporation pledges and grants a security interest (subject to Permitted Encumbrances) to the Trustee and the Department, as their interests may appear, in the Facilities. The Corporation will enter into the Deed of Trust to further secure the Corporation's obligations under the Loan Agreement. The Corporation agrees to execute and cause to be filed and to deliver such other documents (including, but not limited to, deposit account control agreements) as the Authority, the Department or the Trustee may reasonably require in order to perfect or maintain as perfected such security interest or give public notice thereof. The Deed of Trust, pursuant to its terms, may be amended and property released therefrom upon written notice to the Trustee with the consent of the Department without the necessity of obtaining the consent of the Authority, the Trustee or the Bondholders.

Obligations of the Corporation Unconditional

The obligations of the Corporation under the Loan Agreement are absolute and unconditional, notwithstanding any other provision of the Loan Agreement or the Indenture. Until the Loan Agreement is terminated and all payments under the Loan Agreement are made, the Corporation: (i) will pay all amounts required under the Loan Agreement without abatement, deduction or setoff except as otherwise expressly provided in the Loan Agreement; (ii) will not suspend or discontinue any payments due under the Loan Agreement for any reason whatsoever, including, without limitation, any right of setoff or counterclaim; (iii) will perform and observe all its other agreements contained in the Loan Agreement; and, (iv) except as provided in the Loan Agreement, will not terminate the Loan Agreement for any cause including, without limiting the generality of the foregoing, damage, destruction or condemnation of the Facilities or any part thereof, commercial frustration of purpose, any change in the tax or other laws of the United States of America or of the State, or any political subdivision of either thereof or any failure of the Authority or the Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Loan Agreement.

Prepayment

The Corporation shall have the right, so long as all amounts that have theretofore become due under the Loan Agreement have been paid, at any time or from time to time to prepay all or any part of the Loan Repayments, and the Authority agrees that the Trustee shall accept such prepayments when the same are tendered. All such prepayments shall be deposited upon receipt in the Redemption Fund established under the Indenture and used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Indenture.

Limitation on Indebtedness

The Corporation shall not incur any indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, provided, however, that notwithstanding the foregoing provision, the Corporation may incur the following: (i) obligations and liabilities under the Loan Agreement, the Regulatory Agreement or the Indenture, including any supplements or amendments thereto or to the Loan Agreement; (ii) obligations and liabilities permitted under the Regulatory Agreement; and (iii) any other indebtedness or obligations of the Corporation approved in writing by the Department.

Tax Covenant

The Corporation covenants and agrees that it will at all times do and perform all acts and things permitted by law and the Loan Agreement which are necessary in order to assure that interest paid on the Bonds will be excluded from gross income for federal income tax purposes and will take no action that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Corporation agrees to comply with the provisions of the Tax Agreement. This covenant shall survive payment in full or defeasance of the Bonds.

Continuing Disclosure

In the Loan Agreement, the Corporation covenants and agrees to comply with and carry out all of the provisions of the Continuing Disclosure Agreement. Notwithstanding any other provision of the Loan Agreement, failure of the Corporation to comply with the Continuing Disclosure Agreement shall not be considered a Loan Default Event; however, the Trustee, at the written request of any Participating Underwriter or the Holders of at least twenty-five percent (25%) aggregate principal amount of Bonds

Outstanding, shall, but only to the extent the Trustee is indemnified to its satisfaction from and against any cost, liability or expense related thereto, including, without limitation, reasonable fees and expenses of its attorneys and advisors and its additional fees and expenses, or any Holder or Beneficial Owner of the Bonds may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with its obligations under the provisions of the Loan Agreement described herein.

Loan Default Events

Each of the following events shall be “Loan Default Events:”

(a) If the Corporation shall fail to pay any Loan Repayments on or before the day such Loan Repayments are due and payable;

(b) If any representation or warranty made by the Corporation in the Loan Agreement or in any document, instrument or certificate furnished to the Trustee or the Authority in connection with the issuance of the Bonds shall at any time prove to have been incorrect in any material respect as of the time made;

(c) If the Corporation shall fail to observe or perform any covenant, condition, agreement or provision in the Loan Agreement or the Regulatory Agreement on its part to be observed or performed, other than as referred to in subsection (a) of this section, or shall breach any warranty by the Corporation contained in the Loan Agreement, for a period of thirty (30) days after written notice, specifying such failure or breach and requesting that it be remedied, has been given to the Corporation by the Authority, the Trustee or the Department; except that, if such failure or breach can be remedied but not within such thirty-day period and if the Corporation has taken all action reasonably possible to remedy such failure or breach within such thirty-day period, such failure or breach shall not become a Loan Default Event for so long as the Corporation shall diligently proceed to remedy the same in accordance with and subject to any directions or limitations of time established by the Trustee or the Department;

(d) If the Corporation shall abandon the Facilities, or any substantial part thereof, and such abandonment shall continue for a period of thirty (30) days after written notice thereof shall have been given to the Corporation by the Authority, the Trustee or the Department;

(e) If any default shall exist under any agreement respecting Long-Term Indebtedness (other than Parity Debt) and if, as a result thereof, Long-Term Indebtedness in an aggregate principal amount in excess of ten percent (10%) of the Corporation’s Adjusted Annual Operating Revenues shall be declared immediately due and payable or a proceeding is brought for enforcement thereof; provided, however, that a Loan Default Event shall not exist under this clause (e) if the Corporation establishes reserves or obtains a surety bond acceptable to the Department for the payment of such Long-Term Indebtedness which, in the opinion of the Department, are adequate or (ii) sets aside one hundred percent (100%) of the payments then due on such Long-Term Indebtedness in a separate fund or with an escrow agent until any dispute as to the amount due has been resolved;

(f) If any default shall exist under any instrument pursuant to which Parity Debt was issued and is Outstanding, and such default shall continue after the applicable grace period;

(g) If the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay

debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(h) If a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within sixty (60) days from the date of the entry thereof;

(i) If, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within sixty (60) days from the date of assumption of such custody or control; or

(j) If any Event of Default under the Indenture shall occur.

Remedies on Default

If a Loan Default Event shall occur, then, and in each and every such case during the continuance of such Loan Default Event, the Trustee on behalf of the Authority, subject to the limitations in the Indenture as to the enforcement of remedies and subject to the Trustee's rights and protections under the Indenture, may, with the consent of the Department (so long as the Contract of Insurance is in full force and effect and the Department is not in default thereunder) take any one or more of the following remedial steps subject to applicable law:

(a) The Trustee may, upon notice in writing to the Corporation, declare all installments of Loan Repayments and Additional Payments payable for the remainder of the term of the Loan Agreement to be immediately due and payable, whereupon the same shall be immediately due and payable, anything in the Loan Agreement to the contrary notwithstanding; "all installments" as used in this paragraph (a) shall mean an amount equal to the entire principal amount of the then Outstanding Bonds, together with any applicable redemption premiums and all interest accrued or to accrue on and prior to the next succeeding redemption date or dates on which the Bonds can be redeemed after giving notice to the Holders thereof as required by the Indenture (less moneys available for such purposes then held by the Trustee) plus any other payments due or to become due under the Loan Agreement, including, without limitation, any unpaid fees and expenses of the Trustee which are then due or will become due prior to the time that the Bonds are paid in full and the trust established by the Indenture is terminated.

(b) The Trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the Loan Repayments, Additional Payments and any other payments then due and thereafter to become due under the Loan Agreement or to enforce the performance and observance of any obligation, covenant, agreement or provision contained in the Loan Agreement to be observed or performed by the Corporation.

(c) The Authority or the Trustee shall have all the rights and remedies of a secured party or creditor under the Uniform Commercial Code of the State of California, and the general laws of the State of California, with respect to the enforcement of the security interests granted or reserved under the Loan Agreement, including without limitation to the extent permitted by law the right to require that all or a portion of the Gross Revenues be assembled and delivered to the Trustee and the Trustee may, to the extent permitted by law, impound books and records evidencing the Corporation's accounts, accounts receivable and other similar claims for the payment of money and take possession of all notes and other documents which evidence such accounts, accounts receivable and claims for money and give notice to

obligors thereunder of its interest in Gross Revenues and make direct collections on such accounts, accounts receivable and claims for money.

(d) The Authority or the Trustee may take whatever legal action may appear necessary or desirable to enforce their rights and the rights of the Holders of the Bonds under the Deed of Trust.

(e) With regard to the Deed of Trust, the exercise of any remedies are subject to the provisions of the Indenture described above under the caption “INDENTURE—Events of Default and Remedies of Bondholders—Control Rights of the Department.”

Loan Agreement Represents Complete Agreement; Amendments

The Loan Agreement represents the entire contract between the parties. The Loan Agreement may not be effectively amended, changed, modified, altered or terminated except by the written agreement of the Corporation and the Authority, with the concurring written consent of the Trustee and the Department, given in accordance with the provisions of the Indenture.

REGULATORY AGREEMENT

General

The Regulatory Agreement is an agreement among the Department, the Authority and the Corporation to establish the requirements of the Department with respect to certain details of the financing transaction. The Regulatory Agreement also sets out certain business covenants of the Corporation, including maintenance, operation and management of the Facilities and limitations on encumbrances, assignment and transfer of any part of the Facilities and other matters. The Regulatory Agreement also provides for the rights and obligations of the parties in the event of a default and provides for the manner in which the benefits of the insurance are to be paid. Although certain provisions of the Regulatory Agreement are summarized below, this summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Regulatory Agreement.

Security of Gross Revenues Pledged and Deed of Trust

The performance of the obligations of the Corporation to the Department under the Regulatory Agreement and the Contract of Insurance is secured by, among other things, a security interest in the Gross Revenues pledged by the Corporation under the Regulatory Agreement, and by the lien on the Facilities created by the Corporation pursuant to the Deed of Trust. The Corporation covenants and agrees that the lien of the Deed of Trust shall be subject only to liens, conditions, covenants and restrictions, easements, taxes and assessments of record approved by the Department as exceptions to the ALTA title insurance policy identified in the Regulatory Agreement and Permitted Encumbrances.

Negative Covenants

The Corporation covenants not to, without the prior written consent of the Department, among other things: (a) alter the Facilities (except in the ordinary course of business) or subtract from any real property of the Corporation except for the maintenance described in the regulations of the relevant State licensing agencies, which may be accomplished without limitation; (b) pay any compensation or make any distribution of income or other assets to any of its officers or directors other than as compensation to such persons in their capacities as officers, directors, employees, contractors or suppliers of the Corporation or the reimbursement of ordinary out-of-pocket expenses; (c) amend the Corporation’s articles of incorporation or bylaws in any material respect, except as required by applicable law (in which case notice thereof shall be provided concurrently to the Department); (d) subject to the limited

exceptions set forth in the Regulatory Agreement, establish, maintain, or affiliate with a Person in conjunction with which the Corporation will carry on its activities; transfer control of any of the Facilities to any other Person; or assume, either directly, indirectly or through intermediaries, the management or control of any other Person, unless in each such case: (i) the Contract of Insurance remains in full force and effect after such act; and (ii) no event of default under the Regulatory Agreement has occurred and is continuing or will, as a result of such act, occur.; or (e) cease to operate the Facilities as a “health facility” as defined in the Insurance Law, except to the extent permitted by the Insurance Law.

Maintenance of the Facilities

The Corporation shall maintain the Facilities in good and substantial repair and condition; provided that, in the event all or any of the Facilities shall be destroyed or damaged by fire or other casualty, the money derived from any insurance on the property shall be applied in accordance with the terms of the Regulatory Agreement and the Indenture.

Bankruptcy; Insolvency; Receiver

The Corporation shall not file any petition in bankruptcy or in insolvency, or for a receiver or reorganization or composition; or make any assignment for the benefit of creditors or to a trustee for creditors; or permit an adjudication in bankruptcy, the taking possession of the Facilities or any part thereof by a receiver, or the seizure and sale of the Facilities or any part thereof under judicial process or pursuant to any power of sale (except as provided in the Deed of Trust) and fail to have such adverse actions set aside within forty-five (45) days.

The Corporation immediately shall give notice to the Department of the filing of any petition, or commencement of any proceedings, in bankruptcy, or for a receiver or insolvency or for reorganization or composition, or any assignment for the benefit of creditors to a trustee for the benefit of creditors, relating to the Corporation or the Facilities.

If the Corporation, or its creditors, file a petition alleging insolvency, requesting reorganization or a composition of creditors, or for an assignment for the benefit of creditors, in any court, the Department shall have the right to participate in, or vote on, any plan or reorganization, agreement for a composition of creditors and on any assignment for the benefit of creditors. If there is a proceeding to effect a receivership for the Corporation, the Department shall have the right to select the receiver.

So long as the Contract of Insurance is in full force and effect and the Department is not in default thereunder, the Department shall represent the Holders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of such Holders, provided that any such action or consent shall in no way impair the rights and benefits due such Holders under the Contract of Insurance.

Maintenance of Existence; Affiliation, Merger, Consolidation Sale or Transfer Under Certain Conditions

The Corporation shall maintain its existence as a nonprofit public benefit corporation of the State, operating a health facility and meeting the requirements of Section 501(c)(3) of the Code, and shall not dissolve, sell or otherwise dispose of all or substantially all of its assets or affiliate with, consolidate with or merge into another Person or permit one or more other Persons to affiliate with, consolidate with or merge into it; provided, that the Corporation may, without violating the covenants contained in the Regulatory Agreement, affiliate with, consolidate with or merge into another Person, or permit one or more other Persons to affiliate with, consolidate with or merge into it, or sell or otherwise transfer to another Person such assets, if:

(1) The Corporation obtains the written consent of the Department to such transaction and a Statement of the Department to the effect that the Contract of Insurance remains in full force and effect after such transaction;

(2) The Department, the Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such affiliation, merger, consolidation, sale or other transfer will not cause the interest on the Bonds to be included in gross income for federal income tax purposes under Section 103 of the Code;

(3) The surviving, resulting or transferee Person: (a) assumes in writing, if such Person is not the Corporation, all of the obligations of the Corporation under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance, and agrees to fulfill and comply with the terms, covenants and conditions thereof; and further consents to the terms of the Indenture; (b) is not, after such transaction, otherwise in default under any provision of the Regulatory Agreement, the Loan Agreement or the Indenture; (c) is an organization meeting the requirements of section 501(c)(3) of the Code or a corresponding provision of the federal income tax laws then in effect; and (d) shall have net assets at least equal to the net assets of the Corporation prior to such transaction;

(4) The Trustee and the Department shall have received the report of a Management Consultant to the effect that Net Income Available for Debt Service of the surviving, resulting or transferee Person (after giving effect to such merger, consolidation, sale or other transfer) for each of the first two full Fiscal Years following such merger, consolidation, sale or other transfer is projected to be not less than the greater of Net Income Available for Debt Service of the Corporation for each of the two most recent Fiscal Years for which audited financial statements are available, as certified by an Accountant;

(5) The Trustee, the Authority and the Department shall have received a report of an Accountant to the effect that the net worth of the surviving, resulting or transferee Person, after giving effect to such merger, consolidation, sale or other transfer, is at least equal to 100 percent of the net worth of the Corporation immediately prior to such merger, consolidation, sale or other transfer; and

(6) The Trustee, the Authority and the Department shall have received an Opinion of Counsel to the effect that the Loan Agreement, the Contract of Insurance and the Regulatory Agreement constitute the legal, valid and binding obligations of the surviving, resulting or transferee Person, as the case may be, enforceable against such Person in accordance with their respective terms.

Notwithstanding the foregoing, the Corporation may, without complying with the provisions described above in this section, transfer substantially all of its assets to an Affiliate provided that:

(1) The Corporation obtains the written consent of the Department to such transaction and a statement of the Department confirming that the Contract of Insurance remains in full force and effect after such transaction;

(2) The Department, the Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such proposed transfer(s) will not cause the interest on the Bonds to be included in the gross income for federal income tax purposes under Section 103 of the Code;

(3) Such Affiliate agrees to become a co-obligor and jointly and severally liable with the Corporation under the Regulatory Agreement, the Contract of Insurance and the Loan Agreement; and

(4) After such transaction, the Corporation and the Affiliate are in compliance with the provisions of the Regulatory Agreement and the Loan Agreement.

In the event of such a transfer to an Affiliate, references in the Regulatory Agreement to Indebtedness of the Corporation shall apply to the combined Indebtedness of the Corporation and the Affiliate, and references to the financial condition or forecasted results of operations of the Corporation shall apply to the consolidated financial condition or results of operations of the Corporation and the Affiliate.

If an affiliation, merger, consolidation, sale or other transfer is effected, as described under this caption, the provisions described under this caption shall continue in full force and effect, and no further affiliation, merger, consolidation, sale or transfer shall be effected except in accordance with such provisions.

Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand

(A) The Corporation shall operate the Facilities as revenue producing health care facilities. The Corporation shall fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year commencing in the Fiscal Year ending December 31, 2022, to produce a Debt Service Coverage Ratio of at least 1.25 for each such Fiscal Year.

(B) The Corporation shall maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, a Current Ratio of at least 1.50:1.0 for such fiscal year.

(C) The Corporation shall maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2022, at least one hundred fifty (150) Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year.

(D) Within one hundred twenty (120) days after the end of each Fiscal Year, the Corporation shall compute (1) the Debt Service Coverage Ratio, (2) the Current Ratio and (3) the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the Trustee and the Department a Statement setting forth the results of such computation.

The Corporation further covenants and agrees that if, at the end of such Fiscal Year, (i) Debt Service Coverage Ratio shall have been less than the amount required by subsection A described above; (ii) the Current Ratio shall have been less than the amount required by subsection B described above; or (iii) the Days Cash on Hand shall have been less than the amount required by subsection C described above, it will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio of at least equal to the amount required by subsection A described above; (y) a Current Ratio of at least the amount required by subsection B described above in the current Fiscal Year; and (z) Days Cash on Hand of at least the amount required by subsection C described above in the current Fiscal Year; *provided, however*, the Corporation need not so employ a Management Consultant if the Department consents, in writing, to a waiver of said covenant to employ a Management Consultant. Copies of the recommendations of the Management Consultant shall be filed with the Authority, the Trustee and the Department. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; *provided, however*, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Department gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the

Corporation fails to comply with the recommendations of the Management Consultant, the Department may replace existing management with new management, which shall be chosen unilaterally by the Department.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the covenants contained in the Regulatory Agreement for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required under Subsections A, B or C above; provided, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) Debt Service Coverage Ratio shall be at least equal to 1.0 for such Fiscal Year.

(E) Notwithstanding the foregoing, the Corporation may permit the rendering of service at, or the use of, the Facilities without charge or at reduced charges, at the discretion of the Board, to the extent necessary for maintaining its tax-exempt status or to establish or maintain its eligibility for grants, loans, subsidies or payments from the United States of America, any instrumentality thereof, or the State or any political subdivision or instrumentality thereof, or in compliance with any recommendation for free services that may be made by the Management Consultant.

Limitation on Encumbrances

The Corporation shall not create, assume or suffer to exist and shall immediately satisfy or release any mortgage, deed of trust, pledge, security interest, encumbrance, lien, attachment or charge of any kind (including the charge upon property purchased under conditional sales or other title retention agreements) upon the Facilities or the Gross Revenues; *provided, however*, that notwithstanding the foregoing provision, the Corporation may create, assume or suffer to exist Permitted Encumbrances.

Limitation on Indebtedness

The Corporation shall not incur any Indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, except the Corporation may incur the following:

1. Obligations and liabilities under the Regulatory Agreement, the Loan Agreement or the Indenture, including any supplements or amendments thereto or hereto in connection with the issuance of any additional series of Bonds;
2. Contractual liabilities (other than liabilities for borrowed money or liabilities which would otherwise be considered Indebtedness under generally accepted accounting principles) incurred in the ordinary course of business for which moneys are available;
3. Short-Term Indebtedness with the prior written consent of the Department and provided that no amount of Short-Term Indebtedness shall be outstanding for a period of 30 consecutive days during each Fiscal Year. The aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;
4. Liabilities for contributions to self-insurance programs;

5. Long-Term Indebtedness (which may be Parity Debt) incurred for the purpose of refinancing outstanding Long-Term Indebtedness provided that (a) the Department has consented in writing to the incurring of such Indebtedness, and (b) the issuance of such Long-Term Indebtedness does not increase Maximum Aggregate Annual Debt Service by more than 10%, as certified by a written report of an Accountant which shall be filed with the Authority, the Trustee and the Department prior to such transaction;

6. Long-Term Indebtedness (which may be Parity Debt), provided that:

(a) the Department has consented in writing to the incurring of such indebtedness; and

(b) (1) the Debt Service Coverage Ratio, as certified by a written report of an Accountant which shall be filed with the Trustee and the Department for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness was at least equal to 1.25 on all outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred, or (2) (a) for Debt Service Coverage Ratio, as certified by a written report of an Accountant which shall be filed with the Trustee and the Department, for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness was at least equal to 1.25 on all Long-Term Indebtedness then outstanding; and (b) the Debt Service Coverage Ratio, as shown in a written feasibility report prepared by a Management Consultant and filed with the Authority, the Trustee and the Department prior to such transaction, for each of the first two Fiscal Years following the incurrence of such Long-Term Indebtedness (or, if such Long-Term Indebtedness is incurred to finance additional facilities, in each of the first three Fiscal Years following the Fiscal Year when it is proposed that such Facilities will be completed and placed in service) is forecasted to be at least 1.25 on all Long-Term Indebtedness proposed to be outstanding at the end of each such Fiscal Year;

7. Long-Term Indebtedness (which may be Parity Debt), incurred to complete a project if the Board certifies that the Corporation cannot complete such project unless such Long-Term Indebtedness is incurred, provided that (a) the Department has consented in writing to the incurring of such Indebtedness; and (b) the aggregate principal amount of such Indebtedness does not exceed ten percent (10%) of the principal amount of Long-Term Indebtedness incurred to finance such project;

8. Long-Term Indebtedness (excluding Parity Debt), provided that (a) the Department has consented in writing to the incurring of such indebtedness; and (b) the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 and subsection 9 and outstanding shall not exceed at the time of incurrence ten percent (10%) of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

9. Liabilities under capitalized lease agreements for the lease of, or Indebtedness for money borrowed or liabilities under instruments evidencing deferred payment arrangements for the purchase of, equipment, tangible personal property or real property; provided that the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 and subsection 8 above and then outstanding shall not exceed at the time of incurrence ten percent (10%) of the Corporation's Adjusted Annual Operating Revenues for the latest Fiscal Year for which audited financial statements are available;

10. Non-recourse Indebtedness, provided that the Department has approved in writing the incurrence of such Indebtedness and such indebtedness does not encumber the Facilities;

11. Repayment obligations under reimbursement or similar agreements with banks or insurance companies relating to letters or lines of credit or other credit facilities used to secure Long-Term Indebtedness;

12. Indebtedness, not for borrowed money, incurred in the ordinary course of business; and

13. Any Indebtedness or obligations of the Corporation consented to in writing by the Department.

Limitations on Disposition of Property

Disposition of Cash. The Corporation shall not dispose of any cash or cash equivalents unless the disposition is made in the ordinary course of business, and (1) the Corporation receives an asset or service of reasonably equivalent value for such cash or cash equivalents; or (2) prior to such disposition, there is filed with the Authority, the Department and the Trustee a Statement of the Corporation, which Statement is satisfactory to the Department, to the effect that, either (a) the Debt Service Coverage Ratio for the most recent Fiscal Year for which audited financial statements are available next preceding such disposition would not be reduced or, if reduced, would not be reduced below a ratio of 2.0:1.0 (such calculation to be made assuming such disposition had occurred at the beginning of such Fiscal Year), or (b) the average Debt Service Coverage Ratio, as forecasted in such Statement of the Corporation for the two Fiscal Years immediately following such disposition, will be not less than a ratio of 2.0:1.0; and (c) such disposition has been consented to by the Department in writing.

Disposition of Real Property. The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the real property described in the Regulatory Agreement, including the buildings and structures thereon and fixtures and improvements of such real property, without the prior written consent of the Department.

Disposition of Personal Property. The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the Facilities not included in the preceding paragraphs, other than in the "ordinary course of business," unless the Department gives its prior written consent to such disposition. "Ordinary course of business" shall be defined during the term of the Regulatory Agreement by the Department in the exercise of its sound and reasonable discretion, by the Department giving written notice thereof to the Corporation, which determination will become effective on receipt of such notice by the Corporation.

Except as provided pursuant to the Regulatory Agreement concerning a disposition of substantially all of the Corporation's assets, in no event shall the Corporation dispose of any part or parts of its Facilities in any Fiscal Year aggregating in excess of two and one half percent (2-1/2%) of the Corporation's net property, plant and equipment (as shown on the Corporation's most recent audited financial statements), unless the Department gives its prior written consent to such disposition.

Execution of Releases. In connection with a disposal of property, including cash, as described under the caption, upon receipt of such consent by the Department or Statement of the Corporation required by the Regulatory Agreement, the Department, the Authority and the Trustee shall execute and deliver releases from security interests or other documents reasonably requested by the Corporation.

Limitation on Acquisition of Property, Plant and Equipment

The Corporation shall not acquire additional property, plant and equipment (except (1) in the ordinary course of business, (2) with the proceeds of Indebtedness permitted by the Regulatory Agreement, (3) as part of a merger or consolidation permitted by the Regulatory Agreement or (4) by gift (other than gifts of cash or personal property or gifts of real property if either (i) its use is residential or (ii) it is subject of a Phase I report indicating no contaminants), purchase, construction, merger or consolidation, unless the Department gives its prior written consent to such acquisition.

Parity Debt

The Corporation may incur Parity Debt, subject, however to compliance with the provisions of the Regulatory Agreement described above under the caption “—Limitation on Indebtedness,” and subject to the following conditions: (1) the Trustee shall act as trustee for the Parity Debt; (2) the agreement under which Parity Debt is issued shall require that: (a) a Loan Default Event shall constitute an event of default under such agreement and the Regulatory Agreement; (b) rights and obligations of the holders of Parity Debt shall be substantially the same as the rights and obligations of the Holders of Bonds under the Indenture, except that if the Parity Debt is not covered under the Contract of Insurance, the holders of Parity Debt shall have no rights under the Contract of Insurance or to payments made with respect thereto; and (c) remedies upon an event of default shall be substantially the same as the remedies provided in the Indenture, the Regulatory Agreement and the Loan Agreement, and, prior to exercising any such remedies, the holders of such Parity Debt (or a trustee representing their interest) shall be required to cooperate with the Trustee to the end that the interests of such holders and the Holder of the Bonds shall be equally protected; (3) any collateral given or to be given to secure Parity Debt shall also secure the Bonds on a pari passu basis; provided that the Debt Service Reserve Account shall only secure the Bonds, to the extent provided in the Indenture, in accordance with the Indenture and the Corporation may but need not establish similar reserve accounts for debt service of Parity Debt; (4) the Parity Debt shall be prepayable in accordance with such terms substantially in the form of and under the conditions prescribed in the Indenture; (5) Parity Debt shall be insured by the Department under the Insurance Law, or if the Parity Debt can be issued as such without being insured under the Insurance Law, with the consent of the Department; and (6) in the case of any Parity Debt which will not be insured by the Department, the Corporation shall pay any associated legal document review costs incurred by the Department, including fees for outside counsel.

Insurance

The Corporation shall keep the Facilities and their operations adequately insured at all times, and, shall carry and maintain, or cause to be carried and maintained, and will pay, or cause to be paid, in timely fashion the premiums for, at least the coverages specified in the Regulatory Agreement. The coverages and limits may be varied only with the prior written consent of the Department.

The Corporation shall employ a Risk Management Consultant to review the insurance requirements of the Corporation from time to time (but not less frequently than once every twenty-four (24) months). If the Risk Management Consultant makes recommendations for the increase of any of the coverage required by the Regulatory Agreement, the Corporation shall increase such coverage in accordance with such recommendations, subject to a good faith determination of the Board that such recommendations, in whole or in part, are in the best interests of the Corporation. The Corporation shall have the right, without giving rise to an event of default under the Regulatory Agreement solely on such account; (1) with the prior written consent of the Department, to maintain insurance coverage below that required by the Regulatory Agreement, provided further that the Corporation shall furnish to the Trustee and the Department a Statement of the Risk Management Consultant or other evidence, satisfactory to the

Department, that the insurance so provided affords the greatest amount of coverage available for the risk being insured against at rates which in the judgment of the Risk Management Consultant are reasonable in connection with reasonable and appropriate risk management, or (2) with the prior written consent of the Department, to adopt alternative risk management programs which the Board determines to be reasonable and which shall not have a material adverse impact on the Corporation's reimbursement from third-party payers, including, without limitation, to self-insure in whole or in part, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws now or hereafter in existence limiting medical and malpractice liability or to establish or participate in other alternative risk management programs; all as may be approved in writing as reasonable and appropriate risk management by the Risk Management Consultant.

Title Insurance

The Corporation shall obtain, at its own cost and expense, an ALTA Lender's policy of title insurance, with such endorsements as may be required by the Department, at the time of and dated as of the date of delivery of the Bonds or Parity Debt, in an aggregate amount not less than the aggregate principal amount of the Bonds and Parity Debt to be outstanding after the issuance of such Bonds or Parity Debt, payable to the Department, the Trustee and the Authority, insuring the title of the Corporation to the site of the Facilities, subject only to Permitted Encumbrances, issued by a title insurance company admitted to do business in the State by the Department of Insurance of the State, and which is acceptable to the Department.

Disposition of Insurance and Condemnation Proceeds

The proceeds of property and builders risk insurance maintained by the Corporation pursuant to the Regulatory Agreement, the proceeds of any title insurance and the proceeds of any condemnation awards with respect to the Facilities, shall be paid immediately upon receipt by the Corporation or other named insured parties to the Trustee, as assignee of the Authority, for deposit in a special fund which the Trustee shall establish and maintain and hold in trust under the Indenture, to be known as the "Insurance and Condemnation Proceeds Fund." In the event the Corporation elects to repair or replace the property damaged, destroyed or taken, it shall furnish to the Trustee and the Department plans of the contemplated repair or replacement, accompanied by a Statement of an architect or other qualified expert satisfactory to the Department estimating the reasonable cost of such repair or replacement and a Statement of the Corporation stating that amounts in the Insurance and Condemnation Proceeds Fund, together with investment income reasonably expected to be received with respect thereto and any other funds available or reasonably expected to become available therefor (and which the Corporation shall agree to deposit in said funds when so available), shall be sufficient to repair or replace the property damaged, destroyed or taken in accordance with said plans. After deducting therefrom the reasonable charges and expenses of the Trustee in connection with the collection and disbursement of such moneys, moneys in the Insurance and Condemnation Proceeds Fund shall be disbursed by the Trustee for the purpose of repairing or replacing the property damaged, destroyed or taken in the manner and subject to the conditions set forth in the Indenture to the extent the provisions thereof may reasonably be made applicable. In the event that the proceeds of any loss or damage to or condemnation of the Facilities shall be less than one and one-half percent (1-1/2%) of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements), and so long as an event of default under this Regulatory Agreement has not occurred and is not then continuing, the Trustee shall pay over such proceeds to the Corporation without requiring any of the documents referred to in this Subsection and without any formality whatsoever.

In the event the Corporation, with the consent of the Department, shall elect not to repair or replace the property damaged, destroyed or taken, as provided in the provisions of the Regulatory Agreement described in the paragraph above, the Trustee shall transfer all amounts in any Insurance and Condemnation Proceeds Fund on account of such damage, destruction or condemnation to the Redemption Fund (established under the Indenture) in order to prepay the Loan Repayments and redeem the Bonds; provided that if any Parity Debt is then outstanding, any such transfer from the Insurance and Condemnation Proceeds Fund shall be deposited in part in such Redemption Fund and in part in such other fund or account as may be appropriate (and used for the retirement of such Parity Debt) in the same proportion which the aggregate principal amount of Outstanding Bonds then bears to the aggregate unpaid principal amount of such Parity Debt.

If all amounts in the Insurance and Condemnation Proceeds Fund and any special redemption account for the retirement of Parity Debt exceed one and one-half percent (1-1/2%) of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements) but are not sufficient to retire all Bonds then outstanding, the Trustee shall not transfer said amounts to the Redemption Fund and the respective special redemption accounts unless the Corporation shall file with the Trustee a report of a Management Consultant showing that projected Net Income Available for Debt Service will be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt. In the event such report of a Management Consultant shows that projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt, the Corporation shall apply all amounts in the Insurance and Condemnation Proceeds Fund to the repair or replacement of the property damaged, destroyed or taken, as provided in the first paragraph under this caption, unless the Corporation shall file a further report of a Management Consultant showing that even after making such repair and replacement, projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three Fiscal Years immediately following such repair and replacement, in which event the Trustee shall transfer all moneys in the Insurance and Condemnation Proceeds Fund to the related Redemption Fund and/or such other trust account for the retirement of Bonds and Parity Debt, as provided in the second paragraph under this caption.

Certain Covenants Relating to Operations

Indebtedness on Loan Default Event. During the continuance of a default under the Regulatory Agreement, a Loan Default Event under the Loan Agreement or an Event of Default under the Indenture, the Corporation shall not incur any additional Indebtedness or make any additional capital acquisition without the prior written consent of the Department.

Lien on Future Acquired Real Property. If the Corporation acquires any real property to be used or usable in connection with the operation of the Corporation while the Regulatory Agreement is in effect, such acquired real property ("Acquired Property") shall be deemed to fall within the definition of Facilities and therefore shall be subject to the Regulatory Agreement. The Corporation shall convey a security interest (which need not give the Department a first lien position) in the Acquired Property for the benefit of the Department under the Deed of Trust, unless such requirement is waived in writing by the Department.

Default; Remedies Upon Default

Notice and Declaration of a Default. Upon a violation of any of the provisions of the Regulatory Agreement by the Corporation, the Department may give written notice thereof to the Corporation by registered or certified mail, addressed to the address stated in the Regulatory Agreement,

or such other address as may subsequently, upon appropriate written notice thereof to the Department, be designated by the Corporation as its legal business address. If such violation is not corrected to the satisfaction of the Department within 30 days, or in the event the default is the result of the failure of the Corporation to make a payment required to be made to the Trustee or the result of the loss or threatened loss of the license of the Corporation, then five days, after the date such notice is given, or within such further time as the Department determines, in the Department's sole discretion, is necessary to correct the violation, without further notice the Department may declare a default under the Regulatory Agreement effective on the date of such declaration of default.

Department Directives to the Corporation. Upon an event of default under the Regulatory Agreement, the Deed of Trust, the Indenture or the Loan Agreement, the Department shall have the remedies provided by California Health and Safety Code section 129173, as well as the following: The Department may conduct an evaluation of, and direct the Corporation with respect to, the management and operation of the Facilities and the expenses of the Department or any consultants associated with such evaluation and direction shall be reimbursed by the Corporation. The Corporation shall follow all such directives, which may at the option of the Department include immediately terminating and replacing the existing Management Agent with a new Management Agent selected by the Department at the expense of the Corporation. In the event of any such termination, the Management Agent shall not be entitled to compensation for more than thirty (30) days from the date of such termination. The Department may retain attorneys and consultants to assist in such evaluation and the Corporation shall pay the reasonable fees and expenses of such attorneys and consultants and any other expenses incurred by the Department in that connection. These remedies are in addition to those provided under Insurance Law Section 129173. The Department reserves its rights to exercise all its remedies under Insurance Law Section 129173, including, but not limited to, subsection (b) wherein the Department may remove and appoint members of the governing body of the Corporation sufficient such that the new members constitute a voting majority of the governing body.

Payment from the Health Facility Construction Loan Insurance Fund. (1) In any case in which an Event of Default under the Indenture shall have occurred and the Trustee shall have given notice to the Department at least 30 days prior to an Interest Payment Date, or principal payment date pursuant to the Indenture stating that: (a) available moneys in the Principal Account and Interest Account held by the Trustee pursuant to the Indenture will be insufficient to pay in full the next succeeding payment of interest and/or principal when due to the Holders under the Indenture, and (b) the amount by which the obligation to make such payment exceeds the amount available ("Shortfall"), the Department shall cause an amount equal to the Shortfall to be deposited into the Principal Account and/or Interest Account at least three Business Days prior to the date on which said payment is due, as provided pursuant to the Indenture described in the following paragraphs (2) and (3).

(2) Said deposit shall be made by the Department directing the Trustee to transfer an amount equal to the Shortfall out of the Debt Service Reserve Account into the Principal Account and/or Interest Account. (However, if there are funds in the Debt Service Reserve Account at the time the Department receives such notice of the Shortfall from the Trustee, nothing contained in the Regulatory Agreement shall prevent the Department from then determining pursuant to Insurance Law Section 129145 that the lender and borrower have exhausted all reasonable means of curing the Event of Default and that it would be in the best interest of the State, the borrower and the lender to pay a portion or all of the Shortfall from the Health Facility Construction Loan Insurance Fund instead of the Debt Service Reserve Account, and from paying such amount from the Health Facility Construction Loan Insurance Fund.)

(3) If the Department, pursuant to Insurance Law Section 129145, determines, in the event the funds in the Debt Service Reserve Account are insufficient to meet the Shortfall as provided in paragraph (2) above, that (a) the lender and the borrower will have exhausted all reasonable means of

curing the Event of Default, and (b) a payment or payments from the Health Facility Construction Loan Insurance Fund to cure the Event of Default is now and will be at the time of the Event of Default in the best interest of the State, the borrower, and the lender, the Department may pay such amount required to meet the Shortfall from the Health Facility Construction Loan Insurance Fund to the Principal Account and/or Interest Account for the benefit of the lender within the time as provided in paragraph (1) above.

(4) Any payment made by the Department from the Health Facility Construction Loan Insurance Fund ("Fund") shall be secured pursuant to Insurance Law Section 129145 by a pro rata share of the security held by the Trustee through the Deed of Trust and all applicable UCC-1s, and, upon such payment, the Corporation shall become liable for repayment of the amount thereof to the Department upon demand and shall be liable for interest on the unpaid balance thereof at the rate of ten percent (10%) per annum.

(5) If the principal of all Bonds at the time Outstanding, and the interest accrued thereon have been declared immediately due and payable pursuant to the terms of the Indenture, the Department shall make payment from the Health Facility Construction Loan Insurance Fund, or, if the Health Facility Construction Loan Insurance Fund is insufficient to make such payment, or if the Department determines it to be in the best interest of the State, the Corporation and the Authority, the Department shall request issuance of debentures as provided below under the caption " – Issuance of Debentures."

Issuance of Debentures. (1) In any case in which (a) the Trustee shall have directed the foreclosure and taking possession of the Facilities under the Deed of Trust and under applicable statutes, (b) the Trustee, with the consent of the Department, shall have otherwise acquired the Facilities from the Corporation after default, (c) the Trustee, with the consent of the Department, shall have assigned to the Department the security interest created by the Deed of Trust, (d) the Trustee shall have tendered to the Department a satisfactory conveyance of title and transfer of possession of the Facilities directly from the Corporation, or other appropriate grantor, or (e) it has been determined that debentures should be issued as described in the paragraph above under the caption entitled "—Payment from the Health Facility Construction Loan Insurance Fund," the Trustee shall be entitled to receive the benefit of the insurance as provided in Insurance Law Sections 129125 through 129160, upon (a) the prompt conveyance to the Department of title to the Facilities or, with the consent of the Department, the security interest created by the Deed of Trust, (b) the assignment to the Department of all claims of the Trustee against the Corporation or others arising out of the sale of the Bonds, the loan transaction or the foreclosure proceedings, except such claims as may have been released with the consent of the Department, and (c) surrender to the Department of each Bond which has been surrendered to the Trustee, which Bond shall be returned to the Trustee upon issuance of debentures and canceled by the Trustee.

(2) Upon such conveyance, assignment and surrender, the Department shall request the State Treasurer to issue to the Trustee for the benefit of the Holders so surrendered, a debenture or debentures having a total face value of and bearing interest at the rate on the respective surrendered Bonds which they replace and additional debentures equal to all additional amounts due under the Indenture as provided by Insurance Law Sections 129125 through 129160.

Additional Remedies Available to the Department. Notwithstanding any other provision in the Regulatory Agreement or provision of law relating to the acquisition, management or disposal of real property by the State, the Department shall have the power to do any or all of the following: (a) possess, operate, complete, lease, rent, renovate, modernize, insure, or sell for cash or credit, in its sole discretion, any properties conveyed to it in exchange for debentures as provided in the Insurance Law; (b) pursue to final collection by way of compromise or otherwise all claims against the Corporation assigned by the Trustee to the Department; or (c) convey and execute in the name of the Department deeds of

conveyance, deeds of release, assignments and satisfactions of the Deed of Trust, and any other written instrument relating to real or personal property or any interest therein acquired by the Department.

Remedies Not Exclusive; No Waiver of Rights. No remedy herein conferred upon or reserved to the Department is intended to be exclusive of any other available remedy or remedies, but each and every such remedy, to the extent permitted by law, shall be cumulative and shall be in addition to every other remedy given under this Regulatory Agreement, Loan Agreement and the Deed of Trust, or now or hereafter existing at law or in equity or otherwise. In order to entitle the Department to exercise any remedy, to the extent permitted by law, reserved to it contained in this Regulatory Agreement, it shall not be necessary to give any notice, other than such notice as may be expressly required in the Regulatory Agreement.

Capital Replacement

The Corporation shall maintain the Facilities in good and substantial repair and condition. The Corporation shall prepare a long-term capital replacement budget, as required by the Regulatory Agreement, for capital improvements, major remodeling, and for new and replacement items necessary and appropriate to maintain the Facilities for the purposes for which they are or may reasonably be expected to be used. Capital replacement costs may include, but are not limited to, carpet, flooring, roofing, windows, painting exterior and interior, major appliances, cabinets, bathrooms, walkways, fencing, stairways, exterior siding, drainage, sewage, security and alarm systems, HVAC systems, elevators, and fire sprinkler systems for the Facilities. The Corporation shall allocate the required annual budget amount for long-term capital replacement to be used solely for capital replacement costs as they are incurred.

Upon written demand of the Department, the Corporation shall perform or cause to be performed a formal inspection of its Facilities resulting in a written report by a qualified professional recommending replacement and repairs necessary to maintain the Facilities in good and substantial repair and condition. The long-term capital replacement budget shall be revised to reflect the recommended replacement and repairs included in the inspection report. The Corporation shall deliver a copy of its Board approved revised long-term capital replacement budget and the inspection report to the Department.

Debt Service Coverage Ratio Reporting

Within forty-five (45) days after each March 31, June 30, September 30 and December 31 each three-month period ending on each such date being referred to herein as a "Fiscal Quarter"), the Corporation shall compute the Debt Service Coverage Ratio for the twelve-month period ending on the last day of such Fiscal Quarter ("Running Twelve-Month Period") and promptly furnish to the Department a Statement setting forth the results of such computation. If at the end of such Fiscal Quarter the Debt Service Coverage Ratio shall have been less than 1.25 for such Running Twelve-Month Period, the Corporation shall, upon the request of the Department, employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Facilities or the methods of operation of the Facilities which will result in producing a Debt Service Coverage Ratio equal to at least 1.25 by the end of the current Fiscal Year. Copies of the recommendations of the Management Consultant shall be provided to the Department. The Department also may retain attorneys and consultants to assist in an evaluation of the operation and management of the Facilities and the Corporation shall pay the reasonable fees and expenses of such attorneys and consultants and any expenses incurred by the Department in that connection.

DEED OF TRUST

The obligations of the Corporation pursuant to the Loan Agreement, the Regulatory Agreement and the Contract of Insurance are secured by the lien of a Deed of Trust upon the Facilities. With the written consent of the Department and the Corporation, the Deed of Trust may be amended or terminated at any time, without the necessity of obtaining the consent of the Trustee, the Authority or the holders of the Bonds or of Parity Debt. To the extent permitted under the Regulatory Agreement, certain Property may be removed from the lien and security interest of the Deed of Trust upon written request by the Department.

Upon the failure of the Corporation to perform its obligations as required under the Deed of Trust, the trustee under the Deed of Trust, the Trustee (as assignee of the Authority) and the Department, as beneficiaries under the Deed of Trust (each, a "Beneficiary") , may elect to do any or all of the following: (1) make any such payment or do any such act in such manner and to the extent necessary to protect the security of the Deed of Trust; (2) pay, purchase, contest or compromise any claim, debt, lien, charge or encumbrance which may affect or appear to affect the security of the Deed of Trust or the interest of the Beneficiary or the rights, powers or duties of the Deed Trustee or the Beneficiary; (3) take possession of, and manage, operate or lease, the Property; and (4) declare all sums secured by the Deed of Trust to be immediately due and payable and sell the Facilities to satisfy the lien of the Deed of Trust. If the beneficiary elects to foreclose and sell the Facilities, there are certain applicable statutory time periods which must expire before such proceedings will be effective.

The Regulatory Agreement and the Deed of Trust confer certain powers and rights upon the Department which may limit the discretion of the trustee under the Deed of Trust. So long as the Department is obligated under the Contract of Insurance, all rights of beneficiaries under the Deed of Trust shall be exercised solely by the Department for the equal and ratable benefit of the Department and the Trustee. All rights and proceeds inuring to the benefit of the Trustee under the Deed of Trust are for the benefit of the holders of the Bonds and Parity Debt. Before the benefits of the insurance are to be paid, the Department may require such trustee to (1) foreclose on the Deed of Trust and convey title to the Facilities to the Department; or (2) assign all security interests of the Bondholders under the Deed of Trust to the Department.

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APPENDIX E

FORM OF CONTRACT OF INSURANCE

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CONTRACT OF INSURANCE

LOAN NO. 1083

STATE OF CALIFORNIA DEPARTMENT OF HEALTH CARE ACCESS AND INFORMATION

THIS CONTRACT OF INSURANCE, dated as of August 1, 2022, and effective as of September 8, 2022, is by and among NORTHERN CALIFORNIA CONGREGATIONAL RETIREMENT HOMES, INC., doing business as CARMEL VALLEY MANOR (the “Manor”) and CARMEL VALLEY MANOR FOUNDATION (the “Foundation” and, together with the Manor, the “Corporation”), each a California nonprofit public benefit corporation, the DEPARTMENT OF HEALTH CARE ACCESS AND INFORMATION OF THE STATE OF CALIFORNIA (the “Department”) and the CALIFORNIA MUNICIPAL FINANCE AUTHORITY, a joint exercise of powers authority organized and existing under the laws of the State of California (the “Authority”);

WHEREAS, the Department is authorized to enter into this Contract of Insurance pursuant to California Health and Safety Code Sections 127045 and 129105;

WHEREAS, the Director of the Department is authorized to enter into this Contract of Insurance on behalf of the Department pursuant to California Health and Safety Code Section 127010 and California Government Code Section 11150, *et seq.*;

WHEREAS, the undersigned Deputy Director of the Department was appointed by the Director of the Department to act on the Director’s behalf pursuant to Delegation Order 21-07, effective October 25, 2021, and is so authorized by California Health and Safety Code Section 7 and California Government Code Sections 7, 1194 and 18572;

WHEREAS, the Corporation is authorized to enter into this Contract of Insurance pursuant to the respective resolutions of each entity of the Corporation each adopted on June 29, 2022, respectively;

WHEREAS, the Authority is authorized to enter into this Contract of Insurance pursuant to the Authority’s resolution adopted on June 24, 2022;

WHEREAS, the Authority desires to issue its Insured Revenue Bonds (Carmel Valley Manor Project), Series 2022, in the aggregate principal amount of Thirty-Six Million Thirty-Five Thousand dollars (\$36,035,000) (the “Bonds”), pursuant to an Indenture, dated as of August 1, 2022 (the “Indenture”), by and between the Authority and U.S. Bank, Trust Company National Association, as trustee (the “Trustee”), and to lend the proceeds of the Bonds to the Corporation pursuant to a Loan Agreement, dated as of August 1, 2022 (the “Loan Agreement”), between the

Authority and the Corporation, which shall be secured by a Deed of Trust with Fixture Filing, Security Agreement and Assignment Agreement, dated the effective date hereof (the “Deed of Trust”), on certain of the Corporation’s property and a pledge of the Corporation’s Gross Revenues;

WHEREAS, the Authority and the Corporation desire to obtain the Health Facility Construction Loan Insurance (the “Insurance”) insuring the payment of the Bonds, and the Department is willing to extend the Insurance;

WHEREAS, the Department has reviewed the final form of the Bonds, the Indenture, the Loan Agreement, the Deed of Trust and the American Land Title Association title insurance policy (issued by Fidelity National Title Company) insuring the Corporation’s fee title to that property which is subject to the Deed of Trust and naming the Trustee and the Department as beneficiaries, as their interests may appear;

WHEREAS, the Department has approved the Corporation’s application for insurance of the Bonds; and

WHEREAS, in consideration of the Insurance and in order to comply with the requirements of Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State of California, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may, from time to time, hereafter be amended or supplemented (the “Insurance Law”), the Corporation, the Department and the Authority have entered into a regulatory agreement, dated as of August 1, 2022, and effective as of September 8, 2022 (the “Regulatory Agreement”), regulating the terms and conditions of the Insurance of the Bonds;

NOW, THEREFORE, in consideration of these presents and for other good and valuable consideration, the receipt of which is hereby acknowledged, the parties hereto mutually agree, and agree for the benefit of the Holders of the Bonds from time to time and the Trustee, as follows:

Section 1. Definitions. Unless the context clearly otherwise requires, all capitalized terms used herein shall have the meanings assigned to such terms in the Regulatory Agreement or in the Indenture.

Section 2. Insurance. The Department hereby declares and agrees that the Bonds are eligible for the Insurance under the Insurance Law and that the payment to the Trustee of the principal of and the accrued and unpaid interest on the insured principal of the Bonds and, such other costs and expenses required by the Insurance Law, are insured. However, payments from the Trustee to the Holders are not insured.

Section 3. Incontestability. Pursuant to Insurance Law Section 129110, such Insurance shall be incontestable from the date of the execution of this Contract of Insurance except in case of fraud or misrepresentation on the part of the lender (as defined in Insurance Law Section 129010(i)).

Section 4. Approval of Documents. The Department approves the execution and delivery of the Loan Agreement, the Indenture and the Deed of Trust.

Section 5. Completion of the Project. The Corporation shall accomplish the Project with all practical dispatch and in an economical manner.

Section 6. Disbursement of Proceeds. Prior to each disbursement of funds to the Corporation pursuant to the provisions of the Indenture, the Corporation shall apply to the Department by submission of the Department's Form HCAI-CM-134 and supporting documentation, for an authorization of the disbursement of funds to the Corporation pursuant to the Indenture, pursuant to Insurance Law Section 129030. Certification by the Department of the Form HCAI-CM-134 submitted to the Department by the Corporation shall constitute the Department's authorization and consent to the disbursement of funds to the Corporation.

Section 7. Compliance with Law and Documents. The Authority and the Corporation shall, to the extent they are respectively obligated thereunder, comply with the Insurance Law and the terms, conditions and covenants of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement and this Contract of Insurance.

Section 8. Premium Payment. The Corporation has paid all premiums required for the Insurance on the effective date hereof. Insurance of the Bonds shall not be cancelled or terminated for any reason, including any failure by the Corporation to comply with the provisions of the Regulatory Agreement or any other agreement or failure by the Trustee to enforce such compliance, except as provided in Section 9 hereof.

Section 9. Termination of Insurance. The Insurance provided herein may be terminated by the Department only upon the occurrence of any of the following:

(a) *Payment of Insurance by the Department.* Upon the payment in full by the Department of the Insurance of the Bonds pursuant to the Insurance Law.

(b) *Payment of Bonds; Defeasance.* Upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) so that all principal and interest components of the Bonds that have or may come due to the Holders of the Bonds and the Trustee under the Indenture are paid.

(c) *Joint Request.* Upon the joint written request of the Authority, the Corporation and all the Holders as provided in Insurance Law Section 129185.

(d) *Foreclosure or Conveyance; Surrender of Bonds.* If the Deed of Trust is judicially foreclosed as to such property, or the Authority, the Trustee or the Bond Holders non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the Authority and the Trustee do not execute and deliver to the Department a grant deed, trustee deed or quitclaim deed covering such property within sixty (60) days of such foreclosure or other acquisition; or if any Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Department within sixty (60) days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the Authority and the Trustee shall have sixty (60) days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

Section 10. Successors Bound. This Contract of Insurance shall bind, and the benefits shall inure to, the respective parties hereto, their legal representatives, successors in office or interest, and assigns, and shall be directly enforceable by the Trustee. The Department hereby consents to the Authority's assignment of its rights under this Contract of Insurance to the Trustee.

Section 11. Severability of Invalid Provisions. The invalidity of any clause, part, or provision of this Contract of Insurance shall not affect the validity of the remaining portions hereof so long as the Insurance remains in effect.

Section 12. Agreement Represents Complete Agreement; Amendments. Except as otherwise provided herein, this Contract of Insurance represents the entire contract among the parties. This Contract of Insurance may be amended, changed or modified by the written agreement of the Department and the Corporation, provided that such amendment, change or modification shall not materially adversely affect the Holders of the Bonds.

Section 13. Headings and References. The headings or titles of the several sections, subsections and subdivisions hereof shall be solely for convenience of reference and shall not affect the meaning, construction or effect of this Contract of Insurance. All references herein to "sections," "subsections" and other subdivisions are to the corresponding sections, subsections or subdivisions of this Contract of Insurance. The words "herein," "hereof," "hereby," "hereunder" and other words of similar import refer to this Contract of Insurance as a whole and not to any particular section, subsection or subdivision hereof. Words of the masculine gender shall mean and include words of the feminine and neuter genders.

Section 14. Governing Law; Venue. The laws of the State of California shall govern this Contract of Insurance, the interpretation thereof and any right or liability arising hereunder. Any action or proceeding to enforce or interpret any provision of this Contract of Insurance shall be brought, commenced or prosecuted in Sacramento County Superior Court, Sacramento, California.

Section 15. Attorneys' Fees. In the event of any action at law or in equity between the parties hereto to interpret or enforce any of the provisions of this Contract of Insurance, the non-prevailing party or parties to such litigation shall pay to the prevailing party or parties all costs and expenses, including reasonable fees of the Trustee for Bond Holders, and actual attorneys' fees, incurred therein by such prevailing party or parties; and if such prevailing party or parties shall recover judgment in any such action or proceeding, such costs, expenses and attorneys' fees may be included in and as part of such judgment. The prevailing party shall be the party who is entitled to recover its costs of suit, whether or not the suit proceeds to final judgment. A party not entitled to recover its costs of suit shall not recover attorneys' fees.

Section 16. Electronic Signature. Each of the parties hereto agrees that the transaction consisting of this Contract of Insurance may be conducted by electronic means. Each party agrees, and acknowledges that it is such party's intent, that if such party signs this Contract of Insurance using an electronic signature, it is signing, adopting, and accepting this Contract of Insurance and that signing this Contract of Insurance using an electronic signature is the legal equivalent of having placed its handwritten signature on this Contract of Insurance on paper. Each party

acknowledges that it is being provided with an electronic or paper copy of this Contract of Insurance in a usable format.

Section 17. Execution in Counterparts. This Contract of Insurance may be executed in any number of counterparts, each of which shall be deemed for all purposes to be an original and all of which shall together constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties hereto have duly executed this Contract of Insurance as of the day and year first above written.

**NORTHERN CALIFORNIA
CONGREGATIONAL RETIREMENT
HOMES, INC., doing business as CARMEL
VALLEY MANOR**

By: _____
Authorized Representative

**CARMEL VALLEY MANOR
FOUNDATION**

By: _____
Authorized Representative

**DEPARTMENT OF HEALTH CARE
ACCESS AND INFORMATION**

By: Elizabeth A. Landsberg, Director

By: _____
Jeremy P. Marion
Deputy Director

**CALIFORNIA MUNICIPAL FINANCE
AUTHORITY**

By: _____
Authorized Signatory

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APPENDIX F

FORM OF CONTINUING DISCLOSURE AGREEMENT

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CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (the “*Disclosure Agreement*”) is executed and delivered by Northern California Congregational Retirement Homes, Inc., a nonprofit public benefit corporation incorporated under the laws of the State of California and doing business as “Carmel Valley Manor” (the “*Manor*”), and Carmel Valley Manor Foundation, a nonprofit public benefit corporation incorporated under the laws of the State of California (the “*Foundation*” and, together with the Manor, the “*Borrowers*”), as of September 8, 2022. The Borrowers covenant and agree as follows:

Section 1. Definitions. Any capitalized terms used herein but not defined herein shall have the meanings assigned to them in the hereinafter described Regulatory Agreement, and the following capitalized terms shall have the following meanings:

“*Annual Budget*” shall mean the operating budget of the Borrowers in the form required by Section XXIII of the Regulatory Agreement.

“*Annual Report*” shall mean any Annual Report provided by the Borrowers pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Authority*” shall mean the California Municipal Finance Authority, a public instrumentality of the State of California.

“*Bondholders*” shall mean the owners and beneficial owners from time to time of the Series 2022 Bonds.

“*Borrowers*” shall mean the Manor and the Foundation.

“*Current Ratio*” shall have the meaning set forth in the Regulatory Agreement.

“*Days Cash on Hand*” shall have the meaning set forth in the Regulatory Agreement.

“*Debt Service Coverage Ratio*” shall have the meaning set forth in the Regulatory Agreement.

“*Department*” shall mean the Department of Health Care Access and Information of the State of California.

“*Disclosure Agreement*” shall mean this agreement.

“*Dissemination Agent*” shall mean (i) the Borrowers or any Dissemination Agent designated in writing by the Borrowers and which has filed with the Borrowers a written acceptance of such designation, and (ii) initially, U.S. Bank Trust Company, National Association.

“*EMMA*” shall mean the Electronic Municipal Market Access system of the MSRB accessible at <http://emma.msrb.org> or such other information repository as may be determined by the SEC from time to time.

“*Financial Obligation*” means a (a) debt obligation, (b) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation, or (c) guarantee of a debt obligation or a derivative instrument. The term Financial Obligation does not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“*Foundation*” shall mean Carmel Valley Manor Foundation, a nonprofit public benefit corporation incorporated under the laws of the State of California.

“*Indenture*” shall mean the Indenture dated as of August 1, 2022, between the Authority and the Trustee, pursuant to which the Series 2022 Bonds are issued.

“*Listed Events*” shall mean any of the events listed in Section 5(a) of this Disclosure Agreement.

“*Loan Agreement*” shall mean the Loan Agreement dated as of August 1, 2022, between the Borrowers and the Authority relating to the Series 2022 Bonds.

“*Manor*” shall mean Northern California Congregational Retirement Homes, Inc., a nonprofit public benefit corporation incorporated under the laws of the State of California and doing business as “Carmel Valley Manor.”

“*MSRB*” shall mean the Municipal Securities Rulemaking Board or any successor entity as described in the Rule.

“*Obligated Person*” shall have the meaning set forth in the Rule.

“*Offering Document*” shall mean the Official Statement dated August 24, 2022 describing the Series 2022 Bonds.

“*Quarterly Report*” shall mean any quarterly report provided by the Borrowers pursuant to Sections 3 and 4 of this Disclosure Agreement.

“*Regulatory Agreement*” shall mean the Regulatory Agreement, dated as of August 1, 2022, among the Borrowers, the Authority and the Department.

“*Rule*” shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934.

“*SEC*” shall mean the United States Securities and Exchange Commission.

“*Series 2022 Bonds*” means the Authority’s Insured Revenue Bonds (Carmel Valley Manor Project), Series 2022.

“*Trustee*” shall mean U.S. Bank Trust Company, National Association, as trustee.

“*Underwriter*” shall mean B.C. Ziegler and Company, or any additional purchaser of the Series 2022 Bonds required to comply with the Rule in connection with an offering of the Series 2022 Bonds.

Section 2. Purpose of the Disclosure Agreement. The purpose of this Disclosure Agreement is to assist the Underwriter in complying with the Rule in connection with the Series 2022 Bonds. The Borrowers represent that the Borrowers are the only Obligated Persons with respect to the Series 2022 Bonds at the time the Series 2022 Bonds are delivered to the Underwriter.

Section 3. Provision of Annual Reports, Annual Budgets and Quarterly Reports.
(a) The Borrowers shall, or shall cause the Dissemination Agent to, not later than 120 days after the completion of each fiscal year of the Borrowers (beginning with the fiscal year ending December 31, 2022), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) an Annual Report that is consistent with the requirements of Section 4(a) of this Disclosure Agreement.

(b) The Borrowers shall, or shall cause the Dissemination Agent to, not later than 45 days after the completion of each fiscal quarter of the Borrowers (beginning with the fiscal quarter ending September 30, 2022), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) a Quarterly Report that is consistent with the requirements of Section 4(b) of this Disclosure Agreement.

(c) The Borrowers shall, or shall cause the Dissemination Agent to, not later than 30 days after the approval of the Annual Budget for the ensuing fiscal year by the governing board of the Manor, provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB), a copy of the Annual Budget for the ensuing fiscal year.

(d) In each case the Annual Report and the Quarterly Report may be submitted as a single document or as a package comprising separate documents. Any or all of the items constituting the Annual Report or the Quarterly Report may be incorporated by reference from other documents that have been submitted to the MSRB or the SEC. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The Borrowers shall clearly identify each such other document so incorporated by reference.

(e) The Dissemination Agent shall (if the Dissemination Agent is other than the Borrowers) file a report with the Borrowers certifying that the Annual Report, the Quarterly

Report or the Annual Budget, as applicable, has been provided pursuant to this Disclosure Agreement, stating the date it was provided to the MSRB.

(f) With respect to each Annual Report, Quarterly Report or Annual Budget required to be submitted to the MSRB in this Section 3, the Borrowers agree to deliver such information or, alternatively, a notice of the Borrowers' intent to act as their own Dissemination Agent with respect to such information, to the Dissemination Agent at least five (5) Business Days prior to the date required for dissemination to the MSRB. If the Dissemination Agent does not receive an Annual Report, Quarterly Report or Annual Budget or a notice of the Borrowers' intent to act as Dissemination Agent with respect to such information on or before such required dissemination date, then the Dissemination Agent shall file with the MSRB a Notice of Failure to file. If the Borrowers are unable to provide to the MSRB an Annual Report, Quarterly Report or Annual Budget by the dates required in this Section 3 and the Dissemination Agent has not filed with the MSRB a related Notice of Failure to file, the Borrowers shall send or cause to be sent a notice of such fact to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB).

Section 4. Content of Annual Reports and Quarterly Reports. (a) The Annual Report to be delivered under Section 3(a) shall provide the following financial and operating data:

(1) Audited financial statements of the Borrowers for the fiscal year immediately preceding the due date of the Annual Report. Such financial statements shall be prepared in accordance with generally accepted accounting principles and shall be audited by an independent certified public accountant, and shall include a statement of financial position as of the end of such fiscal year, and a statement of changes in net assets (deficit), a statement of operations, and a statement of cash flows for such fiscal year, showing in each case in comparative form the financial figures for the preceding fiscal year, prepared in accordance with generally accepted accounting principles; *provided, however*, that if such audited financial statements are not available by the deadline for filing the Annual Report, they shall be provided when and if available, and unaudited financial statements shall be included in the Annual Report.

(2) To the extent not otherwise provided, an update of the financial and operating data included in the tables and charts under the headings "THE COMMUNITY – Fee Schedule," "STATISTICAL INFORMATION – Historical Utilization," "STATISTICAL INFORMATION – Residential Living Turnover," "FINANCIAL INFORMATION – Summary Statement of Historical Revenues and Expenses," "FINANCIAL INFORMATION – Summary Balance Sheet," "FINANCIAL INFORMATION – Debt Service Coverage," and "FINANCIAL INFORMATION – Days Cash on Hand" contained in APPENDIX A to the Official Statement.

(3) (A) Borrowers' calculations of the Borrowers' Debt Service Coverage Ratio for such fiscal year, of the Borrowers' Current Ratio as of the last day of such fiscal year and of the Borrowers' Days Cash on Hand as of the last day of such fiscal year and (B) a statement from the independent certified public accountant that audited the financial statements described in subparagraph (1) above that such independent certified public

accountant has no knowledge of any default under the Regulatory Agreement or the Loan Agreement, insofar as such default relates to accounting matters, or if such independent certified public accountant shall have obtained knowledge of any such default or defaults, they shall disclose in such statement the default or defaults and the nature thereof, insofar as such default or defaults relate to accounting matters.

(4) Most recent rating of the Borrowers' skilled nursing beds issued by the Centers for Medicare & Medicaid Services pursuant to its Five-Star Quality Rating System.

(b) The Quarterly Report to be delivered under Section 3(b) shall contain the following financial and operating data:

(1) Management-prepared financial statements, including a statement of operations and statement of cash flows of the Borrowers during such period and a statement of financial position as of the end of each such fiscal quarter, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Borrowers (including, if necessary, a management-prepared discussion and analysis regarding the results of operations for such fiscal quarter).

(2) A calculation of the Days Cash on Hand and a calculation of the Debt Service Coverage Ratio for each fiscal quarter.

(3) Information with respect to the occupancy levels of all of the facilities operated by the Borrowers by level of care as of the end of each fiscal quarter.

(4) A comparison of actual revenues and expenses of the Borrowers year-to-date against the Annual Budget.

(5) A report (which may be in table form) of the payor mix of the skilled nursing and related services provided by the Borrowers during the applicable period; provided, however, that the requirement to provide such a report shall only be applicable during the period for which the Borrowers provide such services pursuant to a provider agreement with the Centers for Medicare and Medicaid Services.

(6) An Officer's Certificate of the Borrowers stating that the Borrowers are in compliance with all of the terms, provisions and conditions of the Regulatory Agreement and the Loan Agreement or, if not, specifying all such defaults and the nature thereof.

(7) An update of the status of any major construction project ongoing or completed during the fiscal quarter.

Section 5. Reporting of Listed Events. (a) This Section 5 shall govern the giving of notices of the occurrence of any of the following events with respect to the Series 2022 Bonds:

- (1) principal and interest payment delinquencies;
- (2) non-payment related defaults, if material;
- (3) unscheduled draws on debt service reserves reflecting financial difficulties;
- (4) unscheduled draws on credit enhancements reflecting financial difficulties;
- (5) substitution of credit or liquidity providers, or their failure to perform;
- (6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Series 2022 Bonds, or other material events affecting the tax status of the Series 2022 Bonds;
- (7) modifications to rights of security holders, if material;
- (8) bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);
- (9) defeasances;
- (10) release, substitution, or sale of property securing repayment of the Series 2022 Bonds, if material;
- (11) rating changes;
- (12) bankruptcy, insolvency, receivership or similar event of the Borrowers;
- (13) the consummation of a merger, consolidation, or acquisition involving the Borrowers or the sale of all or substantially all of the assets of the Borrowers, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;
- (14) appointment of a successor or additional trustee or the change of name of a trustee, if material;

(15) the incurrence of a Financial Obligation of the Borrowers, if material, or an agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the Borrowers (including debt service schedules), any of which affect security holders, if material; and

(16) a default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the Borrowers, any of which reflect financial difficulties.

(b) In the occurrence of a Listed Event, the Borrowers shall, or shall cause the Dissemination Agent to, promptly file a notice of such occurrence with the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB). Such notice shall be filed within 10 Business Days after the occurrence of the Listed Event. If the Borrowers determine that they failed to give notice as required by this Section, they shall promptly file a notice of such occurrence in the same manner.

Section 6. Termination of Reporting Obligation. The Borrowers' obligations under this Disclosure Agreement with respect to the Series 2022 Bonds shall terminate upon the defeasance, prior redemption or payment in full of all the Series 2022 Bonds.

Section 7. Dissemination Agent. From time to time, the Borrowers may appoint or engage a Dissemination Agent to assist the Borrowers in carrying out their obligations under this Disclosure Agreement, and may discharge any such agent, with or without appointing a successor Dissemination Agent. If at any time there is not any other designated Dissemination Agent, the Manor shall be the Dissemination Agent. The initial Dissemination Agent shall be U.S. Bank Trust Company, National Association. The sole remedy of any party against the Dissemination Agent shall be nonmonetary and specific performance. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement. The Dissemination Agent's obligation to deliver the information at the times and with the contents described herein shall be limited to the extent the Borrowers have provided such information to the Dissemination Agent as required by this Disclosure Agreement. The Dissemination Agent shall not be responsible for the form or content of any Annual Report, Quarterly Report, Annual Budget, notice of Listed Event, or other document furnished to the Dissemination Agent by the Borrowers, nor shall it have any duty or obligation to review or verify any information, disclosures or notices provided to it by the Borrowers. The Dissemination Agent shall have no responsibility for the Borrowers' failure to report to the Dissemination Agent a notice of Listed Event or a duty to determine the materiality thereof. The Dissemination Agent shall have no duty to determine, or liability for failing to determine, whether the Borrowers have complied with this Dissemination Agreement. The Dissemination Agent shall not be deemed to be acting in any fiduciary capacity for the Borrowers, the Authority, any Bondholder, or any other party. The Dissemination Agent may conclusively rely upon certifications of the Borrowers at all times.

THE BORROWERS AGREE TO INDEMNIFY AND SAVE THE DISSEMINATION AGENT AND ITS RESPECTIVE OFFICERS, DIRECTORS, EMPLOYEES AND AGENTS, HARMLESS AGAINST ANY LOSS, EXPENSE AND LIABILITIES WHICH THEY MAY INCUR ARISING OUT OF OR IN THE EXERCISE OR PERFORMANCE OF THEIR

POWERS AND DUTIES HEREUNDER, INCLUDING THE REASONABLE COSTS AND EXPENSES (INCLUDING REASONABLE ATTORNEYS' FEES) OF DEFENDING AGAINST ANY CLAIM OF LIABILITY, BUT EXCLUDING LIABILITIES DUE TO THE DISSEMINATION AGENT'S, OR ITS OFFICERS', DIRECTORS', EMPLOYEES', OR AGENTS', NEGLIGENCE OR WILLFUL MISCONDUCT. The obligations of the Borrowers under this paragraph of Section 7 shall survive resignation or removal of the Dissemination Agent and defeasance, redemption or payment of the Series 2022 Bonds.

The Dissemination Agent shall receive reasonable compensation for its services provided hereunder. The Dissemination Agent may resign at any time by providing at least 60 days' written notice to the Borrowers.

Section 8. Amendment; Waiver; Modification. The Borrowers may amend or waive any provision of this Disclosure Agreement, if such amendment or waiver is supported by an opinion of counsel expert in federal securities laws, to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule or adjudication of the Rule by a final decision of a court of competent jurisdiction. The Borrowers may modify from time to time the specific types of information provided in an Annual Report or Quarterly Report to the extent necessary as a result of a change in legal requirements, change in law or change in the nature of the Borrowers or their businesses, *provided* that any such modification will be done in a manner consistent with the Rule and will not, in the opinion of Bond Counsel or another party unaffiliated with the Authority or the Borrowers, materially impair the interests of the Bondholders. The Borrowers shall provide any such amendment, waiver or modification to the Dissemination Agent. The Dissemination Agent may rely conclusively on any opinion delivered pursuant to the provisions of this Section 8, and shall have no duty to determine, or liability for failing to determine, whether any amendment, waiver or modification pursuant to this Section 8 is consistent with guidance provided by the SEC with regard to permitted amendments, or the manner of effecting such amendments, under the Rule.

Section 9. Additional Information. The Borrowers may from time to time choose to disseminate other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or include other information in any Annual Report, Quarterly Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If the Borrowers choose to include any information in any Annual Report, Quarterly Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Agreement, such Member shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Quarterly Report or notice of occurrence of a Listed Event.

Section 10. Default. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Indenture, the Regulatory Agreement or the Loan Agreement, and the sole remedy of Bondholders under this Disclosure Agreement in the event of any failure of the Borrowers to comply with this Disclosure Agreement shall be an action to compel performance.

Section 11. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Borrowers, the Underwriter and the Bondholders, and shall create no rights in any other person or entity.

Section 12. Responsible Officer. The Manor's Interim Finance Director or Chief Financial Officer, as applicable, shall be the officer, agency, or agent of the Borrowers responsible for providing Annual Reports and Quarterly Reports and giving notice of Listed Events, to the extent required hereunder, and any inquiries regarding this Disclosure Agreement should be directed to the Manor, to the attention of its Interim Finance Director or Chief Financial Officer, as applicable.

Section 13. Future Changes to the Rule. As set forth in Section 2 of this Disclosure Agreement, the Borrowers have executed and delivered this Disclosure Agreement solely and only to assist the Underwriter in complying with the requirements of the Rule. Therefore, notwithstanding anything in this Disclosure Agreement to the contrary, in the event the SEC, the MSRB or other regulatory authority shall approve or require changes to the requirements of the Rule, the Borrowers shall be permitted, but shall not be required, to unilaterally modify the covenants in this Disclosure Agreement, without complying with the requirements of Section 8 of this Disclosure Agreement, in order to comply with, or conform to, such changes. In the event of any such modification of this Disclosure Agreement, the Borrowers shall file a copy of this Disclosure Agreement, as revised, on EMMA in a timely manner.

IN WITNESS WHEREOF, the Borrowers caused this Disclosure Agreement to be executed by its duly authorized officers as of the date first set forth above.

NORTHERN CALIFORNIA CONGREGATIONAL
RETIREMENT HOMES, INC.

By: _____
President and Chief Executive Officer

CARMEL VALLEY MANOR FOUNDATION

By: _____
President and Chief Executive Officer

The undersigned has reviewed this Disclosure Agreement and acknowledges and agrees to perform the duties of Dissemination Agent hereunder as of the date set forth above.

U.S. BANK TRUST COMPANY, NATIONAL
ASSOCIATION, as Dissemination Agent

By: _____
Authorized Signatory

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APPENDIX G

FORM OF OPINION OF BOND COUNSEL

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September 8, 2022

California Municipal Finance Authority
Carlsbad, California

California Municipal Finance Authority Insured Revenue Bonds
(Carmel Valley Manor Project), Series 2022
(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the California Municipal Finance Authority (the “Authority”) in connection with issuance of \$36,035,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue Bonds (Carmel Valley Manor Project), Series 2022 (the “Bonds”), issued pursuant to an indenture, dated as of August 1, 2022 (the “Indenture”), between the Authority and U.S. Bank Trust Company, National Association, as trustee (the “Trustee”). The Indenture provides that the Bonds are issued for the stated purpose of making a loan of the proceeds thereof to Northern California Congregational Retirement Homes, Inc., doing business as Carmel Valley Manor (the “Manor”), and Carmel Valley Manor Foundation (the “Foundation” and, together with the Manor, the “Corporation”), each a California nonprofit public benefit corporation, pursuant to a loan agreement, dated as of August 1, 2022 (the “Loan Agreement”), between the Authority and the Corporation. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Indenture.

In such connection, we have reviewed the Indenture, the Loan Agreement, the Tax Agreement, opinions of counsel to the Authority and the Corporation, certificates of the Authority, the Trustee, the Corporation and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

We have relied on the opinion of Hanson Bridgett LLP, counsel to the Corporation, regarding, among other matters, the current qualification of each of the Manor and the Foundation as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986 (the “Code”). We note that the opinion is subject to a number of qualifications and limitations. We have also relied upon representations of the Corporation regarding the use of the facilities financed or refinanced with the proceeds of the Bonds in activities that are not considered unrelated trade or business activities of the Corporation within the meaning of Section 513 of the Code. We note that the opinion of counsel to the Corporation does not address Section 513 of the Code. Failure of either the Manor or the Foundation to be organized and operated in accordance with the Internal Revenue Service’s requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or use of the bond-financed or refinanced facilities in activities that are considered unrelated trade or business activities of the Manor or the Foundation within the meaning of Section 513 of the Code, may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of issuance of the Bonds.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after original delivery of the Bonds on the date hereof. We have not undertaken to determine, or to inform any

person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after original delivery of the Bonds on the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures provided to us and the due and legal execution and delivery thereof by, and validity against, any parties other than the Authority. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents, and of the legal conclusions contained in the opinions, referred to in the second and third paragraphs hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Indenture, the Loan Agreement and the Tax Agreement, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Indenture, the Loan Agreement and the Tax Agreement and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against governmental entities such as the Authority in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute or to have the effect of a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the real or personal property described in or as subject to the lien of the Indenture or the Loan Agreement or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion or conclusion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Authority.
2. The Indenture has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Authority. The Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and any other amounts held by the Trustee in any fund or account established pursuant to the Indenture, except the Rebate Fund, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Indenture.
3. The Loan Agreement has been duly executed and delivered by, and constitutes a valid and binding agreement of, the Authority.

4. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. We observe that, for tax years beginning after December 31, 2022, interest on the Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

per

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APPENDIX H

BOOK-ENTRY SYSTEM

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered bonds registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. The ownership of one fully-registered Bond for each maturity, each in the aggregate principal amount of such maturity, will be registered in the name of Cede & Co.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("*Direct Participants*") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("*DTCC*"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("*Indirect Participants*"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("*Beneficial Owner*") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them. Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an "Omnibus Proxy" to the Authority as soon as possible after the Record Date. The "Omnibus Proxy" assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the Record Date (identified in a listing attached to the "*Omnibus Proxy*").

Principal and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Trustee or the Authority, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as in the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Trustee or the Authority. Disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Authority and the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

THE INFORMATION PROVIDED ABOVE HAS BEEN PROVIDED BY DTC. NO REPRESENTATION IS MADE BY THE AUTHORITY, THE BORROWERS OR THE UNDERWRITER AS TO THE ACCURACY OR ADEQUACY OF SUCH INFORMATION PROVIDED BY DTC OR AS TO THE ABSENCE OF MATERIAL ADVERSE CHANGES IN SUCH INFORMATION SUBSEQUENT TO THE DATE HEREOF.

For so long as the Bonds are registered in the name of DTC or its nominee, Cede & Co., the Authority and the Trustee will recognize only DTC or its nominee, Cede & Co., as the registered owner of the Bonds for all purposes, including payments, notices and voting.

Under the Indenture, payments made by the Trustee to DTC or its nominee will satisfy the Authority's obligations under the Indenture and the Borrowers' obligations under the Loan Agreement, to the extent of the payments so made.

None of the Authority, the Underwriter, the Borrowers or the Trustee will have any responsibility or obligation with respect to (i) the accuracy of the records of DTC, its nominee or any Direct Participant or Indirect Participant with respect to any beneficial ownership interest in any Bond, (ii) the delivery to any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any notice with respect to any Bond including, without limitation, any notice of redemption, tender, purchase or any event which would or could give rise to a tender or purchase right or option with respect to any Bond, (iii) the payment of any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any amount with respect to the principal of, premium, if any, or interest on, or the purchase price of, any Bond or (iv) any consent given by DTC as registered owner.

Prior to any discontinuation of the book-entry only system described above, the Authority and the Trustee may treat DTC as, and deem DTC to be, the absolute owner of the Bonds for all purposes whatsoever, including, without limitation, (i) the payment of principal of, premium, if any, and interest on the Bonds, (ii) giving notices of redemption and other matters with respect to the Bonds, (iii) registering transfers with respect to the Bonds and (iv) the selection of Bonds for redemption.

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